19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas

CASE 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service

EVIDENTIARY HEARING

DATE: February 13, 2020

LOCATION: 19th Floor Hearing Room
Agency Building Three,
Empire State Plaza
Albany, New York

ALJ JAMES A. COSTELLO, DPS

ALJ MAUREEN F. LEARY, DPS

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Exhibit 629 1338

7 IR responses, 9 pages

Exhibit 630 1392

Gas Distribution Rate Design Manual was prepared by the National Association of Regulatory Utility Commissioners, NARUC, Staff subcommittee on gas, dated June 1989 and consists of 118 pages

Exhibit 631 1392

Code of Federal Regulations Title 18 Part 201, entitled Uniform System of Accounts Prescribed for Natural Gas Companies Subject to the Provisions of the Natural Gas Act, 259 pages

Exhibit 632 1394

An information request or response to an information request in case number 17-E-0238 and 17-G-0239 by Niagara Mohawk Power Corporation doing business as National Grid.

Exhibit 633 1548

The Panel's response to information request N.G.-57, which was provided on November 22nd, 2019, consisting of 2 pages.

Exhibit 634 1789

Exhibit is G.C.C.-3

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(The hearing resumed, 10:36 a.m.)

A.L.J. COSTELLO: Okay. We're in the fourth day of the evidentiary hearings in cases 19-G-0309 and 19-G-0310. We're going to start with taking appearances and we'll start with the Company's.

MR. EUTO: Good morning, your Honors. Jeremy Euto here for National Grid, along with Ken Maloney from the law firm of Cullen and Dykman, Phil Decicco, and Patric O'Brien.

A.L.J. COSTELLO: Good morning.

D.P.S. Staff?

MS. PARKS: For D.P.S. Staff, this Raquel Parks and Brandon Goodrich and Nick Forst.

A.L.J. COSTELLO: Good morning. The Utility Intervention Unit?

MS. KASOW: For the Utility Intervention Unit, this is Jillian Kasow and Katie O'Hare.

A.L.J. COSTELLO: Okay. Public Utility Law Project of New York?

MR. BERKLEY: Good morning, your Honors. This is Richard Berkley and Laurie Wheelock. William Yates is here, also, and he will be a witness later in the day.

A.L.J. COSTELLO: Okay. City of New York?

MR. CONWAY: Adam Conway and Robert Loughney on behalf of the City of New York from the law firm of Couch White.

A.L.J. COSTELLO: Okay. Long Island Power Authority?

MALE: Good morning. The firm of Read and Laniado by --.

A.L.J. COSTELLO: Good morning.

Environmental Defense Fund? No appearance by the Environmental Defense Fund at this point.

Bob Wyman?

MR. WYMAN: Bob Wyman here. Your Honor, I'd like to just inform you that I have obligations elsewhere. I will be leaving for a brief time, but will be back in time for my scheduled cross.

A.L.J. COSTELLO: Okay. Then when -- when you -- when you return, if we have to note that for the record, we'll do that. Thank you, Mr. Wyman.

MR. WYMAN: Thank you very much.

A.L.J. COSTELLO: A.A.R.P.?

MR. RIGBERG: Thank you, your Honor. Saul Rigberg on behalf of A -- A.A.R.P.

A.L.J. COSTELLO: Good morning.

MR. RIGBERG: Good morning.

A.L.J. COSTELLO: I just want to remind all the attorneys, when you're doing your questioning as you first start, please restate your name for the court reporter. She has asked us to remind you to do that, so please do.

And is there anybody here making appearance that I have not called?

Okay. Not hearing any, then we will go forward with our first witness which is --.

MR. MALONEY: Your Honor?

A.L.J. COSTELLO: Yes?

MR. MALONEY: Yes. Ken Maloney for the Company. Before that, can we go through the --

A.L.J. COSTELLO: You want to --?

MR. MALONEY: -- exhibit that I handed to you just to --

A.L.J. COSTELLO: Put it on the record?

MR. MALONEY: -- just to put it on the record?

A.L.J. COSTELLO: That's fine.

MR. MALONEY: I've previous --.

A.L.J. LEARY: Excuse me, Mr. Maloney.

MR. MALONEY: Yes.

A.L.J. LEARY: Did you have discussion on the record yesterday?

A.L.J. COSTELLO: Yes.

A.L.J. LEARY: Okay.

MR. MALONEY: Yeah.

A.L.J. COSTELLO: I think we did.

MR. MALONEY: I --I -- I think we reserved a number --

A.L.J. COSTELLO: Exhibit 629.

MR. MALONEY: -- Exhibit 629.

A.L.J. LEARY: 629.

MR. MALONEY: Right. For a series of interrogatories propounded by the Companies and responded to by New York City witness Landon Cowan. And what I have handed to your Honors and passed out to the parties is an exhibit consisting of nine pages that includes seven I.R. responses that are variously dated on -- on the exhibit. And I'd ask that those be received into the record.

A.L.J. LEARY: Any objections?

A.L.J. COSTELLO: Okay. What we're going to do is we -- we are identifying them now, but probably going to do -- admit all of the exhibits at the end of the hearing. We'll do it at once in case anyone has -- you know, at one time. But it's been marked as Exhibit 629 for identification.

MR. MALONEY: Thank you, your Honors.

A.L.J. COSTELLO: Okay. Would you please stand, state your name and business address for the record?

MS. PANKO: Good morning. My name is Danielle Panko. My business address is 99 Washington Avenue, Albany, New York.

A.L.J. COSTELLO: Can you raise your right hand?

Do you swear or affirm that the testimony you will provide is the truth?

MS. PANKO: Yes.

WITNESS; DANIELLE PANKO; Sworn

A.L.J. COSTELLO: Okay. Thank you. You may be seated.

A.L.J. LEARY: I have a question about this witness' testimony because I believe it was corrected.

MS. O'HARE: Yes, your Honors.

A.L.J. LEARY: And I -- I believe I have the corrected copy, but it still has an August 30th, 2019 date on its cover.

MS. O'HARE: That's correct, your Honors.

A.L.J. LEARY: So for the benefit of the parties, what was the date of the correction of this testimony?

MS. O'HARE: The correction was January 30th, 2020. A red line and clean version were filed on the document management system.

A.L.J. LEARY: And that was posted to D.M.M.?

MS. O'HARE: Yes.

A.L.J. LEARY: Okay. So the parties should note that the corrections were filed on January 30th. I'm sorry to interrupt.

MS. O'HARE: Thank you, your Honor. And just for the record, my name is Katie O'Hare and I'm representing the Utility Intervention Unit.

A.L.J. COSTELLO: Do we need to -- can you hear -- can you hear them enough or do you need to --?

A.L.J. LEARY: Yeah, you know, I'm struggling -- both Judge Costello and I are struggling to hear you and your voice does not carry. So somehow you have to get a microphone in front of you so that we can hear you, as well as the witness.

I don't know if that's faint for you, Ms. Panko?

THE WITNESS: A little faint.

A.L.J. LEARY: A little faint?

THE WITNESS: Yes.

MS. O'HARE: Your Honors, is this better?

A.L.J. LEARY: Marginally.

A.L.J. COSTELLO: Yes.

MS. O'HARE: Okay.

A.L.J. LEARY: Just see if you can keep your voice up.

MS. O'HARE: I will. Thank you.

A.L.J. COSTELLO: Yeah, you -- you have to actually speak -- you have to go very close to the microphone.

A.L.J. LEARY: Yeah.

MS. O'HARE: Thank you, your Honors. I will do that.

A.L.J. COSTELLO: Okay. Your witness.

MS. O'HARE: Okay.

DIRECT EXAMINATION

BY MS. O'HARE:

Q. Ms. Panko, do you have in front of you a document entitled The Direct Testimony of Danielle Panko, dated August 30th, 2019, consisting of a cover page and 45 pages of questions and answers?

A. Yes.

Q. Thank you. And it was -- we just clarified for the record corrections were filed on January 30th, 2020?

A. That's correct.

Q. Was this testimony prepared by you or under your direct supervision?

A. Yes.

Q. Do you have any further corrections to this testimony?

A. No.

Q. Do you confirm that the testimony is true and accurate to the best of your knowledge?

A. Yes.

Q. If I were to ask you the same

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questions today, would your answers be the same?

A. Yes.

MS. O'HARE: Your Honors, I request that this testimony be entered into the record as if given orally.

A.L.J. COSTELLO: Your request is granted.

And at this point in the record, the court reporter should insert U.I.U. Corrected Direct Testimony of Danielle Panko.

STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.	Case 19-G-0309
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.	Case 19-G-0310

DIRECT TESTIMONY

OF

DANIELLE PANKO

Dated: August 30, 2019
Albany, New York

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I. INTRODUCTION AND OVERVIEW

Q. Would you please state your name and business address?

A. My name is Danielle M. Panko, and my business address is 99 Washington Avenue, Suite 640, Albany, NY 12231.

Q. By whom are you employed, in what capacity, and what are your professional backgrounds and qualifications?

A. I currently hold the position of a Utility Analyst with the Utility Intervention Unit (UIU) of the New York State Department of State's Division of Consumer Protection. I received a Bachelor of Science in Mathematics from the State University of New York at New Paltz in 2001 and a Master of Science in Electrical Engineering from the State University of New York at New Paltz in 2008.

From 2000 to 2001, I served as an intern with Central Hudson Gas and Electric Corporation (Central Hudson) located in Poughkeepsie, New York, in the Accounts Service Department and subsequently in the Electrical Engineering Department. From 2004 to 2007, I worked as a reliability engineer for Philips Semiconductors. From 2007 to 2012, I worked for Consolidated Edison Company of New York, Inc. (Con Edison) in the Rate Engineering Department as an Analyst, and later as a Senior Analyst, in the Gas Rate Design Section. I joined the UIU in 2012. My primary responsibilities include assisting with UIU's participation in Public Service Commission (PSC or Commission) proceedings, researching utility policy and regulatory related issues, and representing UIU during various utility-related

meetings and rate case negotiations. I have worked on a myriad of New York utility cases in addition to other rate and policy proceedings.

Q. Have you previously testified before the Commission?

A. Yes. I previously submitted testimony in Cases 13-E-0030 and 13-G-0031 (Con Edison), 14-E-0318 and 14-G-0319 (Central Hudson), 14-E-0493 and 14-G-0494 (Orange and Rockland Utilities, Inc. (Orange and Rockland)), 15-E-0283, 15-G-0284, 15-E-0285 and 15-G-0286 (New York State Electric and Gas Corporation (NYSEG) and Rochester Gas and Electric (RG&E)), 16-G-0058 and 16-G-0059 (The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corp. d/b/a National Grid (KEDLI)), 16-G-0060 and 16-G-0061 (Con Edison), 16-G-0257 (National Fuel Gas Company (National Fuel)), 17-E-0238 and 17-G-0239 (Niagara Mohawk Power Corporation d/b/a National Grid (National Grid)), 17-E-0459 and 17-G-0460 (Central Hudson), and 18-E-0067 and 18-G-0068 (Orange and Rockland).

Q. What is the scope of this testimony?

A. I will primarily comment on the Embedded Cost of Service (ECOS) studies, revenue allocation, and rate design proposed by KEDNY and KEDLI (together, the Companies), as set forth in the Direct Testimony of the Rate Design Panel (KEDNY) and the Direct Testimony of the Rate Design Panel (KEDLI). The absence of discussion of other topics in this testimony should not be construed as support for, or opposition to, the Companies' positions.

Q. How is your testimony organized?

A. This testimony has six sections. The first section is an introduction to the forthcoming testimony. Second, I summarize my recommendations. Third, I provide the background of this current proceeding, including a discussion of the Companies' previous rate cases. Fourth, I discuss issues with the Companies' gas cost of service studies. Fifth, I discuss revenue allocation issues. Finally, in the sixth section, I discuss a few gas rate design issues.

Q. Have you prepared any exhibits to be filed with your testimony?

A. Yes, Exhibit___(DP-1) and Exhibit___(DP-2) accompanies my testimony. Exhibit___(DP-1) contains my proposed revenue allocation process for both KEDNY and KEDLI. Exhibit___(DP-2) contains the Companies' responses to Information Requests (IRs) that I relied upon in preparing this testimony.

II. SUMMARY OF RECOMMENDATIONS

Q. Please briefly summarize your recommendations.

A. My recommendations are as follows:

A. COST OF SERVICE

First, I recommend the Companies utilize the results of both pro-forma gas ECOS studies filed in each of these cases as a guide to understanding the cost of providing service to each of the individual service classifications (SC). Second, in the next set of rate filings, I recommend the Companies again provide the results

of multiple gas ECOS studies for use as a guide to allocate costs. Specifically, the Companies should submit ECOS studies in which the distribution costs are classified 100 percent (%) as demand-related, as they did in these rate cases. This proposal is consistent with the ECOS models presented in some other New York utility rate cases and/or rate plans that have previously been approved by the Commission. Third, no less than two months prior to the intervenor direct testimony deadline, each of the Companies should invite all parties in its next rate case to attend a meeting (outside of its technical conference), at which the Companies would present an overview of the detailed data set forth in its filed gas cost of service studies, proposed revenue allocation process, and proposed rate design (similar to the process adopted in the Commission's Orders in Case 15-E-0050 *et al*.[1] and 18-E-0067 *et al*.[2]).

B. REVENUE ALLOCATION

I recommend the revenue allocation process be based on the output, or results, of the two types of ECOS studies filed in each of the utilities' rate cases. The Companies filed one pro-forma ECOS model that utilizes a minimum system methodology to classify distribution main costs as both customer-related and demand-related. The Companies' second pro-forma ECOS model is based on the

[1] *See* Cases 15-E-0050 *et al*., Order Adopting Terms of Joint Proposal to Extend Electric Rate Plan at Appendix A p. 20 (filed June 19, 2015).

[2] *See* Cases 18-E-0067 *et al*., Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans Attachment A November 9, 2018 Joint Proposal (issued March 14, 2019) (gas ECOS study discussed on pp. 43-44).

classification of distribution main costs as 100 % demand-related. While I do not necessarily agree with the minimum system method (which is the only type of ECOS study the Companies used for revenue allocation purposes in these cases), collectively the two ECOS models filed in these cases provide a range of possible outcomes that are consistent with past methodologies approved by the Commission in utility rate cases for revenue allocation purposes.

Furthermore, to avoid placing an excessive burden on any particular SC and to ensure that all SCs help to share some of the burden of the rate increase, I propose the Commission set boundaries around the amount of the base delivery revenue change applied to each SC during the revenue allocation process. For example, a potential boundary structure may include the following guidelines: no SC should receive a revenue change more or less than 25% to 50% of overall revenue increase and no SC receives a revenue decrease.

For illustrative purposes, Exhibit___(DP-1) shows the effects of applying boundaries of 0.75 and 1.25 (KEDNY) and 0.5 and 1.5 (KEDLI) times the system average percentage increase to the revenue allocation process in these rate cases. However, I recognize that somewhat different boundaries might be appropriate depending on the final revenue requirements in these cases. Thus, I recommend the Commission set specific boundaries around the amount of base delivery revenue change applied to individual SCs to reflect the magnitude of the delivery revenue increase that is ultimately adopted by the Commission in these proceedings.

For illustrative purposes, Exhibit___(DP-1) shows the results of utilizing the Companies' proposed tolerance band of plus or minus (+/-) 25% around the system average Rate of Return (ROR) to determine if SCs are under or overearning (or within the tolerance band) according to the results in the Companies' two filed ECOS models. I propose if the results of both ECOS models indicate the ROR for a SC is within the tolerance band (for example, within +/- 25% of the average ROR), then the SC should receive close to the system average delivery revenue increase over present rates. If both ECOS models confirm a SC is earning below the tolerance band, the class should receive an increase that is higher than average (but no more than the maximum increase established in the boundaries described above). If both ECOS models confirm a class is earning above the tolerance band, the class should receive an increase that is lower than average (but not less than the minimum increase). If the two ECOS models provide contradictory ROR results (*e.g.*, the one study shows the class earning below the tolerance band and the other study shows the class earning above the tolerance band), the rate class should receive a delivery revenue increase that is close to the system average increase. Additionally, while Exhibit___(DP-1) includes temperature controlled (TC) and interruptible (IT) customers in this revenue allocation process for illustrative purposes, I note that some utilities exclude TC/IT customers from ECOS studies[3] and instead adopt market-based

[3] *See e.g.*, Case 18-G-0068, Direct Testimony of Gas Rate Panel pp. 8-9 (filed January 26, 2018) (stating that the ECOS study analyzes Orange and Rockland's two firm classes and gas revenues from interruptible service are excluded from the ECOS study).

rates for those customers. An alternative approach to revenue allocation for those classes may be warranted depending on market conditions, or if those customers are not included in the ECOS studies.

C. RATE DESIGN

My testimony provides general recommendations for rate design that can be further explored, as appropriate, depending on the Companies' final revenue requirements. The starting point for my recommended rate design approach is my proposed revenue allocation process, which I used to assign costs to individual service classes (*e.g.*, setting a revenue target for each SC). However, I observe there are a variety of factors that may change the revenue target allocated to each SC, such as a change in the Companies' revenue requirements that requires more or less revenues to be collected from all SCs. The revenue target allocated to each SC together with the fixed monthly customer charge and portion of the revenues that flow through each of the volumetric rates (*e.g.*, increasing the ratio of tail-block to mid-block) can potentially have an impact on the optimal rate design for each SC. As such, my rate design recommendations are explanatory at this time, since my recommendation will be dependent upon the final revenue requirements, which will influence the magnitude of any potential changes to the customer charge and volumetric rates.

Residential Non-Heating – SC 1A

I recommend gradually moving away from the existing, steeply declining volumetric block rate design. The movement must be gradual to avoid rate shock to high usage customers. My recommendation for the amount of moderate change to be implemented will vary depending on several factors, such as if the Companies' residential SC 1A class revenues are reduced as per my revenue allocation proposals and/or if the Companies' overall revenue requirements are reduced. For the higher users (*e.g.*, customers who use greater than 500 therms per month as typical customers use 10-21 therms), the Companies should check to make sure these customers are in fact non-heating customers, and move them to the correct class, where applicable.

Residential Heating – SC 1B

The Companies' residential SC 1B heating rates should be a designed to more effectively encourage energy efficiency improvements. As such, the SC 1B heating rates should, at a minimum, be gradually moved away from a declining volumetric rate toward a flat rate. This recommendation contrasts with the Companies' proposal to continue a declining rate structure for SC 1B with a similar tail-block rate (Block 3) to mid-block rate (Block 2) ratio, because that approach makes no movement toward encouraging greater energy efficiency. The magnitude of my proposed change will be dependent upon the final revenue requirements.

Residential Bill Impacts

I recommend the residential bill impact results for KEDNY and KEDLI include additional information to account for customers at a wider range of usage levels. Residential bill impact results for both KEDNY and KEDLI (*e.g.*, Exhibit___(RDP-4)) should be evaluated for the entire range of usage levels of those classes (*e.g.*, usage up to 50,000 therms) and include the percentage of customers (including low income customers) within each usage level so parties can understand the range of bill impacts for those entire SCs. This is particularly helpful analysis for the parties to understand if the rate design deviates from the Companies' rate proposals.

Residential Targeted Help Towards Understanding How to Reduce Usage

I recommend the Companies' continue to provide an increased level of targeted assistance to residential customers with the highest monthly gas usage (including low income customers) to ensure they understand how they can reduce their usage.

III. GENERAL RATE CASE BACKGROUND

Q. Briefly discuss the Companies' previous rate cases, which were initiated in 2016.

A. In its Order Adopting Terms of Joint Proposal Establishing Gas Rate Plans, issued December 16, 2016, in Cases 16-G-0058 and 16-G-0059, the Commission approved rate plans that levelized the Companies' revenue increases over three years, starting in calendar year 2017. The Companies' rate plans included a

system average increase for most of the Companies' firm service classes (*id*. at p. 35). The rate increase for most firm KEDNY SCs was approximately 27% in Rate Year 1 and 16% in Rate Years 2 and 3. For KEDLI, the increase for most firm customers was approximately 18% in Rate Year 1 and 9% in Rate Years 2 and 3.[4]

Q. Prior to the December 16, 2016 Order in Cases 16-G-0058 and 16-G-0059, what was the Companies' recent history of increasing rates to customers?

A. It is my understanding the Companies' rates remained relatively stable or only slightly increased during the years leading up to the 2016 cases.[5] Additionally, KEDNY earned above its Commission approved ROR for several years. To address issues related to KEDNY exceeding its earnings sharing target for most of the years covered by its five-year rate plan (2008-2012), the Commission initiated Case 12-G-0544 (In the Matter of the Commission's Examination of the Brooklyn Union Gas Company d/b/a National Grid NY's Earning Computation Provisions and Other Continuing Elements of the Applicable Rate Plan). In the Commission's Order Adopting Terms of a Joint Proposal, issued and effective June 13, 2013, the Commission approved the Joint Proposal which extended the KEDNY's current rate plan with modifications including, but not limited to: reducing KEDNY's allowed return on equity (ROE) from 9.8% to 9.4%, increasing its common equity capital structure from 45% to 48%, and changes to the Company's

[4] *See* Cases 16-G-0058 and 16-G-0059, Order Adopting Terms of Joint Proposal Establishing Gas Rate Plans, Attachment 1, September 7, 2016 Joint Proposal at Appendix 3 (Schedules 2 and 3, KEDNY) and Appendix 4 (Schedules 2 and 3, KEDLI) (issued December 16, 2016).

[5] *See id*. at p. 2 ("Base rates have not been increased for KEDNY in over a decade and for KEDLI since 2008.").

deferral mechanisms, performance metrics, and revenue requirement. (*id*. p. 4). The Joint Proposal also stated that KEDNY's existing base delivery rates would not change for two additional years (except for previously authorized revenue neutral changes) (*id*.). In the Commission's Order Adopting Gas Rate Plans for Keyspan Energy Delivery New York and Keyspan Energy Delivery Long Island, issued and effective December 21, 2007 in Cases 06-G-1185 and 06-G-1186, the Commission increased base delivery revenues for KEDLI by $60 million in Rate Year 1 (2008) and left KEDNY's revenues unchanged, in part due to recognition of cost savings and efficiencies associated with the National Grid/KeySpan merger. (p. 64). This Order also established a multi-year rate plan that ensured nearly stable base delivery rates for all major categories of customers for at least five years.

Q. Can you also provide some background information concerning these current cases?

A. Yes. In the Companies' initial April 2019 base rate filing, KEDNY and KEDLI requested to increase their revenues by $236.8 million (19.3%) and $49.4 million (6%), respectively.[6] The Companies' revenue requests incorporate proposals related to: upgrading infrastructure and enhancing safety, improving customer service, and stimulating clean energy alternatives.[7] The Companies' state that

[6] Initial Rate Filing Cover Letter p. 1 note 1 (filed April 30, 2019) ("The revenue increases presented in these rate filings build off KEDNY and KEDLI's calendar year ("CY") 2019 revenues, including levelization revenues of approximately $108 million and $29 million, respectively."). *See also* Exhibit___(RDP-4), Schedule 2, page 2 for each Company.

[7] Initial Rate Filing Cover Letter pp. 2-3 (filed April 30, 2019).

efficiency initiatives and other efforts have reduced the revenue requirement by $50 million.[8] For purposes of developing SC revenue targets, KEDNY and KEDLI requested an overall delivery revenue increase of $237.2 million and $58.2 million which equates to (20.3%) and (7.8%) over pro-forma base delivery revenues at present rates, respectively.[9]

On July 3, 2019, the Companies submitted corrections and updates to their April 30, 2019 rate filings which resulted in a net decrease of $41 million to KEDNY's revenue requirement and $11 million to KEDLI's revenue requirement. These net decreases were based upon updates to the Companies' revenue forecast, capital investment plans and operations and maintenance expenses.[10] In June 2019, the Companies' filed supplemental testimony to discuss the revenue requirement impacts that customers may experience if the Transcontinental Gas Pipe Line LLC's Northeast Supply Enhancement (NESE) project is not available during the proposed rate plan period but the Companies did not propose to modify their April 30th filings.[11] The Companies' July 3, 2019 update filing appears to assume the NESE Project will go forward as planned.

If approved, the Companies' requested revenue increases would impact approximately 1.8 million natural gas customer accounts located in parts of New

[8] *Id*. at p. 2.

[9] *See* Exhibit___(RDP-4), Schedule 1 for each Company.

[10] Corrections and Updates Filing Letter p. 1 (filed July 3, 2019).

[11] Supplemental Testimony Filing Letter pp. 1-2 (filed June 11, 2019) (stating, "The net impacts to KEDNY and KEDLI's revenue requirement should the NESE project not go forward as planned are increases of $5.7 million and $15.2 million, respectively. The Companies are not proposing to modify their April 2019 filings at this time, as the expectation is that the NESE project will be approved.").

York City and Long Island.[12] The requested rate changes will potentially impact approximately 1,218,969 KEDNY residential accounts, of which 594,542 (48.8%) are SC 1A residential non-heating, and 624,427 (51.2%) are SC 1B residential heating. Similarly, these rate changes will impact approximately 543,240 KEDLI residential customers, of which 93,819 (17.3%) use gas for purposes other than heating (SC 1A), and 449,421 (82.7%) use gas for heating (SC 1B).[13] Most of the Companies' remaining accounts are small commercial customers. The Companies also serve a variety of other customers, including government accounts, large commercial and industrial customers, interruptible customers, and electric generators. Although relatively few in number, these other customers collectively receive a large fraction of the total gas volumes that are delivered over the KEDNY and KEDLI gas systems. For example, gas delivered to electric generators constitutes nearly 20% of KEDNY's overall system therm deliveries and nearly 43% of KEDLI's overall system therm deliveries yet these deliveries provide only 0.55% (KEDNY) and 3.17% (KEDLI) of the overall system revenues.[14]

Unlike the 2016 rate cases (16-G-0058 and 16-G-0059), where the Companies proposed uniform across-the-board percentage increases (31.5% for KEDNY and 26.7% for KEDLI) for the residential and small commercial SCs

[12] KEDNY serves approximately 1.2 million customers in the boroughs of Brooklyn, Queens, and Staten Island in New York City. KEDLI serves approximately 590,000 customers in Nassau and Suffolk Counties on Long Island and the Rockaways in New York City.

[13] Exhibit ___ (DP-2) (Company response to UIU IR No. 13 Attachment 1).

[14] See Exhibit___(DP-2) (Company response to UIU IR No. 23).

(KEDNY SC 1A and 1B, SC 2-1 and 2-2, and SC 3; KEDLI SC 1A and 1B, SC 2A and 2B, and SC 3), the Companies are now proposing varied revenue increases based on the Companies preferred ECOS methodologies. These ECOS results, and corresponding revenue allocation proposals, include the following service classes:

Table 1. Companies' Service Classes used during the revenue allocation process[15]

KEDNY Service Classes		KEDLI Service Classes	
SC 1A	Residential Non-Heat	SC 1A	Residential Non-Heat
SC 1B	Residential Heat	SC 1B	Residential Heat
SC DG	DG Residential Distributed Generation	SC DG	DG Residential Distributed Generation
SC 2-1	General Service Non-Heat	SC 2A	General Service Non-Heat
SC 2-2	General Service Heat	SC 2B	General Service Heat
SC 3	Multi Family	SC 3A	Multi Family Non-Heat
SC 4A	High Load Factor Service	SC 3B	Multi Family Heat
SC 4A-CNG	Compressed Natural Gas Service	SC 4	Interruptible Sales
SC 4B	Year-round AC Non-Residential	SC 9	Wholesale NGV
SC 5A	On System Large Volume Interruptible	SC 7	Interruptible Transportation
SC 6	Temperature Controlled	SC 12	Temperature Controlled Sales
SC 7	Seasonal Off-Peak	SC 13	Temperature Controlled Transportation
SC 21	Baseload DG	SC 15	High Load Factor
		SC 16	Year Round Space
		SC 17	Distributed Generation Sales

Q. Do you have concerns regarding the Companies' inclusion of any of these SCs in the revenue allocation process?

A. Yes. I have concerns with the Companies' proposal to include TC/IT customers in the ECOS studies and use the ECOS results to determine the revenues allocated

[15] Service Classes shown in blue were added to the Companies' ECOS studies and revenue allocation methodologies in the 2016 KEDNY/KEDLI rate cases.

to TC/IT customers. In the Companies' 2016 rate cases, some parties took different positions in testimony regarding the issue of whether to apply cost-based rates to these TC/IT classes or continue market-based rate design. However, when the Commission approved the Joint Proposal in those 2016 cases, it approved a transition to cost-based rates; TC/IT customers were included in the ECOS studies and assigned rates which resulted in bill impacts less than the otherwise applicable firm service.[16] If the Companies' approach to cost-based TC/IT customer rates is accepted again in these cases, and these TC/IT classes continue to be a part of ECOS studies, then they should be subject to the same boundaries and rules that are applied to other SCs.

Q. Please provide information regarding the potential residential customer impacts of the Companies' rate filing?

A. Based on the Companies' rate filings, the bills paid by typical residential heating[17] and non-heating[18] customers will increase as shown in the table below.

[16] *See* Cases 16-G-0058 *et al.*, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans p. 48 (issued December 16, 2016) ("Sections IV.3.4 and V.3.4 adopt the rate design proposed by the Companies, rather than continuing the market-based rate design as recommended by UIU and Staff in testimony. Staff asserts, however, that the resulting rates would equate to approximately a 20% discount for TC customers and a 30% discount for IT customers off of the otherwise applicable firm service rates measured on a total bill basis, which is approximately equal to the discount levels from firm rates that Staff recommended for setting a cap on market based rates charged to non-firm customers in order to account for the additional cost these customers incur to maintain an alternative fuel source.") (citations omitted). *See also id*. at Attachment 1 p. 10 and p. 64.

[17] For the Companies' average residential heating assumptions (SC 1B), see the following exhibits: KEDNY Exhibit ___ (RDP-4) Schedule 4 p. 2 and KEDLI Exhibit ___ (RDP-4) Schedule 4 p. 3 (both exhibits assume usage of 83 therms a month for the average residential heating customer). Note that the Companies filed modified versions of these exhibits with their corrections and updates testimony. *See* KEDNY Exhibit___(RDP-4CU), Schedule 4 p. 2 and KEDLI Exhibit___(RDP-4CU), Schedule 4 p. 3.

[18] For the Companies' average residential non-heating assumptions (SC 1A) see the following exhibits: KEDNY Exhibit ___ (RDP-4) Schedule 4 p. 1 (KEDNY: 10 therms a month) and KEDLI Exhibit___(RDP-

Table 2. Companies' Proposed Residential Customer Bill Impacts

Typical Residential Customer	*Testimony Filed April 30th*		*Corrections and Updates Filed July 3rd*	
	Delivery	Total Bill	Delivery	Total Bill
KEDNY (Heating)	17.78%	11.99%	13.93%	9.61%
KEDLI (Heating)	6.29%	5.15%	14.77%	12.17%
KEDNY (Non-Heating)	25.53%	21.62%	20.79%	17.77%
KEDLI (Non-Heating)	12.97%	10.76%	8.64%	8.39%

As Table Two illustrates, the Companies revenue request has changed since its initial filing. Additionally, it is my understanding there may be revenue impacts if the NESE project does not move forward as planned that were not included in the Companies' July 3, 2019 updated revenue request.[19] I observe the final revenue requirements adopted in these proceedings may be different than the Companies' most recent July 3, 2019 proposal due to a variety of factors. Regardless of the revenue requirements ultimately adopted, the Companies' proposals for how to distribute their revenue requirements among customer classes (*e.g.*, revenue allocation and rate design proposals) are closely tied to decisions the Companies made when developing their ECOS studies. As such, I will discuss the Companies' ECOS study approach first and then turn to the proposed rate design and other issues.

4) Schedule 4 p. 1 (KEDLI: 21 therms a month). Note that the Companies filed modified versions of these exhibits with their corrections and updates testimony. See KEDNY Exhibit___(RDP-4CU), Schedule 4 p.1 and KEDLI Exhibit___(RDP-4CU), Schedule 4 p. 1.

[19] *See infra* p. 14 note 11 and accompanying text.

IV. COST OF SERVICE

A. *Background*

Q. Please provide a few brief introductory comments concerning ECOS studies.

A. An ECOS study is often used as a tool in utility rate proceedings to apportion rate base and operating expenses among the various customer classes. This data is used in conjunction with existing revenues to estimate the overall system ROR and the ROR earned from each service classification as defined in the study. Sometimes, the focus is on historical revenues; other times forecasted revenue increases for the Rate Year (pro-forma) are used to estimate the overall system ROR (similar to what the Companies proposed in these cases). Regardless of the specific approach that is used, the analyst must exercise discretion and judgment in apportioning costs. Some of these judgments have been the subject of much debate and controversy throughout the last 40 years or more.[20]

The end result of an ECOS study is to estimate the overall system ROR and individual service classification RORs. The ECOS study results are particularly significant because of their potential impact on revenue allocation – how the rate

[20] For example, the National Association of Regulatory Utility Commissioners Gas Distribution Rate Design Manual, published in June 1989 (NARUC Manual) discusses the general judgements that can be used in an ECOS model. *See e.g.*, National Association of Regulatory Utility Commissioners Gas Distribution Rate Design Manual (published June 1989) p. 20 (stating "[t]here is no scientifically correct method of making necessary allocations. A certain amount of judgement must be used in any cost of service study. Consequently, cost allocation studies should only be utilized as a general guide or as a starting point for rate design.") One particularly controversial judgement has been the decision regarding the assignment of customer costs, particularly whether costs associated with the distribution system should be included as customer costs; the NARUC Manual recognizes the 100% demand approach. (*id*. at p. 22-23) (noting "[t]he contra argument to the inclusion of certain distribution costs is that mains and services are installed to serve demands of the consumers and should be allocated to that function").

increases are assigned to the various customer classes. The ECOS results, or output, are sometimes also used to support aspects of the rate design – particularly the monthly customer charge – within individual SCs.

The remainder of this section of my testimony will primarily focus on the Companies' decision to use a minimum system approach in an ECOS study to classify some distribution main costs as customer-related, instead of classifying these costs as 100% demand-related.

Q. You mentioned that some of the judgments used within cost of service studies have been controversial. Can you elaborate on this point with some examples?

A. Yes. Some gas and electric utilities analyze a portion of their distribution costs using some variation of a minimum system or a statistically-based zero-intercept method – thereby classifying a portion of these distribution costs as customer related. Other utilities choose not to prepare this type of analysis – they do not classify or allocate any of the distribution costs based on the number of customers. Even utilities that use a minimum system or zero-intercept approach may not fully implement this controversial approach when developing their revenue allocation and rate design proposals.[21] In recent years, I have seen how controversial the judgments associated with the classification of costs as "customer related" can be in the context of various New York utility rate cases,[22] as well as the Value of

[21] For example, *see* Companies' proposed revenue allocation process in their 2016 rate cases. *See* Cases 16-G-0058 and 16-G-0059, Testimony and Exhibits of Rate Design Panel (Book 16 for both KEDLI and KEDNY) pp. 23-24 (filed January 29, 2016).

[22] *See e.g.*, Cases 16-E-0060 *et al*, Order Approving Electric and Gas Rate Plans pp. 44-45 (issued January 25, 2017) (noting "there can be reasonable disagreement over the preferred methods for

Distributed Energy Resources Working Group Regarding Rate Design (Matter 17-01277).

Q. Do utilities in New York consistently use the same approach to classify costs within the various FERC accounts that are set forth in ECOS studies?

A. No. New York utilities use a wide variety of different methods to classify and allocate costs. While not specifically gas related, the March 6, 2018 presentation by the Joint Utilities (including National Grid) entitled "VDER Rate Design Working Group Joint Utilities Presentations: ECOS Analysis," filed in Matter 17-01277 provides some useful insight into this diversity. While the Joint Utilities' March 6th presentation is useful, it does not provide much detail explaining how each utility determined its cost of service methodologies. In some cases, the ECOS methodology (including the allocators) may have been adopted in response to intervenor testimony, or to comply with a negotiated memorandum of understanding,[23] stipulation agreement,[24] or past joint proposal. The presentation

undertaking, and the assumptions underlying an ECOS study."). See also, Cases 18-E-0067 *et al*, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans p. 77 (issued March 14, 2019) (noting that two parties took issue with the utility's ECOS study methodology).

[23] *See e.g.,* Cases 16-E-0060 *et al*., Exhibit 9 of UIU Electric Rate Panel on the Joint Proposal (October 13, 2016). This discovery response provided information regarding a collaborative process "to resolve issues associated with the methodologies to be utilized by Con Edison in developing…" ECOS studies. In 2006, eight parties signed an MOU to support, or not oppose, the Company's use of two inputs in future ECOS methodologies.

[24] *See e.g*., Case 10-E-0050 (Niagara Mohawk) Exhibit 393. Several parties negotiated an agreement called the Rate Design, Customer and Market Issues Stipulation (2010 RDCM Stipulation or Stipulation). A 2017 discovery response provided a copy of the 2010 stipulation. *See* Case 17-E-0238 *et al*., Exhibit____(URP-1) (filed August 25, 2017) pp. 1-9. (The Stipulation was "intended to amicably resolve certain matters" to reduce the issues in conflict at the litigated evidentiary hearing and the terms were submitted as an "integrated whole" (p. 7), meaning the parties adopted the Stipulation in total and could not selectively adopt some sections. The Stipulation covered a variety of controversial issues,

does confirm a lack of uniformity in utility ECOS methodology and results. It appears ECOS methodologies (particularly as they relate to the concept or quantification of "customer-related" costs) have raised concerns among many of the non-utility parties in the VDER Rate Design Working Group in Matter 17-01277. To my knowledge, a similar comparison for gas utilities has not been developed in any recent generic proceedings. However, I provide my own review of some gas utility ECOS methodologies below.

Q. Why does it matter what judgments and datasets are used in a utility cost of service study?

A. These judgments and datasets can impact the final RORs for individual service classifications. Even though these RORs are the result of controversial judgments, they largely determine whether classes are deemed to be under-earning or over-earning during the revenue allocation process. In turn, this determines how large a rate increase will be assigned to each of the service classifications.

Q. Should the Companies' preferred ECOS results be used as the sole basis to allocate the revenue requirement for each utility across service classifications?

A. No. Based on my experience reviewing ECOS models and revenue allocation proposals in various New York utility rate cases over the past few years, I believe it is appropriate to start incorporating several ECOS models as a guide to allocate costs. This provides more insight into the impact of key judgments, it will help the

such as: (1) cost of service, (2) revenue allocation, (3) authorized deferrals, (4) additional flex rates, and (5) hourly pricing).

Commission make better, more informed decisions based on the results, and it will ameliorate, to some degree, the controversy that surrounds judgments concerning the appropriate definition and interpretation of so-called "customer-related" costs.

Q. Have the Companies previously agreed to file the results of using more than one ECOS model?

A. Yes. The Joint Proposal submitted in the KEDLI and KEDNY rate cases 16-G-0058 and 16-G-0059 on September 7, 2016, included a commitment to file certain ECOS studies in these proceedings. Page 131 of that Joint Proposal states:

> **In their next base rate cases, the Companies will each submit an embedded cost of service study in which the costs of mains will be classified 100 percent as demand related.** This requirement does not require the Companies to support using the results of this study for any purpose. Nor will it prohibit or prejudice the Companies in any way from presenting other embedded cost of service studies or making other revenue/costs allocation or rate design proposal in any future base rate case. (emphasis added)

The commitment regarding KEDNY and KEDLI's future gas ECOS studies was approved by the Commission in the "Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans" issued and effective December 16, 2016. The Companies filed the 100% demand studies in these cases[25] but they chose not to use the results.

[25] For more information regarding the Companies' filed ECOS models applying a 100% demand input for the cost of distribution mains, see the following exhibits and supporting workpapers. *See* KEDNY and KEDLI Exhibit___(RDP-12).

Q. Is this agreement unique?

A. No. Similar agreements can be found in the joint proposals for several utilities including (1) Orange and Rockland and (2) NYSEG and RG&E. The Orange and Rockland Joint Proposal requires the utility to file a few different electric and gas ECOS studies in the Company's next rate cases, including an ECOS study that classifies certain distribution accounts as 100% demand-related.[26] This provision was approved by the Commission in the "Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans" issued and effective March 14, 2019. The Joint Proposal filed in the NYSEG and RG&E electric rate cases 15-E-0285 *et al*. on February 19, 2016, also requires the Companies to file a few different electric ECOS studies in their next rate cases.[27] The Joint Proposal was approved by the Commission in the "Order Approving Electric and Gas Rate Plans in Accord with Joint Proposal" issued and effective June 15, 2016.[28] NYSEG and RG&E filed electric ECOS results consistent with this provision in case 19-E-0378 *et al*. on May 20, 2019.

An example of where a New York utility filed multiple types of ECOS studies in its rate cases can be found in Central Hudson's 2017 electric and gas rate cases 17-E-0459 and 17-G-0460. Central Hudson presented three different ECOS studies: 1) historical, 2) historical delivery only, and 3) pro-forma (forecasted) for

[26] *See e.g*., Case 18-E-0067 *et al*., Order Adopting Joint Proposal, Attachment A November 9, 2018 Joint Proposal (issued March 14, 2019) (gas ECOS study discussed on pp. 43-44).

[27] *See* 15-E-0283 *et al*., Joint Proposal at Appendix W (filed February 19, 2016).

[28] *See* 15-E-0283 *et al*., Order Approving Electric and Gas Rate Plans in Accord With Joint Proposal (issued June 15, 2016).

both gas and electric services.[29] For several service classifications, the study results, or the individual class ROR used to determine revenue allocation, differed significantly depending on which type of study was used (*i.e*., historical or pro-forma). For example, in one ECOS study a service classification was over-earning while in another study that same service classification was under-earning.[30] This disparity of results revealed cost causation was not easily and explicitly identified and assigned to individual service classifications. In recognition of the varying ROR results for most service classes among the ECOS models, Central Hudson recommended that most service classifications receive the same overall system average percentage rate increase.[31]

Q. Have any New York utilities made it difficult to learn the impact of classifying certain distribution costs as 100% demand-related rather than classifying some of these costs as customer-related?

A. Yes. An example can be found in a utility's previous rate cases (18-E-0067 and 18-G-0068). The "Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans" filed on October 16, 2015 approved the Joint Proposal, which modified the gas ECOS study in that case to classify distribution

[29] *See* Cases 17-E-0459 and 17-G-0459, Direct Testimony of the Central Hudson Cost of Service Panel pp. 20-22 (filed on July 28, 2017) (discussing results of its filed electric and gas ECOS studies).

[30] *See* Cases 17-E-0459 and 17-G-0460, Forecasting and Rates Panel Exhibit___(FRP-11) Schedule A: Electric Interclass Revenue Allocation (filed on July 28, 2017) (illustrating the Company's revenue allocation proposal).

[31] *See* Cases 17-E-0459 and 17-G-0460, Direct Testimony of the Forecasting and Rates Panel p. 43 (filed July 28, 2017).

gas mains as 100% demand-related and 0% customer-related.[32] Yet, in a subsequent rate case discovery process, the utility refused to provide gas ECOS results based on this classification approach.[33] To ensure that all parties have access to a variety of ECOS models, it is important a 100% demand-related ECOS study is included in a utility's filed rate case. Regardless of the preferences of the utility, it is useful to have the results of more than one approach to cost allocations, and it is reasonable to require the utility to provide these results for consideration by intervenors and the Commission, even if the utility disagrees with the methodology.

Q. Are there other cases in New York where the Department of Public Service (DPS) Staff or the utility proposed treating distribution gas mains as 100% demand-related?

A. Yes. For example, in cases 19-G-0379 (NYSEG) and 19-G-0381 (RG&E), these New York utilities proposed to classify distribution gas mains in FERC account 376 as 100% demand-related.[34] In cases 15-G-0284 (NYSEG) and 15-G-0286

[32] *See* Cases 14-E-0493 and 14-G-0494, Order Adopting Terms of Joint Proposal and Establishing Electric Rate Plan Attachment A Joint Proposal p. 45 (issued October 16, 2015).

[33] *See* Cases 18-E-0067 and 18-G-0068, Exhibit___(DP-1) at p. 1 (filed May 25, 2018). The Company response to UIU-2 IR No. 32 stated, "In Case 14-G-0494, the Company's filed ECOS study employed a minimum system methodology to classify distribution gas mains as having both a demand component and a customer component. The Company later agreed to a 100% demand related classification of distribution gas mains as part of the Joint Proposal, which was adopted by the Commission in its Order Adopting Terms of Joint Proposal, issued October 16, 2015, in Case 14-G-0494. The Company, however, does not agree with this methodology and is under no obligation to perform an ECOS study employing this methodology. Accordingly, the Company employed a minimum system methodology in classifying distribution gas mains in the ECOS study it filed in this proceeding. The Company objects to performing an ECOS study classifying distribution gas mains as 100% demand related."

[34] *See* Cases 19-G-0379 and 19-G-0381, Direct Testimony of David A. Heintz p. 27 (filed May 20, 2019).

(RG&E), both of these New York utilities proposed to classify distribution gas mains in FERC account 376 as 100% demand-related.[35] In those 2015 gas cases, DPS Staff did not appear to object to NYSEG and RG&E's ECOS studies which classified distribution gas mains as 100% demand-related.[36] Similarly, NYSEG and RG&E classified 100% of distribution gas mains as demand-related in several earlier gas proceedings, including cases 09-G-0716, 09-G-0718, and 01-G-1668.[37] In KEDNY and KEDLI rate cases 06-G-1185 and 06-G-1186, DPS Staff advocated to allocate distribution gas mains costs as 100% demand-related.[38]

Q. Are there other New York proceedings where similar cost of service issues are being discussed?

A. Yes, cost allocation issues are being discussed by the VDER Rate Design Working Group in Matter 17-01277. Multiple parties have asked questions regarding the electric cost of service models used by the various New York electric utilities, with a focus on how these models impact mass market customers. In the first half of 2018, some parties submitted IRs on this topic, including UIU. However, the responses UIU received provided very limited answers to its questions.[39] At this time, it is not clear how discussions in the working group will impact future cost of

[35] *See* Cases 15-G-0284 and 15-G-0286, Direct Testimony of David A. Heintz p. 27 (filed May 20, 2015).

[36] *See* Cases 15-G-0284 and 15-G-0286, Staff Gas Sales and Revenue Panel p. 48 (filed September 2015).

[37] *See* Cases 09-G-0716 and 09-G-0718, NYSEG and RG&E Direct Testimony of the Embedded Cost of Service Panel p. 11 and pp. 35-36 (filed September 17, 2009).

[38] *See* Cases 06-G-1185 and 06-G-1186, Direct Testimony of Aric J. Rider (filed January 2007) (p. 15).

[39] *See e.g.*, Matter 17-01277, Niagara Mohawk, Responses to UIU-1 to UIU-8 (filed March 29, 2018).

service models, revenue allocation, and rate design. For now, the most appropriate forum to discuss cost of service-related issues continues to be utility rate cases.

Q. Has the minimum system approach been universally accepted by either utilities or regulators?

A. No. This approach is not universally used, and where it has been used it has often been very controversial. Even when it has been used, it has not necessarily been fully relied upon (see for example, the KEDNY and KEDLI 2016 rate cases previously discussed in this testimony, in which the final revenue allocation was not entirely driven by the ECOS results).

Q. Has the Companies' consultant, Mr. Gorman, been consistent in always proposing to classify distribution mains as partly customer-related?

A. No. I am aware of some Pennsylvania gas utility proceedings in which Mr. Gorman allocated none of the distribution main costs as customer-related; instead these costs were classified as demand-related and the costs were allocated using the average and excess method.[40]

Q. Do you have comments regarding the Companies' choice to use pro-forma ECOS studies, instead of historical ECOS studies, or both?

[40] *See* Case 17-E-0238 *et al*., UIU Rate Panel Exhibit 1 pp. 32-33 (IR No. UIU-6 KOH-109) (filed August 25, 2017).

A. Yes. The Companies prepared historic ECOS studies in response to DPS IR No. 504 (which were not filed as part of the Companies' initial testimony). In Exhibit___(DP-2) (Companies response to UIU IR No. 20 part C), the Companies noted there were no major differences among the historical and pro-forma studies. Additionally, the Companies noted the revenue allocation would not change for KEDLI SCs and would only slightly change for KEDNY SC 3 (moving closer to the average ROR). I have not incorporated the historical ECOS models into my proposed revenue allocation process in these cases since the results are largely redundant; while there are some small differences, there are no extreme differences, so I see no reason to introduce the added complexity of working with both historical and pro-forma ROR results.

B. ***Recommendations***

Q. What do you recommend with respect to using ECOS results for revenue allocation purposes in these cases?

A. I recommend using both the results of the pro-forma gas ECOS studies which classify distribution main costs as 100% demand-related and the results of the ECOS studies proposed by the Companies, which use the minimum system approach. While I do not necessarily agree with the ECOS model that classifies distribution main costs as partly customer-related, I recognize the Companies appear to prefer this approach. The Commission has sometimes accepted ECOS results using a minimum system approach, just as it has sometimes accepted results in which distribution mains were classified as 100% demand-related. In the

context of this case, I think it is a reasonable compromise to use both models. This provides an overall range of possible outcomes consistent with the range of methodologies approved by the Commission or otherwise utilized in other rate cases for revenue allocation purposes.

Q. What do you recommend with respect to ECOS models for revenue allocation purposes in future cases?

A. First, I recommend the Companies provide the results of multiple gas ECOS studies for use as a guide to allocate costs to individual service classifications, including (1) pro-forma ECOS studies with distribution accounts classified as 100 percent demand-related, (2) pro-forma ECOS studies with distribution account classified as partly customer-related as well as demand-related, and (3) historical ECOS studies corresponding to (1) and (2) if the results are far different from the pro-forma results. This is consistent with the approach that has been accepted by some other New York utilities in their rate cases, and/or language that was included in Joint Proposals that have recently been approved by the Commission.

Furthermore, to help parties understand the results of the various ECOS models and the potential impact on rates, the Companies should invite all parties in the next rate cases to attend a meeting where the parties and their experts can review the detailed data set forth in its cost of service studies, the proposed revenue allocation process, and the proposed rate design. This meeting should be scheduled at least two months prior to the intervenor testimony deadline. The presentation should mirror the requirements approved by the Commission in the

recent Orange and Rockland and prior Con Edison Rate Plans[41] – in addition to other details that might be deemed necessary in this context.

Q. Do you have any concerns with the use of ECOS studies to allocate costs to TC and IT customers?

A. Yes. I have concerns regarding the Companies' proposal to use ECOS results to determine the revenues allocated to TC and IT customers. I note that some utilities do not use an ECOS study to design their interruptible rates.[42] Further, excluding these customers from the ECOS study gives the Companies more freedom to design IT/TC rates. However, if the Companies' proposed approach to cost-based IT/TC customer rates is accepted and these classes continue to be a part of ECOS studies, then TC/IT classes should be subject to the same boundary and rules applied to other SCs.

[41] *See e.g.,* Case 18-E-0067 *et al*., Joint Proposal (Orange and Rockland) p. 44 (filed November 9, 2018), ("Following its next gas rate filing, the Company [Orange and Rockland] will conduct, for interested parties, a walk-through of the ECOS study and rate design underlying the proposed gas base delivery rates. Additionally, the Company will provide and review at the walk through, an explanation of the differences in the ECOS studies filed pursuant to this Proposal, a more detailed explanation of the purpose of each file and cross-references of the underlying data sources, a table of acronyms used, a table of contents, and an index of files."). This provision has been approved by the Commission in the "Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans" issued and effective March 14, 2019. *See also* Case 15-E-0050 *et al*., (Con Edison) Order Adopting Terms of Joint Proposal to Extend Electric Rate Plan at Appendix A p. 20 (filed June 19, 2015) (noting that "The 2013 Joint Proposal also provided that for the Company's [Con Edison] next electric rate filing, the Company will . . . (ii) conduct, for interested parties, a post-filing walk-through of the ECOS study and rate design underlying the proposed electric base delivery rates; and (iii) provide a more detailed explanation of supporting ECOS and rate design work paper documentation, which will include a process flow chart(including a basic explanation of the purpose of each file and cross-references of the underlying data sources), a table of acronyms used, a table of contents and index of files . . . all are applicable to the Company's next electric rate filing.").

[42] *See supra* p. 7, note 3. *See also*, Case 16-G-0061, Direct Testimony of Gas Rates Panel pp. 7-8 (filed January 29, 2016).

IV. REVENUE ALLOCATION

A. *Background*

Q. Can you briefly explain the revenue allocation process in a typical utility rate case?

A. Yes. The results of one or more ECOS studies guide decisions regarding how proposed rate changes should be allocated across various service classifications. The specific process can vary, but ECOS results are generally examined to see whether certain classes have been identified as having a high ROR (paying more than the costs they have been allocated – sometimes referred to as "overearning"). If a high ROR is identified, an effort is typically made to assign a somewhat smaller share of the rate increase or revenue requirement to that service classification, thereby moving in the direction of greater uniformity in the service classification RORs. Similarly, if certain classes are identified as having a low ROR (paying less than the costs that have been allocated to them, which is sometimes described as "underearning"), a somewhat greater than average share of the rate increase or revenue burden may be assigned to that class during the revenue allocation step.

In carrying out the revenue allocation process, tolerance bands are often used around the system average ROR to decide whether the service classification ROR deviates far enough from the average ROR to merit special treatment. The width of the tolerance band (*e.g.*, +-10%, 20%, 30%, etc.) can vary widely, but the effect is generally the same – to ameliorate disputes concerning the ECOS results,

since service classifications that fall within the tolerance band generally receive the same percentage change.[43]

An analyst must exercise judgment when determining the size of the tolerance band, and this is sometimes a topic of dispute. The tolerance band can be important because it helps determine which service classifications will receive revenue changes that are less than, or more than, the other service classifications. Finally, some restrictions are typically imposed on how much any service classification will deviate from the average (*e.g.*, no class is given a decrease, no class is given more than 150% of the average increase).

The typical process just described is not the only method that has been used in New York. Over the years in various proceedings, the Commission has sometimes approved other revenue allocation methods. For example, in the last KEDNY and KEDLI gas rate cases (16-G-0058 and 16-G-0059) the Commission approved system average increases for most of the Companies' service classifications without regard for the ECOS results. In those cases, the Commission stated in the Order Adopting Terms of the Joint Proposal and Establishing Gas Rate Plans on December 16, 2016:

> Pursuant to JP Sections IV.3.2 and V.3.2, the revenue increases in each of the rate years would be allocated to all firm service classes [service classifications] on an equal percentage basis to current delivery revenues,

[43] I note that note that Con Edison and Orange and Rockland's revenue allocation process is unique from other New York utilities since these utilities have in past testimony proposed to apply 1/3 of the adjusted surplus and deficient costs "in a revenue neutral manner prior to applying the revenue increases." *See e.g.*, Case 19-G-0061, Direct Testimony of Gas Rates Panel pp. 33-34 (filed January 29, 2019). *See also*, Case 18-G-0068, Gas Rates Panel pp. 23-24 (January 26, 2018).

> with limited exceptions…. Revenue increases for Rate Years 2 and 3 will be similarly allocated. (p. 35).
>
> And:
>
> We agree that given the sizeable revenue increases for KEDNY and KEDLI, the equal percentage allocation of the revenue increases to all firm service classifications would be appropriate to minimize rate shock to the extent practicable. (p. 38).

Q. Please explain how the Companies propose to distribute the 20.3% increase for KEDNY over pro-forma base delivery revenues, and the smaller revenue increase for KEDLI (7.8% increase over pro-forma base delivery revenues) among the various customer service classifications?

A. The Companies started with the results of its chosen pro-forma gas ECOS Study (which classifies distribution mains as partly customer-related using a minimum system methodology[44]), using the following steps: (1) applying a +-25% tolerance band around the system average ROR (service classifications above or below the +-25% tolerance band were considered surplus or deficient, respectively); (2) assigning revenue changes based on the tolerance band results (generally, classes within the tolerance band receive an average increase, classes over the band receive smaller increases or a decrease, and classes under the tolerance band receive larger increases).[45] The tables below, from the Companies technical

[44] The resulting classification of distribution costs from the minimum system is 47.08%/52.92% customer/demand-related (KEDNY) and 46.17%/53.83% (KEDLI) customer/demand-related.

[45] *See* Cases 19-G-0309 and 19-G-0310, KEDNY and KEDLI Direct Testimony of the Rate Design Panel pp. 26-27 (filed April 30, 2019).

conference presentation on May 30, 2019, display the Companies' initial proposed revenue allocation for each utility.

Table 3. KEDNY's Proposed ECOS and Revenue Allocation Results

Results of ECOSS and Revenue Allocation
KEDNY – Exhibit RDP-4, Schedule 1

KEDNY	RR at Current Rates	Current Base Delivery $M	Base Delivery Increase $M	Base Delivery % Increase
System Average	3.45%	$1,169	$237	20.3%
SC1A (Res NonHeat)	(1.5%)	$164	$46	28.2%
SC1B (Res Heat)	3.6%	$643	$128	19.9%
SC1DG (Res DG)	(7.2%)	<$0.1	<$0.1	28.2%
SC2-1 (Comm NonHeat)	20.6%	$61	$3	5.0%
SC2-2 (Comm Heat)	4.1%	$101	$20	19.9%
SC3 (Multi Fam)	1.3%	$134	$38	28.2%
SC4A (HLF)	11.1%	$13	$0.7	5.0%
SC4A (CNG-NGV)	16.6%	$1.5	<$0.1	5.0%
SC4B (Year-round AC)	19.3%	$1.2	<$0.1	5.0%
SC6 (TC-IT)	31.7%	$49	$1.0	2.0%
SC7 (Seasonal)	(10.6%)	<$0.1	<$0.1	28.2%
SC 21 (DG)	(15.8%)	$0.7	$0.2	28.2%
Note- Information reflects roll-in of Tax Credit and ETIP Surcharge				
WITHIN Band		*OVER Band*		*UNDER Band*

Table 4. KEDLI's Proposed ECOS and Revenue Allocation Results

Results of ECOSS and Revenue Allocation
KEDLI – Exhibit RDP-4, Schedule 1

KEDLI	RR at Current Rates	Current Base Delivery $M	Base Delivery Increase $M	Base Delivery % Increase
System Average	5.72%	$746	$58	7.8%
SC1A (Res NonHeat)	(0.5%)	$39	$6	15.6%
SC1B (Res Heat)	4.8%	$462	$37	8.0%
SC1DG (Res DG)	(4.0%)	<$0.1	<$0.1	15.6%
SC2A (Comm NonHeat)	23.5%	$52	$3	4.9%
SC2B (Comm Heat)	6.7%	$153	$12	7.6%
SC3A (Multi Fam Non)	13.1%	$1	<$0.1	4.9%
SC3B (Multi Fam Heat)	6.6%	$21	$1.6	7.6%
SC9 (NGV)	62.3%	$4	($1.4)	(36.0%)
SC4-7-12-13 (TC-IT)	40.7%	$3	$0.1	4.9%
SC15 (HLF)	25.2%	$4	$0.2	4.9%
SC 16 (Year Round)	6.6%	$8	$0.6	7.6%
Note- Information reflects roll-in of Tax Credit and ETIP Surcharge				
WITHIN Band		*OVER Band*		*UNDER Band*

B. ***Recommendations***

Q. What is your response to the Companies' revenue allocation proposals?

A. The Companies' proposed revenue allocation gives too much weight to the Companies' ECOS results based on the minimum system approach (exclusively focusing on these RORs to determine if individual classes are underearning/overearning). Also, some of the proposed changes in delivery rates are too extreme. For instance, KEDLI is proposing a revenue decrease of 36% for SC9 NGV and an increase of 15.6% (two times the system average of 7.8% equating to 15.6%) for SC 1A residential non-heat and SC 1DG residential Distributed Generation, as shown in the base delivery increase in the table above.

I recommend the revenue allocation process consider the output, or results, of both of the Companies' filed pro-forma ECOS studies (including the study that allocates distribution main as 100% demand-related).[46] While I do not necessarily agree with the minimum system method, I don't object to giving it some consideration in these proceedings, since the combination of both ECOS models provides a range of possible outcomes consistent with approaches that have been approved by the Commission or utilized by other New York utilities for revenue allocation purposes in prior rate cases. Furthermore, I propose that boundaries be placed around the amount of base delivery rate change applied to each rate class in order to avoid placing an excessive burden on any class, and to ensure that all

[46] To see which classes are under/over earning according to the two filed ECOS models in each case, I utilized the Companies' Exhibit___(RDP-4) and Exhibit___(RDP-12) (ECOS 100% demand study) workpapers.

the service classes help share some of the burden of the rate increase. For example, a potential boundary structure might include the following guidelines: no SC should receive a revenue change more or less than 25% to 50% of the overall increase and no SC should receive a revenue decrease.

For purposes of providing a complete illustrative example of a revenue allocation proposal for both KEDNY and KEDLI, I incorporated the Companies' proposed tolerance band of +/- 25% around the system average ROR. In other words, every SC with a calculated ROR falling within the tolerance band would be treated the same as every other SC that also falls within the tolerance band. Each of these rate classes should receive the same percentage increase – a percentage factor that is fairly close to the overall system average delivery revenue increase relative to present rates. If the two ECOS studies yield contradictory conclusions (*e.g.*, one study shows a class as earning below the tolerance band and the other shows it as earning above the tolerance band), the conflict should be resolved by treating the class the same as one that falls within the tolerance band.

To help explain and clarify these recommendations, I prepared an illustrative analysis, based upon the Companies' proposed revenue requirements initially filed in these cases. Exhibit___(DP-1) shows the effects of applying boundaries of 0.75 and 1.25 (KEDNY) and 0.5 and 1.5 (KEDLI) times the system average percentage increase to the revenue allocation process in these rate cases. However, I recognize that somewhat different boundaries might be appropriate if the approved revenue increases are significantly different from the

amounts requested by the Companies in their initial testimony. Thus, I recommend the Commission set specific boundaries around the amount of base delivery revenue change applied to individual SCs to reflect the magnitude of the delivery revenue increase that is ultimately adopted by the Commission in these proceedings.

V. RATE DESIGN

A. *Background*

Q. How many firm gas residential accounts are in the Companies' residential Service Classes and what is the difference between residential heating and non-heating customers?

A. Residential customers are the majority of the Companies' accounts and generate 69% (KEDNY) and 67% (KEDLI) of the base delivery revenues; these customers utilize 49% (KEDNY) and 54% (KEDLI) of the system deliveries.[47] There are 1,218,969 residential accounts in the KEDNY service territory; of these accounts 594,542 are non-heating (48.8%) and 624,427 accounts are heating (51.2%). For KEDLI, there are 543,240 KEDLI residential accounts; of these accounts 93,819 are non-heating (17.3%) and 449,421 are heating (82.7%). While the tariffs include a broader description, SC 1B residential heating customers generally use natural gas for space and/or central heating equipment. SC 1A residential non-heating customers are generally customers who only use gas for purposes other

[47] See allocators set forth in Exhibit___(RDP-3), Schedule 8A for both KEDNY and KEDLI.

than space heating and/or central heating such as for gas stovetop cooking, gas dryers, and/or gas water heaters.

Q. What changes are the Companies proposing for the majority of its firm sales residential gas rates?

A. The Companies propose to increase the current residential SC 1A non-heating and SC 1B heating monthly gas customer charges, which includes the first three therms of usage, as follows:[48]

Table 5. Companies' Current and Proposed Residential Customer Charges

Residential Service Class	*Current Customer Charges*[49]	Company *Proposed Customer Charges*
KEDNY		
SC 1A non-heating	$16.25	$19.50
SC 1B heating	$21.55	$24.25
KEDLI		
SC 1A non-heating	$19.75	$22.30
SC 1B heating	$21.66	$23.00

The remaining delivery revenue increase for these classes will be collected through the volumetric portion, which consists of two block rates (Block 2 and Block 3). These two volumetric block rates are designed such that the Block 2 rates are

[48] *See* Exhibit___(RDP-4), Schedule 4 for each Company.

[49] The current customer charges in these 2019 cases were based on the Commission approval of the 2016 Joint Proposal in cases 16-G-0058 *et al*. where residential non-heating customers received an increase in each rate year (KEDNY customer charge increased from $13.74 to $14.70 (RY1), $15.54 (RY2), $16.25 (RY3)) and (KEDLI customer charge increased from $17.65 to $18.53 (RY1), $19.18 (RY2), $19.75 (RY3)). Further, in the 2016 Joint Proposal, customer charges for heating customers were held constant (KEDNY $21.55 and KEDLI $21.66).

higher rate than Block 3 tail-block rates – creating declining block rate structures. As shown in the tables below, there are no significant changes from the current and proposed ratios of tail-block rate (Block 3) to mid-block rate (Block 2). For comparison purposes, a flat rate structure would have a ratio of 100% and an inclining rate structure would have a ratio greater than 100%.

Table 6. Companies' Current and Proposed Tail-Block Rate to Mid-Block Rate Ratio

Block 3/ Block 2 Ratio	Company *Current*	Company *Proposed*
KEDNY		
SC 1A Non-heating	45%	50%
SC 1B Heating	35%	38%
KEDLI		
SC 1A Non-heating	24%	24%
SC 1B Heating	23%	22%

The Companies' choice to maintain the residential declining volumetric block rate structures was based, in part, on its conclusion that it would not be acceptable to switch from a declining block rate to an inclining block rate. Pursuant to the Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans (issued and effective December 16, 2016) in cases 16-G-0058 *et al*., the Companies were required to conduct a bill impact study. The Companies' inclining block analysis can be found in each of the Companies' Exhibit___(RDP-11) to the Rate Design Panel. The Companies' bill impact study conclusions are as follows:

> The results illustrated by the study – widely divergent percentage increases among customer groups within a class, and huge burdens on lower and/or higher usage customers – are not acceptable from ratemaking perspective. The Panel notes that if the customer charge were maintained at the

> present level, the effect for both SC 1A and SC 1B would be exacerbated. (KEDNY Rate Panel, p. 70)
>
> and
>
> Neither of the results illustrated by the study – regressive increases or a huge burden on higher usage customers – are acceptable from a ratemaking perspective. The Panel notes that if the customer charge were maintained at the present level, the effect for SC 1A would be somewhat mitigated, but the effect for SC 1B, which has almost four times the revenue and twelve times the volume of SC 1A, would be exacerbated. (KEDLI Rate Panel, p. 71)

The Companies ultimately choose to apply modest changes to the volumetric declining rates (*e.g.*, slightly change the ratio of tail-block to mid-block) in combination with increasing the customer charges. See below for the Companies' specific proposed rates and average bill impacts extracted from Exhibit___(RDP-4), Schedule 4.

Table 7. KEDNY's Current and Proposed Delivery Rates and Proposed Average Monthly Bill Increase

KEDNY *Residential Service Class*	*Delivery Rate Structure*	*Current Delivery Rates*	*Proposed Delivery Rates*	*Average Monthly Bill Increase*
SC 1A non-heating	Block 1: Customer Charge	$16.25	$19.50	$7.70 or 25.53% (delivery)
	Block 2: Per Therm Rate (4-50 therms)	$1.7273	$2.1900	$7.72 or 21.62% (total bill)
	Block 3: Per Therm Rate (Over 50 therms)	$0.7690	$1.1031	At 10 therms
SC 1B heating	Block 1: Customer Charge	$21.55	$24.25	$16.50 or 17.78% (delivery)
	Block 2: Per Therm Rate (4-50 therms)	$1.1429	$1.3200	$16.66 or 11.99% (total bill)
	Block 3: Per Therm Rate (Over 50 therms)	$0.4050	$0.5029	At 83 therms

Table 8. KEDLI's Current and Proposed Delivery Rates and Proposed Average Monthly Bill Increase

KEDLI *Residential Service Class*	*Delivery Rate Structure*	*Current Delivery Rates*	*Proposed Delivery Rates*	*Average Monthly Bill Increase*
SC 1A non-heating	Block 1: Customer Charge	$19.75	$22.30	$6.13 or 12.97% (delivery)
	Block 2: Per therm rate (4-50 therms)	$1.4354	$1.5600	$6.28 or 10.76% (total bill)
	Block 3: Per therm rate (Over 50 therms)	$0.3407	$0.3717	At 21 therms
SC 1B Heating	Block 1: Customer Charge	$21.66	$23.00	$6.53 or 6.92% (delivery)
	Block 2: Per Therm rate (4-50 therms)	$1.2839	$1.3500	$7.14 or 5.15% (total bill)
	Block 3: Per Therm rate (Over 50 therms)	$0.2938	$0.3003	At 83 therms

While each of the Companies' Rate Design Panel Exhibit___(RDP-4) shows the bill impacts for customers using 0 to 100 therms (SC 1A Non-heating) and 0 to 400 therms (SC 1B Heating) a month, these exhibits do not display the entire range of bill impacts for various customer usage levels within those service classes. I note that the exhibits do include the proposed typical bill for the average customers in those classes. However, as illustrated in Exhibit___(DP-2) UIU IR No. 11 Attachment 1, there is a wide range of residential customers in each billing usage range (this IR shows number of customers at each usage level in KEDNY and KEDLI residential SCs in July and January. Additionally, Exhibit___(DP-2) PULP IR No. 95 Attachment 1 shows the residential data broken down by heating and non-heating for both Companies. The maximum monthly usage shown in these IRs range from 25,000 to over 50,000 therms (including low income customers).

B. ***Recommendations***

Q. What is your response to the Companies' proposed increases in the customer charges and volumetric block rate changes for residential accounts?

A. The starting point for my recommended rate design is my proposed revenue allocation, which I used to assign costs to individual service classes. There are a few variables that impact rates such as: (1) revenue requirement, (2) revenue allocation, (3) customer charges, and (4) the portion of the revenues that flow through each of the volumetric rates (*e.g.*, increasing the ratio of tail-block to mid-block). This discussion is explanatory in nature, since UIU's recommendation will be dependent upon the final revenue requirement for each utility, which will influence the magnitude of any potential changes to the customer charge and volumetric rates.

Residential Non-Heating – SC 1A

The Companies' Residential Non-Heating SC 1A classes are very sensitive to any rate adjustments. I recommend moving away from the existing, steeply declining rate design. However, the movement must be gradual. A moderate change is needed to not financially overburden high usage customers (including some low-income customers). However, if the Companies' residential SC 1A class revenue responsibilities are reduced as per my revenue allocation proposals and/or if the overall revenue requirements are reduced in general, then there should be greater movement toward flat rates (especially for KEDLI since KEDLI SC 1A has a lower

tail-block to mid-block ratio than KEDNY as well as a lower tail-block rate). For the higher users (*e.g.*, customers who use greater than 500 therms per month while typical customers use 10-21 therms), the Companies should also check to make sure these customers are in fact non-heating customers, and move them to the correct class, where applicable.

Residential Heating – SC 1B

The Companies' residential SC 1B heating rates should be a designed to more effectively encourage energy efficiency improvements. As such, the SC 1B heating rates should, at a minimum, be gradually moved away from a declining volumetric rate toward a flat rate. This recommendation contrasts with the Companies' proposal to continue a declining rate structure for SC 1B with a similar tail-block rate (Block 3) to mid-block rate (Block 2) ratio, because that approach makes no movement toward encouraging greater energy efficiency. The Companies' SC 1B tail-block rates are lower than the Companies' SC 1A tail-block rates, but in both cases careful consideration must be made on how far the tail-block rates can be increased before unacceptably severe bill impacts affect the high users in these classes. As such, the magnitude of my proposed change will be dependent upon the final revenue requirements.

Residential Bill Impacts

I recommend the residential bill impact results for KEDNY and KEDLI include additional information to account for customers at a wider range of usage levels.

Residential bill impact results for both KEDNY and KEDLI (*e.g.*, Exhibit___(RDP-4)) should be evaluated for the entire range of usage levels of those classes (*e.g.*, usage up to 50,000 therms) and include the percentage of customers (including low income customers) within each usage level so parties can understand the range of bill impacts for those entire SCs. This is particularly helpful analysis for the parties consider how the rate design deviates from the Companies' rate proposals.

Q. Do you have any other comments related to the Companies' proposed rate design?

A. Yes. I recommend the Companies' continue[50] to provide an increased level of targeted assistance to residential customers with the highest monthly gas usage (including low income customers) to ensure they understand how they can reduce their usage. To achieve the State's goals for energy efficiency, these customers need to understand the options they have for weatherization of their home or business, replacing an older furnace with a newer, more efficient one, installing programmable thermostats, and other actions they can take to reduce their monthly utility bill.

[50] *See* Exhibit___(DP-2) (Company response to UIU IR No. 44) (stating "(t)he Companies target high usage gas residential customers through the Gas Residential Engagement program where Home Energy Reports (HERS) are sent to customers and identify their high usage (compared to similar households or their own normal usage.").

Q. Does this conclude your direct testimony, which was prefiled with the Commission on August 30, 2019?

A. Yes.

MS. O'HARE: Thank you, your Honors.

BY MS. O'HARE: (Cont'g.)

Q. Ms. Panko, also before you are two exhibits filed with your pre-filed direct testimony. Exhibit D.P. 1 has been marked for identification as Exhibit 562 and Exhibit D.P. 2 has been marked for identification as Exhibit 563; correct?

A. Yes.

Q. To clarify for the record, a corrected version of these exhibits was filed on D.M.M. on January 30th, 2020?

A. Yes, that's correct.

Q. Were these exhibits prepared by you or for you?

A. Yes. By me, yes.

Q. Do you affirm that the information contained in this exhibit is true and correct to the best of your knowledge?

A. Yes.

Q. Thank you.

MS. O'HARE: As I understand, these exhibits will be entered into the record at another time.

A.L.J. COSTELLO: That's correct.

MS. O'HARE: Thank you. Now I'm going to proceed to introduce the exhibits that I've emailed around to parties, previously.

BY MS. O'HARE: (Cont'g.)

Q. Ms. Panko, I will be discussing three exhibits. First, Ms. Panko, also before you are three documents that are either cited to or referred to in your direct testimony. Are you requesting these documents into the record today?

A. Yes.

Q. The first document entitled Gas Distribution Rate Design Manual was prepared by the National Association of Regulatory Utility Commissioners, NARUC, Staff subcommittee on gas. It is dated June 1989 and consists of 118 pages in the P.D.F. version. Is that correct?

A. Yes.

Q. Did you cite to this in your direct testimony on page 16, footnote 20?

A. Yes.

Q. Thank you.

MS. O'HARE: So I'd request that an exhibit number be added for this document.

A.L.J. COSTELLO: That will be exhibit number 630 for identification.

A.L.J. LEARY: Did you bring a copy for us and -- oh, you got it. Sorry.

A.L.J. COSTELLO: We have -- yeah, I just --.

BY MS. O'HARE: (Cont'g.)

Q. The second document is from the Code of Federal Regulations Title 18 Part 201, entitled Uniform System of Accounts Prescribed for Natural Gas Companies Subject to the Provisions of the Natural Gas Act. The document is 259 pages and listed as current through February 6th, 2020.

Are you familiar in this -- with this document in that you have reviewed FERC accounts 376 and 380?

A. Yes.

MS. O'HARE: Your Honors, I request that this document be marked as an exhibit.

A.L.J. COSTELLO: Okay. That will be marked as Exhibit 631.

BY MS. O'HARE: (Cont'g.)

Q. The third document is an I.R. response provided in the 2017 Niagara Mohawk Utility

19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas Rate Case that was included into the record as an exhibit in that case. The document was cited in Ms. Panko's direct testimony in these rate cases on page 27 footnote 40.

Is that correct?

A. Yes.

Q. Thank you.

A.L.J. LEARY: Can I just, for the record, note that this is a -- an information request or response to an information request in case number -- case numbers 17-E-0238 and 17-G-0239 by Niagara Mohawk Power Corporation doing business as National Grid.

MS. O'HARE: Thank you, your Honors. At this time, I request that it be given an exhibit number.

A.L.J. COSTELLO: And we'll mark that as Exhibit 632 for identification.

MS. O'HARE: Thank you. Your Honors, Ms. Panko is now available for cross examination.

A.L.J. COSTELLO: Okay. City of New York?

MR. LOUGHNEY: Yes, your Honors. Thank you.

CROSS EXAMINATION

BY MR. LOUGHNEY:

Q. Good morning, Ms. Panko.

A. Good morning.

A.L.J. LEARY: Your name?

MR. LOUGHNEY: I'm sorry. Robert Loughney.

BY MR. LOUGHNEY: (Cont'g.)

Q. I'd like to discuss with you the -- the -- the allocation of the cost of gas distribution mains in an embedded cost of service study. You're familiar with that --

A. Yes.

Q. -- exercise; correct?

A.L.J. LEARY: I need you to speak closer into the microphone.

BY MR. LOUGHNEY: (Cont'g.)

Q. You're familiar with that exercise; correct?

A. That's correct.

Q. And there are different ways to allocate those costs, different methodologies; correct?

A. That's correct.

Q. And your preference is that gas utilities allocate those mains based a 100% on customer class contributions to design day demands. Is that correct?

A. Yes. And I also acknowledge that there is a reasonable range of outcomes in different types of cost of service studies and methodologies that you can incorporate into your final decision making for revenue allocation purposes.

Q. Okay.

A.L.J. LEARY: Ms. Panko, please speak -- move the microphone within literally inches of your face --

THE WITNESS: Okay.

A.L.J. LEARY: -- and keep your voice up. It needs to be closer to you --

THE WITNESS: Okay.

A.L.J. LEARY: -- because I can barely hear you.

THE WITNESS: Okay.

A.L.J. LEARY: Thanks. Now I can hear you a little better. Thanks.

BY MR. LOUGHNEY: (Cont'g.)

Q. And as you just said, there's

other ways to do it. Another way to allocate those costs is to split them between customer accounts and customer class demands. Is that correct?

A. Can you repeat the question, please?

Q. Yeah. Another way to allocate those, the gas distribution mains, the costs is to split them between customer accounts and customer class demands. Is that correct? Sometimes known as the minimum distribution system.

A. It's another way to classify costs, yes.

Q. Okay. Could you turn to page 25 of your direct testimony, lines 10 through 15? And the question there is are there other cases in New York where the Department of Public Service Staff or the Utility propose treating gas distribution mains as 100% demand related. And the first two lines of the answer are yes.

For example, in cases 19-G-0379, parenthetical NYSEG, N-Y-S-E-G, and 19-G-0381, parenthetical RG&E, these utility -- New York Utilities proposed to classify distribution gas mains in FERC account 376 as 100% demand-related.

Do you see that testimony?

A. Yes, I do.

Q. Okay. Did you file testimony in those NYSEG and RG&E cases?

A. Yes.

Q. You were part of a rate panel for U.I.U.; correct?

A. That's correct.

Q. Are you aware that several parties opposed that cost allocation proposal that was made by RG&E -- NYSEG RG&E witness, Mr. Heintz?

A. Yes, I'm aware.

Q. Are you aware that D.P.S. Staff was one of the parties that opposed Mr. Heintz' proposed allocation of gas mains?

A. Yes, I'm aware in that case, yes.

Q. And in fact, in that case, which was -- the testimony from Staff was filed in September 2019, a few months ago, is it correct that Staff characterized a 100% demand allocation of distribution mains as inequitable?

A. In -- in those two cases, yes, they did. In other cases, no.

Q. Right. But this is the

19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas testimony, the most recent testimony from Staff on this issue and they did characterize that allocation methodology as inequitable; correct?

A. That's correct in those two cases, yes.

Q. And did the Staff in that -- in that testimony then advocate or testify that an alternative allocation of distribution mains should be used?

A. Can you repeat the question, please?

Q. In that NYSEG and RG&E case, in their testimony in September of 2019, did the Staff panel recommend that an alternative allocation of distribution mains should be used?

A. That, I don't recall offhand.

Q. Can I ask you, subject to check, to accept the question and answer from the Staff which is from that case, which is what alternative allocation of distribution mains does the panel recommend instead?

And the answer is the distribution mains should be allocated using a zero intercept or minimum system service study because these studies

remove or minimize the effects of required throughput on the pipe selection and cost of -- and cost of the distribution mains.

Do you accept that, subject to check?

A. Yeah, subject to check.

A.L.J. COSTELLO: Can I just interrupt for one second? We've asked in the -- in the memorandum that we sent around anything that's going to be subject to check, we want -- we want that verified under testimony. So if that needs to be done, we'll have to allow the witness to check on that. So if you have it, we'd ask you to please provide it to the witness.

And we can take a -- we can go off the record and take a break while -- while that's going on.

(Off the record, 10:53 p.m.)

(The hearing resumed, 10:55 a.m.)

THE REPORTER: On the record.

BY MR. LOUGHNEY: (Cont'g.)

Q. Okay. Ms. Panko, have you had a chance to look at the excerpt of the Staff testimony in the NYSEG and RG&E cases that was handed to you that addresses the alternative allocation of

19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas distribution mains in that case?

A. Yes, page 14, lines 14 to 21. Yes.

Q. I guess I'd refer you to page 17.

A. Page 17. Excuse me.

Q. Lines 12 through 21.

A. Twelve through 21, yes.

Q. Okay. And is it correct there that the -- to summarize, the Staff in the NYSEG and RG&E rate cases advocated that the methodology -- the 100% demand methodology not be used and, instead, the distribution mains should be allocated using a zero intercept or minimum system service study. Is that correct?

A. That's correct in these two cases, 19-G-0379 and 19-G-0381.

Q. Thank you. Are you aware that in the -- those cases, the witness to whom you cited, Mr. Heintz, filed rebuttal testimony in October of 2019, and abandoned his original position, and adopted Staff's proposal to allocate the gas distribution mains based on a combination of demand and customer allocation?

A. Yes, I'm aware he abandoned his

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position. And from my memory, that was a 50/50 split that they used for allocating costs.

Q. Correct.

A. Or at least proposed.

Q. For that case, they -- they -- they adopted Staff's proposal to allocate those costs based 50% on customer -- number of customers, 50% on class demands. Correct?

A. Right. Not based on any particular zero intercept or minimum system methodology. Correct.

Q. And the reason that Staff advocated that and the Company accepted it was -- is it correct that that -- the reason they settled on that was that their -- the company was unable to perform the minimum system study based on the information that they had?

A. From my recollection, I believe so.

Q. And as part of the Staff position in that case, do they also recommend that the Company perform such a minimum system service study when it files its next case?

A. I can't recall what specific

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study -- and maybe if I read further, but -- in here, but I believe they proposed a certain type of study. I can't recall what type.

MS. O'HARE: Does Counsel have that study?

A.L.J. LEARY: Can you please speak into the microphone?

MS. O'HARE: Apologies, your Honor. I was just asking a question if counsel has that information for the witness to review as he's asking this question.

MR. LOUGHNEY: Yes.

BY MR. LOUGHNEY: (Cont'g.)

Q. Ms. Panko, if you could turn to page 20 of the excerpt, there's a question and answer, it starts on line 1 through lines 11. And this is the D.P.S. Staff testimony in the RG&E and NYSEG rate cases that was filed in September 2019. Could you review that question and answer?

Am I correct that in lines 7 through 11, D.P.S. Staff states, additionally, we recommend that the Companies develop a method to perform a zero intercept or minimum system study or some other equitable allocation of distribution mains to be used

in their next rate cases? Is that correct?

A. Yes, that -- that is correct. That's what it says on page 20.

Q. Thank you.

A.L.J. LEARY: So just so I understand and make the record clear, the witness still does not recall; is that right, Ms. Panko, what ultimately came of this? I mean, obviously the testimony says that, but I just want to make sure that I understand your testimony. What came out of -- what was the final result of -- in this case with respect to what the Companies would develop in the next rate case?

THE WITNESS: So in case 19-G-0379 and 19-G-0381, there has not been a Commission order issued at this time.

A.L.J. LEARY: Okay. So we don't -- Mr. Loughney, I thought that was the question that you were asking, what Staff --

MR. LOUGHNEY: Your Honor, no, the purpose --.

A.L.J. LEARY: -- ultimately --.

MR. LOUGHNEY: Yeah, the purpose of the testimony was to illustrate that the testimony with regard to the NYSEG RG&E witness has been

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retracted.

A.L.J. LEARY: I see. Okay.

MR. LOUGHNEY: She was relying on that testimony in her direct testimony. And that witness and Staff have advocated for a different position in the NYSEG and RG&E cases.

A.L.J. LEARY: Ultimately?

MR. LOUGHNEY: Yes.

A.L.J. LEARY: And that's what --.

MR. LOUGHNEY: The case is -- just by way of background, I think the cases are in settlement negotiations and --

A.L.J. LEARY: That's --.

MR. LOUGHNEY: -- I don't know where it will end up. But the point is the testimony came in after Ms. Panko's testimony.

A.L.J. LEARY: I see.

BY MR. LOUGHNEY: (Cont'g.)

Q. Okay. The Staff testimony we were talking about, if you look at the cover sheet, it was fit -- it was filed in September 2019; correct?

A. Yes, September 2019. There's no date -- there's no specific --

Q. Right.

A. -- date in September.

Q. And Mr. Heintz' testimony was -- do you recall that it was filed after that in October of 2019. That sounds reasonable?

A. It sounds reasonable. I don't have the date in front of me.

Q. Now, you filed corrected testimony in these cases on January 30th, 2020; correct?

A. That's correct.

Q. You didn't make any mention of Mr. Heintz' modified position in those cases in your corrected testimony. Did you?

MS. O'HARE: Objection, outside the scope of the witness' testimony in the corrections. Her testimony states, clearly, on this page that it was something that was proposed in those rate cases. We're referring to page 25, lines 13 through 15.

MR. LOUGHNEY: Your Honor, I'd argue that it's relevant that the testimony might have been proposed in -- originally by the witness for NYSEG and RG&E, but subsequently was retracted.

A.L.J. LEARY: I -- I'm -- I'm just

not -- I'm not seeing that foundation built here. Mr. Loughney, I'm not saying you can't do it, but I think there is a couple pieces missing. What I have in front of me and the witness has in front of her is her own testimony, as well as the September 2019 testimony of the D.P.S. Staff Gas Rates Panel.

So if you want to bring in somebody else's testimony, including Mr. Heintz, feel free to do that. But I don't think that that's in front of the witness and it's certainly not in front of us. Is that -- would that help with clearing this up on the record?

MR. LOUGHNEY: I can -- I can show the witness the testimony for Mr. Heintz and the date it was filed. I think the witness has already testified --.

A.L.J. LEARY: I think that would probably be the way to go here because I don't agree that it's outside the scope, but what I'm complaining about is that the record is muddled about where I think you're trying to go.

And if you want to bring in Mr. Heintz' testimony, feel free to do that, subject to objection. But --

MS. O'HARE: Okay.

A.L.J. LEARY: -- you're going to have to -- you're going to have to spell this out a little bit better in the record.

MS. O'HARE: Your Honors, if I may just jump in for a moment just to clarify what I believe his characterization that she should have addressed this in her corrections of the testimony. I think the testimony speaks for itself.

The testimony at the time it was written is just stating that it was a proposal that the Utilities offered and it's one of the many reasons that are stated in her testimony for her positions. So I just -- I think it's an unfair characterization.

A.L.J. LEARY: Understood. And I have nothing in front of me to be able to conclude that. I am not disputing that that's the case. But I'm just saying to Mr. Loughney and I -- I'm not seeing what we need to see to get to the point where I think you want to go. So instead of characterizing Mr. Heintz' testimony, let's really see what his testimony is.

I -- I'm assuming you were objecting

to the characterization of Mr. Heintz' testimony. Or something else?

MS. O'HARE: Yes, your Honor. I just wanted to clarify for the record. I just don't think that's an accurate representation of the testimony.

A.L.J. LEARY: Okay.

BY MR. LOUGHNEY: (Cont'g.)

Q. Ms. Panko, I've showed you the copy of Mr. Heintz' testimony --.

MS. O'HARE: I'm sorry; the witness needs a few moments to review that.

MR. LOUGHNEY: I -- I only showed it to her. I'm only going to ask one question, which is the date of the testimony. Is that acceptable?

A.L.J. LEARY: I think it is.

BY MR. LOUGHNEY: (Cont'g.)

Q. Ms. Panko, I showed you Mr. Heintz' testimony. Am I correct that it was filed on October 15th, 2019?

A. That's correct.

Q. And I guess the question that I asked -- and I'm not asking you to characterize it. I'm just saying did your corrected testimony make mention of Mr. Heintz' modified position in the NYSEG

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MS. O'HARE: Again, objection, because you're not citing to exactly how Mr. Heintz characterized it in his testimony. You haven't presented the witness with the line numbers. And again, I think this is outside the scope of her testimony. She was just making technical edits to the testimony.

A.L.J. LEARY: What I'm missing, Mr. Loughney, is the modification piece. If you want to say to the witness, did you, in your testimony, outline how Mr. Heintz modified it, it's -- it lacks the foundation that is the step before that, which is to show Mr. Heintz' modification. So maybe that's -- .

MR. LOUGHNEY: Your Honor, I believe earlier she did testify that she agreed that Mr. Heintz modified his position. So I don't think I need to go over that again.

A.L.J. LEARY: Well, the -- the -- the issue for me is how did he modify his position with specificity in a document that you're -- that you should probably show the witness. And let's hear about that modification. Having the witness agree to

the date of the filing of that testimony, in my view, doesn't get us there.

I'm actually trying to be helpful in terms of protecting the record and making this somewhat meaningful for everybody in the room, Judge Costello and I included. So how did -- talk about how Mr. Heintz changed his testimony with a little bit more specificity with this witness.

MR. LOUGHNEY: Okay, your Honor.

A.L.J. COSTELLO: And there's one other thing. I don't know if this was established. Basically, was she aware that the testimony was changed? And two, does that fact make her testimony -- you know, would that change her testimony, the fact that Mr. Heintz' testimony was changed? I think those two things need to be established, as well.

MR. LOUGHNEY: Okay.

MS. O'HARE: And for the record, has the counsel stated the page number that you're referring to and the line number?

MR. LOUGHNEY: I will.

MS. O'HARE: Okay. I think the witness needs time to review that.

MR. LOUGHNEY: She's reviewing it now.

MS. O'HARE: Can you tell me what page number and line number you're talking about?

MR. LOUGHNEY: I will as soon as I get the testimony back.

A.L.J. LEARY: You do not have a copy for the witness?

MR. LOUGHNEY: I do not, your Honor. I didn't think we'd have to get this heavily into it.

A.L.J. LEARY: If you want to -- this is for everybody in the room. If you want --.

Excuse me. If you want to ask a witness about something that you have in writing, you must provide that witness and counsel with what you're going to ask about in writing.

It doesn't work to have something in front of you that's not in front of the witness and her counsel. So I'm just saying that and -- and I want everybody to make sure that if you're cross examining -- examining a witness about anything that's in writing, you got to give the witness the opportunity to take a look at it and have it in front of them at the time you're asking the questions.

BY MR. LOUGHNEY: (Cont'g.)

Q. Ms. Panko, do you have in front

of you, Mr. Heintz' testimony from the NYSEG RG&E cases?

MS. O'HARE: I'm sorry. Before you proceed, can I just have a few minutes? I'm trying to pull it up on D.M.M. so I have a copy, as well. Can I just have a few minutes, just so that I am on the same page before you proceed?

A.L.J. COSTELLO: Certainly.

A.L.J. LEARY: I'm only going to say yes if you speak into the microphone, so I can hear you.

MS. O'HARE: Okay. I appreciate that, your Honor.

A.L.J. LEARY: Let's go off the record.

(Off the record, 11:10 a.m.)

(The hearing resumed, 11:25 a.m.)

BY MR. LOUGHNEY: (Cont'g.)

Q. Ms. Panko, have you had a chance to review Mr. Heintz' October 15th, 2019 testimony in the NYSEG and RG&E gas cases?

MS. O'HARE: Objection. She's only had a few moments. So please direct to the page number that you asked her to review for the --.

A.L.J. COSTELLO: Well let -- let her answer the question because if she had the opportunity to review it, then she's had the opportunity to review it.

MS. O'HARE: The testimony is over 25 pages and she's only had a few moments.

A.L.J. COSTELLO: Are you referring to -- to all of the testimony, the 25 pages of the testimony, Mr. Loughney?

MR. LOUGHNEY: No, your Honor. I -- when I talked to Ms. Panko, I asked her to look at page 16, lines 15 through 22 of the Heintz testimony.

A.L.J. COSTELLO: Have you been able to look at that page 16, lines 15 through 22?

THE WITNESS: I'm starting on 15. Just give me one more second for me to --.

A.L.J. COSTELLO: Sure.

A.L.J. LEARY: Off the record.

(Off the record, 11:13 a.m.)

(The hearing resumed, 11:15 a.m.)

BY MR. LOUGHNEY: (Cont'g.)

Q. Ms. Panko, could you look at page 16 of Mr. Heintz' testimony in the RG&E and NYSEG gas rate cases, lines 1 through 7?

A. Yes.

Q. Do you have that?

A. Yes, I have that in front of me.

Q. Am I correct that the question is why are the Companies changing their position in classifying gas distribution mains from 100% demand to 50% demand and 50% customer for the eco studies?

Answer, the Companies recognize that the use of a 50/50 demand customer allocation differs from the approach supported by the Companies in previous rate proceedings. In these current rate -- in these current cases, the Companies reevaluated moving to a 50/50 approach and now support the 50/50 allocation for the reasons I discuss later in my testimony.

Do you see that?

A. Yes.

Q. So you agree that the company -- in his rebuttal testimony, Mr. Heintz moved from an all -- an allocation of 100% demand to an allocation of 50% customer and 50% demand; correct?

A. Yes, I -- I agree that they have moved, but it's not based on a minimum system or zero intercept outcome.

Q. Okay.

MS. O'HARE: Your Honors, apologies for the interruption. I just want to clarify the record because the copy that I'm looking at, and I pulled it from D.M.M., has different line numbers. So I just want to make sure it's going to be clear in the record.

A.L.J. LEARY: I want to make sure we have, in the record, the appropriate case number. Would you read the case number again, Mr. Loughney, in which this testimony was filed, and the name of the person filing it, as well as the date?

MR. LOUGHNEY: This -- the gas case is 19-G-0381, but there's a series of cases that's 19-E.

A.L.J. LEARY: I don't need a series of cases. I just need the case in which this testimony appears in D.M.M. to have been filed. Do you know which case of the series of cases that this testimony was filed? And I've looked at two cases now, 78 and 79, and it's to there on my D.M.M. version, which is an internal version. So what -- what case was it filed in, if it was -- all case is fine, only one case.

MR. LOUGHNEY: 19-G-0381.

A.L.J. LEARY: Thank you.

Is that helpful, U.I.U., to put on -- to put that on the record?

MS. O'HARE: Yeah, and I'll just have to go back and check. I think I pulled the corrected testimony of the witness and maybe that's the difference in the line numbers. I just wanted to be clear, but he read in the exact words into the record. So if the line numbers are different in the corrected testimony, I think it will be okay.

A.L.J. LEARY: Okay. Thanks.

Mr. Loughney?

MR. LOUGHNEY: Thank you.

BY MR. LOUGHNEY: (Cont'g.)

A. Ms. Panko, I'm going to move on to another issue. In your testimony on page 25, you cite to a situation with Orange and Rockland Utilities and say that they refused to provide gas ECOS studies that utilized a 100% demand allocation. Is that correct?

A. Can you point me to the line?

Q. Page 25 of your testimony.

A. Line?

Q. Lines one through three.

A. That's correct.

Q. And that's a case from 2018, electric and gas rate case involving Orange and Rockland Utilities; correct?

A. Correct.

Q. And in footnote 33, on that page, which is tied to line 3 of your testimony, you include O&R's objection to providing 100% demand allocation study, which can be summarized by the phrase the Company does not agree with this methodology. Do you see that in the footnote?

A. You're looking at footnote 44; correct?

Q. Footnote 33.

A. Thirty-three. Can you repeat the question, please?

Q. Referring to footnote 33 on your -- page 25 of your testimony, is it correct that the Company states that it does not agree with the methodology of allocating 100% allocating gas distribution mains based on a 100% demand allocation, is that correct?

A. That's what the footnote states.

Q. Is it -- you included this

footnote, yourself; didn't you? This is your testimony.

A. Yes.

Q. Thank you. Did U.I.U. sign on to the joint proposal in the O&R rate case?

A. I --.

A.L.J. LEARY: Please be specific about the case number for the, quote, O&R rate case.

BY MR. LOUGHNEY: (Cont'g.)

Q. Cases 18-E-0067 and 18-G-0068, referencing those cases, Ms. Panko, did the U.I.U. sign on to the joint proposal in that O&R gas case if you know?

A. I don't recall offhand.

Q. Okay.

MR. LOUGHNEY: I have no further questions, your Honor.

A.L.J. LEARY: Thank you.

A.L.J. COSTELLO: Do you need a moment?

MS. O'HARE: Yeah.

A.L.J. COSTELLO: Okay. We'll go off the record.

(Off the record; 11:22 a.m.)

(The hearing resumed, 11:38 a.m.).

A.L.J. COSTELLO: Do you have a redirect?

MS. O'HARE: Yes, your Honors, brief redirect.

A.L.J. COSTELLO: Okay.

MS. O'HARE: Yes, your Honors.

REDIRECT EXAMINATION

BY MS. O'HARE:

Q. Ms. Panko, isn't it true that embedded cost of service studies are largely an exercise of judgment?

A. That's correct. They are considered an art, more than a science. If you look at Exhibit 630, which is the gas distribution redesign manual, go to page 19. The manual says that there's a range of reasonable alternatives.

If we go to page 20, there is no scientifically correct method of making necessary allocations and a certain amount of judgment must be used in any cost of survey study.

A.L.J. LEARY: I'm just going to jump in here and say that this -- you're referring to hearing what has been marked as Hearing Exhibit 630.

Is that correct?

MS. O'HARE: Yes, your Honors.

A.L.J. LEARY: Thank you.

A. (Cont'g.) THE WITNESS: Both the minimum system zero intercept, which is slightly similar, and the 100% demand method, which is generally referred to in the NARUC manual as a basic service theory, are both recognized in the NARUC manual.

In New York, there have been a range of reasonable proposals and outcomes that were adopted by the Commission. In this case, I am trying to show that there's more than one different type of reasonable outcomes, and to use both of those different reasonable outcomes for purposes of revenue allocation.

BY MS. O'HARE: (Cont'g.)

Q. Thank you, Ms. Panko.

And you were asked by Counsel for New York City about several other utility rate cases. Do the embedded cost of service study methods adopted in utility rate plans approved by the Public Service Commission for other New York State utilities set precedent that's applicable in this case?

A. No.

Q. Thank you. And Ms. Panko, you were asked about the minimum system methodology. Can you please explain your primary concern with the minimum system embedded cost of service study methodology?

A. The --.

MR. LOUGHNEY: I object to the question. It goes beyond the cross examination that we did. Ms. Panko has put direct testimony in. She explains in her direct testimony the different methodologies and I acknowledge that there are different methodologies and there's judgment involved.

But my cross examination was limited to two specific cases, two pieces of testimony. I don't think we need to -- I don't -- I don't want to provide Ms. Panko with another opportunity to put direct testimony in, which is essentially what this question is all about.

MS. O'HARE: Your Honors, if I may? Counsel for New York City was asking Ms. Panko to read from testimony in another case that specifically discussed the minimum system methodology.

A.L.J. LEARY: I think that's right. Right?

MR. LOUGHNEY: I did ask her about that yes, your Honor, but it was to --.

A.L.J. LEARY: Okay. That door is open. So let's move on. You're overruled.

BY MS. O'HARE: (Cont'g.)

Q. Ms. Panko, would you like me to restate the question?

A. Yes -- yes, please.

Q. Sure.

A.L.J. LEARY: Is that a phone? Is that a duck? I'm sorry. I think you should repeat the question.

MS. O'HARE: Thank you.

BY MS. O'HARE: (Cont'g.)

Q. Ms. Panko, what is your primary concern with the minimum system embedded cost of service methodology?

A. So the primary concern with the minimum system is that it tends to overestimate costs to the small users like residential and small commercial customers. The minimum system is also not universally accepted. So in this case, I tried to

present the alternatives that are reasonable.

There -- there are many other issues that I have with the minimum system and I could go into them. I'm not sure if that's necessary.

A.L.J. COSTELLO: No. Are they contained in your direct testimony?

THE WITNESS: The issues? I didn't list them all because I just wanted to show that there's different reasonable outcomes. I did say that I do have -- I'm not necessarily convinced. I have to look at the testimony exactly what I said. But there is another method out there that should be used and it is in the range of reasonable outcomes.

A.L.J. LEARY: Is that method discussed in your direct testimony?

THE WITNESS: The -- the method that I --?

A.L.J. LEARY: You just referred to.

THE WITNESS: The 100% demand, yes.

A.L.J. LEARY: Okay. I mean I'm going to leave it up to your counsel to tell you whether you should expand or not on what your concerns are.

MS. O'HARE: Sure. If I can just redirect the question for a moment?

BY MS. O'HARE: (Cont'g.)

Q. Ms. Panko, can you explain why you are representing -- you were recommending a 100% demand embedded cost of service approach as a reasonable range within the outcomes in this case?

A. So A, to complete the record, B, because I -- I believe that it's -- it tends to be the right outcome. There's a greater correlation between peak demand than the number of mains of customers, which the minimum system attempts to do.

Q. Thank you, Ms. Panko.

MS. O'HARE: No further questions at this time.

A.L.J. LEARY: I'm going to just give Mr. Loughney an opportunity to examine the witness. And you will have another opportunity to redirect based upon what just happened.

Mr. Loughney, any questions that you have for this witness?

MR. LOUGHNEY: Just to clarify one thing, your Honor.

RECROSS EXAMINATION

BY MR. LOUGHNEY:

Q. Ms. Panko, on your redirect, you

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said that the minimum system is not universally accepted. Are you saying that the minimum system is not in the range of reasonableness that you're talking about or are you saying that it's not the only way to do it?

A. It's -- it's not the only way to do it. And it's -- it's not the -- it's not what the Commission in this state has approved in every single case or in other cases outside in New York.

Q. But it is the method that the Company filed here and it is also the method that the Company -- that the Commission approved coming out of the last KEDNY and KEDLI rate cases; correct?

A. I don't necessarily think that the last KEDNY and KEDLI rate case, the Commission approved the minimum system. From my memory of the last KEDNY and KEDLI rate case, there was movement away from the minimum system because most classes received system average increase.

Q. Let me rephrase the question. The Company in the last -- the Companies in the last rate cases filed the ECOS based on the minimum system. Is that correct?

A. They filed, yes, based on minimum

system, but they do not use that -- those indicators for revenue allocation purposes.

Q. They didn't use those indicators --

A. The --

Q. -- exclusively for --

A. -- the rate of return --.

Q. -- revenue allocation; correct?

A. That's correct.

Q. And --.

MR. LOUGHNEY: No -- no further questions, your Honor.

A.L.J. LEARY: Okay. That when you refer to they, are you referring to the Company?

THE WITNESS: Yes. KEDNY and KEDLI in the last rate cases.

A.L.J. LEARY: Okay.

MR. MALONEY: You Honor, may I just have a moment to confer with my client? We may have a cross question based on the witness' testimony that came in on redirect.

A.L.J. LEARY: Make it fast.

MR. MALONEY: I -- I do have one question, your Honor. It's Ken Maloney, for the

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CROSS EXAMINATION

BY MR. MALONEY:

Q. Ms. Panko --?

A.L.J. LEARY: Could you hold on one second?

MR. MALONEY: Yes.

A.L.J. LEARY: I just want to make sure, Mr. Loughney you're finished?

MR. LOUGHNEY: Yes, your Honor.

A.L.J. LEARY: Go ahead.

BY MR. MALONEY: (Cont'g.)

Q. Are you aware of whether the Company has any customers that are not connected to its main -- to -- to their mains -- Companies have any customers that are not connected to their mains?

A. I believe --.

Q. They do have customers who are not connected to the mains?

A. I believe so.

Q. Who -- who -- what would those customers be?

A. I -- I don't know offhand.

A.L.J. LEARY: How would this witness

know what customers you have? So is there some --?

MR. MALONEY: I'm asking whether she is aware. If she is not, then I'm going to be done.

MS. O'HARE: Can counsel provide some sort of document to refer the witness to what you're referring to?

MR. MALONEY: No; I'm -- I'm only asking her whether she's aware of whether the Company has customers. There could -- any customers that are not connected to its mains? It's simply a factual question. If she doesn't know --.

A.L.J. LEARY: That was your previous --

MR. MALONEY: Yeah.

A.L.J. LEARY: -- question and the witness answered it. Your follow-up question is what I was concerned about. So do you want to rephrase that question, or are you happy with your previous question and the answer you got?

MR. MALONEY: Well, I think the witness said that --.

BY MR. MALONEY: (Cont'g.)

Q. You did believe there were customers that were not connected to the mains?

A. I do -- I -- I'm not absolutely sure.

MR. MALONEY: Thank you. I have nothing further.

A.L.J. LEARY: Okay. U.I.U., redirect?

MS. O'HARE: Yes. Just one brief redirect question because I believe someone asked how -- how Ms. Panko talked about her concerns with the minimum system in her testimony and I just want to clarify for the record the page number.

FURTHER REDIRECT EXAMINATION

BY MS. O'HARE:

Q. So page 28, lines 19 to 21, the sentence reads, while I do not necessarily agree with the ECOS model that classifies distribution, main cost is partly customer related. Ms. Panko --?

MR. LOUGHNEY: Your Honor, I object. Do we really need Counsel to reread the testimony that's in the -- in -- in the record and which Ms. Panko has already affirmed as true and correct? Do we -- do we really need to have that reread into the record? I object to just --.

A.L.J. LEARY: To rereading it into

the record?

MR. LOUGHNEY: Well, she's reading -- she's reading testimony that's already in the record. She's reading from Ms. Panko's direct testimony. Just based on this --.

A.L.J. LEARY: I don't see a problem with that. For facility of this witness and for identification of the page number, I think it's fine.

I would remind everyone that the record will not be able to reflect speedy, real fast talking. So I know you want to do that, but please enunciate and slow down for the benefit of the record.

So can we, again, have the page and, if you want to quote something, say quote?

MS. O'HARE: Sure. Thank you, your Honors.

BY MS. O'HARE: (Cont'g.)

Q. Page 28, lines 19 to 21, while I do not necessarily agree with the Eco's model that classifies distribution, main costs is partly customer related. I just want to clarify that for a moment, Ms. Panko. Can you just explain why you have concerns with a minimum system methodology?

MR. LOUGHNEY: Your Honor, I think this is asked and answered. The prior redirect, she asked the -- the witness to -- to list -- list the problems that she had with the methodology and now we're going over it again.

A.L.J. LEARY: It's okay. Lunch is near. Overruled. Go ahead, U.I.U. -- or the witness can go ahead. I'm sorry. You don't have to repeat the question.

BY MS. O'HARE: (Cont'g.)

Q. Would you like me to rephrase the question --

A. Sure.

Q. -- Ms. Panko? I'm just asking you to clarify for the record your concerns with the minimum system methodology.

A. So my concerns are that the minimum system tends to overestimate cost to residential and small commercial customers. Like I said before, the minimum system is not universally accepted, either by the Public Service Commission, or other State Commissions or by the -- it's not universally accepted. It's not the only manual or -- only method stated in the NARUC manual, the gas

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distribution rate design manual.

There is other concerns such as it's very hard to break down joint costs such as distribution mains. In order to do so, if you were to do so, it takes a series of judgments. Those judgments are highly debated. The minimum system also ignores or disregards the fact that customers have different load profiles, customer densities, and -- and the geography of the distribution system.

Looking at the Companies' minimum system, you can see there's -- there's many different assumptions that are made, one being that the minimum system is based on the cost of a two-inch plastic pipe, but there's a variety of different pipes in the customer distribution -- in the Companies' distribution systems.

And as for engineering principles, you can look at some of the material that's online. The system -- a distribution in system is built to satisfy the demand of the system on its peak design day. It doesn't necessarily mean that it's equally distributed among customers, or at least the cost. Those are my general main concerns.

Q. Thank you, Ms. Panko.

MS. O'HARE: No further questions, your Honor.

A.L.J. LEARY: Okay. There's a little bit more ground that was covered here. Again, I'm going to give others the opportunity to question this witness about what this last redirect because I heard a couple of new things.

Mr. Loughney, any questions?

FURTHER RECROSS EXAMINATION

MR. LOUGHNEY:

Q. Just one follow up question, Ms. Panko. The minimum system that you talk about, that methodology, doesn't it recognize both number of customers and the demands of the different customer classes? In other words, it mixes the demands and the customers, it's not solely based on customer -- number of customers; correct?

A. That's the theory. Yes.

Q. Well, does it or doesn't it? I mean, let's -- let's talk about the Companies' methodology. Does it -- does it recognize the number of customers and the class demands?

A. Yes, during the classification step.

Q. Okay. Thank you.

A.L.J. LEARY: Company, anything?

MR. MALONEY: Nothing, your Honor.

A.L.J. LEARY: Looking to U.I.U., anything on redirect?

MS. O'HARE: No, your Honors.

A.L.J. LEARY: Great. Let’s --.

A.L.J. COSTELLO: Yeah, let's -- we have to excuse the witness.

Thank you, Ms. Panko for your testimony and you are excused at this time.

THE WITNESS: Thank you.

A.L.J. COSTELLO: Thank you.

A.L.J. LEARY: Can we go off the record for a second?

THE REPORTER: Off the record.

(Off the record, 11:57 a.m.)

(The hearing resumed, 11:59 a.m.)

A.L.J. COSTELLO: I'm going to ask you, starting at the seat farthest from me, to just please state your name and business address for the record?

MS. PHALEN: Jessica Phalen, 3 Empire State Plaza, Albany, New York.

A.L.J. COSTELLO: Okay. And we'll just go down the line.

MS. BAUER: Magen Bauer, 3 Empire State Plaza Albany, New York.

MS. KRUGER: Chelsea Kruger, 3 Empire State Plaza, Albany, New York.

MR. POLMATEER: Adam Polmateer, 3 Empire State Plaza, Albany, New York.

A.L.J. COSTELLO: Okay. Please stand and raise your right hand.

Do you swear or affirm that the testimony you'll provide is the truth?

PANEL: Yes.

WITNESS; JESSICA PHALEN; Sworn

WITNESS; MAGEN BAUER; Sworn

WITNESS; CHELSEA KRUGER; Sworn

WITNESS; ADAM POLMATEER; Sworn

A.L.J. COSTELLO: Thank you. You can be seated.

Counsel?

DIRECT EXAMINATION

BY MS. PARKS:

Q. Do the four of you comprise the Staff Consumer Services Panel?

A. (Kruger) Yes.

Q. Raquel Parks for D.P.S. Staff. Panel Members, before you is a document entitled Prepared Testimony of Staff Consumer Services Panel, consisting of a cover page and 68 pages of questions and answers, dated August 2019. Was that testimony prepared by you or under your direct supervision?

A. Yes.

Q. Also before you is a document entitled Prepared Rebuttal Testimony of Staff Consumer Services Panel, consisting of a cover page, and seven pages of questions and answers, dated September 2019. Was that testimony prepared by you or under your direct supervision?

A. Yes.

Q. There is also before you a document entitled Prepared Supplemental Testimony of Staff Consumer Services Panel, consisting of a cover page and five pages of questions and answers, dated January 2020. Was that testimony prepared by you or under your direct supervision?

A. Yes.

Q. Do you have any changes or corrections to make to any of the prepared

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A. No.

Q. Do you affirm that the information contained in the Panel's prepared testimonies is true and correct to the best of your knowledge?

A. Yes.

Q. If you were asked the same questions today under oath, would you answer them the same way?

A. Yes.

Q. Also before you are exhibits identified at the time of filing, as S.C.S.P.-1, S.C.S.P.-2, S.C.S.P.-3 and S.C.S.P.-4. These have now been marked for identification purposes as Exhibits 413, 414, 415, and 516. Were those four exhibits prepared by you or under your direct supervision?

A. Yes.

Q. Do you affirm that the information contained in the four exhibits just identified is true to the best of your knowledge?

A. Yes.

MS. PARKS: Your Honor, I ask that the

19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas pre-filed direct, rebuttal, and supplemental testimonies of the Staff Consumer Services Panel be entered into the record as if given orally.

A.L.J. COSTELLO: The request is granted. And at this point in the record, the court reporter should insert D.P.S. Staff Consumer Services Panel Direct Testimony, D.P.S. Staff Consumer Services Panel Rebuttal Testimony, and D.P.S. Staff Consumer Services Panel Supplemental Testimony.

BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

Prepared Testimony of:

Staff Consumer Services Panel

Chelsea Kruger
Utility Analyst 2

Adam Polmateer
Utility Consumer Assistance
Specialist 4

Magen Bauer
Utility Analyst 1

Jessica Phalen
Utility Analyst 1

Office of Consumer Services
State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Please identify the members of the Staff Consumer Services Panel and provide their business address.

A. The Panel includes Chelsea Kruger, Adam Polmateer, Magen Bauer, and Jessica Phalen. Our business address is Office of Consumer Services, New York State Department of Public Service, 3 Empire State Plaza, Albany, New York 12223-1350.

Q. Ms. Kruger, what is your position at the Department?

A. I am employed as a Utility Analyst 2 in the Consumer Advocacy and Education Section of the Office of Consumer Services.

Q. Please describe your educational background and professional experience.

A. I received a Bachelor of Arts degree in Public Communications with a minor in Spanish from The College of Saint Rose. Before my employment at the Department, I was a content editor at The Saratogian/Troy Record newspapers in Saratoga Springs and Troy, New York. I joined the Department in 2015, performing tasks associated with monitoring utility compliance with consumer protections and service requirements contained

in the Public Service Law and Public Service Commission regulations. My responsibilities include advocating on behalf of residential customers and evaluating utility customer service quality and low income programs. I am currently involved in various proceedings, including the management and operations audit of National Grid USA's New York electric and gas utilities, Case 18-M-0195.

Q. Have you previously testified before the Commission?

A. Yes. I have testified in several rate proceedings regarding New York State Electric and Gas and Rochester Gas & Electric in Cases 15-E-0283, 15-G-0284, 15-E-0285, and 15-G-0286; The Brooklyn Union Gas Company d/b/a National Grid (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) in Cases 16-G-0058 and 16-G-0059; Corning Natural Gas Corporation in Case 16-G-0369; and Niagara Mohawk Power Corporation d/b/a National Grid (Niagara Mohawk) in Cases 17-E-0238 and 17-G-0239. The subjects of my previous testimony include customer service performance incentives, uncollectibles,

customer service offices, low income programs, service terminations, credit card payments, and outreach and education.

Q. Mr. Polmateer, what is your position at the Department?

A. I am employed as a Utility Consumer Assistance Specialist 4.

Q. Please provide a summary of your educational background and professional experience.

A. I received an associate degree in Electrical Engineering Technology from Adirondack Community College and I have completed coursework in Electrical Engineering at the SUNY Institute of Technology in Utica, New York. My professional experience was gained through my 13 years of employment with the Department. During that time, I served as a supervisor overseeing operations in the call center, an analyst, a staff trainer and an Informal Hearing Officer.

Q. Mr. Polmateer, please briefly describe your current responsibilities at the Department.

A. I perform tasks associated with monitoring utility compliance with consumer protections and access to service requirements contained in the

Public Service Law and Commission regulations. My responsibilities include advocating on behalf of residential consumers, analyzing customer complaints, supervising staff in the Retail Access unit and monitoring utility Economic Development programs. I am currently involved in the Suez Water rate proceeding, Case 19-W-0168.

Q. Have you previously testified before the Commission?

A. Yes, I have testified regarding Consolidated Edison of New York, Inc. in Cases 19-E-0065 and 19-G-0066.

Q. Ms. Bauer, what is your position at the department?

A. I am employed as a Utility Analyst 1 in the Consumer Advocacy Section of the Office of Consumer Services.

Q. Please describe your educational background and professional experience.

A. I received a Bachelor of Arts degree in Interdepartmental Studies from The College of Saint Rose in Albany, New York. Before my employment at the Department, I was employed at

the New York State Office of the Attorney General, and the New York State Department of Motor Vehicles prior to that. I joined the Department in 2017. My responsibilities include advocating on behalf of residential customers and helping to ensure they are appropriately considered in rate cases, Department policy initiatives, and other proceedings.

Q. Have you previously testified before the Commission?

A. Yes. I have testified regarding St. Lawrence Gas Company in Cases 18-G-0133 and 18-G-0140. The subjects of my previous testimony include service agreement terms for residential customers, customer service quality performance metrics, and outreach and education.

Q. Ms. Phalen, what is your position at the Department?

A. I am employed as a Utility Analyst in the Retail Access section of the Office of Consumer Services.

Q. Please state your educational background and professional experience.

A. I received a Bachelor of Arts degree in

Psychology with a minor in Philosophy from the State University of New York at Albany. Before my employment at the Department, I was employed in the customer service industry. I joined the Department in 2016, performing tasks associated with monitoring energy service company (ESCO) compliance with consumer protections and service requirements in the Public Service Law and Public Service Commission regulations. My responsibilities include advocating on behalf of residential customers and monitoring ESCO compliance with the Commission's Uniform Business Practices.

Q. Have you previously testified before the Commission?

A. Yes. I have testified regarding Orange & Rockland Utilities, Inc. in Cases 18-G-0068 and 18-E-0067. The subjects of my previous testimony include electronic deferred payment agreements and off-cycle enrollment software.

Q. What is the purpose of the Panel's testimony in these proceedings?

A. We are responding to KEDNY and KEDLI's proposals to: upgrade their Customer Information System

(CIS); maintain their existing Customer Service Quality Program (CSQP); update the Energy Affordability Program bill discount levels, budget and consolidate the number of tiers; maintain an incentive mechanism for reducing residential service terminations and uncollectibles; socialize the costs of credit/debit card transaction fees; implement electronic deferred payment agreements; renovate KEDNY's Pitkin Avenue customer office in Brooklyn; hire an analyst for the Companies' Energy Affordability Program; and adjust economic development programs.

Q. Did you review the Companies' proposals in the Shared Services Panel testimony?

A. Yes, we reviewed the proposals listed above.

Q. In your testimony, will you refer to, or otherwise rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes. We will refer to, and have relied upon, several responses provided by the Companies to Information Requests (IR), which are contained within Exhibit___(SCSP-1). We will refer to these responses by the designation given to them

during discovery, e.g., DPS-123.

Q. Have you prepared any exhibits in connection with your testimony?

A. Yes, we are sponsoring three exhibits.

Q. Would you briefly describe each exhibit?

A. Exhibit___(SCSP-1) contains the Companies' responses to Staff interrogatories we have relied upon. Exhibit___(SCSP-2) contains the Companies' current Customer Service Quality Program, as well as Staff's proposed modifications. Exhibit___(SCSP-3) contains the Companies' current Terminations and Uncollectibles Mechanism, as well as Staff's proposed modifications.

Customer Information System (CIS)

Q. Explain what the Companies currently use as their customer information system.

A. Both KEDNY and KEDLI use legacy customer information systems. KEDNY currently uses the Customer Relations Information System (CRIS), while KEDLI and Niagara Mohawk currently use the Customer Service System (CSS). As the Companies stated in their Shared Services Panel initial

pre-filed testimony, CRIS was implemented at KENDY 30 years ago and Niagara Mohawk first implemented CSS 20 years ago, with KEDLI converting to CSS in December of 2013, as stated in DPS-983.

Q. What do the Companies propose in testimony?

A. The Companies propose in the Shared Services Panel direct testimony to replace both CRIS and CSS with a single customer information system, in this case, SAP, across all of National Grid's US electric and gas operating companies.

Q. Why do the Companies propose to replace their existing customer information systems?

A. In both cases, the Companies cite several issues that make the systems outdated and difficult to support. On page 40 of the Shared Services Panel's direct testimony, the Companies state that, "(n)either system can support customer's escalating expectations or increasingly sophisticated billing needs, nor can they easily support services on web, mobile, and other customer and third-party channels." In addition, both CSS and CRIS have seen significant increases in high and critical

priority failures and outages over the past three years, as stated in the Companies' IR response to DPS-617.

Q. Did KEDNY and KEDLI identify any alternatives to a CIS replacement?

A. Yes, the Companies identified four options, in their response to IR DPS-354, the first is to continue to operate the legacy CRIS and CSS platforms; the second is to consolidate legacy systems; the third is outsourcing; and the forth is total technology replacement.

Q. Did the Companies conduct a cost-benefit analysis of each option?

A. No. The Companies conducted a cost analysis of the total replacement and of the legacy system consolidation, per their response to DPS-354. Consolidating the legacy systems to CSS would cost approximately $70 million but would not enable "future customer services and capabilities" or address regulatory expectations. Yet, the Companies prefer the total system replacement and provided anticipated benefits in the Shared Services Panel testimony and in Exhibit___(SSP-5) and

Exhibit___(SSP-6).

Q. Did the Companies begin a process to transition KEDNY's legacy CRIS platform to CSS prior to the new CIS initiative?

A. Yes. According to the Companies' response to DPS-974, the KEDLI customer data was migrated to CSS in December 2013 at a cost of $28.4 million, allocated solely to KEDLI customers. An additional project was initiated to move KEDNY from CRIS to CSS, as CSS was the targeted customer platform at that time; however, after design and implementation had begun, the project was cancelled in April of 2015 based upon a review of the approach, timing, and strategic priorities. According to Attachment 3 of the Companies' response to DPS-974, $20.9 million had already been spent on the now cancelled conversion. The Companies state that this expense was written off and not recovered from customers in rates.

Q. What are the costs associated with the CIS replacement project for KEDNY and KEDLI?

A. The total costs projected for the Rate Year are $19 million in capital expenditures and $10.5

million in operating expense for KEDNY and $8.9 million in capital expenditures and $4.8 million in operating expense for KEDLI, according to the Companies' response to DPS-872. Additional cost details, such as Service Company Rent Expense, are discussed in the Staff Information Technology Panel testimony.

Q. What is the Companies' proposed in-service date for the new CIS?

A. According to the Companies' Shared Services Panel and Information Technology Panel testimonies in Corrections and Updates, the start date for the CIS replacement project has been extended from September 2019 to April 2020, which delayed the in-service date from April 1, 2022, to October 1, 2022, for both KEDNY and KEDLI.

Q. Does this delay in the in-service date also delay the retirement of the legacy systems?

A. Yes. In response to DPS-966, the projected retirement for CRIS is now October 2022, and CSS is now November 2026.

Q. Are there costs associated with this delay in retirement of the legacy systems?

A. Yes. According to the Companies' response to DPS-966, operational costs associated with the legacy systems will continue for an additional six months. At this time, the six-month extension is estimated to result in operating benefits of $0.472 million for KEDNY and $0.219 million for KEDLI not being realized.

Q. What does the Panel recommend regarding the CIS replacement?

A. Given that the Companies continue to refine costs and key project dates, as further discussed below, we recommend the Companies continue to develop the project timeline, analyze vendor costs, and continue with vendor selection, then file a petition with the Commission for approval of this project and associated costs. We also recommend several adjustments to the Rate Year expenses that are discussed in the Staff Information Technology Panel testimony.

Q. Why is the Panel recommending an additional filing?

A. Our position is that the Companies need to further develop their plans for implementing the

CIS project because this project has not been fully analyzed and vetted through National Grid's internal approval process, as stated in the Companies' IR response to DPS-311. Additionally, the Companies have already extended the start date for the CIS project from September 2019 to April 2020, as stated in the Shared Services Panel corrections and updates testimony. We are concerned the schedule may continue to be adjusted as National Grid finalizes vendor contracts and implements other information technology projects. We recommend the Companies continue to refine the CIS replacement strategy and their cost estimates prior to Commission approval.

Q. Why is the Panel concerned with the implementation timeline for the CIS project?

A. National Grid US has previously implemented large IT projects that have slipped in the implementation schedule and/or gone overbudget. For example, National Grid's New York companies previously replaced and upgraded multiple legacy systems with SAP, an effort identified as the US Foundation Program, or USFP. According to an

audit performed and submitted to the Commission by NorthStar Consulting Group in July 2014, filed in Case 13-G-0009, sanctioning for the USFP was requested in June 2009 for $291 million with a targeted go-live date of December 2011. The primary objective was to consolidate systems onto a single SAP enterprise resource planning, or ERP, platform to replace functions previously delivered by Oracle and PeopleSoft ERP suites. The sanction amount and go-live date were adjusted several times, with the final sanctioning request occurring in 2012 for $383.8 million with an assumed launch date of October 1, 2012. National Grid estimated additional fees for licensing, bringing the total estimate to approximately $393 million. After additional time modifications, the go-live date was November 5, 2012, shortly after Superstorm Sandy, as stated in NorthStar's audit.

Q. What did the NorthStar Audit find regarding this implementation?

A. NorthStar found that National Grid did not benefit from the rest of the utility industry's SAP lessons learned, chose an integrator with

little to no experience with U.S. utilities, did not rely upon consultation with appropriate personnel to determine the needs the software should meet, and, in the push to go live, allowed noted issues and risks to be overlooked. The implementation led to issues in several areas, including accounting, payroll, and supply chain. In addition, the Audit discovered that the National Grid Service Company had not operated under a detailed budget for more than a year, which limited the ability of management to make informed decisions.

Q. How were the issues with the 2012 implementation addressed by National Grid Service Company?

A. According to the NorthStar Audit, National Grid launched the “USFP Stabilization Program”, bringing in hundreds of contractors to address the issues related to payroll, supply chain, and financial close. Further, National Grid accepted financial responsibility for the USFP/SAP issues and reached agreements with unions representing the employees and the Attorneys General of New York and Massachusetts to pay almost $12 million to employees as a

result of payroll issues. In September 2013, the estimated cost to stabilize SAP was approximately $30 million a month, according to NorthStar's Audit on page IV-7. At the time the Audit was submitted, costs for the entire USFP program were estimated at $945.1 million, as stated on pages IV-10 and IV-11 of NorthStar's Audit. Following the Audit, National Grid submitted an Implementation Plan on November 3, 2014, agreeing to NorthStar's SAP recommendation with modifications; specifically, National Grid filed a report with the Public Service Commission to, among other things, ensure stabilization costs associated with this implementation were financed by shareholders and not passed on to customers.

Q. Do you have additional specific concerns stemming from the USFP and the 2014 Audit?

A. Yes. The Companies presented the SAP business case justification in the testimony of the Information Services Panel in Cases 12-E-0201 and 12-G-0202. The Audit not only found the testimony "inconsistent with National Grid's most recent USFP cost projections," but also

stated the lack of clear definitions and cost tracking made it difficult to determine allowed costs, as discussed on page IV-19. We are concerned that while the Companies can draw from lessons learned, the costs for the CIS project presented in this case are very preliminary, and even at the time the Audit was submitted in 2014 the Companies continued to adjust the costs from the 2012 implementation and related stabilization.

Q. How did the Companies address this issue in testimony?

A. The Companies' Information Technology Panel testimony states the 2012 implementation was challenging, but that lessons learned from that experience would help in moving forward with future projects. Although this discussion was in respect to a different SAP implementation called S/4 HANA, National Grid is generally "planning for ample upfront review and exploration to determine the optimum solution to be implemented …[and] bringing together all change programs such as CIS and S/4 HANA into a central transformation team to better implements

and coordinate these programs."

Q. Do you have additional concerns related to the CIS replacement?

A. Yes. Because the CIS project has already been delayed six months due to the S/4 HANA upgrade, which is still on-going, we are concerned further delays will result as the Companies start the S/4 HANA "design phase" as described in the Companies' Information Technology Panel. As stated in the Companies' response to DPS-988, the new CIS would "likely be the first deployment of S/4 HANA" at National Grid; however, the Companies state "there are benefits in preparing certain foundational elements in S/4 HANA in parallel with CIS. National Grid is currently considering those benefits as it determines the best program sequencing option." Based on the information provided by the Companies, this Panel's position is that the S/4 HANA project should be further along in design before we evaluate the CIS project's Rate Year costs and recommend the Commission take any action.

Q. Does the Panel have similar concerns with other

ongoing National Grid initiatives?

A. Yes, we are concerned with the Companies' handling of other IT projects, which have gone beyond the estimated implementation dates. National Grid continues to implement the Gas Business Enablement (GBE) project, which as described in the Staff Information Technology Panel testimony, struggles to meet project milestones on time and on budget. Further, in the direct testimony of the Companies' Shared Services Panel in Cases 16-G-0058 and 16-G-0059, the Companies proposed load balancing to allow them to shift call volume by transferring among National Grid's New York State call centers and in-state vendors, with the goal of reducing customer hold times and improving a customer's experience, as provided in the Companies' response to IR DPS-934.

Q. What was the proposed timeline for the call load balancing project's implementation?

A. In KEDNY/KEDLI's Shared Services Panel testimony for the 2016 cases, the Companies' stated the anticipated implementation of the technology upgrades to allow call load balancing was April

2019.

Q. Did the implementation follow this schedule?

A. No, it did not. In response to DPS-934, the Companies stated the technology necessary for call load balancing is not in place, and the timeframe for full load balancing capability is now, at the earliest, the last quarter of 2020.

Q. Why is this a concern in relation to the CIS replacement?

A. Looking at the three projects discussed above, the Companies have demonstrated a troublesome pattern of missed implementation dates and budget overruns when implementing IT projects. We are extremely concerned that the CIS replacement project will be delayed and that such a delay will negatively impact customers, through either rate impacts or through the incorporation of erroneous customer usage data and billing data. The Companies' continued failure to achieve the stated timeline and budget for these projects evidences to us that the Companies' should not recover costs from customers for the CIS as this time and that protections must be put into place to safeguard

customers from lengthy delays and exorbitant cost overruns.

Q. Due to the lack of information and cost certainty with the CIS project, can the Panel make recommendations to protect customers?

A. No, we cannot at this time.

Q. What has Staff previously recommended regarding customer protections for other IT projects with other utilities?

A. In Case 17-G-0239, the Staff Information Technology Panel proposed, and the Commission imposed, customer protections on the Gas Business Enablement project for Niagara Mohawk, such as key performance indicators, downward-only reconciliation and quarterly reporting. These protections allow Staff to monitor the utility’s progress.

Customer Service Quality Program

Q. What is the purpose of a Customer Service Quality Program (CSQP)?

A. CSQPs help to align shareholder and customer interests by providing earnings consequences related to the quality of service provided by a

utility to its customers. Currently, these programs are in effect for most major, investor-owned energy utilities in New York that are regulated by the Commission. The metrics that make up the CSQP link earnings directly to a utility's performance on specific measures of customer service.

Q. Why are CSQPs imposed by the Commission?

A. As monopoly providers of utility delivery service, utilities do not have a profit-based incentive to provide acceptable levels of customer service as customers cannot select another utility based on the quality of service provided, however, obtaining quality service is extremely important to customers and is in the public interest. A CSQP is needed to establish an incentive for each Company to provide satisfactory levels of customer service performance.

Q. Please describe how Staff reviews the Companies' CSQP performance.

A. The Companies submit reports to the Commission detailing performance on a quarterly basis. Staff reviews these reports, whereby Staff and

the Companies can analyze trends and, when necessary, employ strategies to, at a minimum, maintain current satisfactory levels of customer service on an ongoing basis. At the end of the calendar year, the Companies submit an annual performance report, and applicable revenue adjustments are determined. For both KEDNY and KEDLI, the potential adjustments are negative only adjustments for this program. Any adjustments are allocated into deferral accounts, and any balances in these accounts are addressed in the next rate case to benefit customers.

Q. Are there any additional steps Staff is taking to review this self-reported data from the Companies?

A. Yes. In addition to the review process discussed above, Staff is in the process of refining additional procedures to further review the results for the Companies' self-reported data. Adding another layer of review to this data will help both Staff and the Companies monitor performance and consistently improve customer service and satisfaction.

Q. What components of the CSQP are currently in effect for KEDNY and KEDLI?

A. As shown in Exhibit___(SCSP-2), the current CSQP measures for both Companies are: 1) PSC Complaint Rate per 100,000 customers; 2) Residential Customer Transaction Satisfaction, measured through a customer satisfaction survey; 3) Percentage of Calls Answered within 30 Seconds; and 4) Percentage of Adjusted Customer Bills. As stated above, there are only negative revenue adjustments (NRAs) associated with these measures.

Q. Do the Companies file reports detailing their performance?

A. Yes. The Companies file quarterly and annual Service Quality Program reports with the Secretary to the Commission under Cases 16-G-0058 and 16-G-0059.

Q. Have the Companies achieved their customer service performance targets in the last three calendar years?

A. Yes, according to the data filed with the Commission, which has been reviewed by Staff. In response to DPS-613, the Companies state that

both KEDNY and KEDLI have met or exceeded all targets in the last three years.

Q. Do the Companies propose any modifications to these CSQP measure targets or NRAs?

Q. No. The Companies propose to continue the established program with no change in the targets or the revenue adjustments.

Q. Do you recommend continuing the current performance program?

A. Yes, but with modifications to the current targets. Our proposed modifications are intended to better reflect the Companies' current operating environments and continue to provide a financial incentive to maintain satisfactory customer service.

Q. What modifications does the Panel recommend?

A. We recommend modifications to the targets of the following measures of the Companies' CSQP: PSC Complaint Rate, Residential Customer Transaction Satisfaction, Percentage of Calls Answered within 30 Seconds, and Percentage of Adjusted Customer Bills. The specific modifications we are recommending to these measures are shown in Exhibit___(SCSP-2).

Q. Why are you recommending adjusting the targets of these measures?

A. Both KEDNY and KEDLI have met or exceeded all customer service targets that were in place at the time in the last three calendar years. This performance indicates that the Companies have established a history of providing satisfactory customer service which their customers have come to expect. The Commission has generally assumed that the historical average represents a satisfactory level of service, and adopted CSQP targets to require NRAs if service degrades to a level two standard deviations removed from the utility's actual average performance. With this performance in mind, the measures should be updated regularly to properly reflect and improve upon the operating environments based on a three-year historic average. In addition, customers pay for and have come to expect this level of customer service in rates, and the service quality targets should be updated on a regular basis to protect customers' interests.

Q. Do you recommend setting new targets using this standard methodology?

A. Yes, we recommend utilization of the typical methodology, as discussed above, to reset the targets for three of the four measures in instances that the calculation yields a more stringent target than is currently in place. We do not recommend this methodology for the PSC Complaint Rate, as discussed below.

Q. Do you recommend any other adjustments to the targets?

Q. Yes. Regarding the PSC Complaint Rate, we recommend adjusting the target to better reflect the operating environment of these utilities as well as the other major utilities in New York State. As shown in Exhibit___(SCSP-2), these targets continue to provide an incentive against declining customer service while presenting standards that are historically achievable for the Companies.

Q. What do you propose regarding the customer satisfaction measure?

A. This measure should continue with revised targets based on the Companies' recent performance. For KEDNY, we recommend the minimum target be adjusted from greater than or

equal to 84.8 percent to greater than or equal to 86.7 percent, calculated using the methodology discussed above and KEDNY's three-year historical data. FOR KEDLI, we recommend the minimum target be adjusted from greater than or equal to 83.4 percent to greater than or equal to 85.1 percent, calculated in the same manner as KEDNY.

Q. Why do you recommend these changes to customer satisfaction level?

A. Customer service and satisfaction should never degrade, and the current targets leave significant room for customers to be less satisfied with the Companies' level of service with no financial impact to the Companies. In order to remain relevant, the targets associated with this measure need to reflect the current operating environment and associated customer service levels.

Q. What do you propose regarding the Percentage of Calls Answered by a Representative Within 30 Seconds measure?

A. For KEDNY, we do not recommend an adjustment to the target. Using the typical methodology

discussed above, the revised target would allow KEDNY's performance to drop below the current threshold. In order to maintain the efficacy of this metric while considering KEDNY's historical performance, we recommend the minimum target remains greater than or equal to 60.6 percent. For KEDLI, we recommend the minimum target be adjusted upward from greater than or equal to 62.2 percent to greater than or equal to 65.8 percent.

Q. Why do you recommend this change to the Percentage of Calls Answered Within 30 Seconds level for KEDLI?

A. A large component of effective, satisfactory customer service is communication between a utility company and its customers. This metric measures a channel of communication, and utilities should constantly strive to improve customer call hold times and the associated levels of customer satisfaction. While both KEDNY and KEDLI have met the targets for this measure for the past three years, our recommendations serve to incent the Companies to, at a minimum, maintain the standard that has

been set and relayed to customers through performance. In addition, the Joint Proposal authorized by the Commission in Cases 16-G-0058 and 16-G-0059 allowed KEDNY and KEDLI to transfer calls among National Grid's New York call centers and in-state third-party vendors to enhance customer service. While this initiative is not yet in place, the Companies' response to DPS-934 stated the technology is expected to be in place for full call load balancing in the final quarter of 2020, which would provide additional resources to the Companies during periods of high call volume and possibly affect the Companies performance on this metric.

Q. What does the Panel propose regarding the Percentage of Adjusted Bills measure?

A. This measure should also continue with modifications. In KEDNY, the historical performance submitted by the Company for this measure has significantly exceeded the target. We recommend the target be adjusted from a minimum of less than or equal to 1.69 percent to less than or equal to 0.61 percent. We also recommend the subsequent targets be adjusted, as

shown in Exhibit__(SCSP-2). For KEDLI, we recommend adjusting the target from the current minimum of less than or equal to 1.69 percent to less than or equal to 0.40 percent. We also recommend adjusting the subsequent targets, as show in Exhibit __(SCSP-2).

Q. Why do you recommend these changes to the Percent of Adjusted Bills level?

A. Accurate billing is a fundamental part of effective service that utilities provide to customers. Both KEDNY and KEDLI have significantly exceeded the current targets in the last three calendar years; as such, the current targets would allow for a substantial drop in billing accuracy with no financial revenue adjustment through this measure. In order to maintain the efficacy of this measure, the targets should reflect the current operating environment. Our recommended targets allow this measure to continue to have its intended meaning to the Companies and protect the interest of customers.

Q. What do you propose regarding the PSC Complaint Rate for both Companies?

A. We recommend the minimum target be lowered to less than or equal to 1.0 from the current minimum of less than or equal to 1.1. While both Companies have exceeded the minimum PSC Complaint Rate target of less than or equal to 1.1 for the past three calendar years, the methodology discussed above for the other measures in the CSQP would yield a PSC Complaint Rate of 0.67 for KEDNY and 0.72 for KEDLI. We do not propose using this methodology as it produces a PSC Complaint Rate that we consider to be too stringent at this time. The lowest target currently in effect at a New York utility is 1.0; therefore, we recommend the Commission adopt a target of 1.0 as we consider this to be fair and reasonable and in line with the other New York utilities while also being more reflective of their current operating environments.

Q. Under the Panel’s recommended changes to the targets, would either Company have incurred NRAs in the past three years?

A. Yes. In 2016, KEDNY would have missed the target for the Percentage of Calls Answered

within 30 Seconds; however, we are not recommending any modification to this target from its current level, which was established in the 2016 Rate Case and went into effect in 2017.

Q. Do you propose to adjust the NRAs associated with the CSQP?

A. No, we do not propose any adjustments to the NRAs at this time.

Q. What should be the term of the CSQP?

A. The CSQP should continue until modified by the Commission. We also recommend the Companies continue to submit quarterly and annual reports.

Terminations/Uncollectibles Incentive Mechanism

Q. Please explain the incentive mechanism associated with terminations and uncollectible expense.

A. The existing terminations and uncollectibles mechanism offers the Companies the opportunity to earn a positive revenue adjustment (PRA) by reducing residential customer terminations and/or uncollectibles.

Q. How do the Companies define the purpose of this metric in testimony?

A. Beginning on page 36 of the Shared Services Panel's direct testimony, the Companies state, "(t)he performance measure is intended to provide an incentive for the Companies' to limit the number of terminations and to address the Commission's interest in utilities pursuing alternatives to terminations."

Q. Do you agree with this description?

A. Not entirely. While finding alternatives to service termination and reducing residential terminations should be among the utilities' goals, this definition does not fully capture the purpose behind this mechanism. In KEDLI and KEDNY's previous rate cases, 16-G-0058 and 16-G-0059, the Staff Consumer Services Panel testified that, "(t)he Companies should be encouraged to alter their practices to reduce residential service terminations for nonpayment while at the same time not increasing uncollectibles." The incentive is in place to encourage utilities to find effective ways to lower terminations while not unduly impacting uncollectibles. The goal is to achieve an appropriate balance, not to simply lower one

without mitigating the potential harm caused by the increase to the other.

Q. What are the current performance thresholds and associated revenue adjustments for terminations and uncollectibles for KEDNY?

A. KEDNY can earn a PRA of $1.260 million each Rate Year, based on its Calendar Year performance, if the annual number of residential customer terminations is no greater than 34,638 and the amount of residential bad debt, or uncollectibles, is less than or equal to $12,494,661, as described in the Companies' Exhibit___(SSP-3), Schedule 4. KEDNY can earn a partial PRA of $0.540 million during each Rate Year if either the number of residential customer terminations or uncollectibles is at or below these established threshold targets, and the other is at or below the average target: 37,916 residential terminations or $16,119,628 in uncollectibles. As this incentive is positive only, there is no NRA if KEDNY fails to meet these targets.

Q. What are the current performance thresholds and associated revenue adjustments for terminations

and uncollectibles for KEDLI?

A. KEDLI can earn a PRA of $0.840 million during each Rate Year, based on the calendar year performance, if the annual number of residential customer terminations is no greater than 12,470 and the amount of residential uncollectibles is less than or equal to $4,392,413, as shown in the Companies' Exhibit___(SSP-4), Schedule 4. KEDLI can earn a partial PRA of $0.360 million during each Rate Year if either the number of residential customer terminations or uncollectibles is at or below these threshold targets, and the other is at or below the average target: 13,647 residential terminations or $5,602,568 in residential uncollectibles. As this incentive is positive only, there is no adjustment if KEDLI fails to meet these targets.

Q. Describe how the current targets were calculated for the Terminations and Uncollectibles Incentive Mechanism.

A. As discussed in the Companies' Shared Services Panel testimony, the target for KEDNY was set using a standard deviation from the average of five years of data, which was collected from

seven years of data, with the high and low outliers omitted. As KEDLI did not have historical data prior to 2014 at the time the metric was established, the percentages from KEDNY were applied to the data that KEDLI did have available. These targets were adopted in Cases 16-G-0058 and 16-G-0059; as such, the Companies' performance was only measured for a potential PRA for calendar years 2017 and 2018.

Q. How have the Companies performed since this mechanism was established?

A. KEDNY earned the full positive incentive for both 2017 and 2018, as the Company met the threshold targets for both terminations and uncollectible expense. The Company provided the performance data in Exhibit___(SSP-3), Schedule 4; residential terminations were 29,157 in 2018, 31,563 in 2017, and 34,654 in 2016, while residential uncollectibles were $12,334,391 in 2018, $11,782,802 in 2017, and $11,590,867 in 2016. For KEDLI, a partial incentive was earned in both 2017 and 2018 for achieving the terminations target. The Company provided the performance data for this metric in

Exhibit___(SSP-4), Schedule 4; residential terminations were at 10,786 in 2018, 12,080 in 2017, and 13,765 in 2016, while residential uncollectibles were $5,035,650 in 2018, $5,419,497 in 2017, and $4,210,726 in 2016.

Q. Do the Companies recommend any modifications to this metric?

A. Yes, the Companies' propose a modification in the way KEDLI's targets are calculated. For KEDNY, the proposal is to continue the current method of calculation of taking seven years of data, removing the high and low outlier, and moving one standard deviation from the average of those five years of data to set the threshold target. For KEDLI, the Companies' proposal is to modify the method used in the last rate case by using the available four years of data with no outlier omission and moving one standard deviation from the four-year average to set the threshold target. The proposed changes to the targets are shown in Schedule 4 of the Companies' Exhibit___(SSP-3) and Schedule 4 of the Companies' Exhibit___(SSP-4).

Q. Additionally, do the Companies recommend any

adjustment to the PRAs associated with these metrics?

A. No. The Companies propose to continue the metric as a positive incentive-only measure with no change to the potential PRA amounts.

Q. Does the Panel agree with the Companies' proposed targets and calculation methods?

A. No, we do not.

Q. Please explain why you disagree.

A. While the Companies' recommended methodology was used to set the initial targets in Cases 16-G-0058 and 16-G-0059, a three-year historical average with no outliers removed yields a target that is more relevant to the current operating environment than the targets proposed by the Companies. In addition, using the same time period for all metrics helps to standardize how historical performance is viewed, and allows the targets for this metric to be based on more years that the measure was in place.

Q. Under the Companies' proposal, would the Companies have earned a PRA for this metric in the last three years?

A. KEDLI would have earned a partial PRA for the

performance in 2018 under the Companies' proposed target levels. KEDNY would not have earned a PRA under the Companies' proposed metrics for the last three years.

Q. What does this Panel recommend as the threshold target?

A. As shown in Exhibit___(SCSP-3), we recommend the threshold be set at one standard deviation from the three-year historical average: 2016, 2017, and 2018. For KEDNY, the rounded threshold targets would be 29,600 for residential service terminations and $11.6 million in uncollectible expense, and the rounded average targets would be 31,800 residential service terminations and $11.905 million in residential uncollectible expense. For KEDLI, the rounded threshold targets would be 11,000 for residential service terminations and $4.4 million in residential uncollectible expense, and the rounded average targets would be 12,300 terminations and $4.9 million in residential uncollectible expense. We also recommend the addition of a measure for arrearages, which is discussed further below.

Q. Under this Panel's recommendations, would the

Companies have earned a PRA for the residential terminations and uncollectibles mechanism in the last three years?

A. No, neither KEDNY nor KEDLI would have earned a PRA under our proposed targets within the last three years.

Q. Please explain why the Panel is recommending these targets if the Companies would not have achieved them with historic performance.

A. In addition to the reasons discussed above for tightening targets, this is a positive-only incentive. As such, the Companies have no potential for negative financial adjustments for failing to meet the mechanism’s targets. Tightening the targets needed to achieve a PRA incents the Companies to strive to manage these measures more effectively. Doing business as usual, without striving for improvement, should not earn PRAs. The recommendations we set forth are in place to provide an incentive for the Companies to improve without penalty for continuing standard business practices. Furthermore, as discussed above, the purpose of this metric is not to simply lower terminations,

it is to lower terminations without increasing uncollectibles. The Panel's recommendations continue to encourage the Companies to achieve the goal of this measure.

Q. Please describe the Staff Panel's proposal for an additional metric under this mechanism.

A. In order for this mechanism to achieve the most benefit for customers through reduced terminations and uncollectible expense, we recommend the Commission implement an additional measure for the amount of dollars in residential arrearages.

Q. What is the amount of time allowed to lapse before a residential customer's arrears are written off as uncollectible expense?

A. According to the response to DPS-965, the approximate timeframe for a residential account to be written off for KEDLI is 90 days after a final bill is rendered, while KEDNY's timeframe for the same is 90 to 120 days after the final bill is rendered. The process is automated for both Companies, but exceptions are allowed for manual write-offs.

Q. Do the Companies currently report arrearage

data?

A. Yes. Both KEDNY and KEDLI provide monthly Collection Activity Reports on terminations, uncollectible expense, and arrears, which are filed in Case 91-M-0744. In addition, the Companies responded to DPS-989 with the total residential arrears in both dollar amounts and number of customers for each of the last five years for both KEDLI and KEDNY. While both Companies have been able to decrease terminations since this mechanism went into effect in 2017, allowing them to earn a PRA, arrearages have risen for both Companies in the same time period in both the number of customers in arrears and the total dollar amount.

Q. Please further describe the trend in the Companies' residential customer arrears.

A. For KEDNY, the total number of terminations has decreased every year from 2016 to 2018; at the same time, the total number of customers in arrears has risen from 140,598 in 2016 to 149,406 in 2017 and 156,871 in 2018, as provided in the Company's response to DPS-989. The total arrearage dollars also increased, from $47.6

million in 2016 to $50.3 million in 2017 to $55.3 million in 2018. For KEDLI, the total number of residential service terminations has also decreased every year from 2016 to 2018; however, similar to KEDNY, arrears have trended upward. The total number of customers in arrears in 2016 was 39,909 but increased to 40,056 in 2017 to 41,656 in 2018. The total dollar amount of arrears in KEDLI dropped from $19.9 million in 2016 to $18.3 million but rose again to $19.2 million in 2018. This mechanism was previously introduced to encourage New York's utilities to find ways to lower terminations without negatively affecting uncollectibles; in reviewing the data since the mechanism went into effect, the need for a more inclusive view of the collections practices as part of the measure has become apparent. The trend at both Companies in which residential arrears are rising every year is a risk that should be mitigated as the initiative to lower terminations continues.

Q. What is the Staff Panel's rationale for adding this measure to the current metrics?

A. Due to the growing arrearages and the potential impact of this trend on uncollectible expense and, therefore, on customers, we recommend adding a target for arrearages to the terminations and uncollectible mechanism to incent the Companies to balance these measures more effectively for the benefit of both customers and the utilities.

Q. What target levels does the Panel recommend for KEDNY?

A. Using the data provided by the Companies in DPS-989, we recommend using the average of the most recent three years of each measure for the average target and using that target to set the threshold target at one standard deviation removed from this three-year historical performance. Specifically, we recommend KEDNY earn a maximum PRA of $1.260 million if the following threshold targets are achieved: (1) residential service terminations of not more than 29,600 customers; (2) residential uncollectibles of not more than $11.6 million; and, (3) residential arrearages of not more than $47.9 million. As is currently done, KEDNY can

achieve a partial PRA if targets are met in part, as detailed in Exhibit___(SCSP-3).

Q. What targets does the Panel recommend for KEDLI?

A. Using the same data sources and methodology discussed above, we recommend KEDLI earn the maximum PRA of $.840 million if the following targets are achieved: (1) residential service terminations of not more than 11,000 customers; (2) residential uncollectibles of no more than $4.4 million and, (3) residential arrearages of not more than $18.5 million. As is currently done, KEDLI can achieve partial PRAs if targets are met in part, as detailed in Exhibit__(SCSP-3).

Q. Is the Panel recommending a change from the current PRAs associated with these metrics?

A. No, we do not recommend a change to the PRA amount associated with the existing measures, as established in Cases 16-G-0058 and 16-G-0059. As such, a maximum PRA of $1.26 million for KEDNY and $.840 million for KEDLI be associated with this incentive mechanism, with the addition of the measure for arrearages. Similar to what is currently done, the maximum PRA can be earned

if the Company achieves the threshold target of all three measures. If the Company achieves the threshold target of terminations and the other two measures are at or below the average target, the Company can earn a partial PRA, equal to $.540 million for KEDNY and $.360 million for KEDLI.

Q. Does this Panel recommend reporting requirements for this mechanism?

A. Yes. We recommend that the Companies continue to file with the Secretary to the Commission quarterly and annual customer service quality reports in these proceedings in order to demonstrate the Companies' performance relative to these updated and expanded goals. In addition, we recommend these reports include any updates on actions the Companies have taken to reach these goals. These reports will be reviewed by Staff and will allow both Staff and the Companies to assess the impact and effectiveness of this mechanism, and in tracking the Companies' performance in these metrics.

Q. Do you have any other recommendations regarding this incentive mechanism?

A. Yes. As we are recommending the addition of a third measure to incent the Companies to strive for better collections management while reducing terminations, we recommend referring to this mechanism in a more inclusive manner than allowed by the current "Terminations and Uncollectibles Mechanism." Specifically, we recommend this mechanism be referred to as the "Residential Collections Incentive Mechanism."

Electronic Deferred Payment Agreements

Q. What is a deferred payment agreement (DPA)?

A. According to the Home Energy Fair Practices Act (HEFPA), a DPA is a written agreement for the payment of outstanding charges over a specific period, signed by both the utility and the customer, or applicant for utility service. Prior to terminating service, utilities are required to make reasonable efforts to contact eligible customers or applicants by phone, mail, or in person for the purpose of offering a DPA, and to negotiate terms tailored to the customer's financial circumstances.

Q. How do the Companies currently offer DPAs to

customers?

A. The Companies' current options for a customer to enter into a DPA include mail, fax, email and walk-in offices.

Q. What is an electronic DPA?

A. An electronic DPA is a written DPA that is signed electronically by the customer. This DPA option provides customers with the opportunity to negotiate a DPA over the telephone and sign it electronically through a utility's website. The customer can then print the DPA and/or receive a hard copy in the mail from the utility.

Q. What value is provided by an electronic DPA?

A. Consistent with the intent of HEFPA, it provides customers with an additional option to enter into legally valid DPAs via electronic signature. This option makes it easier for customers to avoid disconnections or potential delays in restoring service and other unnecessary hardships associated with service termination. The electronic DPA can be more convenient for certain customers, and for those who prefer to sign electronically, its adoption

will expedite and streamline the DPA process.

Q. Do any other utilities currently offer electronic DPAs?

A. Yes. The Commission has authorized the implementation of electronic DPAs at several utilities, such as National Fuel Gas Distribution Corporation in Case 13-G-0016; Niagara Mohawk in Cases 17-E-0238, et al.; and Consolidated Edison Company of New York in Case 16-M-0501.

Q. Have the Companies submitted a proposal to offer electronic DPAs to their customers?

A. Yes.

Q. What is the Panel’s recommendation regarding the Companies’ electronic DPAs proposal?

A. We support the Companies’ proposal because it is a more convenient option for customers who are applying for and implementing a DPA, however, we also recommend that the Companies submit, to the Secretary, quarterly reports on the status of electronic DPAs. We recommend the reports include, at a minimum, a comparison of electronic DPAs and paper DPAs, providing the following information for each type of

agreement: (1) the number of active DPAs at the beginning of the reporting period, and the total dollar amount; (2) the number of DPAs made during the reporting period, and the total dollar amount; (3) the number of DPAs reinstated during the reporting period, and the total dollar amount; (4) the number of DPAs defaulted during the reporting period, and the total dollar amount; (5) the number of DPAs satisfied during the reporting period, and the total dollar amount; (6) the number of active DPAs at the end of the period, and the total dollar amount; and (7) the percentage of DPAs in arrears more than 60 days, in both number and dollar amount. These data points correspond to information reported by all utilities for all DPAs contained in standard collection activity reports. In addition, we recommend the Commission require the Companies to include a summary of any customer inquiries and/or complaints received regarding electronic DPAs.

Q. When should the Companies file this information?

A. We recommend the Commission require the Companies to file the reports with the Secretary

to the Commission within 30 days of the close of each calendar quarter, beginning with the first quarter in which the Companies offer customers the option of an electronic DPA.

Credit/Debit Card Fees

Q. What is the Companies' proposal regarding the use of credit or debit cards?

A. The Companies propose that customers have the ability to pay their utility bill directly to the utility using credit or debit cards ("CC/DC"). Currently, customers may use a CC/DC to pay their utility bills in several ways, including on the National Grid website, the National Grid mobile app, by telephone, and customers enrolled in online billing may pay via an email link that will take them to a payment site. The additional cost for using a CC/DC for payment is currently $2.25 per transaction for payment amounts between $0.00-$600.00, and $4.50 for payment amounts between $600.01-$1,200.00. The Companies propose that the fees associated with a CC/DC payment option be included among the general costs of doing business, and that

those costs would be included in the revenue requirement resulting in a “no-fee” model.

Q. Do the Companies expect CC/DC payments to rise with the implementation of the “no-fee” model?

A. Yes. The Companies state that CC/DC payments continued to show growth from 2016 to 2017 by 10.1 percent, and that in response to surveys, customers have indicated a preference for CC/DC payments with no fee. Additionally, the Companies stated that based on an analysis involving National Grid’s third-party payment processor and the Companies’ current volumes of CC/DC payments, an increase of CC/DC payments of 53 percent is expected with the no-fee model in the Rate Year.

Q. What are the Companies’ proposed costs for this program?

A. As stated in the Companies’ Shared Services Panel direct testimony, the Rate Year costs would be $1.964 million for KEDNY and $0.625 million for KEDLI based on the existing per-transaction costs. The Companies propose to fully reconcile these costs.

Q. What are the Panel’s recommendations to the

Commission regarding the Companies' CC/DC proposal?

A. The Panel recommends that the Commission allow the Companies to accept CC/DC directly from customers for bill payment, under the condition that the per-transaction level does not exceed the current amount of $2.25 as described in the Companies' response to DPS-368. We also recommend the Commission impose a downward-only reconciliation, so the Companies are incentivized to keep these fees at a reasonable level in the Rate Year.

Q. Why is the Panel recommending this?

A. Staff recognizes that customers are increasingly using CC/DC to make purchases and that a per-transaction vendor fee to pay a utility bill is inconvenient to customers, as most businesses include this as a cost of doing business. However, the Panel is concerned that the transaction fees, once socialized in base rates, will heavily increase, as is the case at other New York utilities; therefore, we recommend the Commission direct the Companies to use its aggregate buying power to lower this per-

transaction amount to ensure that customers are protected.

Q. Does the Panel recommend any reporting requirements for this new program?

A. Yes, the Panel recommends that the Commission require the Companies to submit quarterly reports to the Secretary evaluating associated program fees and the per-transaction rate, as well as customer participation, in comparison with the Companies' other payment methods, such as walk-in offices, mail, direct debit and Western Union. In these reports, we recommend the Commission require the Companies to provide justification for any 10% increase in the budget.

Outreach & Education

Q. Did the Companies address outreach and education in testimony?

A. No, the Companies did not.

Q. Describe the Panel's proposal regarding outreach and education.

A. As discussed by the Staff Gas Rates Panel, the panel proposes to flatten the rate blocks for

firm customers, as such, we recommend the Commission require the Companies to conduct additional outreach and education to ensure customers are aware that higher gas usage may increase their monthly bill. This outreach should be in the form of bill inserts, website updates, and customer emails and/or letters/postcards.

Q. Does the Panel have additional recommendations?

A. Yes. We also recommend the Companies file their annual outreach and education plan electronically with the Secretary to the Commission under the generic outreach and education plan case, 17-M-0475, by April of each year. Filing this plan annually with the Secretary is consistent with other utilities and allows for review by the public and other officials.

Economic Development

Q. Briefly describe the Companies' Economic Development Grant Programs.

A. KEDNY and KEDLI currently offer eight economic development grant programs in their respective service territories that are designed to promote

economic development by, among other things, revitalizing communities, redeveloping underutilized buildings, growing the technology industry, promoting sustainable gas, and creating jobs.

Q. What are the Companies' current economic development programs?

A. The programs offered are the Cinderella Program, Infrastructure Assistance, Brownfield Redevelopment, Industrial Building Redevelopment, Sustainable Gas and Economic Development, Manufacturing Productivity, Cleantech Incubation, and Cooperative Business Recruitment. Full program descriptions and eligibility requirements can be found in the direct testimony of the Future of Heat Panel, and their Exhibit___(FOH-7).

Q. Do the Companies offer any tariffed rate discount incentives as a component of these programs?

A. Yes, KEDNY offers a Business Incentive Rate, or BIR; an Excelsior Jobs Program; and an Area Development Rate. KEDLI offers a BIR and an Excelsior Jobs Program.

Q. Please summarize the achieved benefits of the economic development rate and grant programs.

A. The Companies have approximately 175 customers currently receiving delivery rate discount benefits, totaling over $1 million annually. In the KEDNY and KEDLI territories, 35 applications have been approved for economic development grants of $3.1 million since 2017. The customers who received this funding have collectively created or retained 1,465 jobs. Additionally, the Companies estimate that the grant recipients have generated $186.6 million in capital investments. KEDNY and KEDLI have recently seen an increase in application activity in the grant programs among customers and local economic development agencies.

Q. What is the current level of funding for these programs?

A. The current level of funding for the economic development grant programs at each Company is $2 million per year for each Company.

Q. Have the Companies proposed any modifications to their economic development grant and rate programs?

A. Yes, the Companies have proposed modifications to several of their existing grant programs to make them more responsive to customer needs and more compatible with clean-energy initiatives. In addition, the Companies also proposed a new economic development grant program titled Economic Development and the Future of Heat. The Companies further proposed to make changes to their rate discount programs, including removing the targeted areas of KEDNY's Area Development Rate and replacing them with areas that better reflect the current economic development priorities and objectives of New York State. KEDLI is proposing to create a similar Area Development Rate which will target areas that have already been designated as economic development priorities through federal and state development programs. Lastly, the Companies propose that eligibility for the BIRs be broadened to include qualifying tenant businesses locating or expanding properties receiving benefits from an Industrial Development Agency.

Q. Have the Companies proposed any changes to the

current levels of funding for economic development?

A. Yes, as stated in direct testimony of the Future of Heat Panel, the Companies are both carrying unspent funds which, by the end of the current rate plan, are estimated to be $4.7 million for KEDNY and $5.2 million for KEDLI. Based on the level of underspent funds, the Companies propose to reduce the grant program funding to $0.50 million for each Company in the Rate Year. The Companies also propose to institute a deferral mechanism to reconcile discounts against targets established in rates for rate discount programs, which are provided in Exhibit___(FOH-14CU).

Q. Does the Panel have any concerns about the deferral mechanism proposed to reconcile discounts?

A. Yes. The Panel recommends the Commission reject the Companies' proposal for a deferral mechanism for those discounts. When considering a single rate-year, there is less financial risk involved in forecasting Economic Development discount program costs, as there is less time between when the forecast was made and when the

forecasted period occurs. As shown in Exhibit___(FOH-14CU), there have not been large fluctuations over the last several years in the discounts provided. Few fluctuations year over year reinforces the accuracy of the forecast, and therefore, no true-up of the economic development discount program is necessary.

Q. Does the Panel have any concerns about the proposed modifications to the grant programs?

A. No. We have reviewed the Companies' proposed changes and we agree that the Companies will expand the scope of eligible customers while focusing on energy efficiency and renewable natural gas. As proposed by the Companies, the eligibility guidelines for certain grant programs have been expanded to require that a project must show evidence that a comprehensive assessment of energy efficiency measures was fully investigated, and provide documentation pertaining to any completed or pending applications for energy efficiency incentives. Additionally, the Companies have proposed to give priority consideration during the grant award process to projects that commit to using

self-generated or purchased renewable natural gas to satisfy some or all of their supply requirements. None of the proposed changes to existing grant programs alter the grant amounts or change the primary focus of any specific program. The proposed new grant program, Economic Development and the Future of Heat, will require current and future customers to install non-pipeline alternatives to traditional gas service or emerging natural gas technology that will reduce burden on demand, and will also require applicants to create and/or maintain jobs. We agree that adding this program is appropriate as its goal is to reduce consumption of natural gas.

Q. Does the Panel have any concerns about the proposed modifications to the rate discount programs?

A. Yes. KEDLI’s proposed Area Development Rate only includes new firm customers, which, due to the supply constraints that are discussed in the Staff Policy Panel’s testimony, may no longer be provided natural gas service. Additionally, KEDLI’s current BIR also only includes firm

customers. Therefore, to ensure that KEDLI's proposed Area Development Rates and currently existing BIR remain relevant, Staff recommends that KEDLI include non-firm customer classes to the list of eligible service classes. KEDNY already extends the BIR and Area Development Rate to non-firm customers.

Q. Does Staff have any proposed modifications to either the economic development grant programs or discount programs?

A. Yes. With the potential for supply constraints limiting the Companies' ability to provide service to new customers, we reviewed all aspects of the grant programs with consideration given to those constraints. While many of the programs will likely not be affected, as stated in the Companies' response to IR DPS-765, some programs target new customers and service upgrades and could experience significant reduction in participation. With that in mind, we considered options that would keep the economic development programs relevant and stay true to the goal of attracting new business, creating jobs and promoting economic growth. We

propose two options to accomplish these goals. The first option is to create a new grant program that would aid prospective customers or current customers seeking additional natural gas supply to become a non-firm customer. This would allow that customer to be approved for new gas service or upgraded gas service as a non-firm customer. Eligible customers can qualify for and receive assistance from more than one economic development grant program so creating a new program for the purpose of converting firm customers to non-firm would not prevent them from receiving any other economic development grant assistance that they may be eligible for. The second option would be to modify the existing programs that are pointed toward new customers or customers seeking a service upgrade for additional supply. The modifications to those programs would allow for additional grant money to be provided for the purpose of converting firm customers to non-firm. Both options would allow for all existing grant programs to stay intact and relevant. Based on the uncertainty of the level of participation in

either of these two options, Staff recommends the Commission not allow any additional funding above the Companies' requested $0.5 million for the creation and implementation of above proposed options.

Q. Describe the supply constraints.

A. The Northeast Supply Enhancement (NESE) Project and associated supply constraints are described in detail in the Staff Policy Panel's testimony.

Q. How does this affect economic development?

A. As stated, Staff has reviewed all existing grant and rate discount programs to ensure that focus was put on modifying programs to ensure they remain relevant moving forward in an environment of constrained natural gas supply in the KEDNY and KEDLI service territories. Our proposals bring uniformity to the rate discount programs by allowing non-firm customers across all territories to apply for the BIR and Area Development Rate. Also, in order to keep all existing grant programs intact, our proposal to provide grant assistance for customers to become non-firm will allow each individual grant program the opportunity to achieve its intended

goals.

Q. Does the Panel propose any reporting requirements?

A. Yes. We propose that the Companies file annual reports with the Secretary to the Commission. We propose the report detail the applications received, approved, grant money committed, grant money dispersed and the amount of reserve funds each calendar year beginning with the Rate Year. The Companies should also include a summary of the success of the propose Economic Development and the Future of Heat program, if approved by the Commission.

Q. Provide a summary of the Panel’s modifications and proposals.

A. We recommend the Commission deny the Companies’ proposal for instituting a deferral mechanism for reconciling the program discounts. We propose that the existing BIR and proposed Area Discount Rate for KEDLI be modified to include all non-firm non-residential service classes. Staff proposes that the Companies either create a new economic development grant program that would provide incentive for new customers, or

existing customers requesting a service upgrade to become non-firm customers. Or, that existing economic development programs be modified to include a provision for additional grant money within the recommended caps to assist new customers, or existing customer requesting a service upgrade to become non-firm customers. Finally, we propose an annual report of economic development activities be filed with the Secretary to the Commission 30 days following the end of each calendar year.

Q. Does this conclude the Panel’s testimony?

A. Yes.

BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

September 2019

Prepared Rebuttal Testimony of
Staff Consumer Services Panel:

Chelsea Kruger
Utility Analyst 2

Adam Polmateer
Utility Consumer Assistance
Specialist 4

Magen Bauer
Utility Analyst 1

Jessica Phalen
Utility Analyst 1

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Q. Are you the same members of the Staff Consumer Services Panel that previously submitted direct testimony is these proceedings?

A. Yes.

Q. What is the purpose of your rebuttal testimony?

A. The purpose of our testimony is to rebut the New York City Low Income Panel’s (NYC LIP) testimony addressing its proposed modifications to The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, Companies) Gas Affordability Programs, which would require that the Commission return to setting low income discounts and budgets in individual rate cases and is contrary to the Commission’s current policy.

Q. Where did the Commission set out its current policy for setting low income discounts?

A. The Commission conducted a generic proceeding, Case 14-M-0565 (the Affordability Proceeding), setting forth its policy and methodology for setting low income discounts. Specifically, the Commission did this in two orders: the Order Adopting Low Income Program Modifications and

Directing Utility Filings, issued on May 20, 2016 (May 2016 Order), and the Order Granting in Part and Denying in Part Requests for Reconsideration and Petitions for Rehearing, issued on February 17, 2017 (February 2017 Order). In those orders, the Commission established a tiered level discount framework based on a level of need and each level is unique, which is determined by a formulaic approach. The discounts are further stratified by heating and non-heating participants for each service type. Additionally, the Commission set a cap on the aggregate cost of the discounts, of two percent of a utility's total revenues.

Q. How is a program budget determined under the Commission's Affordability Proceeding orders?

A. The budget is mainly a function of the size of the eligible population, and the size of the discount. As set forth on pages 29 through 32 in the May 2016 Order, budgets set in rate cases are estimates because participation levels and discount amounts may vary over the course of a rate year or rate plan. To account for this, budgets are reconciled with actual program costs

using traditional deferral accounting procedures.

Q. What modifications to the Commission's policy does the NYC LIP propose?

A. The NYC LIP proposes to dramatically increase the level of discounts for eligible customers in a manner inconsistent with the methodology set forth in the Affordability Proceeding. Further, for KEDNY, the NYC LIP proposes to exceed the cost cap.

Q. What are the NYC LIP's proposals for the tier discount levels?

A. The NYC LIP proposes that KEDNY's heating discounts be set at $59 for Tiers 1,5, and 6, $79 for Tier 2, $99 for Tier 3, and $99 for Tier 4, compared to the current discounts of $18, $37, $56, and $42, respectively. For KEDLI, the proposed discounts are $52 for Tiers 1 and 5, $72 for Tier 2, $92 for Tier 3 customers, and $51 for Tier 4, compared to the current discounts of $18, $37, $57 and $42, respectively. NYC LIP's testimony does not provide discount levels for non-heating customers, which is $3 for all tiers for KEDNY

and KEDLI.

Q. Does NYC LIP's proposed discount calculation methodology differ from what the Commission directed in the Affordability Proceeding?

A. Yes. NYC LIP's methodology, for both KEDNY and KEDLI, focuses on the incomes and household sizes of New York city residents, which deviates from the methodology approved by the Commission in the Affordability Proceeding orders, despite the NYC LIP's assertions that its proposals are consistent with those orders. Additionally, NYC LIP's proposed discount calculation methodology sets the discounts such that the budget exceeds KEDNY's two percent budget cap of $41 million, as estimated by the NYC LIP, by $18 million.

Q. Under the NYC LIP's proposal, what would the aggregate spending be for KEDLI?

A. On page 27 of its testimony, the NYC LIP estimates the aggregate cost to be $10 million, which is below the two percent budget cap of $25 million.

Q. Did the NYC LIP propose alternative monthly bill discounts, should the Commission decide to adhere to the two percent budget cap?

A. Yes. The NYC LIP proposed the discount levels for heating customer should increase by $20 across all tiers. This would result in the following monthly discount amounts for KEDNY: $38 for Tiers 1, 5, and 6; $57 for Tier 2; $76 for Tier 3; and $62 for Tier 4. NYC LIP proposes similar discount levels for KEDLI: $38 for Tiers 1, 5, and 6; $57 for Tier 2; $77 for Tier 3; and $62 for Tier 4.

Q. Has the NYC LIP also proposed changes to the Energy Affordability Program in any other proceedings?

A. Yes. The NYC LIP proposed increased discounts and budget to Consolidated Edison’s Electric and Gas Affordability Programs in the currently pending Cases 19-E-0065 and 19-G-0066 based on a similar analysis.

Q. Does the Panel agree with the NYC LIP’s proposed methodology to set the gas discount levels?

A. No. The methodology used by NYC LIP to set its proposed discount levels deviates from the Commission’s methodology by reverting to determining low income discount amounts in individual rate cases. This approach is

contrary to the what the Commission directed in the Affordability Proceeding, which is to set discounts and budgets be achieved on a statewide basis. Additionally, the City of New York petitioned the Commission for rehearing in the Affordability Proceeding. In that petition, it presented similar arguments to those the NYC LIP makes in these cases. The Commission addressed this petition in its February 2017 Order. On page 30 of the February 2017 Order, the Commission stated that it chose to reference the maximum monthly income level because it is easily identified and the utilities do not have the information needed to calculate incomes of various household sizes.

Q. What do you recommend?

A. We acknowledge that the Commission’s Affordability Proceeding orders provide for future refinement to certain program areas. However, the Affordability Proceeding is a generic proceeding for all major electric and gas utilities. The February 2017 Order, on page 16, specifically states that the Commission sought to standardize these programs among

utilities to ensure that there is a more uniform, consistent approach to the design and implementation of these programs. Accordingly, we recommend that the Commission reject the NYC LIP's low income bill discount proposals in these cases and continue its policy of a generic, statewide approach, which includes opportunities for refinements where applicable and in the Commission's Affordability Proceeding.

Q. Does the Panel have any other recommendations?

A. Yes. We agree with the concept raised by the NYC LIP that expected rate increases or decreases should be accounted for when calculating the discounts. Therefore, we recommend the Companies adjust the average low income bill accordingly for any rate increase or decrease when it calculates discount levels on an annual basis.

Q. Does this conclude your rebuttal testimony?

A. Yes, at this time.

BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

January 2020

Prepared Supplemental Testimony of:

Staff Consumer Services Panel

Chelsea Kruger
Utility Analyst 2

Adam Polmateer
Utility Consumer Assistance
Specialist 4

Magen Bauer
Utility Analyst 1

Jessica Phalen
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Q. Are you the same members of the Staff Consumer Services Panel that previously submitted direct testimony in these proceedings?

A. Yes.

Q. What is the purpose of your supplemental testimony?

A. The purpose of this testimony is to provide an update on the Energy Affordability Program (EAP) discounts for Brooklyn Union Gas Company d/b/a National Grid (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) in the 2020 program year, or calendar year 2020, which impacts the Rate Year budget.

Q. Have you prepared any exhibits to support your supplemental testimony?

A. Yes, Exhibit___(SCSP-4) contains the Companies' response to Staff interrogatories that we relied upon.

Q. What were the Companies' EAP discounts in the 2019 program year?

A. The Companies' Shared Services Panel direct testimony at Table 10 on page 72 lists the heating discounts for KEDNY's 2019 program as $18 for Tiers 1, 5 and 6; $37 for Tier 2; $56

for Tier 3; and $42 for Tier 4. For KEDLI, the discounts were $18 for Tiers 1 and 5; $37 for Tier 2; $57 for Tier 3; and $42 for Tier 4. The non-heating discounts were $3 across all tiers for both Companies.

Q. What were the 2019 program budgets for each Company?

A. Per the Companies' Shared Services Panel direct testimony on page 73, the 2019 program budgets were $25.5 million for KEDNY and $5.5 million for KEDLI.

Q. Describe the changes in the Companies' EAP discounts.

A. The 2020 program discounts, which went into effect January 1, 2020, have increased for both Companies. KEDNY's updated heating discounts are $34 for Tiers 1, 5 and 6; $56 for Tier 2; $78 for Tier 3; and $65 for Tier 4. KEDNY's non-heating discounts are $2.40 across all tiers. KEDLI's heating discounts are $28 for Tiers 1 and 5; $48 for Tier 2; $68 for Tier 3; and $54 for Tier 4. KEDLI's non-heating discounts remain at $3 for all tiers.

Q. Why have the 2020 Energy Affordability Program

discounts changed?

A. Under the Commission's Energy Affordability Policy, established in Case 14-M-0565, Order issued May 20, 2016 (May 2016 Order) and Order on Rehearing issued February 17, 2017, KEDNY and KEDLI are required to recalculate their EAP bill discounts and program budgets annually based on historical average bills.

Q. What are the Companies' budget amounts for 2020?

A. The budgets are $38.4 million for KEDNY and $6.7 million for KEDLI, as provided in the Companies' response to IR DPS-1074. The recalculation of discounts from the 2019 programs, will increase the KEDNY budget by $12.9 million, and increase the KEDLI budget by $1.2 million.

Q. How is a program budget determined under the Commission's Energy Affordability Policy?

A. Per the Commission's May 2016 Order, the budgets are based on projected costs associated with the size of the eligible customer population for the program and the size of the bill discount, in relation to the target level of energy burden at or below six percent of household income.

Q. Is the current discount program budget capped

annually?

A. Yes. Under the Commission's current policy, the maximum funding amount allowed is two percent of the utility's total revenue. Budgets set in rate proceedings are estimates because participation levels and discount amounts may vary over the course of a rate year or rate plan and are to be reconciled with actual program costs using traditional deferral accounting procedures, per the May 2016 Order.

Q. When KEDNY and KEDLI developed the 2020 program budget, did the two percent budget cap come into play?

A. For KEDNY, yes. Had KEDNY simply calculated the discounts based on the six percent energy burden target, KEDNY's 2020 program budget would have exceeded the Commission's two percent budget cap. Accordingly, KEDNY modified the discounts to keep its annual budget under the cap. KEDLI was able to set the 2020 discounts without its annual budget approaching its budget cap.

Q. How did KEDNY modify the discounts to stay under the two percent budget cap?

A. KEDNY modified its discounts by slightly

increasing the energy burden from the targeted 6 percent to 6.4 percent, consistent with the process prescribed by the Commission in the May 2016 Order. This adjusted energy burden allowed the Company to stay under the budget cap.

Q. Did KEDLI also modify its target energy burden?

A. No. As KEDLI's budget was under the two percent cap it did not need to adjust the discounts and targeted energy burden.

Q. Did the Panel review the Companies' 2020 discount program budgets?

A. Yes. We found the Companies' updated discounts and budgets to be consistent with the Commission's Orders in Case 14-M-0565, and therefore we support the Companies' changes.

Q. Did you inform the Staff Revenue Requirements Panel of the program change?

A. Yes.

Q. Does this conclude the Panel's supplemental testimony?

A. Yes, this concludes our supplemental testimony at this time.

MS. PARKS: Thank you, your Honors. The Panel is now available for cross examination.

A.L.J. COSTELLO: Okay. We have the Public Utility Law Project up first.

MS. WHEELOCK: Thank you, your Honors.

CROSS EXAMINATION

BY MS. WHEELOCK:

Q. Good afternoon. My name is Laurie Wheelock. I'm an attorney with the Public Utility Law Project. I only have a handful of questions for you this afternoon. I want to start with terminations and uncollectibles. If you please, turn to Staff initial Consumer Services Panel testimony, page 39, lines 8 through 23, please?

Panel, to your knowledge, has D.P.S. Staff ever proposed, in another rate case perhaps, a terminations or uncollectibles incentive mechanism that included targets for revenue adjustment that were two standard deviations from the average historical data used as the basis for setting such targets?

A. (Bauer) We're not aware of every proposal for the cases -- any of the other cases. There are some that have done one. There may be some

that have done two, but we're not aware.

Q. Thank you. Panel, are you aware that Staff Consumer Services Panel, in the Niagara Mohawk cases 17-E-0238 and 17-G-0239, set the metric at two standard deviations from the average of historical data as the basis for such targets?

MS. WHEELOCK: And Your Honors, I have copies of that to share with the Panel, which I will do now.

A. (Kruger) Do you have a page number?

BY MS. WHEELOCK: (Cont'g.)

Q. Of course. So please turn to page 27 and review lines 17 through 24, please.

After reviewing that, can the Panel confirm that, in this Niagara Mohawk case, there was a proposal for the two standard deviations?

A. (Kruger) Yes, that's correct.

Q. Thank you. I'd like to move on now to the discussion about deferred payment agreements and just ask is the Panel aware of any utilities operating in New York State that require a customer to physically visit an office location to enter into an affordable deferred payment agreement

tailored to their financial situation?

A. We're unsure of how that's handled with other utilities aside from KEDNY and KEDLI.

Q. Okay. Thank you. You can turn now to page 26 in your initial testimony. I want to just ask a few questions about the Customer Service Quality Program. And specifically, once you get to page 26, lines 19 through 24 please.

So my question is going to relate to the Commission's order in 19-G-0678. This is the proceeding in the motion of the Commission to investigate denials, a service request by National Grid U.S.A., the Brooklyn Union Gas Company doing business as National Grid, and KeySpan Gas East Corporation doing business as National Grid. The order was adopted and approved of the settlement on November 26th, 2019. I do have copies of that order if the Panel needs it.

And now that you have that order, if you could open it up to page seven, please? And specifically, I'm going to look at section six -- section eight A, which I believe carries over at the next page. And there should be a tab for the Panel.

A. Of the actual order or the settlement?

Q. Of the order. Thank you.

A. (Bauer) Page seven of the order concludes the conclusion and what is ordered. Did you want us to comment on that? Or did you want to go in to the actual section eight?

Q. If you could go into the actual section eight, that would be great. Thank you.

A. That's Exhibit A of the order

Q. Thank you.

A.L.J. LEARY: Exhibit A being the settlement -- attachment -- the settlement document attached to the commissioner order?

MS. WHEELOCK: Yes, your Honor.

A.L.J. LEARY: Page eight of that document, is that where we're going?

MS. WHEELOCK: I believe so, your Honor. I have to admit I have since given my copies away.

MR. FORST: Your Honors, just to make sure that it's clear for the record, that's on page 6 of 11 of Exhibit A, which is attached to the order which has been provided to the Panel.

A.L.J. LEARY: Six of eleven. Thanks.

BY MS. WHEELOCK: (Cont'g.)

Q. Once the Panel has had the chance to review --.

A. (Bauer) Go ahead.

Q. Thank you. Is it the Panel's understanding that this order in the settlement released the Company of any complaints that were already filed with the Commission relating to the moratorium that had been in effect?

MR. GOODRICH: Objection. This -- the order speaks for itself. This is not an order in this case. This is not an order that this Panel addressed in its testimony. The -- the -- really, the order speaks for itself.

A.L.J. LEARY: Well, I think it's fair to ask what they know about this order, Mr. Goodrich.

PULP, do you have a response? I mean --.

MR. DECICCO: Judge, I just add to the objection that I don't know that there has been a foundation as to how this relates to the testimony or -- or to the -- this case, in particular.

MS. WHEELOCK: So your Honor, my line

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of questioning is just going to be about the complaint metric, itself, and whether or not the complaints that were filed before this order included, and then what happens afterwards.

A.L.J. LEARY: If this Panel has knowledge of that, I think that's a fair question.

A. (Bauer) Section 8 of the appendix in the order settling the moratorium issue specifically says the Department and the Commission shall release National Grid and its affiliates from claims the Department and Commission have or may have against National Grid based upon the conduct actually known at the time of the execution of this agreement related to or arising out of the moratorium or order, not -- including but not limited to any payment, penalty, forfeiture, or fine that is accrued or may accrue or any customer complaints filed with the Office of Consumer Services arising out of or otherwise relating to the moratorium.

A.L.J. LEARY: Just for the record, I believe the witness was quoting the -- the language that appears in section eight, pages six and seven of that settlement agreement, sub-division A.

Is that correct? I'm asking the

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THE WITNESS: (Bauer) Correct.

MS. WHEELOCK: Thank you.

BY MS. WHEELOCK: (Cont'g.)

Q. And so my next question is just this would not in your -- within the Panel's opinion affect any sort of compliant that is filed from the date of this order onward with the Company?

A. Could you rephrase the question?

Q. Of course.

MR. DECICCO: Your Honor, I'll just renew my objection. I'm just not sure how this relates to the -- to the rates that we're trying to establish in this rate case.

A.L.J. LEARY: You only get one chance to assert an objection, but I hear you.

PULP, you have a response?

MS. WHEELOCK: Of course, your Honor. We're -- we're getting to the heart of the complaint metric itself and whether or not complaints that have been filed since this order was issued would be included in that metric.

A.L.J. LEARY: So is -- does that satisfy you that the testimony by this Panel with

respect to complaints and the complaint metric is covered in their -- in their testimony?

MR. DECICCO: Your Honor, it doesn't mean which -- we're -- this -- this proceeding's setting rates prospectively, not -- not considering how the current metric performs or whether events that are happening now are affecting that metric. So I'm -- I'm still not clear as to how that impacts the issues that we're considering in this rate proceeding.

A.L.J. LEARY: PULP?

MS. WHEELOCK: Well, we believe, your Honor, that any complaints that are filed now or even once this, you know, rate goes forward, would be included in the metric. So this will be my last question and we do believe that it goes to the metric, itself.

A.L.J. LEARY: I -- I think that there's a point here. And based on the testimony yesterday, I'm looking at Judge Costello because it seems to me that the complaint metric is a part of this case. Is it not?

MR. DECICCO: Judge, there -- there may or not -- may not be a -- a complaint metric as

part of our next rate plan. I -- I think the questions are getting to our current rate plan and whether or not, in the Staffs Panel's opinion, these complaints should be counted. Again, I'm just not sure how that -- that gets to anything that we're trying to establish in this -- in this rate proceeding.

MS. WHEELOCK: Your Honors, I'd be happy to also rephrase it. Again, this is my last question on this topic.

A.L.J. COSTELLO: All right. Let's see what it sounds like when you rephrase it. Well, --

MS. WHEELOCK: Yeah.

A.L.J. COSTELLO: -- rephrase it and then --.

BY MS. WHEELOCK: (Cont'g.)

Q. Let -- let's try this. If a customer were to file a complaint in September 2021, would that complaint count in the complaint metric of this rate case?

A. (Bauer) A complaint based on what? Are you asking if a complaint filed in the rate case counts as a complaint?

Q. A complaint with the Department of Public Service through the hotline, for instance, against the Company for issues with an application to get gas service?

A. It could.

Q. Thank you.

MS. WHEELOCK: No further questions, your Honor.

A.L.J. LEARY: Okay.

A.L.J. COSTELLO: Yeah. The City of New York?

CROSS EXAMINATION

BY MR. CONWAY:

Q. Hello. This is Adam Conway for the City of New York. I have some questions on your rebuttal testimony, specific, as it relates to the low-income discounts. Just high-level, I just want to make sure I understand correctly the -- the low-income discounts for both Companies for 2020 were recently increased as a result of some changes to the inputs to the low-income workbooks. Is that your understanding, as well?

MR. FORST: Your Honors, if the Counsel for New York City could point to a specific

piece of the Panel's rebuttal testimony to which he's referring, that would be helpful. Thank you.

A.L.J. LEARY: I agree.

BY MR. CONWAY: (Cont'g.)

Q. Sure. So on pages two through three of your rebuttal testimony, you talk about the 2020 low-income discounts for KEDNY and KEDLI. Is that correct?

A. (Kruger) Do you mean our supplemental testimony?

Q. Yeah. Supplemental testimony. Sorry about that. And if you could just look -- I mean maybe just look at lines 14 through 16, 2020 program discounts have increased for both Companies. Is that correct?

A. Yes.

Q. And is your understanding of why those discounts increased due to changes in the assumptions that are inputted into the Companies' low-income workbooks?

A. Yes, that's my understanding.

Q. Okay. And those inputs to the workbook, one of those is average monthly bill of a KEDNY or KEDLI customer. Is that correct?

A. Yes.

Q. Okay. And so for -- correct to say that for 2020, the average monthly bill that was assumed in the workbook increased from what was assumed in 2019?

A. Yes.

Q. And that increase has an effect on the low-income discount, i.e., if you increase what you're inputting as the average monthly bill, it increases the amount of the discounts?

A. Correct.

Q. Okay. And then for KEDNY specifically, the discounts went up to a level, isn't this correct, that it effectively maxed out the total amount of budget that's available for low-income discounts. Is that your understanding?

A. Yes. KEDNY reached its 2% budget cap.

Q. Okay. And when you say the 2% budget cap, what we're talking about there is the Commission maximum for how much a utility can spend to -- or allocate towards this low-income discount under the generic Commission low-income guidance. Is that -- is that right?

A. Correct.

Q. Okay. And for -- again, for --.

MR. FORST: Pardon me for interrupting. Could you just cite to the order that you're referring to?

A.L.J. LEARY: I'd -- I heard him say guidance and I thought you were talking about the -- an -- a Commission order. Were you?

MR. CONWAY: Yes. So we could talk about the order that's the order issued on May 28th, 2016, in case 14-M-0565.

A.L.J. LEARY: I think we've been referring to that as the affordability order. Is that correct, Counsel? Or low-income affordability order?

MR. FORST: That's a fair characterization.

MR. CONWAY: Okay.

A.L.J. LEARY: So let's use that as our nomenclature.

MR. CONWAY: Okay.

BY MR. CONWAY: (Cont'g.)

Q. And then under the low-income affordability order, you -- would you agree that the

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Commission has set a target or a -- a guidance, if you will, that energy burden for utility customers should remain at 6% or should be no higher than 6%, if possible?

A. (Kruger) Do you have a specific page in that order you're referring to?

Q. I don't, but if you would turn to pages four to five of your supplemental testimony, and the lines 22 through 24 at the end and then -- of page four, and then lines 1 through 5 of -- of page 5. You see there at the -- at -- at the bottom of page 4 and the top of page 5, you indicate that there's a -- a targeted 6% energy burden?

A. Yes.

Q. And that was set pursuant to the low-income affordability order; right?

A. I believe so.

Q. Okay. And -- and then you see on -- staying on page 5, lines 1 through 5, the KEDNY discounts in this case, they are not, for 2020, meeting the targeted 6% energy burden; they're -- they're at 6.4%. Is that right?

A. Correct.

Q. Okay. And is it correct that the

-- the reason for that is that the -- the discounts have increased -- would have to increase to a level that would push the discounts above the 2% cap in order -- if we were to maintain the 6% energy burden?

A. Yes.

Q. Okay. And so the Commission guidance or the Commission order, the low-income affordability order, says if you're going to go over that 2% cap, we need to adjust the energy burden so that we stay within the 2% cap. Is that right?

A. That is what the order says.

Q. Okay. Good. So in this case where you -- where you say -- here, you testify at the top of page 5 that the 2020 discounts, the energy burden had to go to 6.4%. Is it -- it's correct, isn't it, that -- or let me -- let me try it this way.

If -- if I could turn you to supplemental Exhibit S.C.S.P.-4, which is pre-filed 516, and then page 11 of that order.

A.L.J. LEARY: So hearing Exhibit 516, you are about to commence some questioning about?

MR. CONWAY: That's right.

A.L.J. LEARY: Thank you.

BY MR. CONWAY: (Cont'g.)

Q. Just take a second to get there. I'm on -- I was -- I'm on page 11 of that one. And this is the -- the -- the assumptions of average monthly bill for the low-income discount calculations. Is that correct?

A. Yes. This is what the Company submitted.

Q. Right. And do you see under the column there that says average monthly bill for the row that is associated with heat, there's a input of a $139? You see that?

A. Yes.

Q. Okay. Are you familiar with how the Companies got to that $139 number?

A. I believe they provided the average bills making up that number in that workbook.

Q. Okay. And would you agree that the Company, or KEDNY in this case particular, used a 3-year average of historical bills in order to get to that $139 number?

A. Yes.

Q. Okay. And are you also familiar within this Exhibit, S.C.S.P.-4 pre-filed 516, the

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A. Yes.

Q. And would -- would you agree that the -- the 2-year average and the 1-year average historical bills are higher than the $139 number that's inputted here?

A. Yes, they are.

Q. Okay. And if we were to input a higher number in to this average monthly bill calculation, that would result in an increase in the discount levels; correct?

A. I haven't done that calculation.

Q. So are you -- are you familiar with how the low-income workbooks operate?

A. Do you have a specific question on that?

Q. Sure. So the specific question is, if you were to increase the average -- if you were to change the input into the average monthly bill input into the workbook, specifically if you were to increase that number, the corresponding effect would be an increase in the discount levels; correct?

A. I would have to check that.

Q. So you have not previously done any sort of calculations as to the impact of the average monthly bill on the discount calculations?

A. I did not change the average monthly bill used in this workbook.

Q. All right. Well, how about -- let's try this question. Let's say we assume you -- you've indicated before that you agree that the -- the 2-year average and the 1-year average are higher than the $139. Do you agree with that statement?

A. Yes.

Q. Okay. So if we assume that the increase in the average monthly bill changes the discount level, we can't make any changes to the KEDNY discounts here; right? Because we're at the 2% cap?

A. Correct.

Q. Okay. So if the -- if the low-income discounts that are calculated pursuant to the workbook were to go up -- well, let me withdraw and try that again.

If the discounts -- the discounts cannot go up because we're at the cap, but if the

calculation show the discounts should go up, we can't increase them because of the cap, so the alternative is we increase the energy burden; correct?

A. I believe that's what's laid out here.

Q. Right. So -- so I guess my question is if -- if we assume that average monthly bills are higher than what's inputted into the workbook, you would -- you -- would you agree that the actual energy burden that low-income customers face is -- could be higher than the 6.4%?

A. I haven't done that analysis.

Q. Okay. Are you -- just sort of changing directions here, are you aware that the Companies are asking for rate increases in this proceeding?

A. Generally, yes.

Q. Okay. And if the -- if a rate increase is adopted, it's possible that there could be additional room under the 2% cap. Is that your understanding?

A. I am not sure.

Q. You're not sure, but let's assume there was extra room available under the 2% cap as a

result of a rate increase. That would allow for the discount levels to increase. Isn't that right?

A. Hypothetically, I -- I guess so.

Q. You guess so. And were you -- are you familiar at all with the -- with the recent Con Edison Electric and Gas rate cases?

A. No.

Q. Was -- was any of the members of the Panel also included as part of the Con Edison electric and gas -- recent electric and gas rate increases?

A. (Polmateer) I was a part of that case.

Q. Okay. Did you -- were you -- are you -- so are you familiar with -- did you testify at all with respect to the low-income discounts? Were you on a panel that testified to that --

A. No.

Q. -- at all?

A.L.J. LEARY: I'm sorry; this is Mr. Polmateer?

THE WITNESS: Yes.

A.L.J. LEARY: Please identify yourself before -- I mean, Counsel, just make sure

that the witness for the record identifies themselves. Thanks. Sorry to interrupt.

MR. CONWAY: Okay. So -- okay. So -- so none of the Panel members were familiar with the Con Edison recent case -- cases. I guess what I'm going to do then at this point is I'd like to hand out a document. I have a couple of questions related to this document and I might want to mark this as an exhibit, as well. Do you want me to identify what it is, first?

A.L.J. LEARY: Sure.

MR. CONWAY: It's a -- it's a press release from the Public Service Commission, dated January 16th, 2020, issued in cases 19-E-0065 and 19-G-0066. I'll just hand this out.

A.L.J. LEARY: Are you going to introduce this as a Hearing Exhibit?

MR. CONWAY: I don't think I need to, your Honor.

A.L.J. LEARY: Okay.

MR. CONWAY: It’s readily available, so --.

BY MR. CONWAY: (Cont'g.)

Q. Okay. So just to reiterate, this

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is a -- a press release from the Public Service Commission, issued after the recent Con Edison rate request was adopted. And you see page one at the top, this is dated January 16th, 2020; correct?

A. (Kruger) Yes, that's correct.

Q. Okay. And then if you turn to page two of this, at the end of the second paragraph there, before the bullets, it -- it mentions highlights of the decision include one of -- the -- the second bullet down, electric and gas low-income programs provides a discount, depending on the program, to eligible low-income residential customers who are expected to be held harmless from rate increases in the first year of the rate plan.

Do you see that statement?

A. Yes, I see that.

Q. Okay. And -- so this press release, dated January 16th, 2020, would you -- would it be your understanding, based on this press release, that the Commission was adopting changes to the Con Edison low-income discounts based on that statement?

MR. GOODRICH: Objection. If he wants to point to what the Commission adopted, he can point

to the order, not a press release about the order. And also, I believe this is a -- adopting a joint -- this order adopted a joint proposal and, therefore, I -- I'm not quite understanding what the results in another case that was adopted by a joint proposal, what bearing that has on a litigated rate case since those normally include provisions stating that they're -- they're not precedent -- precedential.

A.L.J. LEARY: This -- this is a press release.

MR. CONWAY: Yeah. Okay.

A.L.J. LEARY: We agree with Counsel on -- yeah, you need to -- you need to show the witnesses what the Commission did, I believe.

What was the second part again?

MR. CONWAY: Let me just try this. I'll just -- if -- if -- if you don't mind, I'll just try this question.

A.L.J. LEARY: Yeah. And -- and secondly, you need to make clear that this particular case in which you are citing the Commission's order was an order adopting a joint proposal which is a settlement among the parties. And -- yeah, that's an important piece.

The precedential legal argument, you can brief that; I'm not going to rule on this isn't precedent. For four days now, we've been providing panels with what the Commission's done and the testimony supporting what the Commission did and all of that. So I think that's off the table. I think you can make that legal argument, however, in your brief, Mr. Goodrich. Go ahead.

MR. CONWAY: Sure.

BY MR. CONWAY: (Cont'g.)

Q. I guess I just have one more question at this point -- couple -- maybe a couple more questions.

Just, in terms of the -- the energy burden, generally speaking, would the -- would the Panel agree that a lower energy burden for the customers is better than a higher energy burden?

A. (Kruger) For low-income customers?

Q. Yes.

A. Personally, yes.

A.L.J. COSTELLO: This is on behalf of the Panel, you're testifying? I mean you're saying, personally, yes, you're --?

THE WITNESS: No. That's my opinion.

A.L.J. COSTELLO: It's your personal opinion?

THE WITNESS: Personal opinion.

A.L.J. COSTELLO: They're asking you to testify on behalf of the Panel.

THE WITNESS: Yes. That's the Panel's opinion.

MR. CONWAY: Okay. I have no further questions.

A.L.J. LEARY: I have one clarifying question with respect to the supplemental testimony. Just want to make sure I understand this correctly at page five. It's line four. To the Panel and it says this adjusted energy burden allowed the Company to stay under the budget cap. Is that reference to the 2% budget cap?

THE WITNESS: (Kruger) Yes, that's correct.

A.L.J. LEARY: Thank you.

Okay. Who's up next? Did we -- did we decide 1:00 to break for lunch? Okay.

A.L.J. COSTELLO: However, it's -- at this time, what do we have? It's 12:30 and we're

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scheduled for -- the Companies cross is scheduled for an hour, so I don't know. We'd either go --

A.L.J. LEARY: Want to be interrupted?

A.L.J. COSTELLO: -- go over or do you want to break in between your -- you know --?

A.L.J. LEARY: Let's go off the record.

(A luncheon recess was taken, 12:37 p.m.)

(The hearing resumed, 1:24 p.m.)

A.L.J. COSTELLO: And it's now the Company's time for cross examination.

MR. EUTO: Good afternoon, your Honors. Jeremy Euto for National Grid. I'd like to start by marking, for identification, the Panel's response to information request N.G.-57, which was provided on November 22nd, 2019, consisting of 2 pages.

CROSS EXAMINATION

BY MR. EUTO:

Q. It's before you?

A. (Kruger) Yes.

Q. Was the document before you prepared by you or someone under your supervision?

A. (Polmateer) Yes.

Q. Is the document before you true -- a true and accurate copy of the response to N.G.-57?

A. Yes.

MR. EUTO: I ask that this marked -- this exhibit be marked for identification as Exhibit --

A.L.J. COSTELLO: 633.

MR. EUTO: -- 633. Thank you, your Honor.

BY MR. EUTO: (Cont'g.)

Q. Now, I'd like to ask you some questions about your pre-filed testimony. I'm going to start with the service terminations and uncollectible expense metrics. I'd like to begin by discussing your proposed adjustment to the Company's metrics and targets related to residential service terminations and uncollectible expense, which appears at page 34 of your direct testimony beginning at line 14.

A.L.J. LEARY: Is your microphone on?

MR. EUTO: It is. Can you hear me okay? Want me -- want me to use a different one?

A.L.J. LEARY: No. It could be better, but --

MR. EUTO: Okay.

A.L.J. LEARY: -- speak into it. Just get it closer to your mouth.

MR. EUTO: Got it. Yes, your Honor. Okay.

BY MR. EUTO: (Cont'g.)

Q. Is it your understanding that when the Company terminates a service and finals an account, that the account arrears are written off?

A. (Kruger) What do you mean by finals?

Q. Basically, when an account is terminated, when an account is ended, the Company would create a final bill.

A. Can you repeat the question?

Q. Sure. Is it your understanding that when the Company terminates a service and finals an account, that the account arrears are written off?

A. Could you define written off, please?

Q. I suspect it means that they are removed from the Company's balance sheet.

A.L.J. LEARY: Did you say suspect?

MR. EUTO: Yes, your Honor.

A.L.J. LEARY: So not everybody is a corporate person that understands written off.

MR. EUTO: Understood.

A.L.J. LEARY: So that's helpful to the record if you could --

MR. EUTO: Yes.

A.L.J. LEARY: -- explain what --

MR. EUTO: Of course.

A.L.J. LEARY: -- the witness requested.

BY MR. EUTO: (Cont'g.)

Q. Write-offs are basically when an account is finaled -- any remaining balance on the account is basically written off and considered uncollectible expense, which is an expense that would be tracked on the Company's books.

A. (Kruger) Yes.

Q. You would agree then that the termination, uncollectible expense, and arrears metrics are connected?

A. They are collections metrics, yes.

Q. And you would agree that adjusting performance on terminations can and will impact arrears and uncollectible expense?

A. It may, depending on the actions the Companies take to reduce those terminations.

Q. Okay. I want to discuss a concept you raised in your testimony about achieving balance in the metrics for termination and uncollectible expense.

A. Do you have a page number?

Q. I sure do. In your direct testimony at page 35, starting at line 23, you assert that the goal is to achieve an appropriate balance.

I'll give you a moment. You're there?

A. Yes.

Q. You assert that the goal is to achieve an appropriate balance, not to simply lower one metric without mitigating the potential harm caused by an increase to the other. Isn't that right?

A. Yes.

Q. To achieve that balance, then, would it be correct to say that it's important to consider performance on all three of the metrics,

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terminations, arrears, and uncollectible expense, not just any one?

A. (Bauer) I think what you're referring to, yes, it's important to mitigate all of them to keep the numbers, without just essentially moving the balances from one to the other. But if you're asking if that was the initial point of the metric, that is not how it was stated in your last rate case.

Q. Okay. Turning to the purpose of the metrics, more generally, then, would you agree that the metrics provide an incentive for the Companies to conduct collections in a way that meets the established targets?

A. What established targets are you referring to?

Q. The service terminations and uncollectible expense targets.

A. Those are two targets that we have set to encourage the Company to mitigate and to manage their collections activities better.

Q. Okay. Would it be correct to say that the targets must be reasonably achievable in order for the Company to strive to achieve them?

A. Could you repeat the question?

Q. Sure. Would it be correct to say that the targets must be reasonably achievable in order for the Company to strive to achieve them?

A. I would say that the Company needs to achieve the metrics in order to get an additional incentive over their normal course of business.

(Kruger) And I'd like to clarify that this is a positive-only incentive that we're proposing.

Q. Sure. Let me -- let me say it a little differently. If the targets could not be reasonably achieved, would the Companies have an incentive to change the program to meet them?

A. (Bauer) I'm sorry. Could you repeat the question?

Q. Sure. I was basically rephrasing the question, noting that if the targets could not be reasonably achieved, would the Companies have an incentive to change their program to meet them?

A. Could you point to where that is in our testimony?

Q. It is not in your testimony. I

was asking you basically a hypothetical, in your view, in your opinion?

A. Hypothetically, the Companies would need to have achievable targets, but we have the same assertion that these are achievable targets.

Q. Okay. Thank you. If the Company was facing a potential penalty as a result of underperforming on the arrears metric, would engaging it -- would engaging in additional terminations be one way to reduce the arrears?

A. We didn't propose a negative penalty.

Q. I'm -- I'm asking if there were a negative penalty, would the -- in your view, would the Company have an incentive to engage in additional terminations?

MR. FORST: Objection. That's outside the scope of the Panel's testimony. They -- they just stated on the record that they did not propose a negative revenue adjustment.

A.L.J. LEARY: So is your question if they did propose a negative revenue adjustment?

MR. EUTO: Other parties in this proceeding had proposed a negative revenue

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adjustment.

A.L.J. LEARY: Okay. And --

MR. EUTO: And so I am curious of Staff's view.

A.L.J. LEARY: -- that would be -- excuse me. Sorry.

That would've been a very good foundational question to this Panel with specific examples of the party proposing it because I'm going to bet this Panel has read the position of other parties on this issue. So maybe you start there?

MR. EUTO: I could do that. Maybe I'll just strike the question.

BY MR. EUTO: (Cont'g.)

Q. Do you agree that external factors such as commodity price spikes and extreme weather can affect customer bills?

A. (Bauer) Yes, I would agree there are potential external factors.

Q. During extremely cold winters, you would agree that customers would tend to use more gas and have higher bills. Is that correct?

A. (Kruger) Yes, but conversely, in a warmer winter, they would use less gas.

Q. And higher bills and arrears can lead to more unpaid bills and more terminations. Isn't that right?

A. We can't speculate on that.

Q. Okay. Let's move on. Let's move on to the customer service quality metrics and targets. I'd like to begin by discussing recommendations for more stringent targets for customer service quality metrics, which begins at page 22 of your direct testimony.

So to be clear, when I say more stringent targets, I mean targets that are harder to achieve. Would you agree?

A. More stringent targets are more difficult to achieve than your current targets, not your current performance.

Q. And you recommend more stringent targets for the Company's P.S.C. complaint rate, customer satisfaction, adjusted customer bills, and for KEDLI's calls answered within 30 seconds. Is that correct? You can check this at Exhibit -- at your Exhibit S.C.C. -- S.C.S.P.-2.

A. (Bauer) We recommend adjustments to the P.S.C. complaint rate, customer satisfaction,

and adjusted bills for both companies, as well as the call center answer rate within 30 seconds for KEDLI.

Q. Thank you. And your reasoning for recommending more stringent targets is because the Company's performance has met or exceeded, and in some cases you've said significantly exceeded performance on the metrics over the last three years. Is that correct?

MR. GOODRICH: Objection. It sounds like Counsel is characterizing their testimony. If you could point to where you pulled that quote from?

MR. EUTO: Yes, I can.

BY MR. EUTO: (Cont'g.)

Q. In your direct testimony at page 31, line 20, you'll find, for example, where you suggested that on the adjusted bills metric, the Company had significantly exceeded performance on the targets over the last 3 years. Do you see that?

A.L.J. LEARY: Both Companies?

MR. EUTO: I will look, your Honor. That was just an example, your Honor. There's a -- there are multiple pages that talk about the Company's performance.

A.L.J. LEARY: Both Companies, KEDLI

and KEDNY, I'm refer -- I'm -- that was my question. Are you referring to KEDNY or KEDLI or both of those companies or National Grid, as a whole entity?

MR. EUTO: That specific example on page 31 refers to KEDNY --

A.L.J. LEARY: Right.

MR. EUTO: -- but the Panel has testified that KEDNY and KEDLI have met or exceeded all of their targets over the last three years. That is throughout their testimony.

THE WITNESS: (Bauer) Sorry, could you repeat the question?

MR. EUTO: Yes.

BY MR. EUTO: (Cont'g.)

Q. It's -- it's back to about your reasoning for recommending more stringent targets. The question is and your reasoning for recommending this target is because the Company's performance has met or exceeded, and in some cases significantly exceeded, performance on the metrics over the last three years. Is that correct?

A. (Bauer) I think that a better characterization of that would be in our testimony on page 27. Would you like me to read that?

Q. Sure.

A. So it's page 27, starting at line 3. Well, I guess one, the question is why are you recommending adjusting the targets for these measures. And the answer is both KEDNY and KEDLI have met or exceeded their customer service targets that were in place at the time in the last three calendar years at the time that this testimony had been submitted. Obviously, it's not -- it doesn't include 2019.

A.L.J. LEARY: So can I just direct the court reporter, the first sentence was actually a direct quote from the testimony. The second sentence was an explanatory sentence presented by the witness. So it might be helpful for the record, just so we're -- we know where you're breaking from reading and where you're giving your own testimony, if you can remember to do that?

THE WITNESS: Sure.

A. (Cont'g.) Back to reading the testimony. The performance indicates that the Companies have established a history of providing satisfactory customer service which their customers have come to expect. The Commission has generally

assumed that the historical average represents a satisfactory level of service and adopted C.S.Q.P. targets to require N.R.A.s if service degrades to a level two standard deviations removed the Utility's actual average performance.

With this performance in mind, the measure should be updated regularly to properly reflect and improve upon the operating environments based on a three-year historical average. In addition, customers pay for and have come to expect this level of customer service and rates. And the service quality target should be updated on a regular basis to protect the customers' interests. End quote.

BY MR. EUTO: (Cont'g.)

Q. Thank you. Would you agree that external events -- events beyond the Company's control can impact the Company's performance on service quality metrics?

A. (Bauer) Could you give me an example what you're referring to? It's just a really vague statement.

Q. If there was an extremely cold winter where customers used significantly more energy

and experienced unusually high bills, wouldn't you agree that this would affect P.S.C. complaints and customer satisfaction?

A. I would agree that there are external factors that the Company had -- can choose how to mitigate and respond to. So as much as an external factor could be in your example, a cold winter that the Company might have to make more effort to reach their targets, it could equally be a warm winter where the Company doesn't have to do anything extra to meet those same targets.

In addition, the reason that it's taking a historical average is to kind of work around that so there is no one single event that could stand out. And we look at their general performance.

Q. Thank you. In your direct testimony at page 23, beginning at line 16, you assert that a service quality program is needed to establish an incentive. I'll let you look. Go ahead if you want to.

A. (Kruger) What page was that?

Q. It is page 23, beginning at line 16. At this page, you assert that a service quality program is needed to establish an incentive for the

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Companies to provide satisfactory levels of customer service performance. Is that right?

A. (Bauer) That is a quote from the testimony.

Q. Would you agree with it?

A. Yes.

Q. Thank you. Do you have any evidence to conclude that the Company is currently not providing satisfactory levels of customer service?

A. The incentives are in place, so it wouldn't be an accurate statement to say regardless of the incentive. It is, yes, the Company is providing proper performance, but in the incentive is already in place.

Q. Okay. Would you say that there are any indications that there will be a specific decline in performance on any of the customer service quality metrics during the rate year?

A. We can't predict the events of the coming rate years or forecast anything that the Company will choose to do. So these need to be in place to protect the interest of the customer, rather than trying to undo something that happens.

Q. So you didn't really answer the question. I -- I'm curious if you have any indications of a specific decline on any of the metrics.

A. We can't speculate in a future time period, what would happen.

Q. I -- I'm actually asking you if you have any current evidence.

MR. FORST: Objection. I think that's been asked and answered now, a couple times.

A.L.J. LEARY: Is the question --?

A.L.J. COSTELLO: I think -- I think it's been asked, but not answered.

MR. MALONEY: Thank you, your Honor.

A.L.J. LEARY: So is the question, for my edification, evidence of a decline in the -- -- based on historic performance? Is that -- am I understanding that correctly?

MR. EUTO: That's correct.

A.L.J. LEARY: Okay. So it's -- it's sort of evidence based on past performance.

MR. EUTO: Correct.

A.L.J. LEARY: Does that help the Panel?

THE WITNESS: (Bauer) Yes. One moment.

A. (Bauer) The Company -- at least one of the Companies has missed a target since they've been in place. I do not believe it was in the three rate years in 2016, '17, or '18, but it was before that.

BY MR. EUTO: (Cont'g.)

Q. Is there any evidence of a specific decline that will cause us to miss one of the customer service quality metrics during the rate year? I'm not talking about what may have occurred. And I believe you might be talking about 2012 or '13 in connection with Hurricane Sandy, there were a lot of things that happened. So I think the Company would concede that, at some point, the record shows many years ago, the Company did in fact missed a target.

I'm asking about now. Is there any indication, based on the current date and/or current performance, that suggests the Company will miss one of its customer service quality metrics during the rate year?

A. (Bauer) We haven't analyzed

2019's performance at this point. But if you're specifically asking in 2016, '17, or '18, which is when our testimony covers, no, the companies met their targets.

Q. I -- I didn't ask if we met our targets. You -- you testified to that earlier. I asked if there was any indication that the Company would not meet its targets during the rate year.

MR. GOODRICH: Objection. Counsel has asked this question numerous times. The Panel has attempted to provide an answer. It is not for Counsel to simply re-ask the question because it feels the answer is not to its satisfaction.

A.L.J. LEARY: I did hear this question asked and answered. And I believe the answer was words to the effect -- and we can maybe get the court reporter to bring it back, but I don't think so. That they could not speculate or predict going forward.

Now, I asked you before. Evidence in the past was my question that I was asking you about. And now, I think you've moved into is there evidence to predict what we would do in the future in this coming rate year. Is that -- am I misunderstanding

that question because I think that was asked?

MR. EUTO: I -- I am asking the Panel if there's any indication today -- any data that they're aware of today that suggests a decline in performance on any of the customer service quality metrics that would make the Companies miss its targets during the rate year.

A.L.J. LEARY: Which is pointing to the past.

A.L.J. COSTELLO: You're --.

A.L.J. LEARY: Evidence from --

A.L.J. COSTELLO: You're asking if --

A.L.J. LEARY: -- past performance?

A.L.J. COSTELLO: -- if there is, in the record -- I assume in the record because we're not going -- if there is evidence that would give rise for the Panel to have a reasonable belief and concern that your performance will deteriorate in the future?

MR. EUTO: That is correct.

A.L.J. COSTELLO: Okay.

A.L.J. LEARY: Below the currently established targets?

MR. EUTO: Correct.

A. (Kruger) We don't have evidence in front of us today that would point to how the Company would miss a target.

BY MR. EUTO: (Cont'g.)

Q. Okay. Thank you. Let me turn to the -- to the Panel's testimony about the customer information system. Are you familiar with the Company's proposal to implement a new customer information system to serve KEDNY and KEDLI?

A. (Kruger) Yes.

Q. Are you aware that the customer system for KEDNY is more than 30 years old and that the customer system used by KEDLI is more than 20 years old?

A. That's stated in our testimony.

Q. Thank you. What is the Panel's understanding of why the Companies are planning to replace the customer systems?

A. I believe we describe that on page 9 of our testimony, starting on line 14.

Q. Okay. Would you agree a properly operating customer system is important to the ability of a utility to serve its customers effectively?

A. Yes.

Q. Do you have reason to believe that the Companies will not deliver the C.I.S. project on time and on budget?

A. Yes. We describe those reasons in our testimony.

Q. Okay. If I hear you, you're -- you're -- you're refuting the Company's ability to deliver the project on time and on budget. Have any of the panelists worked on the development or implementation of a customer system previously?

A. No, but we have reviewed the Company's performance on several other big initiatives and we use that as our basis.

Q. Thank you. Are you familiar with the customer system projects proposed by any of the other utilities of New York? And I'm thinking specifically about Consolidated Edison?

A. No.

Q. Based on your experience in other proceedings with other utilities, would you agree that customer systems generally, can be expensive and complex and take several years to implement?

MR. FORST: Objection. I don't think that Counsel has laid out a foundation for that

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question.

A.L.J. LEARY: Are you talking about this particular C.I.S. or --?

MR. EUTO: Yes.

BY MR. EUTO: (Cont'g.)

Q. I'll -- I'll strike that question and replace it with, based on your experience, reviewing the Company's proposals in this particular proceeding and your general experience with the Company's similar system projects, would you agree that the customer system or customer systems generally can be expensive and complex and take several years to implement?

A. (Bauer) For this case, we were able to review what the Company provided. And the Company did provide that it was an expensive endeavor that would take a long period of time.

Q. Okay. Does Staff disagree that the Company's existing customer system should be replaced?

A. Could you point to where that is in our testimony, please?

Q. If you turn to page 21 of your direct testimony, on line 14, you comment about this.

A. (Kruger) Could you repeat your initial question, please?

Q. Yeah. Let me back up a little bit. I asked if -- does the Staff disagree with the Company's existing -- that the customers -- that the -- strike that.

Does Staff disagree that the Company's existing customer systems should be replaced?

A. (Bauer) Where is that in reference to on page 21, line 14?

Q. I'll strike that reference, too. Does Staff agree that the C.I.S. system should be replaced? I'll rephrase the question. Apologies.

A. (Kruger) Was that your rephrased question?

Q. It was.

A. Okay.

Q. Yes.

A. Thank you.

Q. Yeah. I kept saying disagree. Apologies for that.

A. (Bauer) Unless you can point to a point in the testimony, our testimony doesn't actually give an opinion on that. It gives the

opinion that we don't have enough information in order to protect customers. If the Company feels that it needs to replace the Legacy system, as a business decision, and comes to us in a way that we can understand what they're doing, and ensure that the project is in the best interest of ratepayers, and we can continue to protect customers, that's what we're asking for.

So we didn't give an opinion on your Legacy system replacement. We said if you choose, as a business decision, to replace it, we need to be comfortable protecting customers whose money goes into the rates that will fund your project.

Q. The Staff has recommended that, rather than address funding for the C.I.S. project in the pending case, that the Companies file a separate petition for approval of the project and associated costs. Is that correct?

A. (Kruger) Could you point us to the page number, please?

Q. Yeah. If you look at page 13 of your testimony, lines 8 through 20.

A. Yes. That's our proposal.

Q. Yesterday, Jeff Martin of the

19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas Companies' Shared Services Panel testified that the C.I.S. project is scheduled to commence in April 2020. Were you in the room when he testified to that effect?

A. Yes, we were in the room.

Q. If the Commission adopted the Panel's recommendation and directed the Companies to seek approval and cost recovery for a new C.I.S. via a separate petition, by when do you think the Companies could reasonably expect to have an order from the Commission on that petition?

A. I can't speculate on what the Commission will do and when it will see certain petitions.

Q. Do you believe the Company could have an order by April 2020?

MR. FORST: Objection. The Panel already answered that they can't speculate to when the Commission would act on a petition.

A.L.J. COSTELLO: That's sustained.

BY MR. EUTO: (Cont'g.)

Q. Okay. Let me turn your attention to pages 13 and 14 of your testimony, beginning at line 21 on page 13. You suggested that the Company

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A. Yes.

A.L.J. LEARY: I believe if you just complete that, as stated -- quote, as stated in the Company's I.R.S. -- I.R. response D.P.S. 311.

So I just want to make sure the -- the testimony is read correctly on the record. I believe it says part of what you said. But the critical part is that this Panel is citing D.P.S. 311, which is the Company's response.

MR. EUTO: Yes, your Honor. D.P.S. -- .

A.L.J. LEARY: So just make sure for the record that if you want to quote something in the testimony --

MR. EUTO: Uh-huh.

A.L.J. LEARY: -- quote it completely and indicate for the record, quote, unquote, or so forth. And try not to paraphrase -- phrase. That goes for everybody who is undertaking cross.

Sorry. Continue.

MR. EUTO: Of course.

BY MR. EUTO: (Cont'g.)

Q. The internal process that you're referring to, that's the sanctioning process; correct?

A. (Kruger) That is what the I.R. response references.

Q. So does the recent formal sanctioning, the sanctioning of this project, which was described by Mr. Martin in yesterday's testimony, the Shared Services Panel, does that address the concern that the -- that this project had not been analyzed and vetted through National Grid's internal approval process?

A. Staff hasn't had time to analyze that information.

Q. Yesterday, Staff asked the Companies that the Company's response to D.P.S. 1036, which was marked as Exhibit 617, that that be entered into the record. That was an information request asked by the Panel. Is that correct?

A. (Bauer) Sorry, we need to see if we have that in front of us.

Q. Of course.

A. (Kruger) What's the I.R. response

number?

A. It's D.P.S. 1036, Exhibit 617 for the proceedings record.

A. We don't have a copy of that.

Q. Thank you.

A. What was your question?

Q. You suggested that you were unfamiliar with the sanctioning process and you hadn't had time to analyze it. I'm just pointing you to an I.R. response which would -- which provides an answer. I'm curious if you have had a chance to read and understand that I.R. response?

A. I'd just like to clarify. We haven't actually seen an updated sanction paper and that's what I was referring to our -- our analysis on.

Q. Okay. But -- but you -- you do recall Jeff Martin testifying, yesterday, that the C.I.S. project has been approved by the Company's senior executive steering committee on January 27th, 2020. Is that correct?

A. (Bauer) While that may have been his testimony, if you look back at D.P.S. 311, it specifically says when the sanctioning papers have

been finalized and approved, there'll be provided to us. And to my knowledge, we don't have those.

Q. And I understand that that is in the works.

A. We couldn't look at something that we haven't gotten.

Q. I'm -- I'm asking more generally if you are -- if the fact that the Company has approved, through its senior executive steering committee, if that addresses your concerns about whether or not it has been vetted and approved through the Company's sanctioning process?

A. (Kruger) We haven't seen updated cost information or conducted any analysis. So that may have been his testimony, but we still haven't been able to look at that information.

Q. Okay. Thank you. All right. Let me move on to credit card and debit card payments. So I'd ask you to turn to the Panel's recommendations regarding a customer's use of credit cards, which the Panel describes as the no-fee model. It's discussed in your direct testimony, beginning at page 53, line 21.

Under the proposed no fee model, the

fees associated with credit and debit card payments would be included among the general cost of doing business. And these costs would be included in the revenue requirement.

Do I have that right?

A.L.J. LEARY: Again, make clear for the record that you are quoting from their direct testimony on page 53. So that was a direct quote.

MR. EUTO: It's not a direct quote -- quote. I could read from their testimony, but I was paraphrasing and asking if the -- if the Panel agreed. I'm not trying to change the meaning of their testimony.

A.L.J. LEARY: Okay.

MR. EUTO: It's -- it's lengthy.

A.L.J. LEARY: Okay.

A. (Kruger) Yes.

BY MR. EUTO: (Cont'g.)

Q. Thank you. In your direct testimony, beginning at page 55, line three, Staff recommends that the Commission allow the Companies to accept credit and debit cards, under the condition that the per transaction fee does not exceed the current amount of $2.25 per transaction. Is that

correct?

A. That does summarize our proposal on that.

Q. Okay. In your testimony, you acknowledged that customers who currently choose to use a credit card may do so by paying a fee of $2.25 for transactions between $0 and $600, and for payments between $600 and $1200 by paying a fee of $4.50. Is that correct?

A. Yes.

Q. Would Staff agree that the current $2.25 fee would apply to a subset of the existing transactions only, those between $0 and $600?

A. Sorry; could you repeat the question?

Q. Sure. Would Staff agree that the current $2.25 fee would only apply to a subset of the existing transactions, those between $0 and $600?

A. Yes.

Q. Is it your position that the Company should limit credit card transactions to just those between $0 and $600?

A. No.

Q. Wouldn't it make sense then to cap the cost for transactions between $600 and $1200 at the current rate of $4.50 per transaction?

A. My understanding is that the Companies have released a request for proposals to get information from vendors. So hopefully -- we're hoping that the cost would be lowered.

Q. Okay. In your testimony or any of the discovery that you conducted in these proceedings, did Staff produce to obtain any evidence to suggest that National Grid could obtain rates for credit cards that were lower than the ones that are currently charged?

A. I thought that would be the purpose of the R.F.P.

Q. If the per transaction fees are not currently known, shouldn't the program have a reconciliation mechanism to account for any shortfall or overcollection that results?

A. I believe we proposed a downward only reconciliation.

Q. Okay. But you also note, in your direct testimony at page 55, beginning at line 19, that the Panel is concerned that the transaction

fees, once socialized in the base rates, will heavily increase. Is that correct?

A. That's what our testimony says.

Q. Is there a specific reason why the Companies and not the customers who benefit from the program should bear the risk the transaction fees exceed this current forecast?

A. Could you rephrase the question?

Q. I think that -- are you aware of any reasons why the Companies should bear the risk the transaction fees exceed the current forecast, rather than customers?

A. (Bauer) Customers are at risk by socializing the rates into their base rates. At the same time, the Company is responsible for sending out an R.F.P. and getting the best transaction rate as a business.

Q. Okay. Did you suggest, in your testimony, any modifications to the no-fee model that the Companies could use that might mitigate the possibility of heavy increase in credit card use?

A. (Kruger) We did not because we are unsure of how many customers will actually choose to pay with their credit card after this is

19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas instituted.

Q. Okay. Okay. Let's turn to your testimony on outreach and education. In your direct testimony, at page 57, line 1, you recommend that the Companies be required to conduct additional outreach and education to inform customers that higher gas usage may increase their monthly bill. Is that right?

MR. FORST: Objection. The judges have asked that when Counsel is referring to portions of the record, that they read from the record in its entirety. And it seems like you were doing that, but you're not reading what is at line 1 on page 57.

MR. EUTO: If you'd like, I can -- I'm just trying to lay a foundation. If you'd like, I can read the entire response and their testimony.

A.L.J. LEARY: Let me just say this. A few moments ago, I referred you to a part of a sentence that you had paraphrased that indicated, as the Company noted in its response to D.P.S. 311. I'm not sure it's 311, but for the sake of argument.

MR. EUTO: Good memory.

A.L.J. LEARY: Just a couple of minutes ago, again, you paraphrased and I understand

you're trying to move this efficiently, but for purposes of the record, I would prefer if you could quote the Panel's testimony in its entirety, not read a portion of the sentence, so that the full meaning of the sentence is clear on the record, as well as to the Panel.

So that they then don't have to sort of see, well, what was the context. So when people say you're reading -- you're quoting something out of context. I'm not suggesting you're doing that. I'm definitely -- I know you're not doing it purposefully. But that's what is happening in your attempt to be more efficient.

So if you have a sentence, unless it's, you know, a paragraph long, let's see if we can stay tight to the testimony as it's written and quote it in its entirety --

MR. EUTO: Of course, yeah.

A.L.J. LEARY: -- the complete sentence.

BY MR. EUTO: (Cont'g.)

Q. Okay. So I am referring to your testimony at page 56, beginning at line 21. The question states describe the Panel's proposal

19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas regarding outreach and education. And then it begins, on line 23, as discussed by the Staff Gas Rates Panel, the Panel proposes to flatten rate blocks for firm customers. As such, we recommend the Commission require the Companies to conduct additional outreach and education to ensure customers are aware that higher gas usage may increase their monthly bill, period.

A. (Kruger) Yes.

Q. Thank you. Would the Company incur additional costs for bill inserts, web updates, and customer emails to conduct the incremental outreach and education campaign recommended by the Panel?

A. I think that question is better suited for the Companies Shared Services Panel.

Q. In your opinion, do you believe the Company would incur costs for --

A. No.

Q. -- bill inserts? No, you don't believe so?

A. No.

Q. If the Company did incur costs, hypothetically, would you oppose inclusion of

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incremental costs for this outreach and education campaign in the Company's revenue requirements?

A. We proposed low cost options such as the website updates or customer emails to limit any cost issues with the Company.

Q. Okay. Thank you.

MR. EUTO: No further questions, your Honor.

A.L.J. LEARY: Thank you.

A.L.J. COSTELLO: Thank you. A.A.R.P.?

MR. RIGBERG: Thank you, your Honors.

CROSS EXAMINATION

BY MR. RIGBERG:

Q. Good afternoon, Panel. In the preparation phases of developing your initial, rebuttal, or supplemental testimony, did any members of -- of the Panel review enrollment data pertaining to KEDLI's and KEDNY's E.A.P.?

A. (Kruger) The Energy Affordability Program?

Q. Correct.

A. No.

Q. In the preparation phases of

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developing your rebuttal or supplemental testimony, did any members of the Panel review the testimony of any other parties that discussed KEDLI's E.A.P.?

A. Our rebuttal testimony in response to New York City's Low-Income Panel testimony.

Q. Okay. Did the Panel read any other parties' testimony relating to KEDLI's E.A.P.?

A. No.

Q. Would the Panel agree that KEDNY customers participate in KEDNY's E.A.P. more than three times greater than the percentage KEDNY customers participate in KEDNY's E.A.P.?

A. I'm sorry, I don't understand your question.

Q. I'm asking if the Panel is aware or would agree that KEDNY's participation rates are more than three times greater than KEDLI's participation rates in the E.A.P. programs.

MR. GOODRICH: Objection. Could counsel please define what he means by rates? It's clearly a ratio of something, but a ratio of what?

BY MR. RIGBERG: (Cont'g.)

Q. The ratio of -- of, yes. The

ratio of overall customers to the number of customers enrolled in a Company's low-income program.

A. (Kruger) Can you point to an I.R. response?

Q. Well, I'm asking if the -- if this Panel is aware of -- of the participation rates of either Company.

A. I'm not.

Q. Okay. But -- but to answer your question more directly, Staff did propose an exhibit yesterday that has that data in it. That's -- it's Exhibit 626.

Does anyone on the Panel know if the Office of Consumer Services has had any communications in either 2018, 2019, or 2020 with KEDLI about its E.A.P. enrollment levels?

A. I can't speak for everyone in the Office of Consumer Services.

Q. I'm asking if you know, if anyone on the Panel knows if anyone in the office spoke to KEDLI about its enrollment levels.

A. I believe O.C.S. meets regularly with the Companies to discuss routine matters.

Q. Okay. Thank you. Did the Panel

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consider recommending any -- any changes to KEDLI's outreach and education programs to increase E.A.P. participation?

MR. GOODRICH: Objection. The Panel's recommendations are in their -- their testimony. And what the Panels may have -- is he asking what the Panels may have considered and then decided not to recommend? I mean, I don't see how that's relevant.

A.L.J. LEARY: I heard the question a little differently. So Mr. Rigberg, help me out here. I thought you were asking about the testimony, itself. Can you --?

MR. RIGBERG: No; I was asking if the Panel considered recommending any program changes regarding education and outreach to -- that might increase E.A.P. participation in KEDLI's program.

MR. GOODRICH: Then I -- I would object and say that the Panel's recommendations are in its testimony and what it internally considered in drafting testimony is not something that we can -- a recommendation that it may have considered pursuing and not -- and chosen not to is not --.

A.L.J. LEARY: He's -- Mr. Rigberg is not asking that question as I can -- as I understand

it. I think -- I think this question can be asked. It's not -- it's have you considered X in preparing your testimony? The answer is a pretty simple yes or no. And I don't see that it's outside the scope of anything.

It's not asking for internal discussions about what is not in the testimony. It's just a consideration that I think Mr. Rigberg is asking.

MR. RIGBERG: That's correct.

A.L.J. LEARY: Okay. Does the Panel understand the question?

THE WITNESS: (Kruger) I think so.

A. (Kruger) I don't see that recommendation in our testimonies.

A.L.J. LEARY: That's not the question. The question is did you consider it?

A. (Cont'g.) No.

BY MR. RIGBERG: (Cont'g.)

Q. Okay. Thank you. Now, turning to your supplemental testimony on page 1, lines 7 through 13, you say the purpose of this testimony is to provide an update on the Energy Affordability Program, (E.A.P.), discounts for Brooklyn Union Gas

19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas Company, D.B.A. National Grid, KEDNY) and KeySpan Gas East Corporation D.B.A. National Grid (KEDLI) in the -- in the 2020 program year or calendar year 2020 which impacts the rate year budget. Do you see that?

A. (Kruger) Yes.

Q. Okay. Could you tell me how this update differs from your presentation on this topic in your initial testimony?

A. We didn't discuss the E.A.P. in our initial testimony.

Q. Okay. Because if you turn to your initial testimony on page seven, lines two and three, you say it's -- part of the purpose of your testimony, you say update the Energy Affordability Program bill discount levels.

A. Yes. We reviewed their proposal.

Q. But -- but where in that -- where in this initial testimony do you discuss the bill discount levels?

A. We do not discuss the bill discount levels.

Q. Okay. So this is not a correct -- this is incorrect, this reference on lines two and three?

UNIDENTIFIED SPEAKER: Could the counsel --?

BY MR. RIGBERG: (Cont'g.)

Q. On page -- page seven of the initial testimony?

A. (Kruger) We reviewed the Company's proposals, but did not respond to it in our direct testimony.

Q. Okay. Well, help me out here because on -- on the bottom of page 6, line 23, it says we are responding to KEDNY and KEDLI's proposals to upgrade their customer information system (C.I.S.) maintain their existing customer service quality program.

A. I guess we could have phrased that better, so it was more clear.

Q. Okay. So but just to be clear, you did not actually discuss that topic in your testimony?

A. Correct.

Q. Okay. All right. Now, going back to the supplemental testimony, if you turn to line -- page three, on line eight, you use the word historical. Does the Commission require any

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particular period of time that average bills are, you know -- you know, based? You know, what period of history is -- is required by the Commission?

A.L.J. LEARY: So what year is --

MR. RIGBERG: Well, I'm wondering --.

A.L.J. LEARY: -- a historical average bill?

MR. RIGBERG: Right.

BY MR. RIGBERG: (Cont'g.)

Q. Is it a one-year, two-year, three-year? Does the commission require a particular number of years that are considered in developing an average?

A. (Kruger) I believe it's stated in one of the low-income orders. It's in one of the low-income orders. I can't find the page number.

Q. Okay. So -- but you -- you, yourself, don't know if the Commission required use of one year, two-year, or three-year historical data?

MR. GOODRICH: Objection. She stated that it's in one of the orders and she just can't find the page.

MR. RIGBERG: No, I didn't ask where it is. I -- I asked if she knew.

BY MR. RIGBERG: (Cont'g.)

Q. I asked if anyone on the Panel knows, when they use the phrase historical average bills, what period of time was -- what -- how many years of data were used in creation of the historical average bill on which they provided testimony.

A. I believe it's three.

Q. And that's required by the Commission?

A. I believe so, but I can't find it in the orders right now.

Q. Okay. Thank -- thank you. Now, still on page 3 of your supplemental testimony, starting on lines 16 through 23, do you see a reference to the May 26 energy affordability order? May 2016? Excuse me.

A. Yes.

Q. Okay. And so would you -- would the Panel agree that the size of a bill discount is associated with the order's target levels of an energy burden at or below 6% of household income?

A. On page 5, lines 12 through 15, we stated we found the Companies' updated discounts and budgets to be consistent with the Commission's

orders in Case 14-M-0565 and, therefore, we support the Companies' changes.

Q. Okay. And do you know what the impact of either, you know, Staff's recommended rate increase or the Company's recommended rate increase -- requested rate increase would have on the 6% target?

A. We do not.

Q. Okay. Would you agree that the -- any -- any increase in rates would have an impact on the percentage energy burden?

A. We can't speculate on the rate increase in these proceedings.

Q. But would you agree that any increase would have an impact on the energy burden that's discussed in your testimony?

A. We haven't done that analysis.

Q. Okay.

MR. RIGBERG: That's all the questions I have, your Honor -- Honors. Excuse me.

A.L.J. COSTELLO: U.I.U.?

MS. O'HARE: Thank you, your Honors.

CROSS EXAMINATION

BY MS. O'HARE:

Q. Good afternoon, Panel. If I can direct your attention to page 33 of your direct testimony, lines 1 through 12. I'll give you a moment to review those lines before I ask my question.

A. (Kruger) What were the lines again? Sorry; I didn't hear you.

Q. Sure. Page 33 of your direct testimony, lines 1 through 12.

A. Okay.

Q. Thank you. So I'll be asking some questions about the Panel's recommendations regarding the complaint rate metric. On what basis did the Panel determine a complaint rate of .67 for KEDNY is too stringent at this time?

A. (Bauer) That answer is in our testimony. Did you want me to read it to you?

Q. I wanted to understand the meaning of the term, current operating environments, on lines 18 to 19.

A. Is that a separate question and you don't want me to read you the answer based on your question from one?

Q. You do not need to read the

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answer based the question from one.

A. Okay. Thanks. What's your question?

Q. Referring to lines 12 to 19, can you please explain what you mean by term, operating environments?

MS. O'HARE: And it's helpful for the record, I can read the whole sentence of just quote the term?

A.L.J. LEARY: Whole sentence.

BY MS. O'HARE: (Cont'g.)

Q. Okay. The lowest target currently in effect at a New York utility is 1.0; therefore, we recommend the Commission adopt a target of 1.0 as we consider this to be fair and reasonable in line with the other New York utilities while also being more reflective of their current operating environments.

A. (Bauer) Your question, just to clarify, is what do we mean by current operating environments?

Q. Yes.

A. Sure. There is a couple of factors that we look at, what we consider the

Company's current operating environments. There is obviously outside factors that the Company operates within, which obviously they have no control over whether that's predictable or not predictable, whether gas prices, the economics of the area, customers choosing what fuel to use, movement for or away from natural gas.

We also consider their current operating environment to be within their rate case, the amount of money that they've had, the rates that they are able to collect, their customer base, their current staffing, their current performance showing their ability to meet these metrics.

Those are just -- yeah, I feel like that's already a lot.

Q. Thank you. And when looking at New York utilities statewide, as you referenced in this earlier statement in your testimony, is the Panel comparing KEDNY, a gas-only utility, to other New York utilities to provide both gas and electric service?

A. This is all of the New York utilities where this is currently in effect.

Q. So to clarify, you will be

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comparing KEDNY, a gas-only utility, with a combination of electric and gas utility?

A. There are companies that are in effect for both of those or one or the other that are in this comparison.

Q. Thank you. When you are comparing the rate of customer complaints at KEDLI and KEDNY to other utilities, are you distinguishing between the complaints relating to the electric system and the gas system?

A. I'm not completely familiar with how the complaint rates are separated. We just look at -- for our office's intentions, we look at the total number. I don't know if there's a breakdown.

Q. Okay. And by the very nature of the gas system typically not experiences outages as often as electric system, wouldn't you expect lower customer complaint rates for a gas-only utility?

A. I think that's only one factor in the consideration of looking at the possibility of complaints.

Q. What other factors would you consider?

A. Are you asking, specifically,

what do gas-only utilities face that electric doesn't?

Q. Yes.

A. Okay. There's obviously different safety issues associated with gas utilities, gas-only utilities. There's restoration of your property for any new construction or work done. There’s requirements for dig safety that, you know, New York doesn't -- they have different requirements between the utilities.

Q. Thank you very much for your time, Panel.

MS. O'HARE: No further questions at this time.

A.L.J. COSTELLO: Do you want to take a few moments?

MR. FORST: If we could, your Honors --

A.L.J. COSTELLO: Okay.

MR. FORST: -- that would be great. Thank you.

A.L.J. COSTELLO: Sure. We'll go off the record.

(Off the record, 2:47 p.m.)

(The hearing resumed, 3:02 p.m.)

MR. FORST: Yes, your Honors, Staff --

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A.L.J. LEARY: Redirect?

MR. FORST: Yes, we have a couple questions for redirect.

REDIRECT EXAMINATION

BY MR. FORST:

Q. Panel, earlier, you were asked by the Counsel for A.A.R.P. whether you had reviewed any E.A.P. enrollment in other Panels' -- or other parties' testimonies. Could you please explain your answer to that?

A. (Kruger) Yes, we did review other parties' testimonies. We misunderstood the question.

Q. Could you elaborate on the portion of that regarding E.A.P. enrollment?

A. I believe PULP submitted a testimony on E.A.P. enrollment.

MR. FORST: No further questions, your Honors.

A.L.J. COSTELLO: Okay. Thank you.

Any further --?

MR. RIGBERG: Yes. I have questions

now that we have a different answer from before. So --.

A.L.J. COSTELLO: Just state your name again, just --?

MR. RIGBERG: Saul Rigberg with A.A.R.P.

RECROSS EXAMINATION

BY MR. RIGBERG:

Q. So in your review of Mr. Yates' testimony, did -- did you find that you agreed with him that -- that the Company KEDLI could do -- take further steps -- additional steps to increase its participation in the Energy Affordability Program?

A. (Kruger) Do you have a page number?

Q. No. I'm asking you. I just learned that -- that you did, in fact, read Mr. Yates' testimony and, in particular, the section of the Energy Affordability Program and I'm asking you if you -- if you agreed with his recommendations.

MR. GOODRICH: So objection. He's asking -- Mr. Rigberg is asking if the Panel agreed with recommendations that are contained somewhere in Mr. Yates' testimony. If he wants to point to a

specific recommendation, I ask that he does so. If he is asking, generally, if the Panel agrees with Mr. Yates' general testimony, I think that's a vague question and -- and I would object to -- to it being asked.

A.L.J. LEARY: I think he has got a page number. Sustained.

BY MR. RIGBERG: (Cont'g.)

Q. Do -- do you have Mr. Yates's testimony?

A. Yes, I have his direct testimony.

Q. Okay. For instance, turn to page 39, lines 6 through 9. He says that KEDLI's objective of increasing enrollment in its E.A.P. has not been met. Based on my estimates of the number of each Company's low-income customers, with severe housing cost burdens, only 20% to 30% are potentially eligible KEDLI households are enrolled, compared to 70% to 90% for KEDNY.

Do you agree with that statement?

A. (Kruger) We haven't done an analysis on that.

Q. Okay.

MR. RIGBERG: That's all the questions

I have, your Honor.

MR. FORST: Nothing further, your Honors.

A.L.J. COSTELLO: Okay. Thank you.

We want to thank the Panel for their testimony. You're excused. And we'll just get -- go off the record.

(Off the record, 3:06 p.m.)

(The hearing resumed, 3:09 p.m.)

A.L.J. COSTELLO: Would you please state your name and business address for the record?

MR. YATES: Yes, your Honors. My name is William Yates, 90 South Swan Street, Suite 305, Albany, New York.

A.L.J. COSTELLO: Please stand and raise your right hand.

Do you swear or affirm that the testimony you will provide is the truth?

MR. YATES: I do.

WITNESS; WILLIAM YATES; Sworn

A.L.J. COSTELLO: Okay. Thank you. You may be seated.

Your witness?

MS. WHEELOCK: This is Laurie

Wheelock, the attorney with the Public Utility Law Project.

DIRECT EXAMINATION

BY MS. WHEELOCK:

Q. Good afternoon, Mr. Yates.

A. Good afternoon.

Q. You have before you a document entitled Direct Testimony of William D. Yates, C.P.A. for the Public Utility Law Project of New York, Inc. It consists of a cover page and 78 pages of questions and answers, dated August 31st, 2019.

Were corrections made to this testimony on February 10th, 2020?

A. Yes.

MS. WHEELOCK: For the record, when we submitted those corrections, the cover page still had the old August 31st, 2019 date. We apologize. That should read February 10th, 2020.

BY MS. WHEELOCK: (Cont'g.)

Q. The corrected testimony consists of a cover page and 78 pages of questions and answers. Do you have any further corrections to this testimony?

A. No.

Q. Was this testimony prepared by you or under your direct supervision?

A. Yes.

Q. Do you affirm that the information contained in your testimony is true and accurate to the best of your knowledge?

A. Yes.

Q. If you were asked these same questions under oath, would you answer them the same way?

A. Yes.

MS. WHEELOCK: I ask to move Mr. Yates' corrected testimony into the record as if it was provided here orally.

A.L.J. COSTELLO: That's granted. And at this point in the record, the court reporter should insert PULP William D. Yates Corrected Direct Testimony.

STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Brooklyn Union Gas Company dba National Grid NY for Gas Service.	**CASE 19-G-0309**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. dba Brooklyn Union Gas L.I. for Gas Service.	**CASE 19-G-0310**

TESTIMONY OF WILLIAM D. YATES, CPA

FOR

PUBLIC UTILITY LAW PROJECT OF NEW YORK, INC.

Dated: August 31, 2019

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Introduction and Overview

Q. Please state your name, business address, and identify for whom you are presenting testimony in these proceedings.

A. My name is William D. Yates, my office address is at Public Utility Law Project of New York, Inc., 90 South Swan Street - Suite 305, Albany, NY 12210. I am presenting testimony in these proceedings for the Public Utility Law Project of New York, Inc. ("PULP").

Q. Please describe PULP and your relationship to the organization.

A. PULP is a New York not-for-profit corporation that was formed in 1981. Its primary focus is to promote and defend the legal rights of residential utility consumers by educating the public, regulators and elected officials about the impacts of utility rates, conducting research on the rights and energy burden of utility consumers, and advocacy with an emphasis on the rights and needs of low-income utility consumers. I have been employed by PULP in various capacities since July of 1990. I am currently Director of Research for PULP.

Q. What is your educational background, your professional qualifications, and employment history?

A. I am a graduate of Colgate University (B.A. in History, 1982) and a graduate of the New York University Stern School of Business Administration (M.S. in Accounting, 1987). I am a Certified Public Accountant (CPA), licensed to practice in New York State since 1987, and I am a member of the American Institute of Certified Public Accountants (AICPA).

Q. Have you previously testified before the New York State Public Service Commission?

A. Yes, I have provided testimony before the Public Service Commission ("PSC" or "Commission") on behalf of PULP in a number of prior proceedings, including the following cases in 2012, 2013, and from 2016 through the present:

Cases 12-E-0201 and 12-G-0202 (Niagara Mohawk, a/k/a Nat'l Grid-Upstate);

Cases 13-E-0030 and 13-G-0031 (Con Edison);

Cases 16-E-0058 and 16-G-0059 (Nat'l Grid-NY; and Nat'l Grid-LI);

Cases 16- E-0060 and 16-G-0061 (Con Edison);

Case 16-G-0257 (Nat'l Fuel Gas);

Cases 15-M-0127, 12-M-0476 and 98-M-1343 (ESCO Evidentiary Proceeding);

Cases 17-E-0238 and 17-G-0239 (Niagara Mohawk);

Cases 17-E-0459 and 17-G-0460 (Central Hudson);

Cases 18-E-0067 and 18-G-0068 (Orange & Rockland);

Cases 19-E-0065 and 19-G-0066 (Con Edison); and

Cases 19-G-0309 and 19-G-0310 (KEDNY / KEDLI).

In Cases 12-E-0201 and 12-E-0202, I testified regarding the experience of utility customers of Niagara Mohawk who entered into contracts for "commodity" (or "supply") with energy service companies ("ESCOs"). The testimony I provided in that case was the first time that evidence of ESCOs systematically charging more than the utility was put forward in a PSC rate case.

In Cases 13-E-0030 and 13-G-0031, I testified regarding the Joint Proposal's low-income assistance changes, and data reflected in Collection Activity Reports filed monthly by Con Edison, concerning its residential customers with arrears who were at risk of actual or threatened interruption of utility service.

In Cases 15-M-0127, 12-M-0476 and 98-M-1343, I submitted direct and rebuttal testimony on ESCO excess electric and gas charges.

In Cases 16-G-0058 and 16-G-0059, I testified regarding affordability issues, matters relating to the Home Energy Fair Practices Act (hereinafter, "HEFPA"), and rate design in the KEDNY and KEDLI service areas of National Grid. I also provided testimony concerning the cost of SIRs and superfund site cleanup.

In Cases 16-E-0060 and 16-G-0061, I testified regarding affordability issues, HEFPA related matters and rate design in the Con Edison service area.

In Case 16-G-0257, I testified concerning affordability issues, rate design and low-income program funding in the National Fuel Gas service area.

In Cases 17-E-0238 and 17-G-0239, I testified concerning affordability issues, HEFPA related matters, collection practices, AMI, certain issues concerning medical conditions and low-income program funding in the Niagara Mohawk service area.

In Cases 17-E-0459 and 17-G-0460, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, electric vehicles subsidies, employee stock purchase plan matters, and reliability challenges in the Central Hudson service area.

In Cases 18-E-0067 and 18-G-0068, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, and identification procedures in the Orange & Rockland Utilities service area.

In Cases 19-E-0065 and 19-G-0066, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, and customer complaints in the Con Edison service area.

Q. What is the purpose of your testimony in these proceedings?

A. My testimony provides evidence of and examines and offers recommendations in several areas:

1. Evidence that, based on U.S. Census Bureau data, approximately two-thirds of low income households in the Companies' service areas spent at least 50% of their income on housing costs, including utilities, (a severe "Housing Cost Burden") by 2017; while the percent of moderate income households in the KEDNY/KEDLI service area suffering a severe Housing Cost Burden rose in all counties/boroughs of the combined service areas from 2014 - 2017. I estimate that approximately 305,000 low income households and 71,000 moderate income households with severe Housing Cost Burdens (a total of 376,000 households) are residential

KEDNY/KEDLI customers, which was based on the methodology I used and describe in the body of my testimony.

2. Evidence that 14% of KEDNY residential customers and 9% of KEDLI residential customers are more than 60 days late paying their bills and are falling further and further behind. Both the total dollars owed, and the amount owed per KEDNY customer have been in a strong uptrend since 2017. In the twelve months ending June 30, 2019 alone, the arrears of all KEDNY residential customers rose 15%.

3. Evidence that KEDNY and KEDLI's' proposed rate increases – which they state would increase gas delivery rates by 9.61% and 6.15%, respectively, do not include the bill impact of the earnings adjustment mechanisms (EAMs) proposed. Similarly, the Companies do not quantify the impact on bills of the increasing likelihood that significant additional capital investments and subsidies for alternatives to gas heating, gas efficiency programs and demand reduction programs will be needed as the Companies struggle with a hard moratorium on new gas service in both KEDNY and KEDLI's service territories.

4. Evidence that KEDNY has also failed to consider the bill impact of a Site Investigation and Remediation (SIR) Recovery Surcharge that could add 2% per year to residential customers' bills on a total bill basis for decades.

5. Evidence that while KEDNY has had significant success enrolling residential customers in its EAP who may be eligible, KEDLI has not been able to achieve comparable results. U.S. Census Bureau data strongly suggest only 20 - 30% of KEDLI potentially eligible households enrolled, compared to 70 – 90% for KEDNY.

6. Evidence that KEDNY's collection procedures do not ensure that residential customers having difficulty paying their bills are offered affordable deferred payment agreements (DPAs) meeting the statutory requirements set forth by the Home Energy Fair Practices Act (HEFPA).

7. Evidence that public assistance (PA) customers who encounter difficulties with payments and notifications by the New York City Human Resources

Administration (HRA) and the Nassau County and Suffolk County departments of social services (Nassau/Suffolk DSS) applicable to their KEDNY and KEDLI accounts would benefit from improved integration of agency and utility information systems; and better outreach and communication by the utilities.

8. Evidence that KEDNY and KEDLI residential customers seeking to code their accounts for protection as elderly, blind or disabled (EBD) and/or medical emergency (ME) households pursuant to NYCRR § 11.5 would benefit from initiatives by the Companies to automate the enrollment process reflecting these protections, and to conduct further outreach and communication to increase access to enrollment.

9. Evidence that KEDNY transfers balances to residential customer that are older than the six-year New York State statute of limitations (and PSC practice) or that are otherwise incorrectly transferred and must subsequently be reversed.

Q. Are you sponsoring any exhibits?

A. Yes. I am sponsoring (13) exhibits as follows:

- Exhibit__(WDY-01): Monthly Collections Activity Reports (hereinafter, "CARs") submitted by the Companies to the Public Service Commission (hereinafter, "PSC" or "Commission") from January 2010 through June 2019, pursuant to Case 91-M-0744.

- Exhibit__(WDY-02): The Company's responses to certain information requests (hereinafter, "I/Rs") made by PULP and other parties in these proceedings; as well as certain publicly accessible reports, the data from which I use in my testimony.

As a safeguard against posting to the DPS document and matter management system (hereinafter, "DMM") any I/R responses that may include incomplete redactions of any Personally Identifiable Information (hereinafter, "PII"), I have provided a confidential version of Exhibit ___(WDY-02) as Exhibit__(WDY-02) CONFIDENTIAL under the guidelines set forth for confidentiality in these proceedings. For I/R responses that do not contain any information that may be PII,

I have provided a separate redacted version of this exhibit as Exhibit__(WDY-02) REDACTED.

- Exhibit__(WDY-03) - Corrected: A set of illustrations, tables and charts to which I refer in my testimony.

- Exhibit__(WDY-04): Documentation of HTML queries of datasets obtained from the U.S. Census Bureau's American Community Survey (hereinafter, "ACS") for 2010-2014, 2011-2015, 2012-2016, and 2013-2017 as well as summary analyses I performed on those datasets.

- Exhibit__(WDY-05) - Corrected: A set of analyses I prepared to support my findings and recommendations in this testimony.

- Exhibit__(WDY-06): A report published by United Way New York titled *Methodology Overview and Rationale for Use with 2019 ALICE Reports (2017 Data Year)*; together with updated survival and stability budgets for households in the Companies' service areas.

- Exhibit__(WDY-07): A report prepared by the New York State Department of Public Service (DPS) summarizing complaints by residential customers of KEDNY to the PSC for the period January 1 through December 31, 2016 obtained by PULP under the Freedom of Information Law (hereinafter, "FOIL").

- Exhibit__(WDY-08): A report prepared by DPS summarizing complaints by residential customers of KEDLI to the PSC for the period January 1 through December 31, 2016 obtained by PULP under FOIL.

- Exhibit__(WDY-09): Complaints by residential customers of KEDNY to the PSC for the period January 1 through September 30, 2018 obtained by PULP under FOIL. As a safeguard against posting to DMM, for any complaints that may include incomplete redactions of any PII, I have provided a confidential version of all 3,236 complaints as Exhibit__(WDY-09) CONFIDENTIAL under the guidelines set forth for confidentiality in these proceedings. For those complaints I reference in

my testimony, I have provided a separate redacted version of this exhibit as Exhibit__(WDY-09) REDACTED.

- Exhibit__(WDY-10): Complaints by residential customers of KEDLI to the PSC for the period January 1 through September 30, 2018 obtained by PULP under FOIL. As a safeguard against posting to DMM any complaints that may include incomplete redactions of any PII, for I have provided a confidential version of all 1,033 complaints as Exhibit__(WDY-10) CONFIDENTIAL under the guidelines set forth for confidentiality in these proceedings. For those complaints I reference in my testimony, I have provided a separate redacted version of this exhibit as Exhibit__(WDY-10) REDACTED.

- Exhibit__(WDY-11): A set of Google Maps directions by various modes of transportation between the center-point of the zip codes of certain residential KEDNY customers and their nearest customer service center.

- Exhibit__(WDY-12): The DPS details of fourteen residential KEDNY customers whose complaints pertain to either obtaining deferred payment agreements or establishing service at one of the Company walk-in service centers.

- Exhibit__(WDY-13): Listing of various Complaint IDs with citations to Exhibit__(WDY-09) CONFIDENTIAL, Exhibit__(WDY-09) REDACTED, Exhibit__(WDY-10) CONFIDENTIAL and Exhibit__(WDY-09) REDACTED.

Q. Please provide a brief overview of the sources you reviewed that led you to make your findings and form your recommendations.

A. As discussed in more detail in the remainder of my testimony, I reviewed information from several sources that provided evidence that most of the Companies' low income customers cannot afford their utility bills, and that the population of low income customers is much larger than the existing and future anticipated number of participants in the Companies' expanded Energy Affordability Plans (EAPs). Sources included testimony by the Companies' witnesses in these proceedings, ACS data from 2010 through 2017, monthly CARs for years 2010 through 2019 either obtained by PULP from the Company during

discovery in these proceedings, through requests under FOIL, or by use of DMM; complaints by residential customers of the Companies to DPS from January 1, 2016 through September 30, 2018 obtained through FOIL; responses to I/Rs submitted by PULP and other parties; and other publicly available information. Using these sources, I analyzed indicia of unaffordability in the Companies' service area and other factors, such as:

1. The impact upon utility unaffordability that the Companies' proposals in these proceedings would have upon low-income customers who participate in the Companies' Energy Affordability Plans (EAPs), as well as the broader group of low-income households in the Companies' service territory that the U.S. Census Bureau has identified as having annual income of less than thirty-five thousand dollars ($35,000) and who spend at least fifty percent (50%) of that income on housing costs including utilities (hereinafter, households or customers suffering a severe "Housing Cost Burden");

2. The further impact that the Companies' proposals in these proceedings would have upon utility unaffordability for their low- and fixed-income residential customers;

3. The impact upon utility unaffordability that the Companies' customer service and collections procedures have upon their residential customers.

Q. What are your recommendations regarding the affordability and reliability problems faced by the Companies' low-income customers?

A. Based on the findings I discuss throughout my testimony, I recommend several actions that should be taken to reduce the affordability problems of many of the Companies' customers. In the context of this rate case:

1. The parties in these proceedings should endeavor to find the means to limit the total bill impacts of any rate increases for typical (average usage) residential customers to no more than two percent (2.0%) per rate year. Additionally, the parties should explore alternative rate designs that would lower basic service charges for residential customers and, more generally, reward conservation and energy efficiency through lower delivery bills.

2. KEDNY should agree, or be required, to use 100% of its share of any earnings-sharing mechanism adopted in these proceedings, including any "dead band" to reduce deferred Site Investigation and Remediation (SIR) costs.

3. The Companies should accelerate efforts to enroll residential customers in their energy assistance programs (EAPs).

4. The parties in these proceedings should consider expanding on the Companies' proposal to add additional employees that they deem necessary to implement the EAPs and Energy Affordability Engagement Initiatives to make the additional one-half full time equivalent (FTE) resource proposed by the Companies be one FTE, if the added one-half FTE could be dedicated to increasing KEDLI EAP participation rates, and if resources could be made available that would not create an excessive burden on ratepayers or result in additional administrative costs exceeding those contemplated by the Commission in Case 14-M-0465.

5. The Companies should accelerate efforts to provide energy efficiency assistance to high-usage residential customers who are EAP participants. Any associated earnings incentive mechanisms should set targets for incremental efficiency savings based on actual customer outcomes.

6. The Companies should accelerate the return to customers of excess unprotected accumulated deferred federal income taxes resulting from the 2017 Tax Cut and Jobs Act (TCJA) such that all net benefits are returned during the rate plans in these proceedings.

7. The Companies should improve affordability for their residential customers through better customer service, including more access to affordable deferred payment agreements (DPAs).

    a. KEDNY should abandon its requirement that residential customers must physically appear in person at customer service centers so as to provide evidence of their need for more affordable DPA terms. Instead, the Company should modify its residential payment arrangement and financial statement form (FSF) procedures to affirmatively instruct

CSRs to negotiate with residential customers DPAs that meet the statutory requirements of HEFPA. Specific modifications should include:

I. Instructing CSRs to negotiate such DPAs at the time residential customers first communicate difficulty payment on their KEDNY bills, including providing the KEDLI Residential Payment Terms Rights Disclosure Statement set to be implemented by KEDLI by the end of 2019 (Exhibit __(WDY-02) at 665) REDACTED;

II. Instructing CSRs to negotiate DPAs in a manner tailored to the individual financial circumstances of customers, in accordance with HEFPA;

III. Removing any restrictions currently imposed by the Company upon CSRs to solicit and obtain FSFs from residential customers as a means of objectively determining their individual financial circumstances and thereby serving as the basis for DPA terms;

IV. Evidencing the agreement of terms between the Company and its customers entering into DPAs with the signature of both parties. To the greatest extent possible, this should be accomplished using the Company's proposed E-DPA capabilities. When not possible, the Company should require customers to return signed copies of their agreements to evidence the agreement of the parties; and

V. Reporting on DMM the monthly number of:
   a) Completed FSFs;
   b) Completed E-DPAs, and;
   c) Signed hardcopy DPAs completed, including the separate reporting of Minimum DPAs, other more lenient DPAs, and Standard DPAs completed.

8. The Companies should provide access to six years of detailed billing data through the Companies' e-Billing portal. This data should be made available to residential customers as soon as they enroll in e-Billing, thus reducing the confusion and disputes that might otherwise lead to customers' filing complaints with DPS. In the case of public assistance (PA) customers who have "abeyance" amounts associated with their bills that are more than six years old or the UGC/DVC period has lasted more than six years, billing history extending back to three months prior to the earlier of: the removal of arrears constituting abeyance amounts from customer bills; or the beginning of UGC/DVC periods should be provided.

9. The Companies should pursue, as part of updating and improving their IT systems, and in partnership with New York City HRA and Nassau/Suffolk DSS, the development of an application that tracks the public assistance status of PA customers and reports such status to PA customers in "real-time" through their e-Billing portals (in the case of electronic billing customers) and through the mail anytime there is an update/change for non-electronic billing customers. An application of this sort would be beneficial to both the Companies and to customers, who each could monitor § 131-s, UGC/DVC and HEAP status in a manner that would allow much more timely action to prevent situations that could lead to unnecessary complaints and collections actions.

10. The Companies should provide to PA customers complete, detailed reconciliations of all transactions between HRA/DSS and KEDNY/KEDLI pertaining to their One-Shot grants, UGC/DVC assistance and HEAP grants, identifying any reconciling transactions that require follow up by the customer and/or the Company so as to ensure the accuracy of amounts owed by the customer.

11. The Companies should conduct telephone outreach to UGC/DVC customers with abeyance amounts at least annually to review their assistance status, including their abeyance amounts. This outreach should also include a reminder that once UGC/DVC status ends, customers are responsible for their own bills and the resolution of their abeyances. Summaries of discussions between CSRs and customers on these calls should be transmitted to each customer, who should be

requested to return an acknowledgement of their agreement about the CSR summary, indicating any differences in their understandings of such phone conversations.

12. The Companies should grant automatic thirty-day extensions for customers whose UGC/DVC status ends, during which time these customers should be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA. During the extension period, all collections actions against these customers should be suspended.

13. The Companies should include regular messages on bills that reference communications between the Companies and customers regarding any pending HRA/DSS status changes, together with references to e-Billing portal resources described above helping to explain such transactions.

14. The Companies should provide an extension period of ninety days to those customers shown to have reconciling transactions between the Companies and HRA/DSS — such as UGC/DVC payments that HRA/DSS was supposed to make to the Companies but did not, or payments made by HRA/DSS that were later rescinded — during which all collections actions would be suspended while the affected customers attempt to resolve the reconciling transactions, complete an FSF and negotiate a HEFPA DPA.

15. Extensions should be commenced as of the date any bill including added amounts related to HRA/DSS is mailed. During extension periods, affected customers should be given the opportunity to engage with specially designated Company personnel to dispute transfers customers contend are erroneous and to seek resolution of such disputes. During the extension period, these customers should also be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA; and all collections actions against related to disputed amounts should be suspended.

16. The Companies should develop secure web-based portals (if applicable, the e-Billing portal) be created to track the progress of applications for customers who

want their accounts coded for EBD and/or medical emergency status. The portal should also be designed to manage the ongoing status of certification and re-certification. Automatic thirty-day extensions for customers seeking either EBD and/or medical emergency coding should be granted to allow for necessary documentation to be provided to the Companies. During the extension period, these customers should also be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA; and all collections actions against these customers should be suspended.

17. The Companies should engage in outreach to residential customers to notify them of the Companies' intention to make balance transfers to their accounts prior to making any such transfers. Automatic thirty-day extensions should be granted to residential customers who have balances transferred to their accounts. Extensions should be commenced as of the date any bill including such a transfer is mailed. During extension periods, affected customers should be given the opportunity to engage with specially designated Company personnel to dispute transfers that customers contend are erroneous and to seek resolution of such disputes. During the extension period, these customers should also be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA; and all collections actions against related to disputed amounts should be suspended.

18. The Companies' Terminations and Uncollectibles EAMs should be modified to include an arrears component, updated positive revenue adjustments (PRAs) targets, and an added negative revenue adjustments (NRA). PRA targets should be established that challenge normal performance (so-called "stretch" or "reach" targets). These targets should be updated as of the month before any joint proposal in these proceedings is adopted using the methodology I provide in this testimony. (Exhibit ___(WDY-05) - Corrected at 4-7).

Residential Affordability

Bill Impacts of Companies' Proposed Rate Increases

Q. Please describe the Companies' proposed increases in residential rates.

A. According to the Companies' filing letter, a "typical" KEDNY residential heating customer would experience a $16.66 monthly increase, equating to an 11.99% increase in their bill. A typical KEDLI residential heating customer will see a $7.14 monthly increase, equating to a 5.15% increase in their bill. However, as the filing letter also indicates,

> *"…the effect on individual customer's monthly bills will vary depending on the customer's usage and service classification.*"
>
> (Filing Letter at 3)

In their July 3, 2019 filing corrections and updates, KEDNY and KEDLI indicated that typical residential heating customers would experience increases of $12.93 and $8.16, or 9.61% and 6.15% on their total monthly bills, respectively. (KEDNY Exhibit ___(RDP-4CU), Schedule 4 at 2); (Exhibit ___(RDP-4CU), Schedule 4 at 3). Total monthly bill increases factor in changes in cost of the supply of natural gas in addition to the delivery costs to provide the service, which renders the "total bill" increase noticeably lower than the delivery costs increases. Since the delivery cost is totally under the control of the Companies, whereas supply costs are not, delivery cost is a more accurate measure of the increases levied by the Companies upon their customers.

Q. What is a "typical" residential heating customer, and what are the equivalent increases in the delivery charge portion for such customers?

A. For both KEDNY and KEDLI, a typical residential heating customer is one whose average usage is 83 therms per month, or approximately 1,000 therms annually. The delivery bill increase for a typical KEDNY residential heating customer would be 13.93% under the Companies' proposal. (Exhibit ___(RDP-4CU), Schedule 4 at 2). For KEDLI, the average

usage customer would experience an 8.64% increase in delivery charges. (Exhibit ___(RDP-4CU), Schedule 4 at 3).

Q. How might the Companies' proposed increases vary for other residential customers?

A. For KEDNY customers with average monthly usage less than 83 therms, the percentage of delivery bill increases range from 8.18% to 13.76%. Above average usage customers would experience delivery bill increases ranging from 14.72% to 20.69%. (Exhibit ___(RDP-4CU), Schedule 4 at 2).

For KEDLI customers with average monthly usage less than 83 therms, the percentage of delivery bill increases range from 5.59% to 8.59%. Above average usage customers would experience delivery bill increases ranging from 8.87% to 11.00%. (Exhibit ___(RDP-4CU), Schedule 4 at 3).

For non-heating residential customers, the proposed percentage increases are much higher on both a delivery bill and total bill basis. The average KEDNY non-heating customer uses 10 therms of gas monthly. These customers would experience delivery and total bill increases of 20.79% and 17.77%, respectively. Lower usage customers would experience 13.75% to 19.19% delivery bill increases, while higher usage customers would experience 22.51% to 34.32% higher delivery bills. (Exhibit ___(RDP-4CU), Schedule 4 at 1).

The average KEDLI non-heating customer uses 21 therms of gas monthly. These customers would experience delivery and total bill increases of 14.77% and 12.17%, respectively. Lower usage customers would experience 11.48% to 14.71% delivery bill increases, while higher usage customers would experience 14.96% to 19.21% higher delivery bills. (Exhibit ___(RDP-4CU), Schedule 4 at 2)

Q. What would the bill impact of the proposed rate increases be on customers who are enrolled in the Companies' Energy Affordability Programs (EAP customers)?

A. The typical KEDNY EAP heating customer uses 97 therms of gas per month, or approximately 1,164 therms each year; while the monthly usage of the typical KEDLI EAP heating customer is 86 therms, or 1,032 therms annually. These customers would face monthly delivery bill increases of $14.34 (18.05%) and $8.26 (10.78%) under the

Companies' proposals, respectively. The annualized increase for an average usage KEDNY EAP heating customer would be $172.08. For the equivalent KEDLI customer, the annual increase would be $99.12. (KEDNY Exhibit ___(RDP-4CU), Schedule 4 at 2; KEDLI Exhibit ___(RDP-4CU), Schedule 4 at 3).

The typical KEDNY EAP non-heating customer uses 7 therms of gas per month, or approximately 84 therms each year; while the monthly usage of the typical KEDLI EAP non-heating customer is 14 therms, or 168 annually. These customers would face monthly delivery bill increases of $4.80 (21.95%) and $5.35 (15.58%) under the Companies' proposals, respectively. The annualized increase for an average usage KEDNY EAP non-heating customer would be $57.60. For the equivalent KEDLI customer, the annual increase would be $64.20. (KEDNY Exhibit ___(RDP-4CU), Schedule 4 at 3; KEDLI Exhibit ___(RDP-4CU), Schedule 4 at 2).

Q. Why are the proposed increases higher in percentage terms for EAP customers than non-EAP customers?

A. Participants in the KEDNY and KEDLI energy assistance programs receive a monthly fixed discount on their bills. For purposes of reporting the bill impacts of the Companies' proposed rate increases, each has used the minimum discount available to EAP customers, which is $18 for heating and $3 for non-heating. These fixed discounts amplify the percentage impact of the Companies' proposed increases on EAP participants, which are the same in dollar terms but are larger when expressed as a percentage of EAP customers' typical bills than those of customers who are not EAP participants.

Q. Are there any adjustments to EAP plan discounts to mitigate the percentage impact of the Companies' proposed increases on EAP customers?

A. Not directly. Pursuant to the orders in Case 14-M-0565 that created a statewide framework for the administration of utility low income customer assistance programs in New York, each utility is required annually to update the amount of the discounts it provides to

program participants.[1] The update process is formulaic, setting a single (fixed) discount amount for each "tier" within the utility's program. Discounts are therefore not based on individual customer bills (i.e. as a percentage of the total bill) and do not provide an adjustment mechanism tailored to individual customer bills sufficient to mitigate the impact of rate increases proportionately for all customers. For example, in the proposed Rate Year proposed for these rate plans, each Tier 1 heating EAP customer will receive an $18 monthly discount (up $1 from the previous discount of $17), regardless of their total bill. (Shared Services Panel Testimony at 72). Tier 1 customers with total bill increases of $10 resulting from the Companies' proposals would see 10% of such increases offset ($1 divided by $10); while Tier 1 customers whose total bills increased by $20 would only achieve mitigation of their increases of 5% ($1 divided by $20).

Q. Have the Companies proposed any changes to the enrollment tiers in the EAP for either KEDNY or KEDLI?

A. Yes. The Companies are proposing to eliminate Tier 5 for KEDLI and Tiers 5 and 6 for KEDNY, thereby transitioning those customers into Tier 1. (Shared Services Panel Testimony at 74). The Companies' rationale for these changes is that certain tiers are duplicative.

Q. Are the Companies proposing increases in their basic service charges for residential customers?

A. Yes. KEDNY proposes to increase its basic service charges for heating gas service by $1.85, or 8.58%, to $23.40 and to raise its basic service charges for non-heating $2.40, or 14.77%, to $18.65; while KEDLI proposes to increase its basic service charges by $1.64 (7.57%) for heating and $2.80 (14.18%) for non-heating, respectively. The resulting basic service charges for KEDNY would be $23.40 and $18.65 for heating and non-heating,

[1] See: *Order Adopting Low Income Program Modifications and Directing Utility Filings*, Case 14-M-0465, available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={BC2F31C9-B563-4DD6-B1EA-81A830B77276}, and *Order Approving Implementation Plans with Modifications*, Case 14-M-0465, available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={9BE99F5C-7F98-4376-8ABF-F3604F4495BF}.

respectively. For KEDLI, the heating basic service charge would rise to $23.30 and the non-heating charge would increase to $22.55.

Q. Are there any additional bill impacts residential customers of the Companies may experience in connection with these proceedings?

A. Yes. There are at least three other potentially significant additions to residential customer bills being proposed in these proceedings, none of which are included in the base rates for which the Companies have calculated bill impacts as described previously.

(1) Earnings Adjustment Mechanisms (EAMs)

The first potentially significant driver of increases to residential customer bills is a set of "earnings adjustment mechanisms" (EAMs) that are intended by the Commission and Company to "encourage achievement" of the State's clean energy goals, the Commission's REV objectives, and the Companies' commitment to sustainably and affordably meeting customers' heating requirements. (Future of Heat Panel Testimony at 95) Based on the Future of Heat Panel Testimony and the Companies' response to I/R UIU-19, KEDNY customers in general could experience up to $25.7 million of added bill impacts in Rate Year 1 due to these incentive mechanisms, while KEDLI customers could face up to $16.0 million of additional impacts. (KEDNY Revenue Requirements Panel Testimony, Exhibit ___(RRP-1CU) at 2; KEDLI Revenue Requirements Panel Testimony, Exhibit ___(RRP-1CU) at 2[2]; Future of Heat Panel Testimony at 96 - 97; Exhibit ___(WDY-02) REDACTED at 1[3]. The share of these costs that could be expected to be borne by residential customers of the Companies would be approximately 42% for KEDNY, or $10.8 million ($0.015 per therm) and 48% for KEDLI, or $7.8 million ($0.014 per therm). Direct Testimony of Theodore Poe, Jr., KEDNY Exhibit ___(TEP-4ACU) at 1, KEDLI Exhibit ___(TEP-4BCU) at 1).[4]

[2] KEDNY: $2,050,875 / $2,052,100 = 100%; KEDLI: $ 1,251,076 / $1,257,847 = 99%.
[3] KEDNY: 78 basis points times $3.3 million per 10 basis points * 100% = $25.7 million; KEDLI: 77 basis points times $2.1 million per 10 basis points * 99% = $16.0 million.
[4] KEDNY: Approximately 719,000,000 Residential Therms Usage / 1,695,000,000 Total Therms Usage = 42% Residential Share annually for 2020 – 2021; KEDLI: Approximately 549,000,000 Residential Therms Usage / 1,146,000,000 Total Therms Usage = 48% Residential Share annually for 2020 – 2021.

Based on these per therm impacts, EAMs have the potential to raise monthly bills for the typical residential heating customers of each company by another 1 – 1.25% on a delivery bill basis ($1.25 for KEDNY and $1.16 for KEDLI).

(2) Site Investigation and Remediation (SIR) Recovery Surcharge

The second potential major driver of increase to residential customer rates arises from the non-inclusion of the cleanup costs for KEDNY's superfund sites at Gowanus Canal and Newtown Creek in residential ratepayer bill impacts. The Company estimates non-superfund "site investigation and remediation" (SIR) costs for Rate Year 1 and Data Years 1-3 to be $66.1, $62.6, $44.9 and $30.0 million, respectively. (Testimony of Charles F. Willard at 13). The $204.6 million projected for non-superfund SIR expenses is certainly significant (while substantially less than the superfund cleanup costs), but also noticeably declines throughout the potential four-year rate plan — dropping by more than 50% between Rate Year 1 and Data Year 3. Significantly, the Company proposes to include recovery of all non-superfund SIR expenses in base rates.

The exact opposite seems to true for the Gowanus Canal and Newtown Creek superfund sites; estimated costs have not declined over time but instead, they have shot upward. Based on KEDNY's annual report filings with the Public Service Commission, the Companies' estimated liability for environmental clean-up costs has skyrocketed since 2009. Chart 1 reflects this dramatic increase:

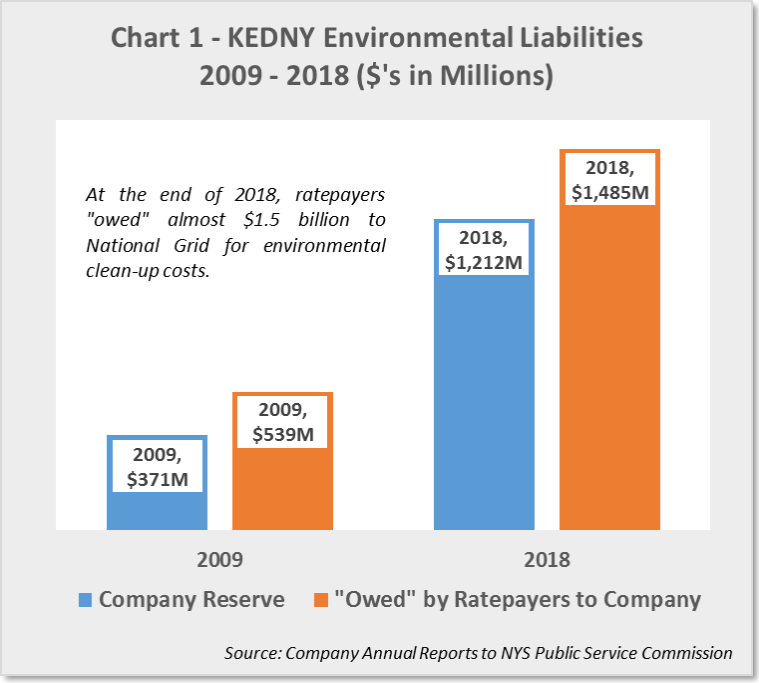


Exhibit ___(WDY-02) REDACTED at 2-5

Company environmental reserves — money KEDNY estimates it will have to spend in the future on clean-up activities — more than tripled from 2009 through 2018, from $371 million to $1.212 billion. During the same period, the amount the Company intends to recover from its rate payers related to environmental clean-up costs rose from $539 million to $1.485 billion. (Expected recovery equals costs already incurred but not yet recovered, plus expected future clean-up costs). Based on an estimated residential share of these costs of 42% (footnote 4), it appears that residential KEDNY ratepayers could be responsible for paying approximately $624 million of these liabilities ($1.485 billion times 42% equals $623.7 million). Based on an average residential customer count forecast of approximately 975,000 from 2020 - 2024, this represents an average amount “owed” by residential customers to the Company of $624. Worse, there is no sign that this liability will decrease in the short term.

Since it appears that SIR costs not related to Gowanus and Newtown Creek (those included in base rates) are declining; yet Company (and rate payer) liability has skyrocketed since 2009, it would be reasonable to conclude that most of the growth in SIR liabilities is related to the Gowanus and Newtown Creek super fund sites. This explains the adoption of the

SIR Surcharge Recovery mechanism in its current form (as ordered in Case 16-G-0058), which basically provides a mechanism for the Company to recover clean-up costs for these two sites from rate payers as they are incurred, with a cap on any single year recovery of 2% of the Companies' prior year aggregate revenue.[5] Given KEDNY's 2018 operating revenues of approximately $1.9 billion[6], a 2% surcharge on overall customer bills would amount to about $38 million per year. If 42% of that surcharge applied to residential customers, their share would amount to $16 million annually. Therefore, it appears possible that residential KEDNY ratepayers could see 2% monthly surcharges on their bills for Gowanus and Newtown Creek for at least the next 39 years (assuming liabilities for these sites do not increase further).

For the present, it would be prudent to anticipate that a 2% total bill surcharge would be added to the monthly bills in Rate Year 1, especially since Witness Willard anticipates that remediation work will begin at Gowanus Canal (Testimony of Charles F. Willard at 22). This surcharge would translate into an additional monthly charge of $2.99 — 2.9% on a delivery bill basis — for the typical KEDNY heating customer at 83 therms. (Exhibit __ (RDP-4CU), Schedule 4 at 2). No other utility in New York State history has imposed such a financial burden solely upon on its ratepayers arising from environmental degradation as has National Grid's New York City gas utility.

Q. Are there any other issues to consider with regard to KEDNY's proposal that its customers pay 100% of the cost for the clean-up at these sites?

A. Yes, it is troubling that KEDNY is asking customers across its service area to pay 100% of the clean-up costs of Newtown Creek and the Gowanus Canal. It is especially disconcerting that customers who live in the vicinity of the superfund sites; i.e., environmental justice zones, and who are already dealing with a variety of the sites' negative environmental side-effects, are expected under KEDNY's proposal to pay "their share" of the 100% recovery

[5] See: *Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans*, Case 16-G-0058 at 79, available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={A75F304F-604B-4ECA-A3B8-596DCAE1F72D},

[6] See: *2018 Annual Report of the Brooklyn Union Gas Company D/B/A National Grid NY* at 114-17, available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={1302D145-3D27-4EFF-A40E-B3968F8DF2AD}.

while KEDNY shareholders pay nothing at all. It is against the public interest for KEDNY to recover 100% of the clean-up costs from ratepayers, many of whom are already dealing with these negative impacts.

Q. Do you have an alternative recommendation/proposal to the Companies' request that 100% of SIR expenses be allocated to ratepayers?

A. Yes. I recommend that as a result of these proceedings, KEDNY agree, or be required, to use 100% of its share of any earnings-sharing mechanism adopted in these proceedings, including any "dead band," to reduce deferred Site Investigation and Remediation (SIR) costs.

Q. What is an "earnings-sharing mechanism"?

A. An earnings-sharing mechanism (ESM) is a pre-determined way of providing for the sharing of any potential earnings between ratepayers and the utility that are above specified return on equity (ROE) thresholds set in a joint proposal or by Commission order. For example, the Commission's order in Case 16-G-0058 adopted an ESM whereby KEDNY would keep 100% of any earnings above the 9.0% authorized ROE up to 9.5% (the "dead band"). Thereafter, 50% of any earnings exceeding 9.5% but less than or equal to 10%; 75% of any earnings exceeding 10% but less than or equal to 10%; and 90% of any earnings exceeding 10.5% were designated to be deferred for the benefit of customers.[7]

Q. Is there any precedent for utilizing the utility's share of earnings above the authorized ROE to pay down deferred SIR costs?

A. Yes. In Case 11-M-0034, a generic proceeding initiated by concerned intervenors focused on the allocation criteria of SIR costs between shareholders and ratepayers, the Commission declined to adopt a generic policy requiring sharing or reallocation of SIR costs between utility ratepayers and shareholders, but identified two circumstances in which sharing of SIR costs may be appropriate:

[7] See: *Order Adopting Terms Of Joint Proposal and Establishing Gas Rate Plans*, Case 16-G-0058 at 34-35. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={A75F304F-604B-4ECA-A3B8-596DCAE1F72D}.

- Where utilities have failed to adequately constrain SIR costs, or;
- As part of multiyear rate plans incorporating excess earnings mechanisms [8]

Additionally, in Cases 13-E-0030 and 13-G-0031, the Commission accepted the proposal of the settling parties to adopt an ESM designating 50% of Con Edison's share of earnings exceeding the "dead band" to be used to reduce deferred SIR costs. In the case at hand, KEDNY reasonably anticipates a multi-year settlement and an excess earning mechanism. One of the Commission's two preconditions for sharing of SIR costs between the utility and ratepayers identified above is therefore met.

Q. Why does your proposal designate 100% of KEDNY share of the ESM, including all of any potential dead band, to be used to pay down deferred SIR costs while the Order in Cases 13-E-0030 and 13-G-0031 designated only 50% for this purpose?

A. The scale of KEDNY's regulatory deferrals and reserves associated with SIR expenses far exceeds Con Edison's equivalent balances leading up to Con Edison's 2013 rate cases. KEDNY's $1.2 billion environmental reserve at December 2018 (Chart 1) was approximately three times that of Con Edison's reserve as of December 2012, the date of Con Edison's last annual report period before Cases 13-E-0030 and 13-G-0031 were initiated.[9] Additionally, KEDNY's $1.5 billion Deferred SIR regulatory asset (Chart 1) was about 2.5 times that of Con Edison's SIR regulatory asset.[10]

Another consideration leading to my recommendation that 100% of KEDNY's share of any ESM created in these proceedings be used to pay down deferred SIR cost is that Con Edison's total revenues are about 2.5 times those of KEDNY's, a situation that has, in part,

[8] See: *Order Concerning Costs For Site Investigation and Remediation*, Case 11-M-0034. Available at:
[9] See: *Annual Report of Consolidated Edison Company of New York, Inc, 2012* at 1-C. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={5E893C7C-BC1F-46C5-8A51-D445E2711CA7}.
[10] See: *Annual Report of Consolidated Edison Company of New York, Inc, 2012* at 232. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={9D0E2E4F-2FA5-4B35-8215-142EF69CD774}.

led the Commission to approve a special "SIR Recovery Surcharge" as a supplemental source of recovery to be used to reduce KEDNY's environmental liabilities.[11,12]

(3) Potential Bill Impacts upon Ratepayers of Costs Associated with Moratoria on New Gas Connections

Q. Are there any other potential costs to ratepayers that have not been incorporated in the bill impacts presented by the Companies?

A. Yes. PULP is concerned about the implications of KEDNY/KEDLI's hard moratoria on "new" natural gas connections. Specifically, PULP finds that the Companies have not adequately presented to the public the potential service impacts (and potentially attendant bill impacts) that could result from decreasing sales, and/or the increasing likelihood that significant additional capital investments and subsidies for alternatives to gas heating, gas efficiency programs and demand reduction programs, will be needed as the Companies struggle to meet their duty to serve despite the moratoria on new gas service.[13]

Examples of these impacts are already apparent in the great confusion the moratoria have created for both residential and commercial customers. At public statement hearings attended by PULP, customers shared their experiences of "temporarily" suspending their gas service to make renovations to their homes and businesses who were later denied resumption of service. Statements were also made, for example, by a representative of a small business who indicated that he had spent considerable amounts of money to open a new restaurant (even hiring employees) only to be told that they could not be provided with gas service. (Public Statement Hearing Brooklyn, July 31, 2019, pages 58-60).

[11] *Annual Report of Consolidated Edison Company of New York, Inc, 2012* at 300 (Electric Operating Revenues: $3,340,876,451), 64-A (Gas Operating Revenues: $1,420,837,640).
[12] See: *Annual Report of The Brooklyn Union Gas Company d/b/a National Grid New York*, 2018 at 64 (Gas Operating Revenues: $2,021,833,190). Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={1302D145-3D27-4EFF-A40E-B3968F8DF2AD}.
[13] See: *A high-level view of our New York City (KEDNY) rate proposal* at 12 (*Meeting today's needs: Northeast Supply Enhancement Project (NESE)*). Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={636864C3-839A-49BF-8016-96708492EF8F}.

Q. Taken as a whole, can residential customers of KEDNY/KEDLI afford the increased rates, added surcharges and other bill impacts proposed by the Companies?

A. No. For the Companies' low-to-moderate income residential (LMI) customers, the Companies' proposed rate increases would place a heavy burden on these already financially challenged households, especially considering the simultaneous rate increase request by Con Edison in the KEDNY service area.

Taken together, the impact of these unquantified increases, surcharges and other bill impacts increases KEDNY and KEDLI's effective increases on a delivery bill basis to 17.8% and 9.6%, respectively, for the proposed initial rate year alone[14]. These percentage increases far exceed historic rates of CPI and other measures of cost of living growth, as well as the past decade's average annual rate of increase in household income in the Companies' service areas. As will be shown, the Companies' proposed increases are well beyond anything that their LMI ratepayers can afford.

Q. How are LMI customers defined?

A. There is no single definition of a "low income" or "moderate income" utility customer in New York State. However, in recent years policies have been set forth by State agencies such as the Public Service Commission (PSC) and the New York State Energy Research and Development Authority (NYSERDA) that define "low income" customers as households whose annual income is at or below 60% of the statewide median household income and "moderate income" customers as households whose annual income is greater than 60% and less than or equal to 80% of the statewide median income. For example, in Case 14-M-0465, the PSC determined that utilities should develop low income affordability programs with the goal of achieving a 6% energy burden for households whose annual income is at or below 60% of the statewide median income.[15] And in April

[14] KEDNY: 13.93% (base rates) + 1.00% (EAMs) + 2.90% (SIR) + ? (Moratorium) = 17.83%. KEDLI: 8.64% (base rates) + 1.00% (EAMs) + ? (Moratorium) = 9.64%.

[15] See: Order Adopting Low Income Program Modifications and Directing Utility Filings, Case 14-M-0465, available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={BC2F31C9-B563-4DD6-B1EA-81A830B77276},and Order Approving Implementation Plans with Modifications, Case 14-M-0465, available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={9BE99F5C-7F98-4376-8ABF-F3604F4495BF}.

2018, Department of Public Service Staff (Staff) and NYSERDA issued a report entitled *New Efficiency: New York* that defined "moderate income" customers as households with an annual income between 60% and 80% of the SMI or the Area Median Income, whichever is greater.[16] In the remainder of my testimony, I shall use these definitions to refer to the Companies' low and moderate income (LMI) customers.

Housing Cost Burdens

Q. Please describe the economic challenges that LMI customers in the Companies' service areas experience.

A. Since the Financial Crisis and Great Recession of 2008 – 2010, the biggest economic challenge faced by LMI customers has been that household incomes in this sector have not kept up with rising housing costs, which include utilities. This phenomenon was not new to the post-2010 New York State economy; but was made much more acute by substantial increases in rental housing demand and weakening incomes that increased competition for already-scarce affordable units following the Great Recession.[17] One indication of the growing disparity is the large gap between the compound annual growth rates of median household income and median gross rent since 2010 in the Companies' service areas, as shown in Chart 2.

[16] See: *New Efficiency: New York* at 8. Available at: https://www.nyserda.ny.gov/About/Publications/New-Efficiency.
[17] See: *Worst Case Housing Needs 2011: Report to Congress*, U.S. Department of Housing and Urban Development, February 2013. Available at: https://www.huduser.gov/portal/publications/affhsg/wc_HsgNeeds11.html.

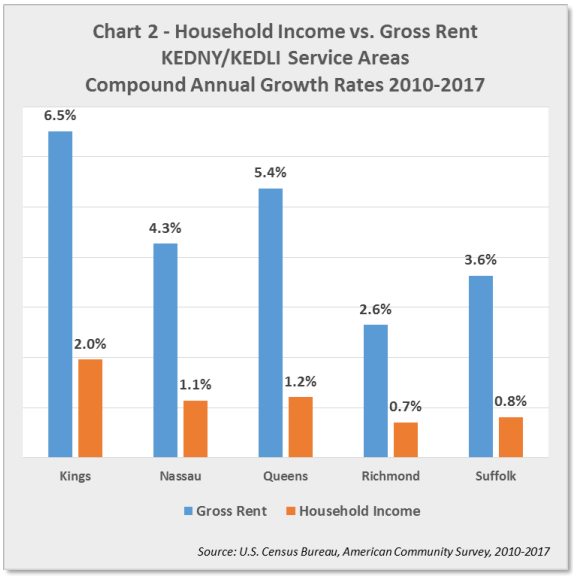


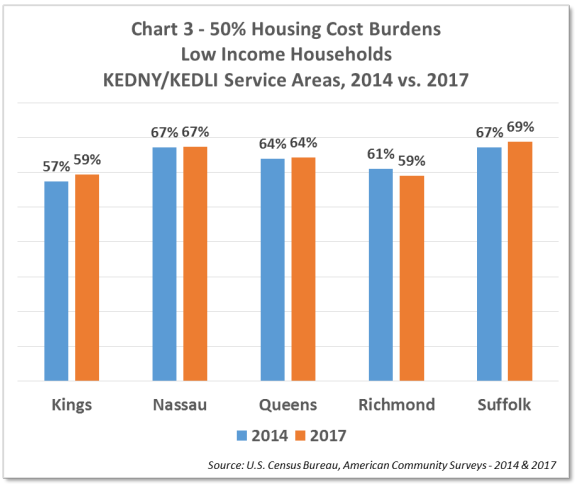
Exhibit ___(WDY-04) at 17

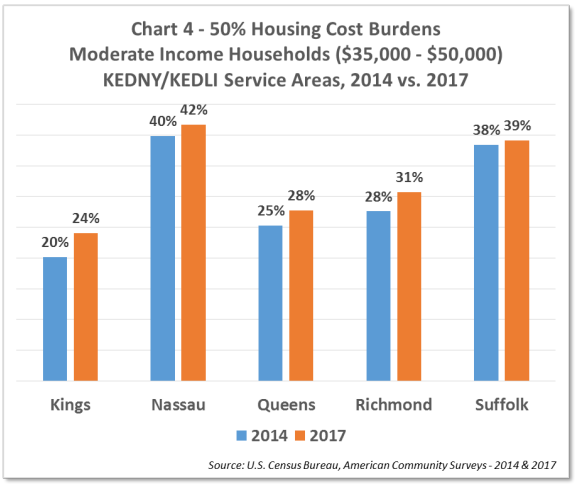
The shortfall of income growth versus increasing housing costs has been especially acute for LMI customers. The U.S. Department of Housing and Urban Development (HUD) defines cost-burdened families as:

> "*those 'who pay more than 30 percent of their income for housing' and 'may have difficulty affording necessities such as food, clothing, transportation, and medical care.' Severe rent burden is defined as paying more than 50 percent of one's income on rent.*"[18]

Since 2014, the U.S. Census Bureau has included in its *American Community Survey* (ACS) a more comprehensive measure of severe "Housing Cost Burdens" comprised of both owner and renter households who spend at least fifty percent (50%) of their annual incomes on housing costs, including utilities.[19] Analyzing these data for LMI households in the Companies' service areas between 2014 and 2017, as shown in Charts 3 and 4, reveals just how challenging and persistent the Housing Cost Burden has become for this sector, particularly for low income households.

[18] See: *Rental Burdens: Rethinking Affordability Measures*, PD&R Edge, Accessed August 8, 2019. Available at: https://www.huduser.gov/portal/pdredge/pdr_edge_featd_article_092214.html.
[19] Prior to 2014, the *ACS* only tracked 50% Housing Cost Burdens for renters.





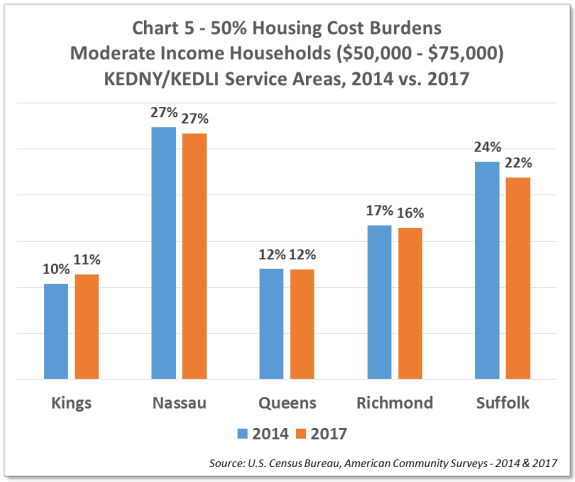


Exhibit ___(WDY-05) - Corrected at 1

The percent of low-income households in the Companies' service areas suffering severe Housing Cost Burdens increased in all counties/boroughs except Richmond (Staten Island) between 2014 and 2017. By 2017 severe Housing Cost Burdens were experienced by 59% to 69% (approximately 2/3) of low-income households in these areas. (Chart 3)

Among moderate income households in the KEDNY/KEDLI service area, the percent experiencing severe Housing Cost Burdens rose in all counties/boroughs. The most significant increase was in Kings County (Brooklyn), where 24% of households suffered from a severe Housing Cost Burden by 2017, up from 20% in 2014. Reflecting the persistence of more challenging housing economics for moderate income households on Long Island, severe Housing Cost Burdens affected approximately 40% of Nassau and Suffolk households in this income range by 2017. (Chart 4) Notably, however, between

2014 and 2017, severe Housing Cost Burdens for moderate income households ranging from $50,000 to $75,000 declined or held steady in all counties/boroughs of the Companies' service areas except Kings (Brooklyn). (Chart 5)

Q. Are you able to estimate the number of residential KEDNY and KEDLI LMI customers with severe Housing Cost Burdens using the ACS data you analyzed?

A. Yes. Exhibit ___(WDY-05) - Corrected at 1 uses counts of KEDNY/KEDLI residential customers by county/borough provided by the Companies' in their response to UIU-13 (Exhibit ___(WDY-02 at 640), together with ACS estimates of service area households who use utility-supplied gas as their source of heating fuel, and those who pay for at least one utility, to estimate the numbers of low income and moderate income KEDNY/KEDLI customers in each county/borough. Based on the methodology in Exhibit ___(WDY-05) - Corrected at 1, I estimate that there are approximately 305,000 low income customers in the combined service areas with severe Housing Cost Burdens (240,000 KEDNY; 65,000 KEDLI).[20]

Exhibit ___(WDY-05) - Corrected at 1 also estimates that there are about 71,000 moderate income customers of the Companies (36,000 KEDNY; 35,000 KEDLI) who suffer a severe Housing Cost Burden. These customers have household incomes that range from $35,000 to $75,000 annually, which largely corresponds to the 80% of AMI criterion set forth in the NYSERDA / Staff white paper. [21,22] (Exhibit ___(WDY-05) - Corrected at 1.

Q. With regard to the estimated 305,000 low income customers in the KEDNY/KEDLI service areas, what would the likely impact of the Companies' proposed rate increases be on the household finances of these customers?

A. LMI households spending 50% or more of their incomes on housing costs are likely to have little, no, or negative disposable income. A severely burdened household with income of

[20] Since this calculation applies the percent of ACS households by county/borough who have incomes less than $35,000 to counts of all KEDNY/KEDLI residential customers in these geographies, it is independent of any consideration of participation levels in the Companies' Energy Affordability Programs.
[21] Many more KEDNY/KEDLI customers may become eligible for LMI energy efficiency assistance based on their household income into these ranges; the purpose of this analysis is simply to estimate the number of those households experiencing a sever Housing Cost Burden.
[22] 2017 HUD AMI: NYC = $66,200 * .80 = $52,960; Nassau-Suffolk = $110,848 * .80 = $88,678.

$35,000 spends at least $17,500 on housing, leaving just $17,500 available for other essential living expenditures, such as food, clothing, medical costs, daycare, taxes, transportation, telecommunications and internet. Based on the methodology used by United Way New York to estimate the cost of basic needs ("Survival Budget") for individuals and families living in the counties/boroughs of the Companies' service areas, annual non-housing expenses for low income customers would exceed $17,500 for all households except those of single adults.[23,24] However, even for single occupants households, it must be noted that "Survival Budgets" are based on averages that do not apply for all households and also do not allow for any contingencies, making it unrealistic that the whole population of single person households could "survive" on a Survival Budget in the Companies' service areas. Therefore, I estimate that the number of low-income households who could not afford the Companies' proposed rate increases ranges somewhere between 220,000 and 305,000. (Exhibit ___(WDY-05) - Corrected at 2; Exhibit ___(WDY-06) at 3-6, 35, 41, 52, 54, 63).

Additionally, a comparison of Exhibit ___(WDY-05) - Corrected at 2 and ALICE Survival Budgets for larger families in the KEDNY/KEDLI services clarifies that moderate income households with severe Housing Cost Burdens — especially those in the $35,000 - $50,000 income range — may also lack disposable income and be unable to afford the Companies' proposed rate increases — adding perhaps 20,000 to 25,000 households to the 220,000 to 305,000 low income households who I estimate cannot afford the proposed increases.

Q. Could the KEDNY and KEDLI EAP programs help offset the effects of the Companies' proposed rate increases?

A. Yes, but in one (and only one) respect. Where the EAP programs will have the most positive impact is through increased participation. Currently, KEDNY's EAP program is in the process of ramping up its matching program with the New York City Human Resources Administration (HRA), having implemented an automatic enrollment

[23] See: *United Way ALICE Report New York Budgets* (accessed 08-13-2019). Available at: https://www.dropbox.com/s/jx37uin4giv0y7l/18UW_ALICE_Report_NY_Budgets_Updated%202.13.19.pdf?dl=0.
[24] See: *ALICE Research Methodology Overview* (accessed 08-13-2019). Available at: https://www.dropbox.com/s/6i8o6q3apxeo492/19UW_ALICE_Project_Methodology_2019_06_17.pdf?dl=0.

mechanism similar to that of Con Edison in 2017. KEDNY's EAP annual report for 2017 and quarterly reports for 2018 – 2019 reflect the large increase in enrollments thus far.[25,26] However, once the KEDNY/HRA matching program is fully implemented, the beneficial offsets to KEDNY's proposed rate increase will have already been realized.

There is more room to offset the impact of KEDLI's proposed rate increases through new EAP enrollments. To date, KEDLI has experienced under-enrollment, largely due to the fact that it does not have a matching program for Nassau County and Suffolk County (Nassau/Suffolk) equivalent in functionality to KEDNY's matching program for New York City.

Apart from any beneficial offset to rate increases that might occur through increased participation in the Companies' EAP programs, there is no other way that these programs will provide an offset to low income customer bills. As discussed previously, discount levels will not have materially increased to take account of proposed rate increases, so existing participants will experience bill impacts just like all other residential customers of the Companies. In fact – as also stated previously – rate increases for EAP customers will be higher in percentage terms, since these customers receive a fixed discount on their bills.

Q. What happens to customers with severe housing cost burdens who have little, no, or negative disposable income if the Companies' increase their rates as proposed?

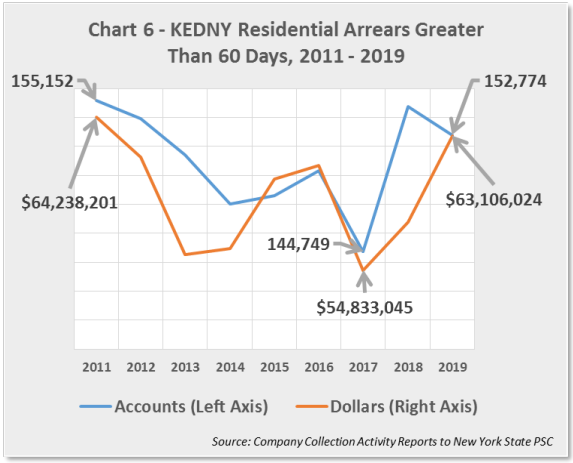
A. The most likely immediate effect will be that more LMI customers will not be able to pay their bills, increasing the Companies' arrears.

Q. Do the Companies' collections data suggest that residential customers are currently having difficulty paying their bills?

[25] See: *The Brooklyn Union Gas Company d/b/a National Grid NY Low Income Discount Rate Program Report (2017)*, Case 16-G-0059, Exhibit A. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={C14079EF-FFD6-4A29-9EAB-B34830617846}.

[26] See: *Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Customers*, Case 14-M-0565. Available at: http://documents.dps.ny.gov/public/MatterManagement/CaseMaster.aspx?MatterCaseNo=14-M-0565&submit=Search+by+Case+Number.

A. Yes, especially for KEDNY. Chart 6 illustrates a significant increase in residential arrears greater than 60 days since 2017, both in terms of the number of accounts in arrears and the amounts owed by these customers:



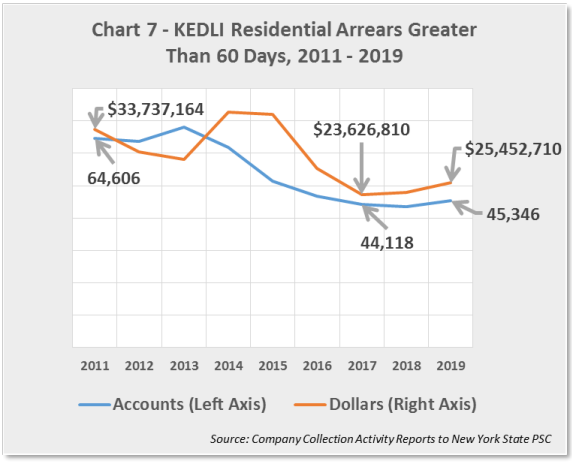


Exhibit ___(WDY-05) - Corrected at 3

Since the effective date of KEDNY's current rate plan in 2017, the arrears owed by residential customers have increased more than 15%, to $63.1 million, while the number of numbers of accounts in arrears has increased over 5%, to almost 153,000 accounts. The current level of arrears, both in terms of amounts owed and number of accounts, exceeds any levels seen since the end of the Great Recession of 2008-2010.

For KEDLI, the increase in residential arrears has been only slightly less precipitous since the current rate plan began. Chart 7 shows that KEDLI's dollar balance of arrears is up 8%, to $24.5 million since 2017; while its number of accounts in arrears has increased almost 3%, to 45,346.

In all likelihood, given my estimate that at least 220,000 — and perhaps as many as 305,000 — low income KEDNY/KEDLI customers are already experiencing severe Housing Cost Burdens, the Companies' proposed rate increase, if approved, would exacerbate any difficulty these customers are currently having paying their utility bills, leading to further increases in the Companies' arrears. It goes without saying that those customers that have not yet been enrolled in the Companies' EAP programs despite being eligible, would bear the brunt of the increase in unaffordability created by the proposed rate increase(s).

Q. At what point do increasing arrears become a problem for the Companies?

A. They are already a problem. The Companies' Shared Services Panel Testimony has this to say about the interplay between service terminations, accounts receivable and uncollectibles:

> *"The short-term effect of reducing terminations is to suppress uncollectible write off. However, the long-term effect of reducing terminations is to increase accounts receivable, which with all else equal, in turn leads to higher uncollectible write offs when these accounts with larger receivable balances are eventually written off. If efforts to further reduce terminations for the Companies continue, accounts receivable will continue to rise (with potentially higher write off)."*
>
> (Shared Services Panel Testimony at 32)

Q. Have the Companies been undertaking an effort to reduce service terminations?

A. Yes. The order in Cases 16-G-0058 and 16-G-0059 established an incentive mechanism for the Companies to identify and implement new measures to reduce residential service terminations for nonpayment while decreasing, or maintaining, the level of bad debt from residential accounts. KEDNY was provided with an opportunity to earn a positive revenue adjustment (PRA) of $1.260 million during any rate year in which it achieved less than 34,638 residential terminations, while keeping uncollectibles below $12,494,661. KEDNY was also given the ability to earn a PRA of $0.540 million during for any year in which it achieved either of these targets, provided that the other target was kept below levels of 37,917 and $16,119,629 for terminations and uncollectibles, respectively.[27] KEDLI was provided an equivalent incentive to earn $0.840 million if it achieved less than 12,470 residential terminations and less than $4,392,413 bad debt expense; or $0.360 million annually if it achieved certain other targets for residential terminations or bad debt expense.[28]

[27] See: *Joint Proposal,* Cases 16-G-0058, 16-G-0059 at 47-48. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={981ADD4D-2258-440F-B82A-4546E3B2DE4B}.

[28] See: *Joint Proposal*, Cases 16-G-0058, 16-G-0059 at 96.

Q. Are you concerned that service terminations could increase in the near future?

A. Yes. When considered against the backdrop of the Companies' rate increase proposals and the severe Housing Cost Burdens already affecting at least 220,000 of the Companies' low income customers, the reservations expressed by the Shared Services Panel about reducing terminations further lead me to believe there is a growing possibility of *increased* service terminations during the next rate plan — particularly at KEDNY. PULP is especially concerned that such increased terminations during the period of the next rate plan could impact low income customers disproportionately.

Q. Have the Companies proposed a continuation of the Terminations and Uncollectibles Metric in these proceedings?

A. Yes. Despite expressing skepticism about the long-term effectiveness of this incentive, KEDNY and KEDLI propose to continue the metric in accordance with the Commission's interest in utilities pursuing alternatives to termination.

Q. Do you favor a modification of the Companies' residential terminations and uncollectibles metric adopted in cases 16-G-0058 & 16-G-0059?

A. Yes. In the twelve months from July 2018 through June 2019, KEDNY performed 28,561 residential service terminations, representing 2.4% of average residential customers for the period (statewide average: 2.3%). (Exhibit ___(WDY-5) at 4). The Company has achieved a positive revenue adjustment for exceeding its target in each of the years of its current rate plan, during which time the number of terminations dropped well below the target of 34,638. It is therefore time to reset the positive targets for the metric, and to also add to it a negative revenue adjustment (NRA) that would address any risk that a sudden spike in terminations might erode the progress that has been made in reducing terminations in recent years.

In a similar fashion, KEDLI performed 11,043 residential service terminations in the twelve months ending June 2019, representing 2.0% of average residential customers for the period. (Exhibit ___(WDY-5) at 6). KEDLI has therefore also achieved a positive revenue adjustment for exceeding its target in each of the years of its current rate plan,

during which time terminations dropped well below its target of 12,470. It is therefore also time to reset the positive targets for KEDLI's metric, and to also add to it a negative revenue adjustment (NRA) that would address any risk that a sudden spike in KEDLI terminations might erode the progress that has been made in reducing such terminations in recent years.

Q. What do you recommend for a modified terminations and uncollectibles metric?

A. PRA targets for incentive mechanisms should be established that challenge normal performance. They should be so-called "stretch" or "reach" targets. Moreover, the incentive should operate in this framework with a counterbalancing NRA to provide a disincentive to high rates of service termination. My targets, which are the result of the analysis I performed on Pages 4 - 7 of Exhibit ___(WDY-05) - Corrected are set two standard deviations above and below the most recent normalized seven-year average of terminations for the twelve months ending June 30th. To normalize the data, I excluded the highest and lowest years from the averages. The results for KEDNY are: Terminations - PRA target of 27,206 / NRA target of 35,386; Uncollectibles - PRA target of $10,962,806 / NRA target of $13,635,112; Arrears - PRA target of $53,869,055 / NRA target of $62,734,400. For KEDLI, the targets are: Terminations – PRA 8,912 / NRA 13,249; Uncollectibles – PRA $3,784,231 / NRA $9,590,247; Arrears - PRA $20,055,915 / NRA $36,807,173.

To ensure that the most recent data serves as the basis for the ultimate targets for a modified terminations and collectibles metric, I also recommend that the targets be updated to reflect the latest available as of the effective date of any order in these proceedings.

Q. Why did you use two standard deviations when calculating the targets?

A. Statistically, a result that is more than two standard deviations from the average carries a 95 percent confidence level that the result is not due to normal, random variations. Such a result therefore is most likely due to utility actions. For this reason, all of the targets established in the above cases are based on the same standard.

Proposals/Recommendations

Q. In addition to the recommendations you have made thus far, do you have any proposals that could reduce the impact of the Companies' proposed rate increases on LMI customers?

A. Yes. Broadly speaking, the parties in these proceedings should endeavor to find the means to limit the total bill impacts of any rate increases for typical (average usage) residential customers to no more than two percent (2.0%) per rate year. Additionally, the parties should explore alternative rate designs that would lower basic service charges for residential customers and, more generally, reward conservation and energy efficiency through lower delivery bills. While such measures are sensible and promote the public interest in affordability and responsible environmental stewardship, increased gas efficiency and conservation-oriented rates are particularly compelling in the shadow the Companies' gas moratoria in their service territories, and the State's intermediate and long-term plans to reduce its carbon footprint. Toward these objectives, I offer the following recommendations for initiatives that could contribute to such achieving limited rate increases:

The Companies Should Accelerate Efforts To Enroll Residential Customers In Their Energy Assistance Programs (EAPs)

Q. Please describe the steps KEDNY and KEDLI have taken to increase participation in their respective EAPs during their current rate plans.

A. The Companies' current rate plans became effective as of January 1, 2017, pursuant to the order adopting the joint proposal in Cases 16-G-0058 and 16-G-0059.[29] During the current plan, as discussed by the KEDNY/KEDLI Shared Services Panel, the Commission's orders adopting a statewide framework for the implementation of utility low income assistance programs also became effective, leading to the replacement by the Companies of their former low income discount programs with their new EAPs, which provide tiered discounts

[29] See: *Order Adopting Terms Of Joint Proposal and Establishing Gas Rate Plans*, Cases 16-G-0058, 16-G-0059 at 20. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={6E189404-3533-4B23-8292-687DC884CA88}.

based on participants' income and energy burdens. (Shared Services Panel Testimony at 68).

A fundamental objective of the orders in Case 14-M-0565 as they relate to KEDNY and KEDLI was to provide comprehensive participation of eligible residential customers through automatic enrollment. KEDNY made substantial progress toward this goal during the current rate plan by implementing a file sharing mechanism in late summer/early fall 2017 that permits New York City's Human Resource Administration ("HRA") to identify assistance program-eligible customers in KEDNY's service territory and the Rockaways portion of KEDLI's service territory. (Shared Services Panel Testimony at 70). The result was that enrollment in KEDNY's EAP jumped from an average of 58,000 to 60,000 participants just before implementation to 138,000 to 140,000 immediately after – an increase of about 80,000 participants or 133%.[30] The most recent quarterly report on KEDNY's EAP program report (March, 2019) shows 158,889 residential customer participants[31], and the Company projects enrollment for the Rate Year to be 159,737 (Heating - 67,424; Non-Heating - 92,313). (Exhibit ___(SSP-9) at 1).

KEDLI's progress toward comprehensive enrollment of eligible residential customers in its EAP has, to date, not been as successful as that of KEDNY. There is currently no equivalent file matching program for Nassau and Suffolk counties. In response to I/R PULP-96, KEDLI indicated that the New York State Office of Temporary and Disability Assistance (OTDA) is providing a file for customers in Nassau and Suffolk counties who receive HEAP, including HEAP recipients that receive Supplemental Nutrition Assistance Program ("SNAP") and Temporary Assistance ("TA"). The Company also indicated that it has had conversations with OTDA regarding expanding the HHS file to include customers in Nassau and Suffolk counties who are in receipt of other assistance programs, which would allow more comprehensive enrollment of eligible customers such as that

[30] See: *The Brooklyn Union Gas Company d/b/a National Grid NY Low Income Discount Rate Program Report (2017)*, Case 16-G-0059, Exhibit A. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={C14079EF-FFD6-4A29-9EAB-B34830617846}.

[31] See: *Quarterly Low-Income Report, KEDNY – March 31, 2019*, Case 14-M-0565. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={0D7163A2-D8BF-48C2-BB8C-660B79ABEDCB}.

achieved by KEDNY through its HRA matching process. (Exhibit ___(WDY-02) REDACTED at 6-8).

Q. What difference has the lack of inclusion in KEDLI's matching program of assistance programs other than HEAP made in terms of the Companies' ability to achieve comprehensive enrollment of eligible low-income customers in its EAP?

A. KEDLI's objective of increasing enrollment in its EAP has not been met. Based on my estimates of the number of each Companies' low-income customers with severe Housing Cost burdens, only 20 - 30% of potentially eligible KEDLI households are enrolled, compared to 70 – 90% for KEDNY. (Exhibit ___(WDY-5) at 8).

Q. Do you support the Companies' proposal to add additional employees that they deem necessary to implement the EAPs and Energy Affordability Engagement Initiatives?

A. Yes. I believe the Companies' proposal addresses a critical need, given the magnitude of the potential rate increases proposed by the Companies. More than 20% of KEDNY and KEDLI residential customers already confront significant affordability problems, and the Companies' difficulty in enrolling customers through means other than file matching (particularly KEDLI) justify this investment in EAP effectiveness. In my opinion it would appropriate for this resource to be a full time equivalent (FTE), rather than the one-half FTE proposed by the Companies. If the added one-half FTE could be dedicated to increasing KEDLI participation rates, and if resources could be made available that would not create an excessive burden on ratepayers or result in additional administrative costs exceeding those contemplated by the Commission in Case 14-M-0465. (Shared Services Panel Testimony at 78-79), the EAP enrollment increase would more than justify the added head count.

Q. Do you have other recommendations for how enrollment could be increased in the Companies' EAPs?

A. Yes. As I discuss in the part of my testimony dealing with residential customer service and collections practices, the Companies have an opportunity to increase the number of affordable deferred payment agreements (DPAs) provided to residential customers having

difficulty paying their utility bills. When tailored to customers' individual financial circumstances, such DPAs offer the chance to identify customers eligible to be enrolled in the Companies' EAPs.

The Companies Should Accelerate Efforts To Provide Energy Efficiency Assistance To High Usage Residential Customers Who Are EAP Participants. Any Associated Earnings Incentive Mechanisms Should Set Targets For Incremental Efficiency Savings Based On Actual Customer Outcomes.

Q. Are the Companies including proposals in their filings to benefit LMI Customers by providing them with access to cleaner, more cost-efficient heating options?

A. Yes. Both companies propose to replace their existing low-income gas conversion rebate programs with new LMI Gas Conversion Programs that would also include moderate income customers seeking to obtain access high-efficiency gas heating and hot water systems and other energy savings products. (Future of Heat Testimony at 59-61) Additionally, KEDLI also proposes to continue its EmPower Replacement Program (known as "HEAT"), which was created in Case 16-G-0058 and which provides furnace replacement services to EAP customers, to include moderate income customers. The Company also proposes to include the program in base rates with an increased budget of $2.5 million. (Future of Heat Testimony at 29-30). I note here that given the moratoria in effect in the Companies' service territories, it is uncertain how these proposals would be carried out.

Q. Wouldn't homeowners be more likely to be able to take advantage of these initiatives and, if so, are there a sufficient number of LMI homeowners in the Companies' service areas for KEDNY and KEDLI's programs to make a difference in achieving overall LMI customer energy affordability?

A. Yes. It is certainly the case that homeowners have more control over the ability to install energy efficiency measures than do tenants in rental properties. It is also the case that there are a sizeable number of LMI homeowners in the KEDNY and KEDLI service areas. Based on the same analysis I prepared in estimating the total number of LMI customers in the Companies' service areas, filtered for homeowners only, I estimate that there are between

95,000 and 130,000 LMI homeowners in the Companies service areas who suffer a severe Housing Cost Burden — 60,000 to 90,000 of whom are low income homeowners. (Exhibit ___(WDY-05) - Corrected at 10) These are customers who could definitely benefit from the Companies' LMI Gas Conversion Programs and HEAT programs to improve their energy affordability and lower their utility bills, provided there was sufficient gas available to meet the expanded need.

Q. Do you support these initiatives?

A. Yes. If there would be sufficient gas supply and capacity, I would also support the creation of an equivalent to KEDLI's HEAT program in the KEDNY service area. PULP has worked with low income customers in KEDNY's service area, particularly on Staten Island, whose gas furnaces failed and who had difficulty obtaining HEAP furnace replacement grants through New York City HRA. One customer in particular spent over two months from mid-November 2018 to mid-January 2019 attempting to obtain a replacement grant, and even when the customer did receive the grant, it was only for one-half the purchase cost.

As noted above however, despite the Companies' proposals, due to the hard moratoriums in both KEDNY/KEDLI's service territories on "new" and — in some cases — "re-connections" for gas service, PULP questions the ability of the Companies to proceed with their LMI Gas Conversion and HEAT programs. The Companies have announced they will not allow expansion of natural gas connections for the foreseeable future – absent the completion of the Williams pipeline (a/k/a NESE project) – so to the extent these project involve expansion of the use of natural gas in their service territories, they seem unlikely to occur. Consequently, while supporting these initiatives in principal as a logical way to lower costs, raise reliability and act as a transition to the "future of heat", PULP is unable to endorse the inclusion of any ratepayer funds associated with them in the revenue requirements in these proceedings.

Q. Do you agree with the Company "Affordability Metric for Low Income Customers" as proposed?

A. No. The Companies propose an outcome-oriented energy efficiency metric measuring the annual percentage reduction in EAP customer bills, but the "outcome" they propose would not necessarily be reflective of efforts KEDNY and KEDLI should be taking to reduce *individual* EAP customer bills, such as those just discussed. Instead, the proposed outcome is simply a year-over-year reduction in the weather-normalized *average* monthly customer bill for EAP customers. Based only upon such a reduction, the Companies propose that they be awarded one basis point for each 0.2 percent reduction in the average EAP customer bill achieved within their respective service territories, up to a total award of 10 basis points for the incentive. (Future of Heat Testimony at 106-7) This would result in up to $3.3 million and $2.1 million in added revenue for KEDNY and KEDLI, respectively, derived from an EAM that I believe is ineffective and inappropriate, as I explain below.

Q. Why are reduced average monthly customer bills not an appropriate outcome to use for measuring the effectiveness of such a metric?

A. Using this outcome is problematic for at least two reasons, namely:

- If a significant number of higher usage EAP customers had their service terminated in any given year, that would tend to reduce average monthly bills but not be reflective of improved affordability for continuing EAP customers. The opposite could also be true for any year in which terminated high usage EAP customers had their service reconnected; and

- Various mixes of enrollments and dis-enrollments could impact average EAP customer monthly bills and trigger a potential award of added revenue, but not be reflective of improved affordability for continuing EAP customers.

Q. What do you suggest instead?

A. Incentives should embody "stretch" goals that go above-and-beyond the performance expected of the Companies. Such targets are readily discernible from the cost-benefit analyses KEDNY and KEDLI provided to support their proposals for the LMI Gas Conversion Programs and HEAT programs. With that in mind, I propose targets for the proposed affordability metric be Participant Energy Cost Reductions in excess of

$8,421,139.87 for KEDNY and $6,075,243.86 for KEDLI that achieving at least the same SCT Ratios — (Participant Energy Cost Reductions + Avoided CO2 Emissions) / Program Administration Costs — 1.73 for KEDNY; 1.11 for KEDLI. (Exhibit ___ (FOH-2), Schedules 5 and 6).

I do not propose that the affordability metric be based on the HEAT programs however, since the KEDLI program already includes an incentive metric, and presumably any equivalent KEDNY program would include the same.

The Companies Should Accelerate The Return To Customers of Excess Unprotected Accumulated Deferred Federal Income Taxes Resulting From The 2017 Tax Cut And Jobs Act

Q. What is "Excess Unprotected Accumulated Deferred Federal Income Tax"?

A. Accumulated Deferred Federal Income Tax, or "ADFIT", is a balance sheet item representing the historic differences between federal income tax expense based on generally accepted accounting principles ("GAAP" or "Book" Basis) and federal income tax liability as calculated when preparing a federal income tax return (Tax Basis). GAAP Basis deferred taxes are usually net liabilities on the balance sheet; that is, they represent taxes to be paid in the future as timing differences between GAAP and Tax Basis accounting resolve to a zero balance.

Significant amounts of the Companies' accumulated deferred federal income tax (ADFIT) liabilities are the result of decades of capital investments in property for which accelerated depreciation has been available to be taken when determining Tax Basis income tax liability. Until 2017, GAAP Basis deferred corporate federal income taxes were accrued at the then applicable corporate rate of thirty five percent (35%). As part of the 2017 Tax Cut and Jobs Act (TCJA), however, the federal corporate tax rate was lowered to twenty-one percent (21%). For GAAP purposes, this reduction in the tax rate had the effect of requiring a substantial reduction of the Companies' ADFIT balances sheet since approximately forty percent (40%) of these liabilities would no longer need to be paid in the future.[32]

[32] 35% - 21% = 14%. 14% / 35% = 40%.

For most corporations, the effect of reducing ADFIT balances (creating "Excess ADFIT") was a windfall that could be returned to owners. The situation for "cost of service" regulated utilities was different however, in that utility rates have historically included an allowance for income tax expense on a GAAP Basis. (In effect, ratepayers have "prepaid" utilities' income taxes through the rates they have paid over time in their monthly utility bills.) In light of this "prepayment" aspect of setting utility rates in New York State, the Public Service Commission ruled in Case 17-M-0815, that reductions of utility ADFIT balances should be preserved for the net benefit to ratepayers, rather than allowing a windfall for utility shareholders. With regard to KEDNY and KEDLI's "Excess ADFIT", the Commission decided that the method and timing of returning excess ADFIT to ratepayers should be determined in the Companies' next rate cases.[33]

Excess ADFIT has two components: "Protected" and "Unprotected" balances. Protected Excess ADFIT represents those balances related to accelerated depreciation taken on capital investment in property; whereas Unprotected ADFIT represents — in the case of the Companies — represents the differences between the book and tax basis of deductions taken for property (plant) repairs, contributions in aid of construction, and other temporary differences such as the current tax deduction for cost of removal spending. (Revenue Requirements Panel Testimony at 97). Protected Excess ADFIT is subject to special IRS "normalization" rules that generally do not permit the return of excess balances faster than the GAAP amortization of the underlying assets. However, Unprotected Excess ADFIT – balances related to repairs, etc. – is not subject to IRS normalization rules and, in the case of KEDNY and KEDLI, may be returned to ratepayers without restriction as to timing. In other words, KEDNY and KEDLI could return these funds to ratepayers immediately, which would act to moderate the effect of the Companies' proposed rate increases.

Q. What timing have the Companies proposed for returning Unprotected Excess ADFIT balances for the net benefit of ratepayers?

[33] See: *Order Determining Rate Treatment of Tax Changes*, Case 17-M-0815 at 45-46. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={26E713D4-DB52-4A26-BF4F-7FD7B9E5C1AC}.

A. KEDNY and KEDLI have proposed that their respective Unprotected Excess ADFIT be returned over the average remaining book life of the net book value of plant assets. (KEDNY Revenue Requirements Panel at 97-98; KEDLI Revenue Requirements Panel at 95-96).

Q. Do you agree with the Companies' proposals?

A. No. The KEDNY and KEDLI Unprotected Excess ADFIT balances are $157.1 million and $62.5 million, respectively. The average remaining book life of the net book value of plant assets is 44 years for KEDNY and 47 years for KEDLI. (KEDNY, KEDLI Exhibits __ (RRP-11), Workpapers to Exhibit ___ (RRP-6), Workpaper 2, Page 1). The Companies are proposing to return the benefit of these assets (which represent excess taxes prepaid by ratepayers) over amortization periods that bear no relationship to IRS requirements for such balances. In fact, these ratepayer funds could and should be returned to the ratepayers immediately. Instead, the Companies propose to extend the amortization period of these balances to almost half a century while at the same time proposing large rate increases which, as I explained previously, cannot be afforded by 221,000 to 305,000 (30% to 40%) of KEDLI/KEDNY low income customers. (Exhibit ___(WDY-5) at 1).

Q. Do you have an alternative proposal?

A. Yes. The entirety of Unprotected Excess ADFIT balances should be used during the rate period determined in these proceedings to offset the bill impacts of the Companies' large proposed rate increases. These funds belong to customers and should be made available now to mitigate any such increases, rather than retained on the Companies' balance sheets. Many of KEDNY and KEDLI's residential customers have prepaid these excess amounts for decades through their utility bills. Many if not most of those customers will likely not be alive for another 44 – 47 years to realize the benefit of the return of their excessive prepaid rates, as proposed by the Companies. This is the customers' money – it should be returned to them during the rate plan to offset rate increases, and seniors and other ratepayers should receive the benefits of their pre-payments, rather than being subjected to increases that are many times greater than increases in social security.

Q. How much rate mitigation would using the entire balance of Excess Unprotected ADFIT during the four-year rate period contemplated by the Companies in their filings provide to residential customers?

A. I estimate the mitigation that would be provided monthly to the typical (average usage) KEDNY residential customer would be $2.12 for heating customers and $0.90 for non-heating customers. For the equivalent KEDLI customer, I estimate the savings would be approximately $1.06 for heating and $0.66 for non-heating. (Exhibit ___(WDY-5) at 9).

It is worth noting that, for the typical KEDNY residential heating customer, the mitigation from added tax savings would more than offset the Companies' proposed $1.85 increase in the monthly basic service charge. For the typical KEDLI heating customer, the equivalent savings would offset 57% of the proposed basic service charge increase. (Exhibit __ (RDP-4CU), Schedule 4, Pages 1-2).

The Companies Should Also Improve Affordability For Their Residential Customers Through Better Customer Service, And By Improving Access To Affordable Deferred Payment Agreements (DPAs)

Q. Are there opportunities for the Companies to improve affordability for their residential customers through better customer service, including more access to affordable DPAs?

A. Yes. I address this subject in the next section of my testimony, *Residential Customer Service and Collections Practices*.

Residential Customer Service and Collections Practices

Lack of Access to Affordable Deferred Payment Agreements (DPAs)

Q. How do KEDNY/KEDLI collections procedures add to the affordability problems faced by the Companies' LMI customers?

A. KEDNY's collection procedures do not ensure that residential customers having difficulty paying their bills are offered affordable deferred payment agreements (DPAs) meeting the statutory requirements set forth by the Home Energy Fair Practices Act (HEFPA).

This situation results in a significant number of complaints to the DPS Office of Consumer Services by residential customers about unaffordable payment terms being required, late payment charges being levied, termination notices being issued, terminations being performed, and other onerous collections actions being taken by the Company.

Q. What is the magnitude of complaints about DPAs?

A. DPA problems were the subject of the highest percentage of residential complaints for both KEDNY (28.6%, or 927 of 3,236 complaints) and KEDLI (16.6%, or 171 of 1,033 complaints) to DPS from January 1, 2016 through September 30, 2018. A complete listing of all KEDNY and KEDLI complaints coded by DPS as related to "Deferred Payment Agreements", with applicable citations to each complaint's details in Exhibit ___(WDY-09) CONFIDENTIAL and Exhibit ___(WDY-10) CONFIDENTIAL can be found at Exhibit ___(WDY-13), 20-25 and 26-27.

Tables 1 and 2 show the top ten reasons for KEDNY and KEDLI customer complaints, respectively:

Table 1 - Top 10 Reasons Why KEDNY Residential Customer Complained to OCS (January 1, 2016 - September 30, 2018)

Complaint Reason	% of Complaints
Deferred Payment Agreement	28.6%
Threat of Service Suspension/Termination/Block	25.3%
Service Terminated / Limited	12.5%
Delayed Service - New Service	8.5%
Financial Statement Form	7.1%
Threat of Termination within 72 hrs.	7.1%
Property Restoration / Debris Removal	7.1%
High Bill	6.4%
Application Denied	5.1%
Delayed Repair	5.0%

Note: Each complaint may include more than one reason for complaining.

Exhibit ___(WDY-07)

Table 2 - Top 10 Reasons Why KEDLI Residential Customer Complained to OCS (January 1, 2016 - September 30, 2018)

Complaint Reason	% of Complaints
Deferred Payment Agreement	16.6%
Threat of Service Suspension/Termination/Block	15.7%
Service Terminated / Limited	11.7%
High Bill	11.5%
Delayed Service - New Service	8.9%
Inaccurate Bill	7.6%
Wants Breakdown Of Bill	6.9%
Financial Statement Form	5.3%
Estimated Bill	4.8%
Threat of Termination within 72 hrs.	4.8%

Note: Each complaint may include more than one reason for complaining.

Exhibit ___(WDY-08)

Tables 1 and 2 also show that problems with financial statement forms were also among the top 10 reasons for residential customer complaints for each company.

Q. What is a financial statement form and why is it important?

A. A financial statement form (FSF) is a form that a utility may require an eligible residential customer to complete who is requesting more lenient terms than the Company's "standard offer", which typically requires a 15% down payment of past due arrears, with the remaining balance to be paid over a 10-month period. FSF disclosures include a customer's assets, income and expenses. The utility may require reasonable substantiation of the information on that form, provided that all such information shall be treated as confidential. (16 NYCRR § 11.10(a)(1)(ii)).

FSFs are important because they provide an objective view of a customer's individual financial circumstances: in particular, whether they have "positive cash flow" and therefore can afford to make payments toward his or her utility arrears; or have "negative cash flow" and therefore already spend more than he or she receives and may only be able to make nominal repayments. Basing the terms of a DPA on the results of a completed FSF is one way that a utility can ensure that it has negotiated DPA terms tailored to the customer's financial circumstances, as required by NYCRR § 11.10.

For these reasons, residential customer complaints about DPAs often include the problem that such customers were not able to obtain DPA terms based on a determination of their individual financial circumstances as reflected by a completed FSF. A complete listing of all KEDNY and KEDLI complaints coded by DPS as related to "Deferred Payment Agreements", with applicable citations to each complaint's details in Exhibit ___(WDY-09) CONFIDENTIAL and Exhibit ___(WDY-10) CONFIDENTIAL can be found at Exhibit ___(WDY-13), 28-29 and 30.

Q. Please provide an example of how KEDNY collections procedures do not ensure that residential customers having difficulty paying their bills are offered affordable DPAs meeting the statutory requirements set forth by HEFPA.

A. KEDNY collection procedures require that customers who need DPAs with terms addressing their individual financial circumstances apply in-person at walk-in customer service centers. This non-HEFPA requirement unnecessarily impedes access to affordable DPAs for customers unable to make such appearances for various reasons, including but not limited to the fact that they:

- Are elderly, blind or disabled (EBD Customers);
- Cannot take time off from work, or;
- Cannot afford the expense of traveling to a customer service center.

Additionally, KEDNY's "CRIS" information system is pre-configured to offer only two types of DPAs to eligible customers: one that allows customers to voluntarily offer a down payment of more than 15%, with the remaining balance paid over 10 months, and the "standard offer" requiring a down payment of 15% of the balance, with the remaining balance paid over a 10-month period; and another. (Exhibit ___(WDY-02) CONFIDENTIAL at 204).

The Company's collections procedures require that any customers whose individual financial circumstances make them unable to afford either of the two alternatives described above appear in-person at a customer service center to document their need for more affordable DPA terms:

"*Note: If the residential customer claims a hardship, the customer can go into one of our District Offices to complete a 3596 form to see if they qualify for a minimum $10 a month DPA. This cannot be completed over the telephone by a call center representative.*"

(Exhibit ___(WDY-02) CONFIDENTIAL at 204, 586)

"*The terms that can be offered to the customer appear in this screen. If the customer wants terms that are easier to pay then the terms displayed in this screen, they must be referred to a Customer Office to complete a Financial Statement (Form DSS3596)*"

(Exhibit ___(WDY-02) CONFIDENTIAL at 206, 588)

KEDNY's procedures also require that customers who wish to renegotiate their DPAs due to a change in financial circumstances pursuant to 16 NYCRR § 11.10(e)(1)(ii) be referred to a customer service center to provide evidence of their financial change in person:

"*If the customer is eligible for a renegotiated DPA, refer the customer into a Customer Office and advise the customer that they must provide* [sic] *of the financial change.*"

(Exhibit ___(WDY-02) CONFIDENTIAL at 208, 500)

Q. What happens to eligible customers who cannot afford either of the pre-configured set of terms generated by the CRIS information system, and who are unable to appear in-person at a KEDNY customer service center in order to obtain a DPA that addresses their individual financial circumstances?

A. According to KEDNY's collections procedures, eligible customers will be mailed a final termination notice (if they have not already received one) and a written offer for a DPA requiring a down payment of 15% of the balance, with the remaining balance paid over a

10-month period (KEDNY's "standard" offer). (Exhibit ___(WDY-02) REDACTED at 643).

Q. Do you think it is reasonable for KEDNY to require eligible residential customers to either appear in-person at a KEDNY customer service center in order to obtain a DPA that addresses their individual financial circumstances; or otherwise be mailed an offer for a DPA requiring a down payment of 15% of the balance, with the remaining balance is paid over a 10-month period?

A. No. HEFPA requires that utilities make:

> "…reasonable efforts to contact eligible customers or applicants by phone, mail or in person for the purpose of offering a deferred payment agreement and negotiating terms tailored to the customer's financial circumstances, prior to making the written offer of a deferred payment agreement…"
>
> (16 NYCRR § 11.10)

In situations called for by KEDNY's collections procedures, the Company does not negotiate "terms tailored to the customer's financial circumstances, prior to making the written offer of a deferred payment agreement" as required by HEFPA. Instead, it relies upon pre-configured (default) DPA terms set by its CRIS system that can only be overridden for customers who comply with the Company's unreasonable requirement of physically appearing at a service center so as to prove their need for more affordable terms.

Q. Did you find evidence that this requirement harms vulnerable customers who are unable to appear at a service center so as to prove their need for more affordable terms?

A. Yes. Exhibit ___(WDY-11) is a detail record of fourteen complaints by residential KEDNY customers with the DPS from January 1, 2014 through September 30, 2018, twelve of which include evidence that vulnerable customers have indicated that the Company's requirement has prevented them from obtaining an affordable DPA and, in some cases, subjected them to further collections measures including threats of service termination and

actual service termination. The following are excerpts from these complaints reflecting this evidence:

Complaint ID 709, Zip Code: 11436 (Threat of Termination Within 72 Hours)

"*Consumer is looking to keep services on and set up DPA without coming in to office, as she is elderly and disabled.*"

Exhibit ___(WDY-11) REDACTED at 855

Complaint ID 722, Zip Code: 10309 (Threat of Service Termination / Suspension / Block)

"*I was contacted by national grid to come in fill out finance forms that may allow me to get an agreement for $10 a month. I called National Grid and asked if the forms can be mailed to me because, I lost my ID and had no ID I also explained that I am handicapped and I fractured my foot and I am on crutches, I was told I had to come in the office or they couldn't help me. I am thankful for the help but it is impossible for me to get into the office.*"

Exhibit ___(WDY-11) REDACTED at 871

Complaint ID: 733, Zip Code: 11213 (Threat of Service Termination / Suspension / Block)

"*Seeking the utility to help her retain service with an affordable DPA as she states she has not had one. Consumer states she is elderly and cannot get to the utility office because the heat causes her shortness of breath.*"

Exhibit ___(WDY-11) REDACTED at 884

Complaint ID 964, Zip Code: 11233 (Threat of Service Termination / Suspension / Block)

"*Resolution Sought:*

I need time to either work out pay to keep gas on or time to move.

Resolution Offered:

call 311

come into office, which I'm not able to due to working hours not conducive to Natl Grid business hours. I work outside of NYC"

Exhibit ___(WDY-11) REDACTED at 1177

Complaint ID 1174, Zip Code: 11230 (Threat of Service Termination / Suspension / Block)

"*Customer states she has gone to the local NG office and they will not allow her to fill FSF out cagged to Mr Hager at NG*"

Exhibit ___(WDY-11) REDACTED at 1437

Complaint ID 1540, Zip Code: 11434 (Threat of Service Termination / Suspension / Block)

"*Customer was told to go into the office and fill out the necessary paperwork for a deferred payment agreement to be granted. Customer was told that she could go early in the morning before 9am. Customer was satisfied with this arrangement because she works. Customer just started a new job and she was relieved that she would not need to take time off from work since she just started at this job.*

Customer states that when she arrived at the National Grid office as instructed, she was given a completely different story by the National Grid Employees who were there. Customer was disappointed because she had taken her time to go there."

...

National Grid has advised us that it has responded to your concerns. My review of the company records indicates that National Grid mailed

you a minimum deferred payment agreement application which you will need to complete and send back to National Grid."

Exhibit ___(WDY-11) REDACTED at 1898 - 1899

Complaint ID 1787, Zip Code: 11231 (Threat of Service Termination / Suspension / Block)

"*I am homebound disabled me cannot physically go down to 1 metro tech to complete a financial statement form for the $10 a month payment plan because I'm experiencing financial hardship. They were paid 2 heap grants and an hra one shot deal payment as a down payment for this new agreement I was reassured but I still can't get down to the office to complete this form. They said my gas will be shut off by tomorrow.*"

Exhibit ___(WDY-11) REDACTED at 2224

Complaint ID 1811, Zip Code: 11412 (Threat of Termination Within 72 Hours)

"*I was out of work on disability for 5 months. I could not work from 09-20-16 to 04-01-17. I had to keep waiting for delayed disability benefits. I asked for agreements and National Grid will not give me one. I was told to go to the office and fill out a Financial Statement. When I got there they would not let me. They keep telling me to pay $1000.00 I don't have. I was forced to write a check to keep my services on. Since I just been back to work I can't afford it. It returned. I keep getting calls all day. I am getting another turn off again forcing me to pay $1300.00. I work for NYC Transit Authority. They do not give one shot deals to us and we have to pay it back. I have lung injury and I use a respirator. I spoke to a Supervisor Miss Hydie and she asked to speak to my doctor about my respirator. She gave a 1 week extension call and contact my doctor. I never experienced this before. I can't believe this. I had less than half my income coming in.*"

Exhibit ___(WDY-11) REDACTED at 2256

Complaint ID 1966, Zip Code: 11210 (Budget)

"_____ *stated that he is 74 year old and has difficulties getting around. He stated that his level billing plan is advised to be reset to $250 which includes a payment plan.* _____ *stated that he was afford to pay $125 level billing + 10 towards arears of $828 but they stated he has to come to the office. He stated he is aware that he has to complete a financial statement form but he can provide it over the phone and submit the proof.*

_____ *doesn't understand why a 74 year old individual has to come to the office to complete a financial statement form. He stated he want National Grid to work with him to set up a budget billing which will include the installment for the arears that are affordable.*"

Exhibit ___(WDY-11) REDACTED at 2459

Complaint ID 2527, Zip Code: 11225 (Threat of Termination Within 72 Hours)

"*The caller states her father lives alone an is elderly, blind and disabled. Has notified the utility of this. Caller states that there is no existing medical condition other than the EBD. Father is on dialysis.*

Caller states that she would like the utility to send her a DPA and will make payments on the account. She states that account holder is no longer able to manage his financial obligations. Caller states that the utility advised she has to come to office to complete paperwork and she states she works fulltime and has no free time to do this as she also helps tend to her father."

Exhibit ___(WDY-11) REDACTED at 3166 - 3167

Complaint ID 2906, Zip Code: 10314 (Threat of Service Termination / Suspension / Block)

"*All i wanted and asked the Marshall dept to make a new agreement and if it has to be in person that my husband like the last time can go there during his break at work and make a new agreement for me, he gets home too late to drive me there plus its hard for me to travel anywhere I am having issues with the veins in my legs among other things and have to keep my legs elevated.*

Resolution Offered:

The gas company said that i would have to speak with the Marshall dept which i did and this time they wont allow my husband to go to national grid and make a new agreement for me. I was told that i have to go regardless if im disabled and cant they said the rules have changed and my husband cant be the one to go there like the last time."

Exhibit ___(WDY-11) REDACTED at 3672

Complaint ID 3154, Zip Code: 10314 (Service Terminated / Limited)

"

Q. *Is service on or off?*

A. *off*

Q. *Have you had a deferred payment plan?*

A. *was mailed one but could not afford it*

Q. *Is the amount requested to catch up on a deferred payment plan?*

A. *no, no previous DPA*

Q. *When was the last time you filled out a financial statement form? What was the result?*

A. *not done, cannot get to National Grid offices, offered to complete one via mail.*

"

Exhibit ___(WDY-11) REDACTED at 4006

Q. Were you able to estimate the time and financial burden each of these customers would face if they were to attempt to travel to the nearest customer service center to obtain a more affordable DPA?

A. Yes. Although the complaint FOIL did not include customer addresses, it did provide customer zip codes. Therefore, it is possible, using Google Maps, to estimate the time and cost to customers of roundtrip travel to the KEDNY customer service center nearest to the center-point of the customer's zip code. Exhibit ___(WDY-12) documents the travel time and expense that would be required of customer filing the above complaints using such a methodology, assuming no traffic problems. The exhibit, which maps three possible methods of travel for each customer complaint: taxi, public transportation (bus and/or subway), and walking; shows that walking is generally not a feasible option, either because customers indicate they have a disability (seven customers), work outside of New York City (one customer), or live more than a one hour walk from a KEDNY customer service center (one customer). Thus, I estimate that only three customers — those filing Complaint IDs 1540, 1811 and 3154 — might reasonably be expected to make the journey to their nearest KEDNY customer service center by foot.

The remaining nine customers would in all likelihood need to incur unnecessary expense (in addition to time) to get to a service center. Even those who owned cars would need to pay for gas and likely parking, if such is available. Without access to an automobile, taxi, rideshare, or public transportation would be the only options. In this regard, Exhibit ___(WDY-12) also provides estimated costs for roundtrip taxi, bus and subway from the center-point of each customer's zip code. The exhibit shows taxi fares ranging from at least $10 to more than $50; and bus/subway fare of $5.50.

Q. Have other customers complained?

A. Yes. I found fifty-nine (59) complaints of customers who indicated they were unable to obtain affordable terms over the phone and were instead instructed to appear at a customer

service center. A complete listing of these complaints, which includes those excerpted above, is presented on Page 1 of Exhibit ___(WDY-13).

Q. Were there customers in this list who indicated that they went to the office but were not permitted to complete an FSF or were unsuccessful in some other way at obtaining an affordable DPA?

A. Yes. Seven of the fifty-nine complaints involved customers who indicated they went to the office but were not permitted to complete an FSF or were otherwise unsuccessful in obtaining an affordable DPA. A complete listing of these complaints, which includes these is presented at Exhibit ___(WDY-13), 2.

Q. Had any of those customers defaulted on prior DPAs?

A. For some of these customers, there are indications of "defaults" on prior DPAs, however, in each of those cases the DPS determination indicates either that the customer in did not have a prior Minimum DPA and/or the customer did not complete an FSF, which raises the question of whether the prior DPAs "defaulted" upon met the criteria for DPAs required by 16 NYCRR § 11.10, or were "verbal" or otherwise non-compliant DPAs. I found that fifteen of the fifty-nine complaints listed at Exhibit ___(WDY-13), 1, raised this question. These complaints are listed at Exhibit ___(WDY-13), 3.

Q. Did you find any situations in which customers who had submitted valid letter of medical necessity, had their account coded as such by KEDNY, but were still required to travel to a customer service center to complete a financial statement form for a DPA to protect their account for one year per HEFPA?

A. Yes. The details of Complaint ID 878 provide evidence that the customer was required to appear in-person at a customer service center to complete an FSF and obtain a DPA. The DPS determination provides such evidence, stating:

> "*National Grid - Metro NY has advised us that it has responded to your concerns on October 10, 2016 and it has received a valid letter of medical necessity and has coded the account as such. Furthermore, the company has*

given a 30 day extension on the account, however, you need to go to the customer service office to fill out a financial statement form to verify you qualify for a low or minimum deferred payment agreement."

(Exhibit ___(WDY-11) at 1,071)

Q. What would this customer's transportation time and expense be to appear in-person at the nearest KEDNY customer service center?

A. Since this customer's zip code is 11413, the nearest KEDNY service center would be at 8967 162nd Street, Jamaica (Queens). If the customer lived at the center-point of her zip code, the quickest way for her to get to the KEDNY service center (assuming no traffic problems) would be by taxi, which would take twenty-eight (28) minutes each way for a total travel time of fifty-six (56) minutes. The fare for this trip (again assuming no traffic problems) would be $24. A second option would be public transportation (in this case, bus), which, at $5.50 for round trip fare, would be less expensive, but would require eighty-two (82) minutes of travel time (again assuming no traffic problems). A third option would be walking, which would involve no cost but involve a 112 minute walk (almost two hours). The customer in question would likely not be able to make such a walk, since she has medical problems that made her account eligible for medical necessity coding. (Exhibit ___(WDY-12) at 15).

Q. Please explain why KEDNY's requirement that residential customers physically appear at a service center so as to prove their need for more affordable DPA terms is unreasonable.

A. There are several reasons, including but not limited to:

- The Company's requirement that residential customers physically appear at a service center so as to provide evidence of their need for more affordable DPA terms is not required by HEFPA, which only states that:

"*A utility may require that a customer or applicant complete a form showing assets, income and expenses, and provide reasonable*

substantiation of the information on that form, provided that all such information shall be treated as confidential."

16 NYCRR § 11.10(a)(1)(ii)

The Company acknowledged as much in its response to I/R PULP-75, which asked:

"*Please provide a citation to any statute, regulation or other authoritative guidance that serves as the basis for requiring customers to go into one of the Company's District Offices to complete a 3596 form — instead of allowing such customers to provide some or all of the necessary Financial Statement information and documentation over the phone, online, or through the U.S. mail — to:*

I. See if they qualify for a minimum $10 a month DPA.

II. Obtain more lenient terms than those offered by the Company for a DPA.

III. Renegotiate their DPAs due to significant a change in their financial circumstances.

Response:

The Company cites the following sections of HEFPA as requiring a customer to "complete a form", "demonstrate" financial circumstances or "provide" information for the purposes of (a) determining eligibility for a minimum $10 a month DPA, (b) obtaining more lenient terms than those offered by the Company for a DPA, or (c) renegotiating a DPA due to a significant change in their financial circumstances:

§11.10(a)(1)(ii)

§11.10(a)(1)(iii)

§11.10(a)(5)

§11.10(a)(6)

§11.10(d)(2)

§11.10(d)(11)

§11.10(e)(1)(ii)
§11.10(e)(2)(i)
§11.10(e)(2)(iii)

The Company has not identified language mandating the means by which such forms, demonstrations, or information shall be accepted."

Exhibit ___(WDY-02) REDACTED at 752-753 (***Emphasis Added***)

Indeed, HEFPA does not mandate a particular manner in which evidence of a customer's individual circumstances shall be accepted. KEDNY's requirement that residential customers physically appear at a service center so as to provide evidence of their need for more affordable DPA terms is unnecessary, as such evidence can be furnished over the phone, online, or through the U.S. mail, as is standard operating procedure at other New York utilities.

- KEDLI, for example, has no such requirement that its residential customers physically appear at a service center so as to provide evidence of their need for more affordable DPA.

KEDNY's sister utility KEDLI has chosen not to impede access to affordable DPAs in the KEDNY manner, as made clear by the Companies' collections procedures; and their response to I/R PULP-63, which asked:

"

a. Please provide a detailed explanation why KEDNY customers must complete a Financial Statement at KEDNY's walk-in office, but no equivalent requirement exists for KEDLI customers to complete their Financial Statements at a KEDLI walk-in office.

b. Please provide citations to any legal precedent, rule, regulation, Order or practice that provides authorization for the Company to compel its customers to come to a walk-in office in order to receive a Minimum DPA.

Response:

a. Prior to converting from the legacy KEDLI customer service system (known as CAS) to the current Customer Service System (known as CSS) in 2014, KEDLI customers were required to complete Financial Statements at one of KEDLI's walk-in offices. The CSS system has a built-in module that allows a customer service representative to enter the customer-provided data points necessary to calculate eligibility. Since the conversion to CSS, KEDLI customers can complete Financial Statements over the telephone. KEDLI customers may still opt to fill out the Financial Statement at a walk-in office.

***Because KEDNY has not converted to CSS, the online Financial Statement module is not available**. KEDNY customers can complete a Financial Statement at any of the walk-in customer service offices. A customer may also submit a Financial Statement Form by fax when working with a member of KEDNY's PSC Complaints Team or a Consumer Advocate.*

b. Please see the Companies' response to PULP-75(a).

"

Exhibit ___(WDY-02) REDACTED at 754-755 (***Emphasis Added***)

The only basis cited by the Companies for the difference between KEDNY and KEDLI in the required means by which residential customers must furnish evidence of their need for more affordable DPAs is that "Because KEDNY has not converted to CSS, the online Financial Statement module is not available". However, this "constraint" should not be a constraint at all: KEDNY CSRs should be able to take customer financial information over the phone and/or through the mail and enter that information in the Company's CRIS system themselves. It is simply not necessary for customers to physically appear at a customer service center to provide such evidence of their need, and it is an unreasonable burden to EBD customers to require them to do so.

- The requirement that customers physically appear at a service center so as to provide evidence of their need for affordable DPA terms places an undue burden on all customers, and a disparate burden on elderly, blind and/or disabled customers; customers with serious medical conditions; and low income customers.

  According to the testimony of the Company's Shared Services Panel, there are only four walk-in customer services centers in KEDNY's service area where customers can make payments or seek assistance with service issues. There are two offices in Brooklyn (1535 Pitkin Avenue and 345 Jay Street), one on Staten Island, and one in Queens (8967 162nd Street). (Shared Services Panel Testimony at 56). These are the only locations in a service area with 1.2 million residential customers where such customers may appear to fulfill the Company's requirement to provide evidence of their need for more affordable DPAs. Even able-bodied persons could generally expect that a trip to one of KEDNY's service centers during business hours could consume a significant part of their weekday — time they may not have because of work or other commitments. And by definition, customers who need more affordable DPA terms cannot afford any costs of traveling to a customer service center that would be likely for most such customers, whether by taxi, rideshare or public transportation — given the limited number of service centers.

  Since the Company's requirement that customers appear in-person to provide evidence of their need for more affordable DPAs is unnecessary, the burden placed on such customers by the requirement is undue.

- Complaints filed by residential KEDNY customers with DPS provide evidence that the Company's requirement that customers required to appear in-person at customer service centers often do not succeed in their effort to obtain affordable DPAs even though they have complied with the Company's unnecessary requirement.

  As is made evident from Complaint IDs 1174, 1540 and 1181 above — together with other complaints for which citations are provided at (WDY-13), 2; customers who fulfill the requirement to appear at a customer service center to provide support

for their need for more affordable DPA terms often do not succeed in their effort to obtain such DPAs. This situation provides evidence that the Company's requirement that customers physically appear at a service center so as to provide evidence of their need for more affordable DPA terms is frequently ineffective in generating affordable DPAs, which — given the fact that the requirement is not necessary and there are perfectly acceptable alternative means for providing support for customers' indication of financial need — is further evidence that the requirement is unreasonable.

- The Company's requirement that customers physically appear at a service center so as to provide evidence of their need for more affordable DPA terms also runs counter to the stated purpose of its proposal to implement "E-DPAs" as described by the testimony of the Shared Services Panel.

According to the testimony of the Shared Services Panel, the stated purpose of implementing E-DPAs would be to:

> "*... permit customers to enter a DPA via electronic means ("E-DPA"), while continuing to offer the conventional methods for entering DPAs already in place. Customers would be allowed to place a call to National Grid, negotiate the terms of a DPA over the phone with a representative, and subsequently have an electronic document prepared for the customer's review and electronic signature. The customer would* ***complete*** *the DPA using electronic signature protocols authorized under the Electronic Signature and Records Act, N.Y.S. Technology Law, §§ 301-309 ("ESRA").*"

(Shared Services Panel at 57-58, ***Emphasis Added***)

PULP supports that proposal, as it has with equivalent proposals in other rate cases. However, KEDNY's insistence upon its requirement that customers physically appear at a service center so as to provide evidence of their need for more affordable DPA terms undermines the rationale for moving toward E-DPAs. What purpose would such a requirement serve? Surely it would be unreasonable and inequitable to privilege one subset of customers – those with the technological resources and

savvy to sign E-DPAs – with the ability to complete such DPAs without having to physically appear at a service center and provide evidence of their need for more affordable DPA terms; while subjecting ratepayers lacking broadband and/or computer proficiency to long and costly journeys to KEDNY customer service centers to complete their DPAs to receive an affordable DPA – which is a core requirement of HEFPA.

- Furthermore, the Company's I/R responses, together with the resolution of complaints by its residential customers to DPS, provide evidence that KEDNY makes exceptions to its requirement that customers physically appear at a service center so as to provide evidence of their need for more affordable DPA terms when such customers complain to either the Company or DPS.

  As also indicated by the Company's response to I/R PULP-63, KEDNY makes exceptions to its requirement that customers physically appear at a service center so as to provide evidence of their need for more affordable DPA terms by permitting them to "submit a Financial Statement Form by fax when working with a member of KEDNY's PSC Complaints Team or a Consumer Advocate". (Exhibit ___(WDY-02) REDACTED at 755). The Company does not indicate what the basis for such leniency is, thus it would not be unreasonable to conclude that the primary reason is simply that a customer has complained. At best, this is added undue burden for those who have the time and information resources to complain; but for everyone else, it provides no opportunity for redress. Examples of exceptions related to specific complaints by residential KEDNY customers include Complaint IDs 1540 (Exhibit ___(WDY-09) REDACTED at 1,898), 2146 (Exhibit ___(WDY-09) REDACTED at 2,686) and 2470 (Exhibit ___(WDY-09) REDACTED at 3,097).

  The only conclusion that can be drawn from the evidence obtained is that the apparent policy and noted instances of exceptions to KEDNY's requirement that customers physically appear at a service center so as to provide evidence of their need for more affordable DPA terms is that exceptions are determined based on

whether customers complain. This is not a rational basis for such a requirement and provides more evidence that the requirement should be eliminated.

Proposals/Recommendations

KEDNY should abandon its requirement that residential customers physically must appear at customer service centers so as to provide evidence of their need for more affordable DPA terms.

Q. How do you propose that this problem be resolved?

A. KEDNY should abandon its requirement that residential customers physically must appear at customer service centers so as to provide evidence of their need for more affordable DPA terms. Instead, the Company should modify its residential payment arrangement and financial statement form (FSF) procedures to affirmatively instruct CSRs to negotiate DPAs with residential customers that meet the statutory requirements of HEFPA. Specific modifications should include:

- Instructing CSRs to negotiate such DPAs at the time residential customers first communicate difficulty payment on their KEDNY bills, including providing the KEDLI Residential Payment Terms Rights Disclosure Statement set to be implemented by KEDLI by the end of 2019 (Exhibit __(WDY-02) REDACTED at 665);

- Instructing CSRs to negotiate DPAs in a manner tailored to the individual financial circumstances of customers, in accordance with HEFPA; and

- Removing all restrictions currently imposed by the Company upon CSRs to solicit and obtain FSFs from residential customers as a means of objectively determining their individual financial circumstances and thereby serving as the basis for DPA terms;

- Evidencing the agreement of terms between the Company and its customers entering into DPAs with the signature of both parties. To the greatest extent possible, this should be accomplished using the Company's proposed E-DPA

capabilities. When not possible, the Company should require customers to return signed copies of their agreements to evidence the agreement of the parties; and

- Reporting on DMM the monthly number of:
  - Completed FSFs;
  - Completed E-DPAs, and;
  - Signed hardcopy DPAs completed, including the separate reporting of Minimum DPAs, other more lenient DPAs, and Standard DPAs completed.

Q. Did you find any other KEDNY customer service issues involving residential customers being required to appear in-person at a customer service center to accomplish their service needs?

A. Yes. I found fifteen (15) complaints of customers seeking to establish service who were required to present documentation. As was the case with customers seeking affordable DPAs, some of these customers were also not able to open accounts even when they did go to the office. The details of these complaints can be found in Exhibit ___(WDY-09) REDACTED and Exhibit ___(WDY-10) REDACTED as cited at Exhibit ___(WDY-13), 32.

Q. Do you support KEDNY's proposal to renew the Pitkin Avenue office lease and to renovate and remodel the premises?

A. Yes. As discussed in the testimony of the Shared Services Panel, KEDNY is proposing to renew the lease and perform renovations necessary to keep the Pitkin Avenue office open and serving customers. The Panel stresses that keeping the Pitkin Avenue office open and available to walk-in customers is particularly important given that it is located in one of the most economically challenged areas in KEDNY's service territory. (Shared Services Panel Testimony at 56 – 57).

Working Relationship between KEDNY and the New York City Human Resources Administration (HRA); and KEDLI and the Nassau/Suffolk Departments of Social Services (Nassau/Suffolk DSS).

Q. Please describe the working relationship between KEDNY and HRA; and KEDLI and Nassau/Suffolk DSS, in regard to the companies' residential customers.

A. There are four major areas requiring coordination between HRA/DSS and the Companies:

1. Social Services Law 131-s ("One-Shot") Recipients;
2. Utility Guarantee/Direct Vendor Customers;
3. HEAP Recipients, and;
4. EAP Eligibility.

Generally, HRA/DSS will provide eligible public assistance (PA) customers having difficulty paying their utility bills with grant or loan assistance that pays down up to four months of utility arrears pursuant to 131-s of the Social Services Law. These grants or loans (referred to colloquially as "one-shot deals") pay only for charges for utility service; not miscellaneous charges such as late payment charges; reconnect fees, Marshall's fees, deposits, no-access fees, on-bill financing charges, etc.[34] Depending on the customer's circumstances, 131-s assistance may result in guarantee payment of a PA customer's future KEDNY/KEDLI bills for up to six months (Utility Guarantee Customers, or UGC); or pay their bills outright until HRA/DSS informs the Companies otherwise (Direct Vendor Customers, or DVC). When the Companies receive confirmations of these actions from HRA/DSS, they generally remove all arrears older than four months from the applicable customers' bills and holds them as "abeyances". The "abeyance" amounts will be returned to the customers' bills when they are no longer being covered under the UGC or DVC programs. During benefit periods, these customers incur no late payment charges on amounts in "abeyance"; nor are they subject to other collections measures associated with "abeyance" amounts, such as the issuance of final termination notices, actual terminations of service, and credit agency reporting. Once PA benefit periods end, "abeyances" return

[34] See, Office of Temporary and Disability Assistance, Temporary Assistance Energy Manual (2016) at 20, available at: https://otda.ny.gov/programs/temporary-assistance/TAEM.pdf.

to customer bills and are subject to normal collections measures.[35] (Exhibit ___(WDY-02) REDACTED at 649-664).

Q. How are HEAP grants coordinated between KEDNY/KEDLI and HRA/DSS for the benefit of the companies' customers?

A. The Home Energy Assistance Program (HEAP) provides assistance to help income eligible households pay energy bills. The program opens in November each year. HEAP grant amounts vary and are based upon information provided by the applicant's annual energy costs and annual income. For 2018-19, renters with heat included in their rent can obtain grants of up to $50.00. Households with utility-supplied gas or deliverable fuel are eligible to receive between $350 and $585. Households facing utility shut off for non-payment can, if eligible, receive an emergency grant of up to $275. (Exhibit ___(WDY-02) CONFIDENTIAL at 355).

KEDLI has an agreement with the PSC whereby notification of a HEAP benefit will either reinstate a DPA or result in a new minimum payment agreement being negotiated once all HEAP benefits have been exhausted. In order for customers to qualify, they must call within thirty (30) days from the date the last HEAP pledge was entered on the account. (Exhibit ___(WDY-02) CONFIDENTIAL at 20). KEDNY has a similar policy, whereby the Company will consider any regular and/or emergency HEAP payment as entitling the customer to an affordable and reasonable deferred payment agreement, regardless of any previous DPA defaults. KEDNY will reinstate a defaulted payment agreement when the grant is sufficient to cover the missed payments. If the grant amount is not sufficient for reinstatement, the Company will activate a new deferred payment agreement. The remaining balance is then rolled into a new deferred payment agreement with the same terms and an extension of the installment period. (Exhibit ___(WDY-02) CONFIDENTIAL at 355).

Both KEDNY and KEDLI waive the requirement for customers to complete an FSF in order to obtain a Minimum DPA if they were promised an Emergency HEAP grant within

[35] SSL § 131-s(6)

the past thirty (30) days, as long as such customers return a signed copy of the DPA contract by the due date. (Exhibit ___(WDY-02) CONFIDENTIAL at 69, KEDNY 489).

KEDNY's collections procedures indicate that many customers are given payment agreements which make them ineligible for the Emergency HEAP grant. Therefore, CSRs are cautioned that before setting up a DPA they should check to see if a customer meets the HEAP income eligibility guidelines and, if so, and they have a shut off notice, to refer them to HRA. (Exhibit ___(WDY-02) CONFIDENTIAL at 637).

Q. Are there ever any problems in the operation of One-Shot grants, UG/DV promises/payments, and HEAP grants between KEDNY/KEDLI and HRA/DSS that affect the Companies' customers negatively?

A. Yes. In my review of KEDNY and KEDLI residential complaints to DPS, I found problems with the fulfillment of HRA/DSS transactions to the Companies (for the benefit of their customers) falling into several categories, including but not limited to:

- HRA/DSS Case Closings

  When HRA/DSS stop guaranteeing/paying UGC/DVC customer bills, the respective agencies notify the Companies, which then hold the affected customers responsible for their own bills and return any balances that had been held in abeyance to their accounts. Often, this transition comes as a big surprise to the affected customers. (Indeed, abeyances can remain off customer bills for years; in some cases well beyond what should be collectible pursuant to applicable statutes of limitations and Commission practice.)

- Promised Payments Not Made, or Payments Made Then Rescinded by HRA/DSS

  KEDNY and KEDLI hold One-Shot, UGC/DVC, and HEAP customers responsible for HRA/DSS payments promised but not made; and/or HRA/DSS payments made but then rescinded. "Abeyance" amounts associated with One-Shot grants and UGC/DVC periods then return to the customer's bill on top of the deficient HRA/DSS payments, frequently with little or no explanation for such charges.

- 131-s and/or HEAP Funds not Received by Expiration of Final Termination Notices

  Residential customers of the Companies whose applications for One-Shot and/or HEAP assistance through HRA/DSS take longer to process and be paid to their KEDNY/KEDLI accounts than the time available before final termination notice (FTN) expiration are at risk of service termination. Customers who wind up complaining about this situation to DPS often indicate they had applied for assistance before filing their complaints. In many cases, their complaints simply request additional time beyond the initial extensions provided by the Companies to allow assistance for which they had already applied, and in some cases been approved, to be remitted to KEDNY or KEDLI.

In my review of residential customer complaints to DPS, I noted at least 108 KEDNY complaints and 5 KEDLI complaints dealing with promised but unreceived HRA/DSS assistance, which had a negative impact on the Companies' customers. Exhibit ___(WDY-13) at 12 and 18 provide a list of these complaints, with applicable citations to the actual complaint details in Exhibit ___(WDY-9) CONFIDENTIAL and Exhibit ___(WDY-10) CONFIDENTIAL.

Proposals/Recommendations

The Companies should prepare customers who will experience the return of abeyance amounts to their monthly bill and/or who have discrepancies between their KEDNY/KEDLI and HRA/DSS records. Six years of detailed billing data should be made available to e-Billing to residential customers as soon as they enroll in e-Billing.

Q. What is your proposal to deal with these problems?

A. Much more needs to be done to prepare customers who will experience the return of abeyance amounts to their monthly bill and/or have discrepancies between their KEDNY/KEDLI and HRA/DSS records. My recommendations are for the Companies to:

- Provide access to six years of detailed billing data through the Company's e-Billing portal. This data should be made available to residential customers as soon as they enroll in e-Billing, thus reducing the confusion and disputes that might otherwise lead to customers filing complaints with DPS. If "abeyance" amounts are more than six years old or the DVC period has lasted more than six years, billing history extending back to three months prior to the earlier of: the removal of arrears constituting abeyance amounts from customer bills; or the beginning of DVC periods should be provided.

- Pursue, as part of updating and improving their IT systems, and in partnership with New York City HRA and Nassau/Suffolk DSS, the development of an application that tracks the public assistance status of PA customers and reports such status to PA customers in "real-time" through their e-Billing portals (in the case of electronic billing customers) and through the mail anytime there is an update/change for non-electronic billing customers. An application of this sort would be beneficial to both the Companies and to customers, who each could monitor § 131-s, UGC/DVC and HEAP status in a manner that would allow much more timely action to prevent situations that could lead to unnecessary complaints and collections actions.

- Provide to PA customers complete, detailed reconciliations of all transactions between HRA/DSS and KEDNY/KEDLI pertaining to their One-Shot grants, UGC/DVC assistance and HEAP grants, and "abeyances," identifying any contemporary or historic reconciling transactions that require follow up by the customer and/or the Company so as to ensure the accuracy of amounts owed by the customer, including:

  - Payments that were due to the Companies but not paid by HRA/DSS,
  - Payments by HRA/DSS to the Companies that were later rescinded, and
  - Adjustments to the original "abeyance" amounts during the UGC/DVC period.

- Conduct telephone outreach to UGC/DVC customers with abeyance amounts at least annually to review their assistance status, including their abeyance amounts.

This outreach should also include a reminder that once UGC/DVC status ends, customers are responsible for their own bills and the resolution of their abeyances. Summaries of discussions between CSRs and customers on these calls should be transmitted to each customer, who should be requested to return an acknowledgement of their agreement about the CSR summary, indicating any differences in their understandings of such phone conversations.

- Grant automatic thirty-day extensions for customers whose UGC/DVC status ends, during which time these customers should be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA. During the extension period, all collections actions against these customers should be suspended.

- Include regular messages on bills that reference communications between the Companies and customers regarding any pending HRA/DSS status changes, together with references to e-Billing portal resources described above helping to explain such transactions.

- Provide an extension period of ninety days to those customers shown to have reconciling transactions between the Companies and HRA/DSS — such as UGC/DVC payments that HRA/DSS was supposed to make to the Companies but did not, or payments made by HRA/DSS that were later rescinded/reversed — during which all collections actions would be suspended while the affected customers attempt to resolve the reconciling transactions (up to and including a "fair hearing"), complete an FSF and negotiate a HEFPA DPA.

- Extensions should commence as of the date any bill including added amounts related to HRA/DSS is mailed. During extension periods, affected customers should be given the opportunity to engage with specially designated Company personnel to dispute bill additions customers contend are erroneous and to seek resolution of such disputes. During the extension period, these customers should also be provided the opportunity to complete an FSF and to negotiate a DPA with

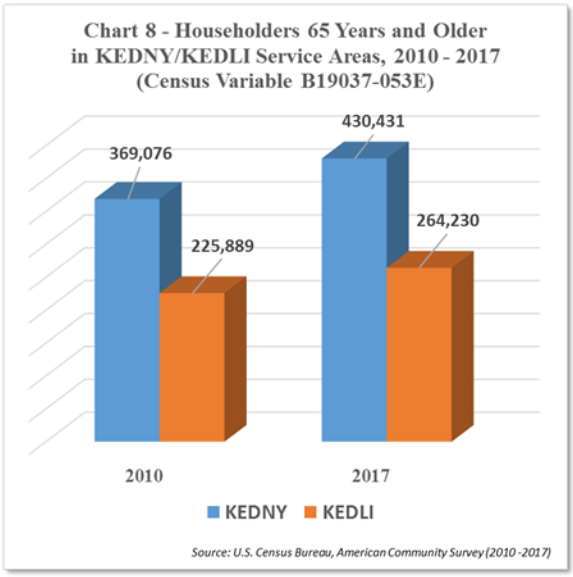
the Company that meets the statutory requirements set forth under HEFPA; and all collections actions against related to disputed amounts should be suspended.

Most of the above recommendations can and should be incorporated into the Companies' proposal in these proceedings to upgrade or replace their CRIS and CSS systems. It is vitally important that the new systems include upgrades or other plans to integrate KEDNY/KEDLI and HRA/DSS transactions in such a way as to provide transparency to customers, and an expedited and logical process for resolution of these types of collection disputes. The Companies will have the opportunity if their proposal is accepted to use this investment in information technology ($113.4 million and $52.6 million) to improve data collection and integration processes for the benefit of their most vulnerable customers. This opportunity should not be missed. (Shared Services Testimony at 49).

Medical Emergency, Life Support Equipment; & Elderly, Blind or Disability Customers

Q. What did you find in your review of the Companies' collections practices with regards to elderly, blind or disability (EBD) customers?

A. In the KEDNY/KEDLI service areas, demographic trends reflected by the U.S. Census Bureau's *American Community Survey* (ACS) from 2010 through 2017 show a steady increase in householders age 65 or older and persons with disabilities. Charts 8 and 9 reflect these trends:



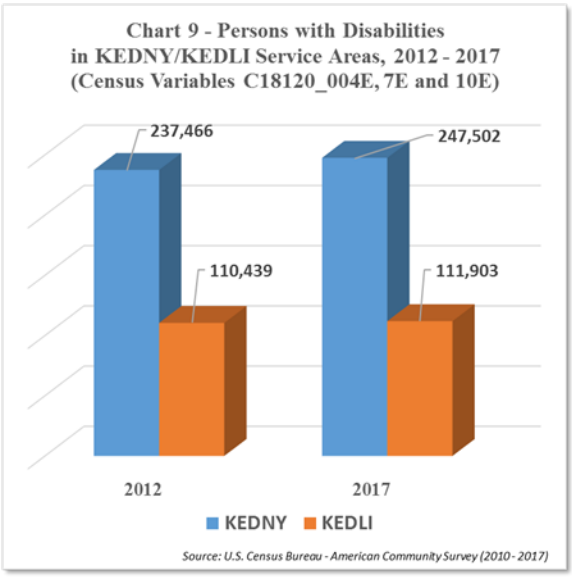


Exhibit ___(WDY-04) at 17

As can be seen in Charts 8 - 9, the number of householders age 65 and older in the KEDNY and KEDLI service areas increased 17% between 2010 and 2017, to 430,431 and 264,230 households, respectively. The number of persons with disabilities in the KEDNY service area rose 4%, to 247,502; while the number of persons with disabilities in the KEDLI service area rose 1%, to 111,903 from 2012 to 2017.

Special procedures are required by HEFPA before a utility may terminate service to a residential customer whose household is comprised of persons who are all either elderly, blind or disabled.[36] For KEDNY/KEDLI customers, the most important issue faced by customers with EBD household members is understanding the HEFPA requirements for such protections and getting their accounts coded accordingly. Given the trends identified in Charts 8-9, it is therefore not surprising that 415 KEDNY customers and 108 KEDLI customers indicated in their complaints from 2016 to 2018 that at least one member of the customer's household is elderly, blind or disabled. (Exhibit ___(WDY-13) at 5-8, 14-15) The Companies' procedures for coding residential customers accounts for "protected" under HEFPA can be found at Exhibit ___(WDY-02) REDACTED, 670 - 679.

Q. What did you find in your review of the Companies' collections practices with regards to customers with medical emergencies?

A. KEDNY and KEDLI's procedures with regard to special protections for residential customers with medical emergencies can be found at Exhibit ___(WDY-02) REDACTED, 680 – 731. As was the case with the Companies' EBD customers, I found in my review of residential complaints from 2016 – 2018 that the principal challenge for KEDNY/KEDLI customers with serious medical conditions was understanding the requirements HEFPA set forth in order to protect their accounts from service termination and getting their accounts coded accordingly.[37] DPS representatives either coded complaints as "Medical Emergency" and/or provided education and assistance to these customers about the provisions for special protections under HEFPA regarding the termination, disconnection

[36] NYCRR § 11.5(b)(1)
[37] NYCRR § 11.5(a).

or suspension and restoration of utility service in cases involving medical emergencies for 213 KEDNY and 44 KEDLI complaints, respectively during this period. (Exhibit ___(WDY-13) at 9 – 11, 16-17).

Proposals/Recommendations

Secure web-based portals should be created for customers to track the progress of their applications for EBD and/or medical emergency account coding. Automatic thirty-day extensions for all customers seeking either EBD and/or medical emergency coding should be granted to allow for necessary documentation to be provided to the Companies.

Q. What is your recommendation for solving the problem of customers who meet the criteria for special protections under HEFPA because they are elderly, blind or disabled and/or have medical emergencies; but have not had their accounts coded as such and therefore are not known to the Companies as being eligible for protection against service termination?

A. Somewhat similar to my recommendation for integrating HRA/DSS transactions for PA customers, I recommend that in connection with the Companies' plans to upgrade their CSS and CRIS systems, a secure web-based portal (if applicable, the e-Billing portal) be created to track the progress of applications for customers who want their accounts coded for EBD and/or medical emergency status. The portal should also be designed to manage the ongoing status of certification and re-certification. Customers, their authorized representatives and healthcare providers, DPS and the Companies would each have role-based user-id and password access to the portal. Using electronic signatures, providers could submit certification letters directly to the portal. DPS would be able to determine the status of any applications, certifications and renewals in real time through the portal, likely reducing the amount of repetitive work that needs to be done each time a complaint is filed in regards to elderly, blind or disabled; or medical emergency customers.

Additionally, automatic thirty-day extensions for customers seeking either EBD and/or medical emergency coding should be granted to allow for necessary documentation to be provided to the Companies. During the extension period, these customers should also be

provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA; and all collections actions against these customers should be suspended.

Balance Transfers

Q. What did you find in your review of the Companies' collections practices with regards to residential customer balance transfers?

A. The Companies' procedures were provided in response to I/R PULP-25 and can be found at Exhibit ___(WDY-02) REDACTED, 734. These procedures require that KEDNY and KEDLI CSRs refrain from transferring amounts owed to active customer accounts in situations where their closed ("finaled") accounts are past the applicable statute of limitations (six years). Despite this instruction, however, three KEDNY residential complaints to DPS from 2013 through 2018, provided by the Companies in response to I/R PULP-26, were found to involve transfers of balances older than six years and therefore the resolution of these complaints required reversing the transfers. In addition, six other incorrect KEDNY transfers had to be reversed in resolution of customer complaints. (Exhibit ___(WDY-02) REDACTED at 747 -750).

A complete listing of complaints filed by residential KEDNY/KEDNY customers involving balance transfers from 2016 through 2018 (obtained by PULP through FOIL), with applicable citations to each complaint's details in Exhibits ___(WDY-09) CONFIDENTIAL and Exhibits ___(WDY-10) CONFIDENTIAL, can be found at Exhibit ___(WDY-13), 13 and 19.

Proposals/Recommendations

The Companies should engage in outreach to customers whose accounts will be subject to balance transfers in advance of such actions, and provide affected customers with an opportunity for dispute resolution

Q. What is your recommendation for preventing incorrect balance transfers to the accounts of residential KEDNY and KEDLI customers?

A. Prior to the recording of any balance transfers on residential customer accounts, the Companies should engage in outreach to such customers to notify them of the Companies' intention to make such transfers. Summaries of telephone discussions between CSRs and customers on these calls should be transmitted to applicable customers, who should be requested to return acknowledgements of their agreement with CSR summaries, and/or any differences in their understandings of such phone conversations.

Additionally, automatic thirty-day extensions should be granted to residential customers who have balances transferred to their accounts. Extensions should be commenced as of the date any bill including such a transfer is mailed. During extension periods, affected customers should be given the opportunity to engage with specially designated Company personnel to dispute transfers customers contend are erroneous and to seek resolution of such disputes. During the extension period, these customers should also be provided the opportunity to complete an FSF and to negotiate a DPA with the Company that meets the statutory requirements set forth under HEFPA; and all collections actions against related to disputed amounts should be suspended.

Conclusion

Q. Does this conclude your testimony?

A. Yes.

BY MS. WHEELOCK: (Cont'g.)

Q. Mr. Yates, you also have before you 13 exhibits that were pre-filed and also marked for the evidentiary hearing. Please note that three of these exhibits also have a redacted and a confidential version and so I'm going to go through that list now.

William D. Yates 1 is -- is evidentiary hearing Exhibit 564. W.D.Y.-2 is confidential Exhibit 565. W.D.Y.-2 is redacted 566. W.D.Y.-3 is 567. W.D.Y.-4 is 568. W.D.Y.-5 is 569. W.D.Y.-6 is 570. W.D.Y.-7 is 571. W.D.-8 is 572. W.D.Y.-9 is redacted 573. W.D.Y.-9 confidential is 574. W.D.Y.-10 is confidential 575. W.D.Y.-10 redacted is 576. W.D.Y.-11 is 577. W.D.Y.-12 is 578. And W.D.Y.-13 is 579.

Mr. Yates, did you have any corrections to any of these exhibits?

A. The corrected testimony included corrections to Exhibit 5.

MS. WHEELOCK: So for the record, if we could just let it reflect that Exhibit 5 has been corrected, as well as Exhibit 3. Both were submitted, as well, on February 10th, 2020.

BY MS. WHEELOCK: (Cont'g.)

Q. Do you have any further corrections to any of these exhibits?

A. No.

Q. Were these exhibits prepared by you or under your direct supervision?

A. Yes.

Q. Do you affirm that the information contained in these exhibits is true and accurate to the best of your knowledge?

A. Yes.

Q. It's my understanding these exhibits will be moved into evidence after the hearing.

A. That's correct.

MS. WHEELOCK: Mr. Yates is now available for cross examination.

A.L.J. COSTELLO: Okay. The Companies?

MR. EUTO: Jeremy Euto for National Grid.

CROSS EXAMINATION

BY MR. EUTO:

Q. Good afternoon, Mr. Yates.

A. Good afternoon.

Q. I'm going to ask you some questions about your pre-filed testimony. In particular, I'm going to start with PULP's support for additional resources for the Energy Affordability Program or E.A.P.

Really, I'd like to start at page 39, lines 12 through 18 of your direct testimony, where you suggest that you support increasing the Company's request for one-half of a full-time equivalent --?

A. I'm sorry. Could you tell me which lines again?

Q. Of course. I'm sorry. I'll give you a moment to find it. It's page 39, lines 12 through 18.

A. Okay.

Q. In your direct testimony on page 39, beginning on line 16, running through line 18, you suggest that you would support the added resource if the added one-half F.T.E. could be dedicated to increasing KEDLI participations rates.

Was it your intention that the additional one-half F.T.E. resource you proposed be exclusively dedicated to KEDLI?

A. Yes.

Q. Do you believe that -- that that same resource could also be beneficial to KEDNY customers?

A. The purpose of my recommendation was to provide a dedicated added resource to help bring the KEDLI enrollment rate up to something more comparable to KEDNY. I don't doubt that the -- you know, in another scenario, the -- the half full-time equivalent resource would have been able to provide, you know, useful services to KEDNY. But the purpose of my recommendation was to address a very stark difference in the participation rates between the two Companies.

Q. Understood. If the Companies proposed to add the additional one-half F.T.E. you referred to, would you oppose if that F.T.E. also supported KEDNY?

A. My testimony called for the dedicated resource to the KEDLI Company to address a very stark disparity between the participation rates. I did not consider whether or not, you know, the resource would be, you know, appropriately split in any manner between KEDNY and KEDLI. And I think for

purposes of what I proposed in my testimony, my testimony speaks for itself.

Q. Okay. Let's move on. Let's talk about service terminations and uncollectable metrics.

A. Okay.

Q. I'd like to discuss the adjustment you recommend to the Companies proposed -- .

MR. BERKLEY: Excuse me, Counsel. Do you have a page?

MR. EUTO: I'm -- I'm getting there.

BY MR. EUTO: (Cont'g.)

Q. I'd like to -- let me direct you to page 35 of your testimony where that discussion begins.

A. And what line on page 35?

Q. In your direct testimony at page 35, beginning at line 18.

A. Uh-huh.

Q. You suggest that changing the targets would address the risk of a sudden spike in terminations. Is that correct?

A. From line 18 on page 35?

Q. Apologies, we're -- we're working

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with the corrected testimony that we got on Tuesday.

A. So --.

Q. Are we all on the same page?

A. Okay.

A.L.J. LEARY: I'm sorry; the witness, Mr. Yates, doesn't have what you have.

MR. EUTO: Okay. I -- I agree.

THE WITNESS: Okay.

A.L.J. COSTELLO: My -- I have the corrected testimony which -- it has line 22. Is that --?

A.L.J. LEARY: Sudden spike?

MR. EUTO: Yeah.

A.L.J. LEARY: Sudden spike.

MR. EUTO: Page 35.

THE WITNESS: That's what I have.

A.L.J. LEARY: So you're -- you might -- well, not going to speculate.

BY MR. EUTO: (Cont'g.)

Q. Okay. So let me -- let me go back to that. It's page 35.

A. Okay.

Q. Lines -- the word sudden spike does occur at 22. It looks like the sentence begins

on page 21. If you like, I can read the sentence.

A. Line 21, you mean?

Q. That's correct, line 21.

A. Yeah. Why don't you read the sentence out?

Q. Page 35, line 21 of your direct testimony, it is therefore time to reset the positive targets for the metric and to also add to it a negative revenue adjustment that would address any risk that a sudden spike in terminations might erode the progress that has made on reducing termination in recent years.

A. That's correct.

Q. In preparing your testimony, did you provide a definition of what would constitute a sudden spike in terminations?

A. No.

Q. Would you agree that adjusting performance on terminations can and will impact arrears and uncollectable expense?

A. Can you -- can you repeat the question?

Q. Sure. Would you agree that adjusting performance on terminations can and will

impact arrears and uncollectable expense?

A. I won't agree with that, necessarily, because the purpose of the incentive is to provide the Company with opportunities to achieve lower terminations with -- through efforts on its own that may provide more affordability for customers, might avoid the need for terminations, might help to settle arrears through alternative means.

And I'll give you an example. You know, one would be to -- to provide a, you know, more affordable deferred payment agreement, for instance.

Q. So it's your position, then, that adjusting terminations will not impact arrears or uncollectable expense?

A. No, that's not my position.

Q. Okay. Could you clarify?

MR. BERKLEY: Your Honor, could Counsel specify what he is asking to clarify? It seems like this question has already been asked and answered.

A.L.J. COSTELLO: I -- I think he asked him what his position was. He said it was not his position, so he wanted to just clarify what he meant by that. That was my understanding of it.

MR. BERKLEY: And could you --?

A.L.J. COSTELLO: That's --.

A.L.J. LEARY: What is your position?

A. Could you repeat the question, please?

BY MR. EUTO: (Cont'g.)

Q. Is it your position, then, that adjusting performance on terminations would not impact arrears and uncollectable expense?

A. No, that's not my position, either. My position is what -- what I said before, which is that, you know, the purpose of the incentive is to try to get the Company to make efforts to engage in behaviors that might provide for lower terminations without necessarily increasing uncollectibles, without necessarily increasing arrears, but rather, to be figuring out in ways that might be new -- new endeavors for the Company to resolve customers' arrears through such things as more -- a more affordable T.P.A. or, perhaps, an extension, things of that nature.

Q. Would you agree that the three metrics that we're taking about, terminations, uncollectable expense, and arrears, are connected?

A. Can you define connected?

Q. Of course. That moving one will cause movement in the others.

A. I don't think that's necessarily a -- a consequence of any one of them moving, having a direct correlation to a movement in another. At least that's not the intent of the -- the incentive mechanism here.

Q. Are you familiar with the Staff testimony on this metric?

A. I've read it.

Q. Okay. The Staff suggests in their testimony, and I -- I'm -- I'm going to paraphrase this, and you can push back if you like. But I think it's a relatively clear point that the purpose of the metric is to help control terminations, to lower terminations without unreasonably affecting uncollectable expense.

Would you agree with that?

A. I'd -- I'd really need to see the Staff testimony and refresh my memory on it.

Q. I'll withdraw the question.

If the Company was facing a potential penalty as a result of underperforming on the arrears

metric, would one way to reduce the arrears be to engage in additional terminations?

A. I think you're asking me to speculate if there is, you know, one variable and only one variable affecting the behavior of another variable as if there aren’t multiple variables that have impacts upon one another here.

Q. Uh-huh.

A. So I couldn't speculate whether what you're suggesting would be true because, for all I know, there could be an exogenous factor at work that would be having a much more assertive impact on the dynamic of arrears. And consequently, I just can't -- I can't speculate on that.

Q. Do you understand, generally, how the process works, how an account would be finaled and arrears associated with that account would be written off, and the Company would begin to classify those written-off arrears as uncollectable expense?

A. Yes, I believe from the earlier discussion, I do.

Q. Thank you.

A. You don't have to go through that again.

Q. Okay. Turning, actually, back to the -- you'd mentioned the phrase exogenous events. Do you agree that external factors beyond the Company's control, such as extreme weather, can affect customer bills?

A. I would tend to agree with that, yes.

Q. Yeah. During extremely cold winters, you would agree that customers would use more gas and have higher bills. Is that right?

A. I think that could happen, yes.

Q. And that increasing customer bills would result in increased customer arrears?

A. See, here, you're mixing -- you're assuming, you know, because one variable changes, that it has a direct impact and the only impact on another variable. What if you had an absolutely roaring economy and everybody was making a whole bunch of money that they weren’t making prior to this very cold winter? They might not have any problem paying their bills.

Q. But in any event, you would agree that the purpose of the metric is to change the Company’s behavior, something the Company controls.

Is that correct?

A. That's correct.

Q. Would it be punitive to establish metrics that can be driven by external factors, but that lead to a penalty for missing a target?

A. I think that properly designed metrics of this sort take that very justifiable concern into consideration. For example, as the Staff Panel said earlier, we -- we tried to take, you know, historical averages, not necessarily focusing on one year that might be an outlier, and -- and then using those -- those historical averages plus a significant allowance for outliers, which, in my testimony, is represented by a two-standard-deviation target, rather than simply a one-standard-deviation target.

And on top of that, another way to have to deal with the -- the concern you're raising is to normalize the historical data that you're using so that if you have outliers within that historical data, you can disregard those in developing your historical average.

Q. Thank you. If I set aside some of the specifics about outliers and historical

performance and all that, but just look at this in a very generic sense, in a more absolute sense, if the metric -- if performance on a metric was driven by external factors, do you think that it would be punitive to impose a target for such a metric?

A. Will not if properly designed, as I said. We have -- we have ways of considering, you know, normal fluctuations in -- in the business cycle. We have normal fluctuations in weather. We have other types of exogenous types of factors. And by using historical data, normalized, and having -- and, you know, a really robust confidence interval set by two standard deviations to the mean, we can avoid, I would say, the vast majority of the kinds of scenarios you might be concerned about.

Q. Are you aware of any other utilities that use two standard deviations in service terminations and uncollectable expense metrics?

A. Yes.

Q. And what would that utility be?

A. Niagara Mohawk.

Q. Are you aware of any other utilities that use two standard deviations?

A. No.

Q. And are you aware that Niagara Mohawk, the case -- I'm going to assume that you are referring to the case that was mentioned earlier, case 17-E-00 -- or 0238, I believe?

A. And 239.

Q. And 0239, correct. You're referring to those cases. And you are aware -- further, you heard the dialogue earlier that those cases were resolved by a joint proposal. Is that correct?

A. Yes, I am. And this is a litigated case. And in a litigated case, on a -- in a settled case, parties don't typically get everything that they asked for. You know, so here we are in a litigated case and -- and it's a different world.

Q. Thank you. Let me turn to your recommendations around the billing system and process changes. This appears in your direct testimony starting at page 72, but it continues for about three pages. So I'm not going to read that.

I'll just say that in that section of your testimony, you seek changes to the billing systems to add additional billing history, a new

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public assistance portal, new elderly, blind, and disabled, and medical emergency portals, and other system changes. Is that correct?

A. Just hold one moment, please?

Q. Of course.

A. Yes, that is correct.

Q. In your direct testimony, beginning on page 74, line three, continuing for four, you state, and I'll read this, most of the above recommendations can and should be incorporated into the Companies' proposal in these proceedings to upgrade or replace their CRIS and C.S.S. systems.

Do I have that right?

A. That's correct.

Q. And you would agree then that a new C.I.S. could provide opportunities to develop that new system functionality?

A. Yes, I would.

Q. Do you support moving forward with a C.I.S. to give the parties a chance to consider your proposals further?

A. My testimony states that in connection with any upgrade to the system -- systems to replace CRIS and C.I.S., I did not, in my

testimony, make a recommendation whether or not to upgrade the two systems.

Q. Would you support the Companies' proposal to develop and implement a new C.I.S.?

A. I don't have enough data and enough information about the Companies' proposals to make a judgment about that.

Q. Based on your general understanding of how these systems operated and how the Companies fund them, do you believe that the funding necessary to achieve some of the modifications you've proposed could be addressed as part of a C.I.S. project?

A. I would agree with that, yes.

MR. EUTO: No further questions, your Honor.

A.L.J. COSTELLO: Do you need to take a moment?

MS. WHEELOCK: Just briefly, your Honors?

A.L.J. COSTELLO: Okay. Sure. Off the record.

(Off the record, 3:37 p.m.)

(The hearing resumed, 3:39 p.m.)

MS. WHEELOCK: Your Honors, PULP has no need to redirect.

A.L.J. COSTELLO: Okay. Thank you.

Mr. Yates, thank you very much for your testimony.

THE WITNESS: Thank you, your Honors.

A.L.J. COSTELLO: You're excused.

A.L.J. LEARY: Mr. Normand?

MR. MALONEY: Your Honors, the Company calls Paul M. Normand, please.

A.L.J. COSTELLO: Mr. Normand, could you state your name and business address for the record?

MR. NORMAND: My name is Paul M. Normand. And I'm a principal in management application with the address of 1103 Rocky Drive, Reading, Pennsylvania, 19609.

A.L.J. COSTELLO: Please stand and raise your right hand.

Do you swear or affirm that the testimony you will provide is the truth?

MR. NORMAND: Yes, I do.

WITNESS, PAUL M. NORMAND; Sworn

A.L.J. COSTELLO: Thank you. You may

be seated.

You may proceed.

DIRECT EXAMINATION

BY MR. MALONEY:

Q. I'm Ken Maloney. I'm here on behalf of KEDNY and KEDLI. Good afternoon, Mr. Normand.

A. Good afternoon.

Q. Do you have a document before you consisting of 12 pages, including a cover sheet, labeled The Brooklyn Union Gas Company Doing Business as National Grid, New York, Direct Testimony of Paul M. Normand, dated April 2019?

A. Yes, I do.

Q. Do you also have before you a document consisting of 12 pages, include -- under a -- including a cover sheet, entitled KeySpan Gas East Corporation Doing Business as National Grid, Direct Testimony of Paul M. Normand, dated April 2019?

A. Yes, I do.

Q. And were these two documents prepared by you or under your direction and supervision as part of the Companies' April 2019 filing in this proceeding?

A. Yes, they were.

Q. Do you also have before you a document consisting of 11 pages, including a cover sheet, labeled The Brooklyn Union Gas Company Doing Business as National Grid, New York, and KeySpan Gas East Corporation Doing Business as National Grid, Rebuttal Testimony of Paul M. Normand, dated September 18th, 2019?

A. Yes, I do.

Q. Was the document prepared by -- were the documents -- was this document prepared by you or under your supervision and direction as part of the Companies' rebuttal filing in these proceedings?

A. Yes, they were.

Q. Do you affirm that the testimony you have prepared in this proceeding is true and accurate to the best of your knowledge and information?

A. Yes, it is.

Q. Okay. If I were to ask you the questions appearing in your direct and rebuttal testimony today, would your answers be the same?

A. Yes, they would.

Q. And do you adopt your prepared direct and rebuttal testimony as your sworn testimony in these proceedings?

A. Yes, I do.

MR. MALONEY: Your Honors, at this time, I'd ask that Mr. Normand's direct and rebuttal testimonies be copied into the record as if orally given.

A.L.J. COSTELLO: That's granted. And at this point, the court reporter should insert the following files, KEDNY Paul M. Normand Direct Testimony, KEDLI Paul M. Normand Direct Testimony, and KEDNY/KEDLI, both of them, Paul M. Normand Rebuttal Testimony.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Direct Testimony

of

Paul M. Normand

Dated: April 2019

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I. Introduction

Q. Please state your name, address and business affiliation.

A. My name is Paul M. Normand. I am a Principal with the firm of Management Applications Consulting, Inc. ("MAC"), 1103 Rocky Drive, Suite 201, Reading, Pennsylvania 19609.

Q. Please describe MAC.

A. MAC is a management consulting firm that provides rate and regulatory assistance, including depreciation services, for electric, gas, and water utilities.

Q. Please summarize your education and business experience.

A. This information is contained in Exhibit ___ (PMN-1), which was prepared under my direction and supervision.

II. Scope of Testimony

Q. What is the purpose of your testimony in this proceeding?

A. MAC was engaged by The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY" or the "Company") to conduct a depreciation analysis of its leak prone pipe ("LPP") plant assets. The purpose of my testimony is to sponsor and describe the LPP depreciation analysis conducted by MAC and present the necessary support for cost recovery recommendations related to these assets.

Q. Please describe the depreciation analysis that MAC performed.

A. The analysis involved reviewing the most recent seven years of historical data (2012-2018) for certain plant accounts relating to the Company's LPP. KEDNY's LPP assets consist of 1,458 miles of unprotected steel and cast or wrought iron main as of December 2018, as well as 104,988 copper services, and 24,773 unprotected steel or wrought iron services. Although the Company recently determined that high density polyethylene ("HDPE") plastic services should be classified as LPP, the analysis I am presenting has not been updated to include it, due to the timing of this recent decision. LPP assets were installed by the Company some time ago and are currently the subject of an accelerated replacement program that will replace/retire all LPP on the Company's system over the next 20 years.

Q. What were your responsibilities in connection with the depreciation study presented in this case?

A. I was responsible for planning the study, delineating and coordinating data collection, ensuring the accuracy of the data, and properly reflecting any accounting adjustments. Beyond data collection, I am also responsible for the performance and interpretation of statistical analyses and the preparation of appropriate exhibits and schedules to reflect the results of the studies.

Q. When were the Company's current depreciation accrual rates last reviewed and approved by the New York State Public Service Commission ("Commission")?

A. The current depreciation accrual rates for these plant accounts, as shown on Exhibit ___ (PMN-3), column 4, were approved by the Commission in Case 16-G-0059. The

depreciation rates established in Case 16-G-0059 were derived from a depreciation study that used Company plant data through December 31, 2014.

Q. Why is the Company providing a limited study of its LPP assets in this proceeding?

A. As mentioned above, the Company's depreciation rates were last reviewed and approved only three years ago. For most of the Company's assets, there have been no meaningful changes in the circumstances that affect the establishment of depreciation rates. At the same time, the fact that the Company has accelerated, and will continue to accelerate, the replacement of LPP assets justifies an examination of whether the depreciation rates for those assets should be adjusted at this time.

Q. What Company facilities are considered LPP?

A. LPP facilities consist of all mains of 12-inches or less in diameter that are (i) unprotected (*i.e.*, non-cathodically protected) steel pipe whether bare or coated, and (ii) cast and wrought iron pipe. LPP facilities also include bare steel, wrought iron, HDPE, and copper services.

Q. Please describe the Company's program for accelerating the replacement and removal of LPP facilities.

A. As described in more detail in the testimony of the Gas Infrastructure and Operations Panel, the Company is undertaking an ongoing 25 year program to replace and retire all LPP facilities on its gas system. The program began in 2015; thus, the remaining term of the program is approximately 20 years - at which time the Company anticipates that it will have replaced all of its LPP facilities.

Q. How did MAC identify the LPP assets in the Company's existing plant accounts?

A. With my assistance, the Company analyzed its plant account records to determine the LPP-related balances in each individual plant account that included LPP facilities. These accounts are identified on Exhibit ___ (PMN-2). If the Company's proposal for depreciating the LPP assets in these accounts over a 20-year period is adopted, the Company plans to segregate these accounts as separate LPP sub-accounts going forward.

III. Depreciation Analysis

Q. Have you prepared any exhibits summarizing the study?

A. Yes, I have prepared several exhibits identifying the various plant accounts considered, along with the proposed cost recovery for each account. The summary results of the study are shown in Exhibit ___ (PMN-2), which consists of three pages and summarizes each LPP account and its respective depreciation parameters and calculates an annual accrual cost recovery amount. Exhibit ___ (PMN-3) presents a comparison of existing and proposed accrual rates for each of the LPP plant accounts and sets forth the cost impact and revenue requirement change associated with the proposed cost recovery recommendations. Exhibit ___ (PMN-4) consists of six pages and presents the overall detail considered in arriving at MAC's recommended Cost of Removal ("COR") rates for each plant account relating to LPP facilities. Page 1 of Exhibit ___ (PMN-4), shows the calculation of the annual COR percentage and the COR percentage over the life of the LPP assets. These percentages were used in Exhibit ___ (PMN-2) and Exhibit ___ (PMN-3). Page 2 of Exhibit ___ (PMN-4) presents the calculation of COR dollars per mile for Mains and the COR dollars incurred to retire a service. Pages 3 and 4 of Exhibit

___ (PMN-4) present the history of annual retirements and the COR for the years 2012-2018. Three-year, four-year, and seven-year rolling band analyses were calculated. Page 5 of Exhibit ___ (PMN-4) shows the three-year average of the cost of removal and three-year average of retirements of main in miles and three-year average of the number of services replaced. These calculations are used on Page 6 of Exhibit ___ (PMN-4), which sets forth (i) the average actual miles of main and number of services replaced during the 2016-2018 period, (ii) the average annual COR associated with the replacements for the same period, and (iii) the forecast miles of main and number of services to be replaced, by account, during the Fiscal Year 2021-2024 period. Finally, Exhibit ___ (PMN-5) includes the following workpapers: (i) the separate analyses for each plant account relating to the theoretical reserve calculations presented in Exhibit ___ (PMN-2) column 10; (ii) support for the current Average Service Life ("ASL"), survivor curve, net salvage percentage, and depreciation accrual rates; (iii) vintage survivors for each LPP account as of December 31, 2018; (iv) the book reserve at December 31, 2018 for each LPP account; and (v) support for the breakout of LPP amounts for the individual asset accounts from plant accounting data that included both LPP facilities and non-LPP facilities.

Q. Is the depreciation analysis in your current study consistent with KEDNY's last analysis for these LPP accounts?

A. Generally speaking, yes. However, MAC's analysis was focused on the specific accounts with gas piping classified as LPP that are included in the Company's accelerated replacement program.

Q. What is the purpose of the depreciation analysis you performed for KEDNY?

A. The purpose of the depreciation analysis is to derive appropriate accrual rates reflective of engineering judgment and current projections for the next 20 years, relative to the LPP assets under study. Because the Company is proceeding with a program through which these LPP assets will be replaced and retired on an accelerated schedule, this analysis is intended to produce depreciation rates that will reflect an annual amortization and recovery of these LPP assets along with their retirement costs, commonly called net salvage, over the proposed amortization period.

Q. What procedures did you employ in compiling your depreciation studies?

A. First, MAC created the depreciation study databases that utilized the Company's vintage survivors by LPP account as of December 31, 2018. KEDNY also provided the cost of removal, annual retirements, annual mileage of retirements, and annual number of services history for the most recent seven years (2012-2018) to complete MAC's analysis of net salvage for the LPP accounts (*See* Exhibit ___ (PMN-4)).

Q. Why have you chosen the seven-year period for your analysis of LPP?

A. The Company began its program of retiring/replacing LPP on an accelerated basis in 2015 and has ramped up its annual retirement miles for these specific assets to an expected level going into the future. Because the primary costs incurred in connection with the program are labor-related, the most recent period was deemed to be most representative of the costs that are likely to be incurred in connection with future retirement efforts for these plant assets. Exhibit ___ (PMN-4) sets forth the three-year period of historical annual costs used to derive our proposed recommendations. MAC

also examined data for the most recent four and seven year periods. MAC's conclusion was that the three-year analysis was the most representative period. It is important to recognize that this analysis is only applicable to a portion of the few accounts associated with LPP as identified in the exhibits. Exhibit __ (PMN-5) sets forth the dollar amount for each LPP-related account and the dollar portion related to LPP.

Q. What approach did you use in developing your proposed accrual rates?

A. The depreciation analysis utilized the period over which the LPP replacement program would be in effect to determine the period of time over which these assets would be retired, their cost of removal would be incurred, and their full cost recovery would be calculated and effectuated. This depreciation approach is necessary to fully recover all appropriate costs for these facilities within the retirement period proposed.

Q. Did you prepare any actuarial analyses to assist in the life estimation process?

A. No, we did not analyze each account with respect to rolling bands (10 years) and shrinking bands (one year) for each polynomial (first, second, and third degree) as this was unnecessary because we are proposing a 20 year amortization of all LPP plant accounts to align with the Company's replacement program.

Q. In preparing your analysis of the LPP plant accounts, what other information did you review and rely upon?

A. We conferred with KEDNY to determine if there were any occurrences, or changes in policy, procedure, equipment, or practices, that might impact historical plant balances and salvage, or retirement and removal costs associated with these depreciable assets.

The testimony of the Company's Gas Infrastructure and Operations Panel provides support for the LPP replacement program life that is the basis of MAC's recommendations.

Q. Does your depreciation analysis provide a complete list by plant account of the accrual rates and net salvage factors that you are recommending in this proceeding?

A. Yes. The recommended accrual rates and net salvage factors are set forth in Exhibits ___ (PMN-2) and ___ (PMN-3).

Q. Do the depreciation accrual rates you propose result in a higher depreciation expense than that derived using the existing authorized depreciation accrual rates?

A. Yes, they do. The depreciation accrual rates that MAC is proposing result in a total depreciation expense that is set forth in three parts. Exhibit __ (PNM-3) shows that the proposed annual depreciation expense is $27.5 million higher (column 10) for the LPP balances as of December 31, 2018. These results are derived by comparing the existing accruals in column 5 of the Exhibit with the proposed accruals of column 9.

Q. Your depreciation analysis shows that the net salvage estimates are much greater (more negative) than those reflected in the existing depreciation accrual rates for Depreciable Plant. Why are your estimates greater?

A. The estimates are greater (more negative) because the proposed negative net salvage calculated estimates reflect the most recent three-year costs to be more reflective of net salvage to be realized by KEDNY for the retirement of these older assets, as shown on

Exhibit ___ (PMN-3). The detailed results supporting these factors are developed on an account-by-account basis in Exhibit ___ (PMN-4) at page 2.

Q. Do you believe it is reasonable for KEDNY to assess the increased depreciation rates for its LPP plant accounts that you are recommending?

A. Yes. If KEDNY does not assess the depreciation rates that MAC is recommending in these proceedings, it will be unable to recover the costs of its LPP facilities from the customers who have been served by those facilities. Instead, KEDNY will be required to recover the costs of those LPP facilities from future customers. It is more equitable to assess cost responsibility for the LPP facilities to customers that are currently benefitting from the operation of those LPP facilities.

IV. Conclusion

Q. Does this complete your testimony?

A. Yes.

Before the Public Service Commission

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Direct Testimony

of

Paul M. Normand

Dated: April 2019

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I. Introduction

Q. Please state your name, address and business affiliation.

A. My name is Paul M. Normand. I am a Principal with the firm of Management Applications Consulting, Inc. ("MAC"), 1103 Rocky Drive, Suite 201, Reading, Pennsylvania 19609.

Q. Please describe MAC.

A. MAC is a management consulting firm that provides rate and regulatory assistance, including depreciation services for electric, gas, and water utilities.

Q. Please summarize your education and business experience.

A. This information is contained in Exhibit ___ (PMN-1), which was prepared under my direction and supervision.

II. Scope of Testimony

Q. What is the purpose of your testimony in this proceeding?

A. MAC was engaged by KeySpan Gas East Corporation d/b/a National Grid ("KEDLI" or the "Company") to conduct a depreciation analysis of its leak prone pipe ("LPP") plant assets. The purpose of my testimony is to sponsor and describe the LPP depreciation analysis conducted by MAC and present the necessary support for cost recovery recommendations related to these assets.

Q. Please describe the depreciation analysis that MAC performed.

A. The analysis involved reviewing the most recent seven years of historical data (2012-2018) for certain plant accounts relating to the Company's LPP. KEDLI's LPP assets consist of

3,458 miles of unprotected steel, cast or wrought iron, and pre-1985 vintage Alydl-A plastic mains as of December 2018, as well as 4,129 copper services, 75,601 unprotected steel or wrought iron services, and 51,940 Alydl-A and high density polyethylene ("HDPE") plastic services. Those assets were installed by the Company some time ago and are currently the subject of an accelerated replacement program to replace/retire all LPP on the Company's system over the next 20 years.

Q. What were your responsibilities in connection with the depreciation study being presented in this case?

A. I was responsible for planning the study, delineating and coordinating data collection, ensuring the accuracy of the data, and properly reflecting any accounting adjustments. Beyond data collection, I am also responsible for the performance and interpretation of statistical analyses and the preparation of appropriate exhibits and schedules to reflect the results of the studies.

Q. When were the Company's current depreciation accrual rates last reviewed and approved by the New York State Public Service Commission ("Commission")?

A. The current depreciation accrual rates for these plant accounts, as shown on Exhibit ___ (PMN-3), column 4, were approved by the Commission in Case 16-G-0058. The depreciation rates established in Case 16-G-0058 were derived from a depreciation study that used Company plant data through December 31, 2014.

Q. Why is the Company providing only a limited study of its LPP assets in this proceeding?

A. As mentioned above, the Company's depreciation rates were last reviewed and approved only three years ago. For most of the Company's assets, there have been no meaningful changes in the circumstances that affect the establishment of depreciation rates. At the same time, the fact that the Company has accelerated and will continue to accelerate the replacement of LPP assets justifies an examination of whether the depreciation rates for those assets should be adjusted at this time.

Q. What Company facilities are considered LPP?

A. LPP facilities consist of all mains of 12-inches or less in diameter that are (i) cast and wrought iron, (ii) unprotected (*i.e.*, non-cathodically protected) steel pipe whether bare or coated, and (iii) Alydl-A plastic. LPP facilities also include bare steel, wrought iron, copper, and Alydl-A and HDPE plastic services.

Q. Please describe the Company's program for accelerating the replacement and removal of LPP facilities.

A. As described in more detail in the testimony of the Gas Infrastructure and Operations Panel, the Company is undertaking an ongoing 25 year program to replace and retire all LPP facilities on its gas system. The program began in 2015; thus, the remaining term of the program is approximately 20 years – at which time the Company anticipates that it will have replaced all of its LPP facilities.

Q. How did MAC identify the LPP assets in the Company's existing plant accounts?

A. With my assistance, the Company analyzed its plant account records to determine the LPP-related balances in each individual plant account that included LPP facilities. These accounts are identified on Exhibit __ (PMN-2). If the Company's proposal for depreciating the assets in these accounts over a 20-year period is adopted, the Company plans to segregate these accounts as separate LPP sub-accounts going forward.

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Q. Have you prepared any exhibits summarizing the study?

A. Yes, I have prepared several exhibits identifying the various plant accounts considered along with the proposed cost recovery for each account. The summary results of the study are shown in Exhibit ___ (PMN-2), which consists of three pages and summarizes each LPP account and its respective depreciation parameters and calculates an annual accrual cost recovery amount. Exhibit ___ (PMN-3) presents a comparison of existing and proposed accrual rates for each of the LPP plant accounts and sets forth the cost impact and revenue requirement change associated with the proposed cost recovery recommendations. Exhibit ___ (PMN-4) consists of seven pages and presents the overall cost and mileage detail considered in arriving at MAC's recommended Cost of Removal ("COR") rates for each plant account relating to LPP facilities. Page 1 of Exhibit __ (PMN-4) shows the calculation of the annual COR percentage and the COR percentage over the life of the LPP assets. These percentages were used in Exhibit __ (PMN-2) and Exhibit __ (PMN-3). Pages 2 and 3 of Exhibit __ (PMN-4) present the calculation of COR dollars per mile for Mains and the COR dollars incurred to retire a service. Pages 4 and 5 of Exhibit __ (PMN-4) present the history of annual retirements and the COR for the years 2012-

2018. Three-year, four-year, and seven-year rolling band analysis were calculated. Page 6 of Exhibit __ (PMN-4) shows the three-year average of the cost of removal, three-year average retirements of mains in miles, and three-year average of the number of services replaced. These calculations are used on Page 7 of Exhibit __ (PMN-4), which sets forth (i) the average actual miles of main and number of services replaced during the 2016-2018 period, (ii) the average annual COR associated with the replacements for the same period, and (iii) the forecast miles of main and number of services to be replaced by account during Fiscal Years 2021-2024. Finally, Exhibit ___ (PMN-5) includes the following workpapers: (i) the separate analyses for each plant account relating to the theoretical reserve calculations presented in Exhibit ___ (PMN-2) column 10 based on the last approved average service life and curve; (ii) support for the current Average Service Life ("ASL"), survivor curve, net salvage percentage, and depreciation accrual rates; (iii) vintage survivors for each LPP account as of December 31, 2018; (iv) the book reserve at December 31, 2018 for each LPP account; and (v) support for the breakout of LPP amounts for the individual asset accounts from plant accounting data that included both LPP facilities and non-LPP facilities.

Q. Is the depreciation analysis in your current study consistent with KEDLI's last analysis for these LPP accounts?

A. Generally speaking, yes. However, MAC's analyses was focused on the specific accounts with gas piping classified as LPP that are included in the Company's accelerated replacement program.

Q. What is the purpose of the depreciation analysis you performed for KEDLI?

A. The purpose of the depreciation analysis is to derive appropriate accrual rates reflective of engineering judgment and current projections for the next 20 years, relative to the LPP assets under study. Because the Company is proceeding with a program through which these LPP assets will be replaced and retired on an accelerated schedule, this analysis is intended to produce depreciation rates that will reflect an annual amortization and recovery of these LPP assets along with their retirement costs, commonly called net salvage, over the proposed amortization period.

Q. What procedures did you employ in compiling your depreciation studies?

A. First, MAC created the depreciation study databases that utilized the Company's vintage survivors by LPP account as of December 31, 2018. KEDLI also provided the cost of removal, annual retirements, annual mileage of retirements, and annual number of services history for the most recent seven years (2012-2018) to complete MAC's analysis of net salvage for the LPP accounts. *See* Exhibit ___ (PMN-4).

Q. Why have you chosen the seven-year period for your analysis of LPP?

A. The Company began its program of retiring/replacing LPP on an accelerated basis in 2015 and has ramped up its annual retirement miles for these specific assets to an expected level going into the future. Because the primary costs incurred in connection with the program are labor-related, the most recent period was deemed to be most representative of the costs that are likely to be incurred in connection with future retirement efforts for these plant assets. Exhibit ___ (PMN-4) sets forth the three-year period of historical annual costs used to derive our proposed recommendations. MAC also examined data from the most recent four and seven year periods. MAC's conclusion was that the three-year analysis was the

most representative period. It is important to recognize that this analysis is only applicable to a portion of a few accounts associated with LPP as identified in the exhibits. Exhibit (PMN-5) sets forth the plant dollar amount for each LPP-related account and the dollar portion related to LPP.

Q. What approach did you use in developing your proposed accrual rates?

A. The depreciation analysis utilized the period over which the LPP replacement program would be in effect to determine the period of time over which these assets would be retired, their cost of removal would be incurred, and their full cost recovery would be calculated and effectuated. This depreciation approach is necessary to fully recover all appropriate costs for these facilities within the retirement period proposed.

Q. Did you prepare any actuarial analyses to assist in the life estimation process?

A. No, we did not analyze each account with respect to rolling bands (10 years) and shrinking bands (one year) for each polynomial (first, second, and third degree) as this was unnecessary because we are proposing a 20 year amortization of all LPP plant accounts to align with the Company's replacement program.

Q. In preparing your analysis of the LPP plant accounts, what other information did you review and rely upon?

A. We conferred with KEDLI to determine if there were any occurrences, changes in policy, procedure, equipment, or practices that might impact historical plant balances and salvage, or retirement and removal costs associated with these depreciable assets. The testimony of

the Company's Gas Infrastructure and Operations Panel provides support for the LPP replacement program life that is the basis of MAC's recommendations.

Q. Does your depreciation analysis provide a complete list by plant account of the accrual rates and net salvage factors that you are recommending in this proceeding?

A. Yes. The recommended accrual rates and net salvage factors are set forth in Exhibits ___ (PMN-2) and ___ (PMN-3).

Q. Do the depreciation accrual rates you propose result in a higher depreciation expense than that derived using the existing authorized depreciation accrual rates?

A. Yes, they do. The depreciation accrual rates that MAC is proposing result in a total depreciation expense that is set forth in three parts. Exhibit __ (PNM-3) shows that the proposed annual depreciation expense is $24.5 million higher (column 10) for the LPP balances as of December 31, 2018. These results are derived by comparing the existing accruals in column 5 of the Exhibit with the proposed accruals of column 9.

Q. Your depreciation analysis shows that the net salvage estimates are much greater (more negative) than those reflected in the existing depreciation accrual rates for Depreciable Plant. Why are your estimates greater?

A. The estimates are greater (more negative) because the proposed negative net salvage calculated estimates reflect the most recent three-year costs to be more reflective of net salvage to be realized by KEDLI for the retirement of these older assets as shown on Exhibit ___ (PMN-3). The detailed results supporting these factors are developed on an account-by-account basis in Exhibit ___ (PMN-4) at pages 2 and 3.

Q. Do you believe it is reasonable for KEDLI to assess the increased depreciation rates for its LPP plant accounts that you are recommending?

A. Yes. If KEDLI does not assess the depreciation rates that MAC is recommending in these proceedings, it will be unable to recover the full costs of its LPP facilities from the customers who have been served by those facilities. Instead, KEDLI will be required to recover the costs of those LPP facilities from future customers. It is more equitable to assess cost responsibility for the LPP facilities to customers that are currently benefitting from the operation of those LPP facilities.

IV. Conclusion

Q. Does this complete your testimony?

A. Yes.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY and KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

Paul M. Normand

Case 19-G-0309
Case 19-G-0310

September 18, 2019

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I. Introduction

Q. Please state your name, address and business affiliation.

A. My name is Paul M. Normand. I am a Principal with the firm of Management Applications Consulting, Inc. ("MAC"), 1103 Rocky Drive, Suite 201, Reading, Pennsylvania 19609.

Q. Are you the same Paul M. Normand who previously submitted testimony in these proceedings?

A. Yes. The defined terms in my direct testimony have the same definitions here unless otherwise indicated.

II. Purpose of Testimony

Q. What is the purpose of your rebuttal testimony?

A. The purpose of my rebuttal testimony is to address certain recommendations of the Department of Public Service Staff Rates Panel ("Staff") and Lane Kollen on behalf of the City of New York ("NYC") related to the Companies' proposals to modify their leak prone pipe ("LPP") depreciation accrual rates and net salvage factors to provide for the recovery of the costs of the LPP assets and associated net salvage over a 20-year period.

Q. Do you sponsor any exhibits as part of your rebuttal testimony?

A. Yes. I sponsor the following exhibits that were prepared under my direction and supervision:

(1) Exhibit __ (PMN-1R), Staff's response to IR-NG-14; and

(2) Exhibit __ (PMN-2R), which updates Exhibit __ (PMN-4) to include annualized 2019 data for the Companies.

III. Response to Staff

Q. Please summarize Staff's recommendations and their impacts on your depreciation recommendations concerning the Companies' LPP assets.

A. Staff generally agrees that the recovery of costs associated with LPP should be accelerated but recommends the use of a 30-year amortization period instead of the 20-year period proposed by the Companies. Staff further recommends that the net salvage costs reflected in the proposed depreciation rates should be determined based upon a four-year band of net salvage costs incurred by the Companies rather than the three-year band proposed by the Companies. Before the correction of an error that I discuss more fully below, Staff's recommendations would reduce KEDNY and KEDLI's proposed annual recovery of LPP costs by $16.8 million (incorrectly stated as $14.6 million in Staff's testimony) and $10.6 million, respectively, as compared to the Companies' proposals.

Q. Did the Companies identify any errors in Staff's depreciation adjustment for KEDNY?

A. Yes, Staff miscalculated the annual depreciation accrual for KEDNY plant account 380.05 Gas Services – Copper as presented in Exhibit __ (SRP-4) based on Staff's recommendation of a 30-year average service life and a four-year band of net salvage costs. Additionally, Staff included the incorrect depreciation rate for KEDNY's 380.05

plant account in Staff's plant forecast model that ultimately was included in Staff's revenue requirement presented in Exhibit __ (SRRP-2). The specific adjustments in Exhibit __ (SRRP-2), Schedule 7C for Staff's depreciation recommendation that are incorrect are Utility Plant Adjustment 23(b)(2) and Depreciation Adjustment 19(2).

Q. What is the impact of correcting these errors on the revenue requirement?

A. Staff overstated its depreciation reduction adjustment by approximately $3 million, which led to a corresponding overstatement to Utility Plant.

Q. Did Staff agree with the correction noted by the Company?

A. Yes, in Staff's response to IR NG-14 included as Exhibit __ (PMN-1R), Staff acknowledged the error and provided an updated plant forecast model that reflected the correction.

Q. Do you agree with Staff's proposed changes to the Companies' depreciation parameters and rates?

A. No, I do not.

Q. Please discuss the bases of your disagreements with Staff's depreciation recommendations.

A. Although Staff asserts (at 23) that it is "ultimately" concerned with the bill impacts of the Companies' proposals, Staff offers no explanation as to why the impacts of those proposals are unreasonable in these cases. It is my understanding that Staff is

recommending a decrease in base rates for KEDLI of $51.852 million annually and an increase of only $2.205 million annually for KEDNY. Given the size of the proposed base rate increases in this case, even as proposed by KEDNY and KEDLI, it is not clear why Staff believes that the impact of the Companies' LPP depreciation proposals is unreasonable or excessive. To the extent that Staff is concerned about the impact of the Companies' LPP proposals in future rate cases, the Commission can always revisit the Companies' LPP depreciation rates in future cases if the Companies' seek rate increases that have bill impacts that the Commission determines to be unreasonable.

Q. Staff asserts (at 23-24) that it is making the same proposals for KEDNY and KEDLI for consistency. Do you agree that there is need for consistent LPP depreciation parameters?

A. No, I do not. Depreciation rates are typically set on the basis of individual utilities' facts and circumstances. There is no reason why KEDNY and KEDLI should be required to amortize LPP costs in consistent fashion. In this instance, geography alone dictates that a difference can be expected because of the urban nature of KEDNY's service territory and the more suburban/rural nature of KEDLI's territory.

Q. Staff claims (at 24) that it is equitable for current and future customers to pay the costs of the replacement of LPP because it is being done for safety and reliability reasons. Do you agree?

A. No. A significant amount of the facilities that a gas distribution system replaces is replaced due to safety and reliability concerns. The existence of such concerns does not

make it more equitable for the Commission to require future customers to pay for both facilities that are replaced as well as the new facilities that replace them. The Companies and Staff agree that the Companies' aging LPP infrastructure should be replaced over 20 years. The recovery of the costs of the replaced facilities should be in sync with the same period of time. This will result in an equitable cost recovery from all customers with minimal cost shifting from one population of customers to another (future) population. This is particularly important because the cost of removing LPP facilities, which is primarily labor expense, will rise over the period in which the LPP is replaced and the Companies' are using current average historical costs to estimate the cost removal in future years. For this reason alone, using the current proposed cost of removal is understated and future customers will likely be required to pay more. In addition, it is more important than ever for the Companies to secure an equitable level of LPP cost recovery from current customers because there is a likelihood that the Companies' customer counts may drop in the future as a result of political decisions to reduce the use of fossil fuels. Passing cost responsibility for the cost of removing LPP assets that are being replaced today onto a diminishing number of future customers would be particularly unfair. Staff's recommendation to extend responsibility for the cost of LPP assets for a period of 10 years beyond the time in which those assets will be replaced does not result in a fair and equitable assignment of costs.

Q. Staff asserts (at 24-25) that the use of a four-year historical analysis of net salvage is more reasonable than the Companies' proposed three-year analysis. Do you agree?

A. No. Staff's proposal looks further back in time to reflect a lower cost of removal. However, there is no reason to believe that the cost of removal is likely to decrease in the future. To the contrary, this cost is more likely to increase because the cost is driven primarily by labor costs that will continue to increase over time. This is driven by both the impact of general inflation and what is likely to be a tightened market for the skilled labor needed to replace utility facilities. Staff's use of data from 2015 to reduce net salvage costs makes it more likely that the Company will underrecover its net salvage costs.

The analysis presented in my direct testimony focused on looking at a span of years that would capture annual fluctuations in reported cost of removal data as well as the most recent data to capture as fully as possible the costs of the ongoing replacement programs. The 2015 cost of removal data that Staff seeks to include was omitted because costs in the first year of a 20-year replacement program are less likely to be representative of the ongoing costs of a mature program.

As with all these types of projects, time is required to ramp up the annual activity of a 20-year program. My review started with the KEDNY data as shown on Exhibit __ (PMN-4), pages 3 and 4 that presents annual costs relating to retirements and cost to retire. In reviewing this data, I observed that the annual fluctuations were considerable, which is not unusual because, in many instances, there is a lag in the reporting of data for different years. As a result of this data lag, I suggested that a span of several years would be appropriate. I chose three years as the most representative over four years as

recommended by Staff because adding the fourth year showed some high potential dollar lags that materially affected the results. Given the fact that the cost of replacing LPP is likely to rise over time, I determined that 2015 reported data should not be included in the analysis because it would reduce the cost based on a set of start-up circumstances that were unlikely to recur. Adding 2015 data to the analysis simply dilutes the cost estimates.

To validate the reasonableness of my approach, I prepared an update to the analysis that I originally included as Exhibit __ (PMN-4). That update is included as Exhibit __ (PMN-2R) and reflects the addition of actual retirement data for the first eight months (January – August) of calendar year 2019 and annualizes that data for the full 12 months. Data is provided for KEDNY on page 1 and KEDLI on page 2 and the annualization of the data is set forth on page 3. A comparison of the 2019 data to the earlier years clearly shows that the proposed three-year average is the most appropriate data to use to estimate the cost of removal going forward and that the 2015 data is an outlier.

IV. Response to NYC

Q. What is your understanding of Mr. Kollen's recommendation concerning the Companies' LPP depreciation proposals?

A. Mr. Kollen asserts that the Companies' proposals to accelerate the recovery of LPP assets should be rejected. He further asserts that the Companies should be required to defer their actual costs of removal for future recovery and then recover the actual costs through existing depreciation rates.

Q. Do you agree with Mr. Kollen's recommendations?

A. No. Mr. Kollen's recommendations are nothing more than an exercise in kicking the can down the road so that future customers will be required to bear significant portions of the costs of LPP assets that are being retired and the costs of removing those facilities as well as the costs of the replacement facilities. His proposal would negatively affect the Companies' cash flow and is completely unfair to future customers.

Q. Do you agree with Mr. Kollen's concerns about the reliability of your estimates of cost of removal?

A. No, I do not. Using a multi-year average of costs of removal mitigates concerns about the reliability of the estimates. Moreover, the increased cost of labor that is likely to be incurred in the future, which is the bulk of cost to be recovered, is not captured by the analysis. Thus, there is little risk that the cost of removal that the rates will recover is likely to be less than the actual cost.

V. Conclusion

Q. Does this conclude your rebuttal testimony?

A. Yes.

BY MR. MALONEY: (Cont'g.)

Q. Mr. Normand, is it also correct that you sponsor certain exhibits specifically in connection with your direct testimony on behalf of KEDNY? Do you sponsor five exhibits that were originally labeled P.M.N.-1 through P.M.N.-5 and have subsequently been marked as Exhibits 29, 30, 31, 32, and 33?

A. Yes.

Q. Is it also correct that you sponsor certain exhibits specifically in connection with your direct testimony on behalf of KEDLI that were originally labeled as P.N.M.-1 through P.N.M.-5, and have subsequently been marked as Exhibits 34, 35, 36, 37, and 38?

A. Yes, I do.

Q. And finally, do you also sponsor certain exhibits as part of your rebuttal testimony that were -- that were originally marked as Exhibits P.N.M.-1R and P.N.M.-2R and have been subsequently marked for identification as Exhibits 324 and 325?

A. Yes, I have. Yes.

Q. Where all of these exhibits prepared by you or under your supervision and

direction?

A. Yes, they were.

Q. And do you affirm that the information contained in the identified exhibits is true and accurate to the best of your knowledge and information?

A. It is.

MR. MALONEY: Okay. I understand the exhibits will be moved into evidence at the end of the hearing. So with that, we would tender Mr. Normand for cross examination, your Honors.

A.L.J. COSTELLO: Okay. Thank you.

Mr. Wyman?

CROSS EXAMINATION

BY MR. WYMAN:

Q. Yes. Mr. Normand, welcome to New York.

A. Thank you.

Q. Let’s see, to get started, is this the first time that you've prepared or -- or helped prepare depreciation studies for this Company?

A. No; I was involved in their last case, also.

Q. Okay. And is it your

understanding that the depreciation study you did in that case, which was Case 16-G-0059, still informs some of the decisions that have been made by the Company in this case?

A. I'm sorry. Could you repeat the question?

Q. Is it -- is it your belief that the study that you did in the earlier case, Case 16-G-0059, still informs some of the decisions concerning depreciation rates and such that are being proposed by the Company in this rate case?

A. Well, in this rate case, we just dealt with a subset of the prior depreciation study, dealing strictly here with leak-prone pipe.

Q. Mr. Normand, do the depreciation rates and other information provided in your exhibit, originally numbered as P.M.N.-5, on pages 12 of 12 of that exhibit, are some of those depreciation rates derived from a depreciation study that you did in Case 16-G-0059?

A. They weren't directly derived from that study, but that study provided input into those numbers.

Q. So it is safe to say that the

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depreciation study you did in the earlier case does inform some of the decisions or proposals that have been made by the Company in this case?

A. I'm not sure what -- what you're saying? All I know is that the -- the currently approved depreciation rates were from the last study of which I participated in providing a depreciation study. But my results were somewhat different than these approved accrual rates.

Q. Okay. In the -- in the study that you did for this rate case, I believe on page two of your testimony, line three, it says that -- it essentially says that the study you did was limited to KEDNY's leak -- leak-prone pipe assets, which consists of about 1,458 miles of -- of main and about 104,988 services, 24,773 unprotected steel and wrought iron services, and just to those leak-prone pipe assets. Is that -- that's correct?

A. That's correct. That's with respect to KEDNY.

Q. To KEDNY, right. Right. Okay. Now, in a little bit further down the page in line eight -- well, sorry -- a little bit -- on line six, you say that the Company recently determined that

additional leak-prone pipe exists, but your study does not actually cover those leak-prone pipe assets. Is that correct?

A. That's correct. As I said, due to the timing of identifying and gathering all the data, we didn't include it in this analysis.

Q. Do you have any idea how many additional miles and/or thousands of services, in fact, use the H.D.P.E. pipe and thus were not included in your analysis of the leak -- of the impact of the leak-prone pipe program on depreciation?

A. No, I do not.

Q. Do you believe it's a substantial number of miles or thousands?

A. I don't know. I don't believe it would be significant, but I have no way of knowing that.

Q. Okay. Given that some of the leak-prone pipe, which is part of the leak-prone pipe program, was not covered in your study, can you say how that impacts your sense of the adequacy of your study as something which should be relied upon to set the -- set the various, you know, financial matters

in this rate case?

A. It wouldn't have a significant -- significant impact because I think we've gathered most of the information for leak-prone pipe. This is just one element of it.

Q. Okay. But -- but as you said, you don't actually know how many miles or how many thousands of services. So you can't be quite sure of the significance. Is that correct?

A. That's correct.

Q. Right.

A. But typically what you see, that the bulk of it would be cast iron and unprotected steel, which we've included.

Q. Right. Okay. Right. Now, on page three of your testimony, at line six --.

A.L.J. COSTELLO: Just -- I just want to make sure we're still talking about now KEDNY direct testimony?

MR. WYMAN: Yes.

A.L.J. COSTELLO: Okay.

MR. WYMAN: I think most of -- most of my questions will be about KEDNY. They would apply -- some of them would apply to KEDLI, as well, but for

the sake of simplicity and time, I'll just deal with KEDNY.

A.L.J. COSTELLO: Okay.

BY MR. WYMAN: (Cont'g.)

Q. So on page three of your testimony at line six, you say for most of the Company's assets, there have been no meaningful changes in the circumstances that affect the establishment of the depreciation rates.

Do you still feel that's the case?

A. Yes, it is. The only thing that we addressed here is where it would have a significant -- significant difference and that's leak-prone pipe.

Q. Okay. And can you say -- do you have any idea of why there was not a full depreciation study done?

A. Oh, my goodness. You rarely do a full-blown depreciation study in three years. Typically, I think in the recommendations to study say between five to seven years.

Q. Okay. But is that a recommendation which is sort of fixed to five to seven years independent of any external activities or

events that might occur? I imagine that there probably are events that could occur that would cause one to wish to do a depreciation study more frequently than five to seven years. Is that not the case?

A. Well, I have to qualify that answer because you're asking a consultant. And basically, my recommendation is the exhaustive nature of doing a depreciation study takes a considerable amount of time and resources. And basically, I'm comfortable with every five to seven years and I wouldn't really recommend less than that.

Q. Under what circumstances would you recommend it? You said rarely, so that assumes that --

A. Well --.

Q. -- there are rare cases when you would.

A. Well, basically, I -- I can't think of an --

a situation where I would recommend it.

Q. Well, for instance, in this case, the Company has created a leak-prone pipe program,

which is a substantially new initiative. It's a new activity. And -- and that -- that had a tremendous impact or expected to have a tremendous impact on depreciation. So it became appropriate to do a limited study.

If there -- if they -- if something of a broader scope had occurred, I assume that you would recommend that they do the study more frequently than five to seven years?

A. No. What you have to remember if you knew anything about the last study that was done for the Company, we segregated and identified leak-prone pipe there and showed that the results there are similar to the results today.

So as a result of the very large cost to retire leak-prone pipe and that those costs were never recognized in the current accrual rates, we proposed this time that we single out leak-prone pipe and highlight it because it's a problem. It's a problem that's needs to be addressed and it's a problem that's essentially not recovered in accrual rates, currently.

Q. Okay. So as I got it, you're -- you're saying that you cannot imagine a circumstance

that would cause to do a full study more frequently than five to seven years?

A. That's correct. The only thing that is an outlier, if you will, if you merged two companies of similar sizes, it conceivably could be that you merge the database and do an analysis of the composite.

Q. Okay. Now, let me just ask. The conclusions of the study when you publish them, are they completely based on your sort of independent analysis as a consultant, as an expert, et cetera, or -- and dealing only with the question of depreciation, sort of as an abstract concept, or are -- are the conclusions ever weighted by your understanding of the desires of -- of the client?

A. No. The client has little impact on what I come up with. They review my results, but I only recommend something I'm comfortable with.

Q. Okay. Do you ever consider factors that are -- that are influenced by depreciation, such as rate impacts and such, and try to -- try to ameliorate or modify the impact of rates by adjusting the results of the depreciation study?

A. Sure. I always do that. So like

you walk before you run. Some results are saying you should increase a fair amount and I'm saying well, typically I try to limit the increases to 20% of existing.

Q. So -- so something other than the actual wear and tear on the equipment -- expected wear and tear, something other than the actual expected service lives, changes in the market, demands of public authorities, et cetera, something other than those influences the decisions that you make?

A. Well, the -- you factor everything in. The biggest factor that's external to the utility is such things, as when you retire assets or you need regulatory requirements or D.P.W. requirements all factor in -- and I'm talking now, like, in this case, address specifically is that you have the retirement costs, net salvage. That's a big factor. It has been a big factor and will continue to be a big factor.

Q. Okay. So I'm intrigued because it sounds like you're -- you're taking into consideration things other than just depreciation, itself. Okay.

A.L.J. COSTELLO: Mr. -- Mr. Wyman?

MR. WYMAN: Yeah.

A.L.J. COSTELLO: I just want to -- you mentioned -- I'm sorry; I just want to ask the witness.

You mentioned D.P.W. rates?

THE WITNESS: Department of Public Works, when they have requirements. I'm sorry.

A.L.J. COSTELLO: Okay. Thank you. That's okay. Just for clarity.

MR. MALONEY: Thank you, your Honor. You eliminated a redirect question.

A.L.J. COSTELLO: Okay.

BY MR. WYMAN: (Cont'g.)

Q. Can you tell me if a -- if a stretch of main or whatever is expected to be removed from service within a year or say after a year, would it be reasonable to say that the expected service life for that piece of main is -- is one year?

A. For that isolated pipe, yes.

Q. Right.

A. But we deal with -- with averages.

Q. Of course -- of course. And if I

was going to remove a piece of pipe in 20 years, I would say that the expected service life for that specific piece of pipe is 20 years. Is that correct?

A. Given the conditions that you're removing it, yes.

Q. And if I had a collection of pipes that were going to be removed from service in each of the next 20 years and I average the expected service life -- lives for those pipes, is -- is it not probable that I would have an average expected service life of less than 20 years?

A. Well, it depends on your assets. If you're saying that your removal is due to your evaluation of the various pipes and their lives -- the remaining life of those assets out of 20 years, then some will vary. But the problem becomes is let's say you have 100 sections of pipe and you come up with, well, this pipe is kept maybe 10 years, this one's got 6 years and so forth, there is no guarantee they will be removed within that period of time because as you grow a sequence of pipe that you want to eliminate or shall we say retire, they will sequentially be retired according to many factors.

So I could say this pipe is 5 years,

but I'm not going to get to it for another 10 years. So it's very -- the mechanics of coming up with an average that's less than 20 is one thing, but to actually realize that is another thing.

Q. Okay. But -- but help me here in -- you know, I only have a high school degree, so math is not that -- math skills aren't that great. But as I understand it, over a 20-year period, if at least one unit of pipe is removed in something less than 20 years, the average service life must be less than 20 years?

A. If there is one section of pipe. But if you're looking at, let's say, as I said 100 pipes and you evaluate each pipe and its remaining life, let's say, then the average will be a function, as you're saying, like a weighted average.

The problem is I can’t guarantee you that some of the pipe that I have that I say should be eliminated or retired in six years will actually be achieved in six years. I'm saying math and reality are sometimes quite different.

Q. No, I understand that plans and reality can be different. But the way I asked the question actually was -- was assuming that all of the

pipe will be removed within the 20 years and that means that if any of the pipe are removed in less than 20 years, that the average service life must be less than 20 years. Is that correct?

A. You're correct. That was a little bit in the weeds there.

Q. Right. Now, yeah -- and yes, we make plans and the plans don't always work out, but, you know, if I'm planning to remove those 20 -- those pipes in 20 years, my average service life will be less than 20 years?

A. That's correct.

Q. So my question then is, in your study, knowing that the Company has planned and has been planning for quite some time to have all of the pipes replaced or removed before the end of 20 years -- before the end of 20 years, so that 20 years would be the maximum service life, why are you saying that the average service life is 20 years?

A. The reason I'm saying is it's kind of a conservative estimate, because if you look at the remaining life of the various categories of pipe, that some are six years, 8 years, 10 years, and I chose 20 years as a conservative estimate because I

can't guarantee, for instance, that the remaining life of one account from my analysis says they have 6 years left, that 6 years as far as removing it or retiring it may occur 12 years down the road. I can't guarantee that.

So I chose to be conservative and say they're all 20. By doing that, my estimates are then on the low side. They are -- they are basically very conservative.

Q. Okay. Is it your understanding that the Company planned, initially, a 25-year program, which now has 20 years remaining and the Company's plan, as expressed to you, was that they intend to do what is necessary to remove these pipes, all of them, before the end of 20 years? Isn't that the case?

A. That's my understanding. That's going to be their best effort.

Q. So 20 years would be the -- would be the -- the maximum service life for some portion of the pipes, but the average service life of all the pipes -- assuming that the Company meets its goals as they have committed to do, the average service life will be less than 20 years. Is that not the case?

A. It will be for some, but I can't guarantee that those items that show less than -- than 20 years will be done in 20 years because the priority of retiring assets for a gas company is according to various categories of pipe and -- and their -- their leaks or whatever it is the problems that it may have.

So I could have cast iron which I want to remove as soon as I can, may last 20 years, some sections. So for me to come up with a weighted average, yes, I could come up with less than 20, but I look at it different material types and the fact that I can't guarantee that they will all be removed based on my analysis. So I chose 20 as the more conservative route.

Q. So are you suggesting that you do not accept the Company's statements of intent to remove all of the pipes before the end of 20 years?

A. No. Quite the opposite. It says they will be removed. I cannot guarantee that any one class or one material type will be removed.

Q. That's fine. As long as all of the pipes are removed by the end of 20 years --

A. That -- that's my understanding.

Q. -- independent of when any particular pipe is removed, it seems to me that the average expected service life for the pipes between now and the end of 20 years will be less than 20 years, independent of what, you know, any one pipe may shift back -- back, you know, forward and back.

Like a pipe may go maybe two years later than expected, and so that'll increase the average service life a little bit. Some pipe might be a little bit sooner and that'll decrease it. But as long as one pipe is removed in less than 20 years, can we not say that the average service life must be less than 20 years?

A. No, because I can also rest assured if I'm removing 3,500 miles of mains for Long Island and 1500 miles of mains for New York, I can probably say for the -- the one that you would reduce less than 20, there might be one or two over 20. This -- this is a very ambitious effort that will be very time consuming and costly. So I chose 20 as a reasonable conservative estimate. That's all.

Q. If there are any pipes which are over 20, then that would indicate that the Company has not met their goal?

A. No. As I just said, you're talking a massive effort with huge cost. So taking a straggler here or straggler there and -- and drawing a conclusion, to me, is just misleading.

Q. Well, I'm flummoxed. It seems like basic math to me, but I need to move on because we don't have time.

Can you describe the process -- just briefly describe the process you use in computing the cost of removal?

A. The cost of removal is basically provided by the Company for each account for each year. And that's been provided in -- in the responses in P.M.N. four, for each Company.

Q. Okay. So the sense I get is what you've done is you've taken a band, it looks like -- what is it? The seven- or three-year band, and you figured out, because you thought those were more indicative of the current -- cost of removal currently. You took the average of that. Then you assumed that that would be the average cost of removal for -- for the next 20 years, essentially; right?

A. No.

Q. No?

A. What I did is I stated here that you have to come up with an estimate of retirement costs. So I chose the most recent three years.

Q. Okay.

A. And you recognize that the most recent three years is, itself, a historical average.

Q. Uh-huh.

A. And these are essentially labor costs. And labor costs go up every year. And so what you find is that these estimates are basically proposed until the next case and the approval of the rates in the next case. So you're talking probably the -- these rates, if they were approved, would be in effect for 8 to 10 years.

So just looking at the basic math, they're going to be understated already because these costs are going to go up in 8, 10 years. But yet, I'm sitting there with an average that's three years old at the starting gate. So the problem is you're always behind in recording and calculating proper costs.

Q. So what you're saying is that inherent to the process you're using, you would

expect that your cost of removal numbers will always be understated?

A. That's correct.

Q. Is there anything that you could do to -- to reduce the risk of understatement of these numbers?

A. Oh, certainly. You would, for instance, let's stay with the three years. This study is based on 2018, but I use '16, '17, and '18 averages. You could current cost '16 and '17 to '18, and then you would take that average and project it out to the midpoint that you would expect the rates to be in effect. So you're talking probably another five years.

And so when you do that, you're basically increasing the costs by approximately 15 -- some ways in 15 to 20% when you figure the -- the -- the cost -- the inflation cost. And as I said, 95% of this is labor.

So if -- if the approval rates that are currently in effect -- I think they were approved in 1/1/17. If -- if those rates, if you did a full blown study, if those rates are in effect, let's say we do a case in six years, those won't be in effect

for two years. So you're saying you take the midpoints, so I would project these out to 2025 using the G.D.P. price -- implicit price deflator.

So yes, it would increase these numbers, but that's a proposal I didn't make. I've discussed this. In fact, as I discussed this recently in some cases in Massachusetts where I explained it and they realized that maybe the frequency would be the better thing to capture, but you have a problem. The problem is a lag factor.

Q. I'm sorry; what factor?

A. A lag factor, meaning --.

Q. A lag. Okay. Okay. So --.

A. Whenever you use averages, you have lag.

Q. Right. So you could have -- I mean, basically, you could have essentially adjusted for inflation Baumol effect and other such things?

A. Yes. And projected out to the midpoint of when these rates would be in effect.

Q. And if you don't do that, you're probably increasing the risk that the cost of removal estimates will be understated?

A. Yes. The cost of removal will be

understated by virtue of that mechanism only. But there are a lot of variables that come into this.

Q. Now, when we're dealing with 20-year assets, maybe that under -- understatement isn't that bad, but when we're dealing with 75-year assets, which are sort of the -- you know, the depreciation or the average service life for the non L.P.P. pipe in this case, the accumulated effect of inflation and such over a 75-year period is -- is -- is very significant; isn't it?

A. That's correct. That's why my recommendation is that you do these studies every six years -- five -- between five and seven years. That pretty much mitigates it. It doesn't correct it, but it mitigates it.

Q. But it means -- it does mean that the estimates are always underestimates?

A. Well, it's -- it's like anything else; it's an estimate. That's the best we can do. And I have to present studies and I have to convince everybody in this room that they're reasonable.

Q. So when you do the estimates and -- and your studies, you are not concerned solely with the objective professional analysis, but also

about how likely the results are to be accepted?

MR. MALONEY: I'm going to object there. Could I have that question read back? I -- I -- I don't think it's been established --.

MR. WYMAN: I'll -- I'll move on if you want. Okay?

BY MR. WYMAN: (Cont'g.)

Q. The thing I'm curious about is -- well, are -- are you familiar with the concept of intergenerational cost shift?

A. Yes.

Q. This underestimation of -- of cost of removal appears -- seems to me to be essentially guaranteeing an intergenerational cost shift. Is that -- is that fair to say?

A. I think you have to qualify that. And by that, I mean I do the best I can with the data I have. And I can do as many studies as I need to, but at the end, the decisions and then the recommendations and the reviews is beyond my control. I present the studies as best I can, consistent with industry approaches. And that's what I've done here.

Q. Okay. In your previous depreciation study, you mentioned the definition of

depreciation as published in the very hard to get publication from the National Association of the Regulatory Utility Commissioners on Depreciation. Are -- do you -- are you still familiar with that definition?

A. I haven't looked at it in quite a while, but yes, I've used it and I pretty much include it in my testimonies.

Q. Right. Right. Now, I -- I believe that that definition is essentially identical to what's in 18 C.F.R. Part 201, which is the definition of the uniform system of accounts prescribed for natural gas companies and is the definition of the -- the accounts that -- that for instance, you've studied depreciation for, you know, account 380 and 367 and all the rest.

So it is pretty much the same as what's in 18 C.F.R. Part 201; is it not?

A. I haven't looked at that in quite a while, but I suspect it would be similar. There's no reason it should not be.

Q. Okay. Now that definition, either in the NARUC publication or in the law in 18 C.F.R. Part 201, says that when estimating

depreciation, among the causes to be given consideration are wear and tear, decay, action of the elements, inadequacy, obsolescence, changes in the art, changes in demand, and requirements of public authorities.

Is it reasonable to say that the historical studies of the type that seem to dominate the depreciation studies you've done are very helpful in understanding the impact of wear and tear -- tear, decay and action of the elements on the assets which are installed by the Company?

A. Yes, you -- you do statistical studies and, from that, you derive Iowa curves or, in this state, age curves that mimic and reflect the -- the mortality characteristics of each account.

Q. Okay. Now can you tell me where, in your testimony, do you address questions concerning the inadequacy of the depreciable plant -- gas plant, inadequacy being one of the factors that both NARUC and 18 C.F.R. Part 201 say should be addressed in a depreciation study?

A. Well, as a general term, inadequacy, basically we're dealing with leak-prone pipe. So what's happened is this pipe is almost at

the end of its useful life. These assets have been in the ground 60 to 100 years. So what's happened is the material type in some of these are starting to fail. So the Companies recognized I've got to replace this and the Commission's accepted their plan.

And there's a priority they -- they look at what, like I said, Long Island, 3,500 miles, and they prioritize what has to be removed this year, next year, according to a bunch of -- not a bunch -- several rules and guidelines. So given that, basically that that's saying that all of leak-prone pipe is at the end of its life and -- and needs to be replaced.

Q. Okay. Yeah, I -- I -- personally, I would've thought that was more sort of where --.

A.L.J. COSTELLO: Mr. -- Mr. Wyman, if you have a question, don't characterize what your beliefs are on the record.

MR. WYMAN: My apologies -- my apologies. Okay.

BY MR. WYMAN: (Cont'g.)

Q. Let's see. Then would it also be

reasonable to say that say pipes being simply too small for anticipated service, that would also be inadequacy?

A. Yes, but not in this case. We're talking mains --

Q. Not in this case.

A. -- leak-prone pipe. You're talking some pretty big size pipe.

Q. Okay. In either of the two depreciation studies that are -- are relevant here, have you dealt with questions of the obsolescence of the depreciable gas plant?

A. With respect to strictly leak prone pipe?

Q. No. With either -- any -- any of the assets of the Company?

A. No. This study concentrates strictly on very old assets that need to be retired. And so, as I said -- just said a minute ago, they've reached their useful life. They're at the end of their life and something has to be done. And the Companies recognize it and proposed a plan that, I'm assuming, the Commission has approved.

Q. In -- in the earlier depreciation

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study, did you deal with questions of obsolescence?

A. Well, not directly that I can think of.

Q. Okay. Thank you. Can you tell me in either --?

MR. MALONEY: If the witness has more to answer, could he be allowed to answer the question? Thank you.

MR. WYMAN: I'm sorry. I thought he was --.

A. Obsolescence, I'm -- I'm looking at -- I'm thinking of gas now. Where we have dealt with it a lot is on electric. With smart metering, the old meters are obsolete. That's why I -- I hesitated for a minute. But on gas, there is nothing specific that stands out right now.

BY MR. WYMAN: (Cont'g.)

Q. Can you tell me where, in either of the two depreciation studies, you might have dealt with what is termed changes in the art and its influence on depreciation?

A. None in these two studies. As I said, these are very old assets that had been around for 60 to 100 years and they're at the end of their

life. So no, art has nothing to do with it in this -- in this study.

Q. Can you tell me, in either of the two depreciation studies, have you dealt with the question of changes in demand?

A. Again, no, because these specific studies deal with the aged assets, very old assets. So demand is not a factor. It's a factor of age and the end of life of assets. That's how it is.

Q. Can you tell me, in either of the two depreciation studies, did you deal with questions related to the impact on depreciation of changes in requirements of public authorities?

A. Well, yes, I just mentioned that because what happens is that drives the cost up when -- when -- when you basically have to retire these assets and sometimes the public authority says, well, I'm doing construction in this street or this area and it would be beneficial if you fixed any assets that you have to in that area.

So that always factors in, but I can't -- I can't identify that, specifically. But it's a consideration the Company has to factor in.

Q. Is that the only requirement of

public authorities that you considered in your depreciation studies?

A. Again, these two studies deal with very old assets. So I can't determine or isolate anything with respect to that. I -- I can't say that it wasn't considered. But to what extent, I don't know.

Q. Okay. Are you aware that the combustion of natural gas causes greenhouse gas emissions?

A. Yes.

Q. Are you aware that in New York, the State Legislature has recently passed the Climate -- Leadership and Climate -- and Community Protection Act, which requires an 85% reduction in greenhouse gas or CO2 emissions by 2050?

A. I -- I haven't specifically read the act, but I've heard of it.

A.L.J. LEARY: Mr. Wyman, I -- I need to bring you back. You're already over your time. I'm not going to stop you yet, but I'm going to give you probably less time.

MR. WYMAN: This -- I'm on the last thing.

A.L.J. LEARY: Well, this line of questioning, as far as I can tell, doesn't have a lot to do with this witness' testimony unless you can point me to someplace in his testimony where I can find that kind of knowledge that he -- you know, he's -- he's openly testifying, he understands the greenhouse gas, et cetera. But is this -- let's talk -- let's stay with depreciation, have a nexus --.

MR. WYMAN: I'm actually on depreciation, I think. I really do think I am.

A.L.J. LEARY: Okay. Go ahead.

`MR. WYMAN: Okay. And my apologies if I'm not, but I think I am and I'll be -- I'll be relatively quick.

A.L.J. LEARY: No -- no, not relatively.

MR. WYMAN: I'll do my best.

BY MR. WYMAN: (Cont'g.)

Q. Okay. Are -- are you also aware or have you heard that New York City has passed a law also requiring an 80% reduction in carbon emissions by 2050 and the mayor has recently issued an executive order calling for the end of any increased infrastructure to the city, as well as the removal of

fossil fuel from all large buildings by 2040?

A. I'm not aware of any of that.

Q. But if -- if you take as given that these things have happened, would -- would you consider -- and that they're essentially requirements of public authorities, would you consider that they are likely to increase the risk of the early retirement of assets at -- at -- at basically -- that these state actions would result in service lives which would be shorter than we would otherwise have anticipated based on historical study?

MR. MALONEY: Objection. There's no foundation for the question. He said he wasn't aware of the specific actions taken by the City.

A.L.J. LEARY: But -- but he testified that he was aware of the New York Law.

MR. WYMAN: Right.

A.L.J. LEARY: So I'm assuming, Mr. Wyman, that you're limiting your question to whatever he can answer based on what he knows about the New York Law?

MR. WYMAN: If -- if I must.

BY MR. WYMAN: (Cont'g.)

Q. Then I would say as a -- as a

expert in depreciation, given that you are at least aware that New York State has a very aggressive program to reduce greenhouse gas emissions by 2050, does that indicate that the risk of early retirement, essentially, is -- is greater than it has been in the past?

A. It is. But to quantify that and translate it to -- to cost and depreciation is, at this point, pure speculation.

Q. Okay. Pure speculation. The -- the -- but nonetheless, we have a program in place here, which is intending to replace assets in 20 years. And the depreciation factors which are in your P.M.N.-5, at the back of your testimony, would indicate that those assets might have lives of up to 75 years, which would mean essentially 95 years from now, far beyond 2050, I should think that while we may not able to precisely quantify that risk, is it something that we should be concerned about?

A. Again, to me, it's speculation. If you go to that last page on -- on Exhibit 5, those are rates approved for all assets. The studies presented here are a limited subset of those assets, strictly a half dozen accounts relating to plant

that's been in the ground for 60 to 100 years. So it has nothing to do with that.

What this is -- is physical assets infrastructure that has reached the end of its life and needs to be replaced to maintain integrity of the system.

Q. Okay. Just -- just -- just one more, and that is do you believe that if you were asked to do again the full depreciation study you did for the 2016 case, today, less than five or seven years later, that given your knowledge of the significant state actions, that that might be the kind of thing that would cause you to be comfortable with doing, in fact, a full depreciation study less than five to seven years interval?

A. No -- no, I --.

MS. KASOW: Objection, your Honor.

THE WITNESS: I'm sorry.

MS. KASOW: Mr. Wyman is asking a depreciation expert to draw a legal conclusion. The C.L.C.P.A. was passed last year --

MR. WYMAN: No.

MS. KASOW: -- and enacted this year and is still in implementation process. The Public

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Service Commission has taken no action.

MR. WYMAN: I -- I don't think this is at all relevant. Okay. I -- I --.

MS. KASOW: My name is Jillian Kasow with the Utility Intervention Unit.

A.L.J. LEARY: Ms. Kasow?

MR. WYMAN: Okay.

BY MR. WYMAN: (Cont'g.)

Q. My question is would -- does a depreciation expert have pause when looking at a study and does he think that the state -- the requirements of public authorities should be -- are -- are -- should be considered in evaluating the appropriateness of continuing to use that study?

A. No, not --.

Q. I'm not asking you to make a legal conclusion at all.

A. Not at this time. We're talking 30 years down the road. Doing these studies every five, six years, the next study may basically have more direction. At this point, I have no direction or no choice. I would do the study that I did last time the next time exactly the same way and I would do this study the next time exactly the same way.

I have no rationale from which to deviate from that, given even all of which you said.

Q. Uh-huh.

A. That will evolve over time. I cannot sit there and politically play with my numbers to meet something that may happen down the road.

Q. Okay. So the -- the laws would not influence --?

A.L.J. COSTELLO: He answered your question.

MR. WYMAN: Okay. Right -- right.

A.L.J. COSTELLO: He answered your question.

MR. WYMAN: Okay. That's all.

A.L.J. LEARY: I -- I just have -- and I apologize, Mr. Normand. I have not a really good grasp of depreciation. So pardon me if these are really basic questions.

EXAMINATION

BY A.L.J. LEARY:

Q. You performed the previous depreciation study in 16-G-0059. Is that correct?

A. That's correct.

Q. And you testified that this was a

more limited study for this case, focused on leak-prone pipes. Is that correct?

A. That's correct. The -- the items in -- in this case and the studies for leak-prone were also segregated and shown in the last study.

Q. Exactly. And so I'm -- I'm trying to get some connection between the last study and this study with respect to accelerating the removal of leak-prone pipes, which I think you testify about on page three of the KEDNY direct testimony.

So it says the -- at the -- quote, at the same time, the fact that the Company has accelerated and will continue to accelerate the replacement of L.P.P. assets justifies an examination of whether the depreciation rates for those assets should be adjusted at this time.

So here's my question. In the previous study, what was the acceleration rate that was assumed in that study, as compared to what was assumed here?

A. I think it was in its infancy then, and this has more -- has a more significant support, shall we say, this time. We've got five

years of experience. The problem that you have for these two Companies, it's a -- it's a very chronic situation. And what that is -- is the current approved accrual rates recover virtually nothing of the cost to retire these assets.

I will give you an example just to give you a sense of reality. The current approved accrual rates, if we look at 2019 for KEDNY, the Company basically for -- for KEDNY now for 2019, the Company spent $57,244,000 to retire assets in 2019. And from the rate --.

Q. Is that just leak-prone pipe --

A. Yes.

Q. -- or all assets?

A. No, that's just leak-prone pipe. And the reason the study was done is to bring attention to the fact that it's chronic. And so the recovery in the current approved accrual rates was $408,000. So you spent $57, 244,000 and you will be recovering $408,000. So the problem is -- is to identify we've got a problem, a big problem. And unless you deal with it, it's going to get worse.

Q. So I'm focusing a little bit on the Company has accelerated and will continue to

accelerate. What assumptions on the acceleration -- was it just what you saw in 2019 in terms of that recovery versus what was retired for leak prone pipes, or was there some acceleration rate that was conveyed to you that went into the mix in terms of your -- your more limited study here?

A. What you see with all these gas companies is everyone has to replace these assets, not -- not just KEDNY or KEDLI. And so what you have -- what you typically have, you start the program like five years, so you ramp up. And then at some point where you have your crews, because everybody's fighting for staffing, once you get a -- a -- a crew density, you're able to accelerate or improve the removal every year.

So you started off 50, 80 miles, 100 miles, so the acceleration, you get to a plateau that you can stay -- stay there for quite a length of time. And so that's what I mean by accelerating.

You -- you have to get into a comfort zone of what you can accomplish every year. It's almost like a runner who starts running and at some point after two months, he can do it forever. It's the same thing here.

Q. So what was that -- what was the assumed acceleration rate? What was the number of miles that, as you indicated, you reached this plateau?

A. It's -- it's basically if you -- let me see. If you look at KEDNY, and you go to P.M.N. 4 --.

Q. That's your direct testimony in KEDLI?

A. In -- in -- in KEDNY.

Q. In KEDNY, and it would be --

A. Exhibit --.

Q. -- 4. I don't know what the Hearing Exhibit is.

MR. MALONEY: Just a moment, your Honor.

A. And the last page of that exhibit.

BY A.L.J. LEARY: (Cont'g.)

Q. Cost of removal -- the cost of removal exhibit?

MR. MALONEY: I believe that's Exhibit 32.

A.L.J. LEARY: Thank you. 32.

BY A.L.J. LEARY: (Cont'g.)

Q. Go ahead. I'm on the last page.

A. Okay. So you see on line 24 there is the L.P.P. replacement. So they're accelerating to where they get to a plateau. And so it goes on and on until you achieve a -- a -- a plan where you will remove all the 1,500 miles of pipe.

Q. So the L.P.P. replacement mileage for 2021 is 70 miles, 2022 is 75, in year 2023 80, year 2024 85, for a three-year average of 75?

A. That's correct.

Q. Okay. Thank you.

A. And the same thing is done for -- for KEDLI.

Q. Got it. And I'm assuming that's P.M.N. 4 to the KEDLI testimony, costs -- also cost of removal.

MR. MALONEY: Which would be Exhibit 37, I believe.

A.L.J. LEARY: Thank you.

BY A.L.J. LEARY: (Cont'g.)

Q. Okay. Last question. I don't understand net salvage. So you set forth in your exhibits the accrual rates and net salvage factors.

I don't want to ask you about the accrual rates because I don't even know what to ask. But in terms of the net salvage factor, is this a factor that was given to you that you came up with or that you -- that you came up with?

A. I came up with that.

Q. Okay. And --.

A. And it was driven by the historical relationship of the cost that the Company has incurred. In other words, the Company, every year, spends a large amount of money to retire these assets. So I have the retirement of the assets and then I have the cost of removal. And what -- as I said earlier, what's happened is the current accrual rates don't recover any of this. It's -- it's -- it's a situation that hopefully is remedied in this case.

Q. Okay. I was assuming the net salvage factor represented some salvage value to that asset that was recovered by the Company. Is that not what net salvage or what salvage means or salvage value or -- and if it's not, can you explain to me what net salvage means in this context?

A. It's a term that basically says

here is your costs to removal and you reduce it by the salvage value that you get from the assets.

Q. Right.

A. Gas is unique because it's underground and you don't dig it up and you can't sell it. So there's very little -- in fact, it's rare I see any salvage in gas companies.

Q. That was my next question. So there's really -- this is like a zero number?

A. Essentially, it is, yes.

Q. Okay.

A. Salvage value is essentially the -- the -- I'm sorry -- the salvage amount is typically zero.

A.L.J. LEARY: Mr. Wyman, do you have another question that has resulted from what I just asked the witness?

MR. WYMAN: Yeah. If -- I -- I believe net salvage is salvage, minus cost of removal.

A.L.J. LEARY: Mr. Wyman, you're not under oath and you're not the witness testifying right now. So if you would like to present some testimony in that regard, great. If you have a

question for this witness, that's what I'm asking you. Do you have a question for this witness?

RECROSS EXAMINATION

BY MR. WYMAN:

Q. Can I ask is -- is net salvage, salvage minus cost of removal?

A. Yes.

A.L.J. LEARY: Thank you.

And redirect by the Company?

MR. MALONEY: Could we take two minutes -- three minutes?

A.L.J. LEARY: Yes.

MR. MALONEY: No more than that.

A.L.J. COSTELLO: Okay. Off the record.

(Off the record, 4:36 p.m.)

(The hearing resumed, 4:41 p.m.)

MR. MALONEY: And Ken Maloney for the Companies.

A.L.J. COSTELLO: Mr. Maloney, could I ask you just to wait one second because it may be -- there's a request that I believe PULP wants to make and it may affect whether you want to go now with your redirect or -- or later.

MR. BERKLEY: Thank you, your Honors. I wanted to repeat the request I made to you while the Company was caucusing in the other room, which was to ask some questions of Companies' witness in the areas outside of his testimony that Mr. Wyman's questions had took him.

After some conversation with the Company, asking their indulgence, I'll withdraw that -- that request. Thank you.

A.L.J. COSTELLO: Okay. Great. Thank you.

All right. You may proceed. Sorry for that.

MR. MALONEY: Thank you, your Honor. Are we back on the record?

A.L.J. COSTELLO: Yes.

REDIRECT EXAMINATION

BY MR. MALONEY:

Q. Mr. Normand, you were asked a -- a number of questions by Judge Leary concerning the concept of net salvage. Could you describe for the record what the elements of net salvage are?

A. There -- there's two elements of net salvage. There's the salvage component and there

is the retirement or cost of removal component. For a gas company, especially, the salvage component is typically zero. I'll point you to KEDNY Exhibit P.M.N. 4, our page 3 of 5, and you'll see what I mean there.

So what you're going to see is salvage, as I testified earlier is -- is zero, but the cost of removal is very negative for these assets. So when you -- as Mr. Wyman pointed out, it's salvage less cost the removal. You find that becomes a very large negative number, which means it costs a lot to retire these assets, so.

But salvage, itself, is -- for -- for gas is essentially zero by itself, that one component.

Q. Mr. Normand, you were also asked certain questions by Mr. Wyman concerning the risks of changes in the law and -- and the impact those might have on the Company's assets in the future. Is that something that would be considered in future depreciation studies?

A. Well, to the extent that they crystallize, it might be, but I don't see -- in -- in the next study, I would probably do exactly the same

thing I did this time because that's an uncertainty that may or may not be realized. But I can't deal with that here.

If I knew a date certain that something was going to terminate such as we do with leak-prone that I could choose a date and say these assets are going to end by this time, then I could deal with that, but right now I don't have that solution.

MR. MALONEY: Thank you. Nothing further.

A.L.J. COSTELLO: Okay. Thank you, Mr. Normand, for your testimony, and you're excused.

THE WITNESS: Thank you.

A.L.J. COSTELLO: Thank you.

Can we just go off the record while the next witness --?

(Off the record, 4:44 p.m.)

(The hearing resumed, 4:47 p.m.)

A.L.J. COSTELLO: Can -- please -- Mr. Collar, please stand and state your -- just -- you don’t have to stand.

Please state your name and business address for the record.

MR. COLLAR: Gregg Collar, 99 Washington Avenue, Suite 640, Albany, New York.

A.L.J. COSTELLO: And please stand and raise your right hand.

Do you swear or affirm that the testimony you will provide is the truth?

MR. COLLAR: I do.

WITNESS; GREGG COLLAR; Sworn

A.L.J. COSTELLO: Okay. You may take a seat. Thank you.

And we are starting with cross examination from the Companies. Oh, you know, I'm -- I'm just skipping right over that. I apologize. Yes.

MS. O'HARE: I understand.

DIRECT EXAMINATION

BY MS. O'HARE:

Q. Mr. Collar, do you have in front of you a document entitled Direct Testimony of Greg C. Collar, dated August 30th, 2019, consisting of a cover page and 26 pages of questions and answers?

A. I do.

MS. O'HARE: Just to clarify for the record, the cover page is dated August 30th, 2019,

but his corrected version of testimony was filed on January 30th, 2020.

BY MS. O'HARE: (Cont'g.)

Q. Was this testimony prepared by you or under your direct supervision?

A. Yes.

Q. Do you have any corrections at this time?

A. No, I do not.

Q. Do you confirm that the testimony is true and accurate, to the best of your knowledge?

A. I do.

Q. If I were to ask you the same questions today, would your answers be the same?

A. Yes.

MS. O'HARE: Your Honors, I request that Mr. Collar's testimony be entered into the record.

A.L.J. COSTELLO: Okay. That request is granted. And at this point in the transcript the court reporter should insert U.I.U. Corrected Direct Testimony of Gregg C. Collar.

MS. O'HARE: Thank you.

BY MS. O'HARE: (Cont'g.)

Q. Mr. Collar, also before you are two exhibits filed with your pre-filed direct testimony, Exhibit G.C.C.-1 has been pre-marked for identification as Exhibit 560. And Exhibit G.C.C.-2 has been pre-marked for identification as Exhibit 561; correct?

A. Yes, I have those.

Q. An additional pre-filed exhibit has not been marked for identification yet. This Exhibit is G.C.C.-3?

A. Correct.

MS. O'HARE: Your Honors, I asked that this exhibit be marked for identification at this time.

A.L.J. COSTELLO: Was -- this is something that you've provided. You -- are you going to provide copies to us?

MS. O'HARE: Yes, it was -- it's part of his pre-filed testimony and I also emailed it around, but I -- we have hard copies that we can pass around.

A.L.J. COSTELLO: Okay. But what you're saying is it's pre-filed testimony that was not included in the exhibit list?

MS. O'HARE: Exhibit list, yes --

A.L.J. LEARY: It was not?

MS. O'HARE: -- so I'm just presenting it now. Yes.

A.L.J. LEARY: Okay. We need to assign it another exhibit number.

Thank you. What are we up to, James?

A.L.J. COSTELLO: Okay. That will be marked for identification as Exhibit Number 634.

MS. O'HARE: Thank you, your Honors. I understand that the rest of his pre-filed exhibits will be marked at a different time. So now Mr. Collar is ready for cross examination.

A.L.J. COSTELLO: Okay. Now, the Companies may proceed with cross examination.

MR. EUTO: Thank you, your Honors.

CROSS EXAMINATION

BY MR. EUTO:

Q. Good afternoon, Gregg.

A. Good evening.

Q. Mr. Collar, how are you today?

A. Evening.

Q. Good evening. Sure. I'm going to start by talking about your testimony on service

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quality metrics. And specifically, I'd like to begin by discussing your recommendations for more stringent targets for the Company service quality metrics. That discussion begins at page 10 and runs through page 13 of your direct testimony.

A. Okay.

Q. And to be clear, when I say more stringent targets, I mean targets that are harder to achieve. Would you agree?

A. I don’t know if I necessarily agree that they're harder to achieve. I would say they're at a higher level -- higher level of service that the -- the Company should try to achieve, yes.

Q. Okay. Okay. And turning to page 10 of your testimony, specifically lines 1 through 5, you recommended that --.

A. I'm sorry; page 10?

Q. Yes.

A. Okay.

Q. Page 10, lines 1 through 5.

A. Okay.

Q. You recommended that harder to achieve targets be adopted for KEDNY's P.S.C. complaint rate, residential customer transaction

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satisfied -- transaction satisfaction, KEDNY and KEDLI's adjusted customer bills metrics, KEDLI's telephone answer rate. Is that correct?

A. That's correct.

Q. And your reasoning for recommending harder to achieve targets is because the Company's performance has met or exceeded targets over the last few years. Is that correct?

A. That's accurate, yes.

Q. Would you agree that an -- that service quality performance can, in some cases, be affected by external factors such as weather?

A. I think it -- I would generally agree with that, but I would also say that I do take that into account in setting my targets and that's why I use the five-year average with the two standard deviations.

Q. Thank you. If there was an extremely cold winter where customers used significantly more energy and experience unusually high bills, would you agree that this could affect P.S.C. complaints and customer satisfaction?

A. Repeat that again, please?

Q. If there was an extremely cold

winter where customers used significantly more energy and experienced unusually high bills, wouldn't you agree this would affect P.S.C. complaints and customer satisfaction?

A. I -- I don't think I could speculate what a customer -- whether a customer would complain or not based on a colder winter or -- sorry -- a weather event is I'm sorry you said -- is that what the other example?

Q. I'm talking more about a pattern where there was an extremely cold winter and so that resulted in unusually high bills. Do you think unusually high -- like a period of, you know, unusually high bills could influence, you know, the number of P.S.C. complaints that the Company receives or customer satisfaction?

A. Again, I don't -- I don't -- can't speculate as to whether a customer would complain to the Company just because their bill went up. They might be an educated customer that realizes that a colder winter could -- could -- could lead to higher prices for the -- for that month or that -- those two months or whatever it may be.

Q. All right. Let's turn to the

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discussion of KEDNY and KEDLI's performance that's cited in your testimony, beginning at page 11 and running through page 13. Would you agree that the Company's performance on the complaint rate, customer satisfaction, adjusted bills, and telephone answer rates has been consistently acceptable for the last few years?

A. Consistently what? I'm sorry?

Q. Consistently acceptable.

A. How would you define acceptable?

Q. Satisfactory?

A. How would you define satisfactory?

Q. Meeting the targets.

A. I would agree with that.

Q. Based on all the documents you reviewed in preparing your testimony for these proceedings, would you agree that there are no specific indications that a decline in performance will -- will occur among any of the Company's service quality metrics during the rate year?

A. I think this was asked previously to Staff. I don't see how I could speculate -- speculate and have an answer to that question.

Q. So I'll say it this way. Looking -- based on what you know, all the documents you reviewed to prepare for the -- for this hearing for these proceedings and to prepare your testimony, you must have looked at the Company's historical performance. You've looked at the patterns of how the Company has been doing over the last few years. Is that correct?

A. Correct.

Q. And based on what you saw on those data, do you see anything to suggest that the Company will not meet its performance targets during the rate year?

A. Under the current method -- under the current targets, if they -- if they maintain the service they've had over the five years, they should exceed those targets by a good margin. Hence, why I adopted or proposed stricter targets.

Q. Thank you.

MR. EUTO: No further questions, your Honor -- your Honors.

A.L.J. COSTELLO: D.P.S. Staff?

MR. FORST: Your Honors, D.P.S. has no further questions for this witness. No cross.

A.L.J. COSTELLO: Do you need a moment or would you like redirect? Okay. A moment. We'll --.

A.L.J. LEARY: I -- would you mind if I ask a question?

I just want to ask about G.C.C.-2, which is a 2-page document that has the current service quality performance targets, which I believe you're referring to in your testimony as the Company's current service quality performance targets?

THE WITNESS: Correct.

A.L.J. LEARY: And then the next page has your proposed service quality performance targets?

THE WITNESS: That is correct.

A.L.J. LEARY: Okay. I just wanted to make sure I had this correctly understood. Thanks.

A.L.J. COSTELLO: Okay. We're going to take a few minutes off the record.

(Off the record, 4:58 p.m.)

(The hearing resumed, 5:04 p.m.)

A.L.J. COSTELLO: U.I.U., any redirect?

MS. O'HARE: We do not have redirect, your Honors.

A.L.J. COSTELLO: Okay. Thank you.

Mr. Collar, thank you for your testimony.

THE WITNESS: Thank you, your Honors.

A.L.J. COSTELLO: You are excused.

A.L.J. LEARY: Okay. We have one announcement to make.

A.L.J. COSTELLO: And we can go -- you want to go off the record?

A.L.J. LEARY: Yeah, close her out.

(The hearing adjourned, 5:04 p.m.)

19-G-0309/19-G-0310 - 2-13-20 - Brooklyn Union Gas

STATE OF NEW YORK

I, KAYLA ALLEN, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 1796, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 20th day of February, 2020.

Kayla Allen, Reporter